



Week beginning 20 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Drawing a line on just drawing a line.

The Week That Was: Conflict in the Middle East to cast a long shadow.

Focus on New Zealand: Oil shock begins to surface in data.

Forecast Update: Our latest forecast updates are detailed in our April Market Outlook.

For the week ahead:

Australia: Westpac-MI Leading Index.

New Zealand: Q1 CPI, NZIER Survey of Business Opinion and Q1 trade balance.

United States: Retail sales, initial jobless claims, University of Michigan Sentiment.

Euro area: ZEW Survey of Expectations, consumer confidence, President Lagarde speaks.

UK: Unemployment rate, CPI, GfK consumer sentiment.

Japan: CPI.

World: Manufacturing and services PMI.

Information contained in this report current as at 17 April 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Draw a line on just drawing a line



Luci Ellis
Chief Economist, Westpac Group

- **You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible. Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.**
- **There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.**
- **The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.**

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its [previous](#) full *World Economic Outlook* report in October, it did [this week](#). Similarly, we have published [several scenario iterations](#) over the past six weeks and will provide an update later today in our Market Outlook report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other

words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

“Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph.”

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the ‘severe’ scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from “this particular bad thing happened”. But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our [April Market Outlook](#) goes to publication later today, it is helpful to recall last [April’s edition](#). The ‘Liberation Day’ tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of ‘flood the zone’ headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again [surprised on the upside](#) relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

Forecast changes

- A full update to our forecasts was published in our [Market Outlook publication on April 17](#).

Cliff Notes: conflict in the Middle East to cast a long shadow

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

[Our Westpac-MI Consumer Sentiment Index](#) posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely ‘family finances vs a year ago’ (–16.7%) and ‘time to buy a major household item’ (–15.0%). There were also significant hits to the year-ahead outlook for family finances (–13.9%) and the economy (–12.4%), suggesting households are bracing for enduring pressure.

The tone of the March [NAB business survey](#) was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7pts to a quarterly pace of 3.0%. That final producer prices lifted +0.4pts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. The readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating

below US\$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But this is also the case for the US economy, University of Michigan consumer sentiment fell to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March. Should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, [China's economy showed strength this week](#), annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data, China's Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East's impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment's support for GDP masks the still-troubled state of consumer demand. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on Westpac IQ.

Oil shock begins to surface in data

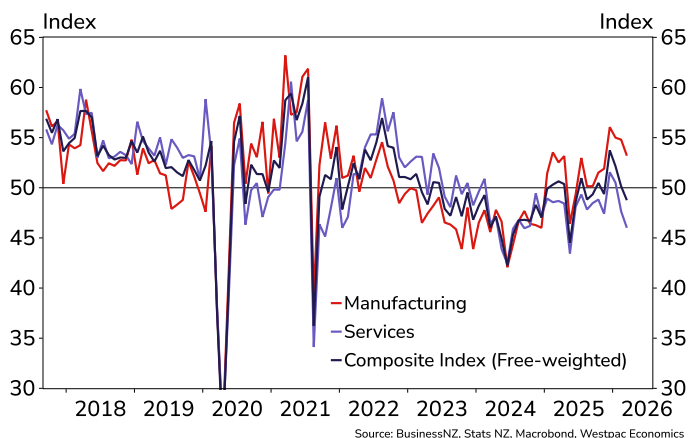


Darren Gibbs
Senior Economist

The past week has delivered some further insight on the early impact of the Middle East conflict on the New Zealand economy. Unsurprisingly, that data points to some marked changes in spending patterns and clear upward pressure on prices for energy products. Even greater impacts are certain to be evident over coming months as the shock transmits through the economy.

On Monday, BusinessNZ reported that its Performance of Services Index had declined 1.6pts in March to a 10-month low of 46.0. All five subindexes fell below 50, with the activity/sales index falling to 44.6 and the new orders/business index falling to 45.7. The employment index also fell to the lowest level since October 2024. Separately, MBIE reported a modest decline in job ads in March. However, for now, the level of advertising remains more than 10% higher than a year earlier, and we are also yet to see any sign of labour shedding in the weekly filled jobs data collected from tax records. Meanwhile, more than two-thirds of the comments submitted by respondents to the BusinessNZ survey were said to be negative, with many – especially in industries dealing with discretionary spending – unsurprisingly citing the impacts of the Middle East crisis.

BusinessNZ PMIs

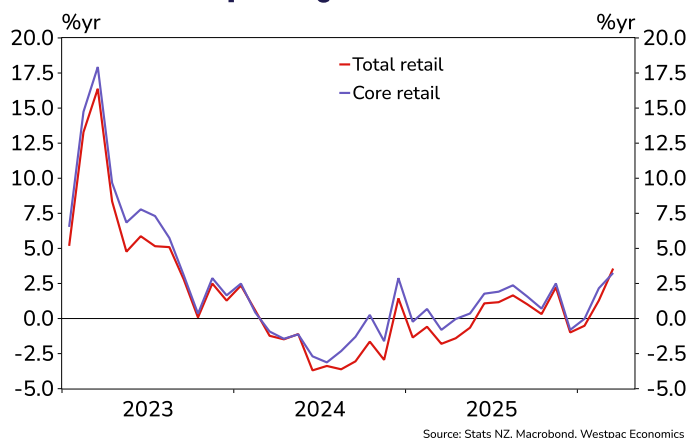


Later in the week [news from the retail sector](#) provided no major surprises. Consumer spending, as measured by electronic card payments, increased 0.7%*m/m* in March. Unsurprisingly, with petrol prices surging almost 19% during the month, spending on fuel increased over 17%. By contrast, core spending – which excludes spending on fuel and vehicles – fell a modest 0.1%*m/m*. Within the core measure, while spending on consumables (groceries) and durables grew, this

was more than offset by a decline in spending on apparel and hospitality. These data were broadly in line with the trends that were evident in [Westpac's own card spending data](#), which we had published earlier in the week.

Given the outcome for March, retail spending over the March quarter grew 1.0%. This was the strongest quarter since the December 2024 quarter, consistent with our view that the economy's forward momentum had improved at the start of this year. But looking ahead, high fuel prices will continue to siphon money out of households' pockets. At the same time, they will add to costs of production for a variety of other goods and services and will continue to significantly undermine consumer confidence. Overtime, these costs will also weigh on the strong growth in tourist arrivals that has helped retailers to weather a time of relatively subdued domestic spending. We continue to anticipate that consumer spending volumes will decline slightly in the current quarter, even as the value of spending is sustained by higher prices.

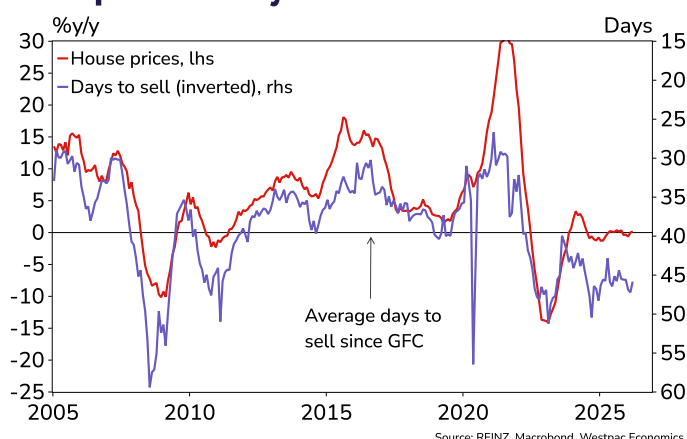
Electronic card spending in retail stores



[News from the housing market](#) also provided no major surprises. Sales were down around 4% in March, reversing a 5% rise in February, and have been effectively moving sideways over the last year. The average time to sell shortened compared to February but has also remained within a narrow range and remains longer than usual. The REINZ house price index ticked up slightly in March following a 0.6% rise in February. Prices have now largely reversed the declines that we saw over the second half of 2025 and were up 0.2% from a year earlier. Conditions vary across the country, with prices trending higher in the South Island while the North Island has been more stagnant. Of course, the Middle East conflict has cast a

fresh shadow of uncertainty over the economic outlook. It was unlikely that we would see an impact on the housing market as early as March, but in the months ahead we'll be watching for signs of a softening that would support our current forecast of a 1% fall in prices over this year. (Anecdotal evidence suggests greater caution amongst buyers in recent weeks.)

House prices and days to sell

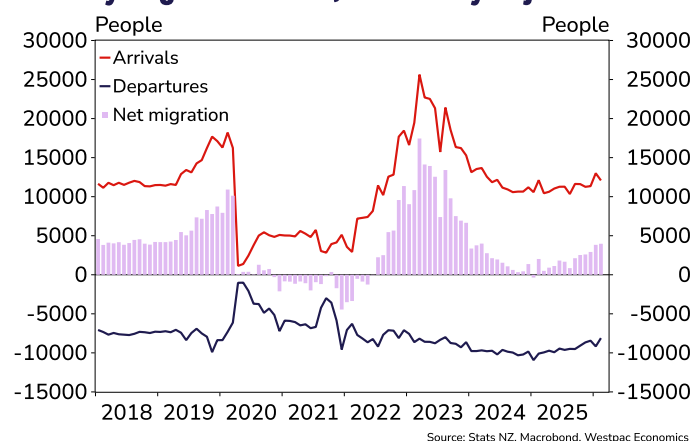


Another sector that is likely to be challenged by the Middle East conflict is the tourism industry. Increased prices for flights and sharply lower consumer confidence are likely to be weighing on forward bookings, especially from long-haul countries, and this should become evident as the year progresses. However, the recent trend has been very favourable, with arrivals in February increasing for an eighth consecutive month. A notable feature of the latest data was a further improvement in arrivals from China, which until recently had continued to track far below pre-pandemic levels. Thanks to the timing of the Lunar New Year, arrivals from China was more than triple that seen in February last year. But taking the January/February period as one to remove the impact of the floating holiday timing, arrivals were still up more than 50% and just 5% below the level seen in 2019. Helpfully, this comes at a time when there appears to be some slowing in arrivals from some other markets, notably the US and South Korea.

The inflow of longer-term arrivals – new residents and those on working, educational and other visas – has also shown some signs of lifting of late. Keeping in mind that more recent observations are subject to revision, the number of migrant arrivals in February was estimated to be around 2,000 greater than the low point seen in August last year whilst the number of departures was around 3,000 less than last January's highpoint. The net inflow of 3,600 was the largest since March 2024 and the inflow for the year to February – just over 25,000 – was over 7,000 more than the preceding year. At least in part the strengthening trend is further evidence of the improved

economic conditions that were developing in New Zealand prior to the Middle East conflict. Changes to visa policy have likely also contributed to the pickup in inflows.

Monthly migration flows, seasonally adjusted



Finally, the release of the Selected Prices Indexes for March has allowed us to finalise [our forecast for next week's March quarter CPI](#) report. As expected, the price of petrol increased 19% in March and the price of diesel surged 42%. However, food and some other travel-related prices such as airfares came in slightly weaker than expected. As a result, we have revised down our forecast for the CPI to 0.7%, which would see annual inflation ease back to 2.8% from 3.1% in the December quarter. Higher prices for food and petrol should make the most significant contributions, although tradable prices overall are expected to rise just 0.2% over the quarter and 2.1% over the year. Non-tradables prices are forecast to increase 0.8% over the quarter, lowering annual inflation to 3.3%. Meanwhile measures of core inflation, such as the trimmed mean and the ex-fuel and energy CPI, are expected to remain in the top half of the RBNZ's target range.

Our forecast is a little lower than the updated 3.0% forecast released by the RBNZ at its 8 April Monetary Policy Review. Assuming the CPI prints close to our expectations, the RBNZ will only take modest comfort given what lies ahead. The impact of the oil shock will become more evident when the June quarter CPI is released in July, and perhaps earlier in the monthly Selected Prices Indexes that will be released prior to the CPI. We currently estimate that annual CPI inflation will rise to 4.3% in the June quarter, although much will depend on how petrol prices evolve over coming weeks.

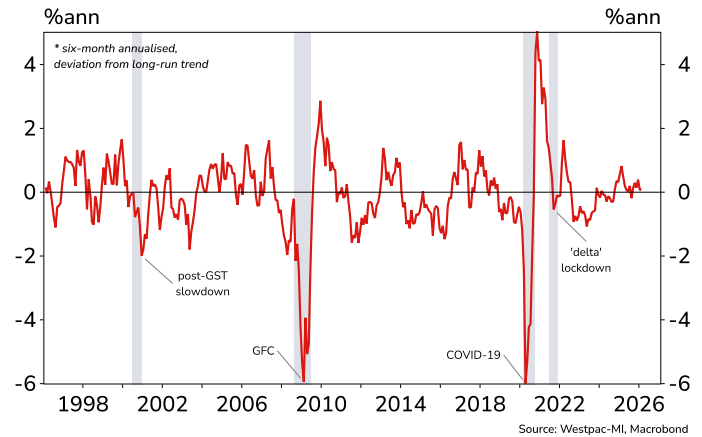
AUS: Mar Westpac-MI Leading Index

Apr 22, Last: +0.08%

The Leading Index growth rate held at +0.08% in February, unchanged from January but down from more firmly positive reads late last year.

The March read will again see a very mixed bag of component updates. The global energy shock has hit sentiment measures and financial markets hard. Both the Westpac-MI Consumer Expectations Index and the Westpac-MI Unemployment Expectations Index deteriorated by 10% in the latest month, the S&P/ASX200 dropping 7.8% month to month and the yield spread narrowing further. However, commodity prices firmed (up 2.1% in AUD terms) and total hours worked rose 0.5% while dwelling approvals posted a big 30% rebound from very weak reads in Dec-Jan. The net effect is hard to judge but may be more neutral than weak.

Westpac-MI Leading Index

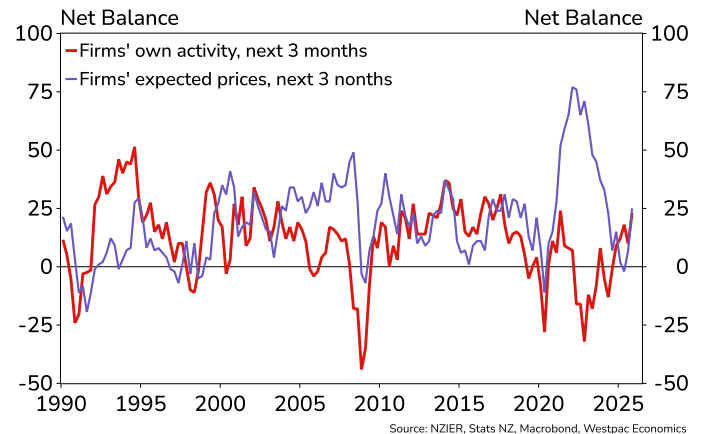


NZ: Q1 NZIER Survey of Business Opinion (index)

Apr 21, General business confidence last: 39.5

The December quarter QSBO showed a more upbeat attitude among businesses than we've seen for some time, with both actual and expected activity picking up, and demand for workers responding accordingly. The March quarter survey will be a different matter though, coming in the wake of the Iran war, and later responses are likely to be significantly more downbeat than earlier ones. The pricing measures of the survey will show the hit from the surge in fuel costs, but more important will be firms' willingness to pass this on into their own prices. This particular measure seems to have been instrumental in kicking off both tightening and easing phases by the RBNZ in recent years.

Quarterly Survey of Business Opinion

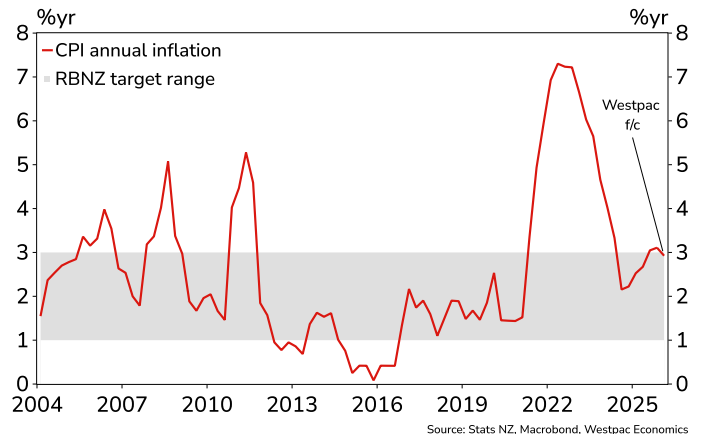


NZ: Q1 Consumer Prices (%)

Apr 21, Quarterly last: 0.6, Westpac f/c: 0.7
Annual last: 3.1, Westpac f/c: 2.8, RBNZ f/c: 3.0

We estimate that New Zealand consumer prices rose by 0.7% in the March quarter, underpinned by higher prices for food and petrol. The annual inflation rate is expected to dip from 3.1% to 2.8%, slightly below the RBNZ's forecast of 3.0% (updated at its April Monetary Policy Review). Under the surface, core inflation is expected to remain at firm levels. While the annual inflation rate is set to soften a little in March, this will be just a temporary reprieve. Inflation is set to rise sharply through the middle part of the year in response to the recent rise in oil prices and related increases in other costs. We expect inflation will rise to around 4.3% mid-year.

Inflation at top of the range before Iran war



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 20							
NZ	Mar	Trade Balance	\$mn	-257	-	388	Higher fuel prices will likely weigh in April.
Tue 21							
NZ	Q1	NZIER Survey of Business Opinion	index	39.5	-	-	Early indicator of business activity, pricing pressures.
	Q1	CPI	%qtr	0.6	0.8	0.7	Boost from food and fuel prices.
	Q1	CPI	%ann	3.1	2.9	2.8	Temporary easing, set to rise sharply mid-year.
Eur	Apr	ZEW Survey Of Expectations	index	-8.5	-	-	Middle East undoubtedly weighing on investor confidence.
UK	Feb	ILO Unemployment Rate	%	5.2	5.2	-	Labour market already weakening before Middle East shock.
US	Mar	Retail Sales	%mth	0.6	1.3	-	Evaporating confidence keeps consumer on weaker footing.
	Feb	Business Inventories	%mth	-0.1	0.3	-	Inventory restocking slowing amid shaky consumer outlook.
	Mar	Pending Home Sales	%mth	1.8	0.8	-	Early guide to established home sales, which is low and stable..
Wed 22							
Aus	Mar	Westpac-MI Leading Index	%ann'd	0.08	-	-	Interest rate hikes and Middle East impacts soon to be felt.
Eur	Apr	Consumer Confidence	index	-16.3	-17.3	-	Sunk to a two-and-a-half year low on Middle East crisis.
		ECB President Lagarde	-	-	-	-	Speaking on global challenges at LSE, 3:30am AEST.
UK	Mar	CPI	%ann	3.0	3.3	-	Set to pop materially higher on oil; focus on core.
Thu 23							
Jpn	Apr	S&P Global Manufacturing PMI	index	51.6	-	-	Expanding at a slower rate, uncertainty starting to weigh ...
	Apr	S&P Global Services PMI	index	53.4	-	-	... services activity is otherwise robust, providing some offset.
Eur	Apr	S&P Global Manufacturing PMI	index	51.6	50.1	-	Uptrend in manufacturing at risk of being arrested ...
	Apr	S&P Global Services PMI	index	50.2	49.5	-	... health of consumer will be key for services.
UK	Apr	S&P Global Manufacturing PMI	index	51.0	49.8	-	UK on more uneven footing, with mfg growth modest ...
	Apr	S&P Global Services PMI	index	50.5	50.0	-	... and services activity slowing toward break-even.
US	Mar	Chicago Fed Activity	index	-0.11	-	-	Likely to suggest below-trend growth for time being.
		Initial Jobless Claims	000s	207	210	-	Still quite low, not indicative of widespread firing.
	Apr	S&P Global Manufacturing PMI	index	52.3	52.8	-	Industry on a solid footing, similar to the ISM, but ...
	Apr	S&P Global Services PMI	index	49.8	50.0	-	... a weaker consumer does not bode well for services.
	Apr	Kansas City Fed Manufacturing	index	11	-	-	Performing relatively well compared to other regions.
Fri 24							
Jpn	Mar	CPI	%ann	1.3	1.4	-	Ueda strikes a cautious tone, monitor data before reacting.
Ger	Apr	IFO Business Climate Survey	index	86.4	86.6	-	Will souring expectations bleed into current situation view?
UK	Apr	GfK Consumer Sentiment	index	-21	-25	-	Confidence weakening but not unravelling frantically.
	Mar	Retail Sales	%mth	-0.4	-0.3	-	Watch core sales (ex fuel) for early signs of pressure.
US	Apr	Uni. Of Michigan Sentiment	index	47.6	48.3	-	Final estimate will provide full read on US-Iran reaction.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (17 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.63	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	69	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.44	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	36	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (17 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.11	158	156	154	152	150	148	146	144	142
EUR/USD	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2159	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Employment %qtr **	0.2	0.2	0.7	0.3	0.2	0.1	0.4	0.5	–	–	–	–
%yr end **	1.4	1.1	1.5	1.4	1.4	1.3	1.1	1.3	1.1	1.3	1.7	2.3
Unemployment rate % **	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter-averages.

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.7	1.9	1.0	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.8	4.3	4.2	3.9	3.5	1.6	2.2	3.1	3.9	1.7

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17 April 2026

WESTPAC NOWCAST Q1 2026: SECOND ESTIMATE

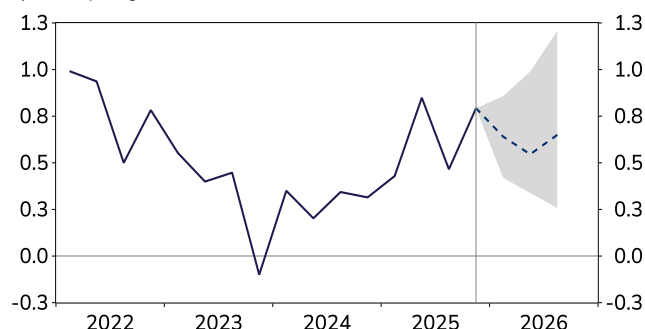
The cyclical upswing is maturing

Key points

- Consistent with our [first estimate](#), Westpac Now points to GDP growth of around 0.6%qtr in Q1 2026 (range: 0.55–0.75%qtr), lifting year ended growth to 2.8%yr.
- Our monthly activity index edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending an upswing that began in May 2025 even before the recent tightening in monetary policy could take effect.
- Recent sharp falls in [consumer](#) and [business confidence](#) were largely ‘looked through’; our framework would take more signal from a sustained drop.
- While growth appear to have remained resilient in Q1, a prolonged Middle East conflict increases the risk that weak confidence spills over into a broader set of indicators (many of which have already softened), exacerbating supply chain dislocations and lower real incomes.

Quarterly GDP Growth*

Quarterly % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to March 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

- Our framework suggests growth will ease to around 0.5%qtr in Q2, before returning to 0.6%qtr in Q3 2026, but these estimates by design do not allow for the wider effect of the conflict and differ from our actual GDP forecasts.
- Westpac Now updates are released monthly, with details in Appendix A.

The Upswing Is Maturing, Even Before Rate Hikes Bite



Pat Bustamante
Senior Economist

In November 2025, we introduced [Westpac-Now](#), a real time measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

This note provides the second estimate of growth for the March quarter 2026, using domestic and international data released up to and including the March Labour Force Survey (released 16 April 2026). Future updates will be published monthly (see Appendix A for the release schedule).

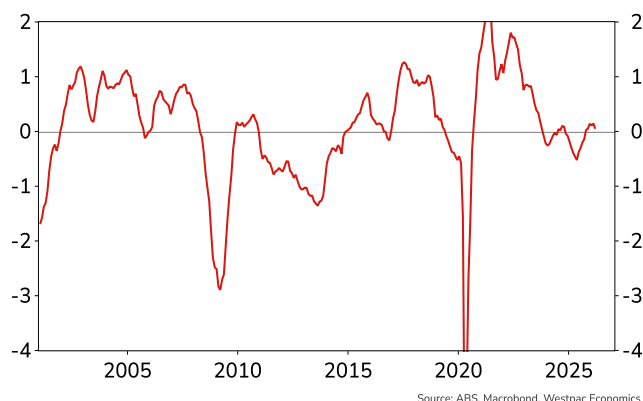
Monthly activity index declines over March

Our monthly activity index edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending a steady upswing that began in May 2025 even before the recent tightening in monetary policy could take effect. The monthly activity index is now sitting around the levels recorded in September 2025.

Importantly, there is greater than usual uncertainty around the monthly activity estimate amid heightened inflationary pressures. Faster price growth can cause nominal indicators, such as consumer spending, to rise strongly even though 'real', inflation adjusted spending may be soft. The inclusion of 'real' indicators, such as employment and banking transaction volumes, helps manage some of this uncertainty but it remains higher than usual given above average inflationary pressures.

Westpac Monthly Activity Index

Index. Axis truncated for covid.



Confidence: More noise than signal for now

At this stage, our framework largely looks through the recent sharp falls in consumer and business confidence. Historically, these measures can be volatile, and other indicators have not yet moved in the same direction. In that sense, the decline in confidence is inconsistent with broader domestic economic conditions.

This interpretation is intuitive: the shock triggering the confidence response appears exogenous, or linked to the conflict in the Middle East, rather than arising from domestic economic fundamentals. As such, the declines are currently treated as large idiosyncratic shocks.

That assessment would change if the fall in confidence were sustained or if other high frequency indicators, such as banking transaction data, began to corroborate the signal. In that scenario, the model would revise its treatment and place greater weight on the information coming from confidence measures.

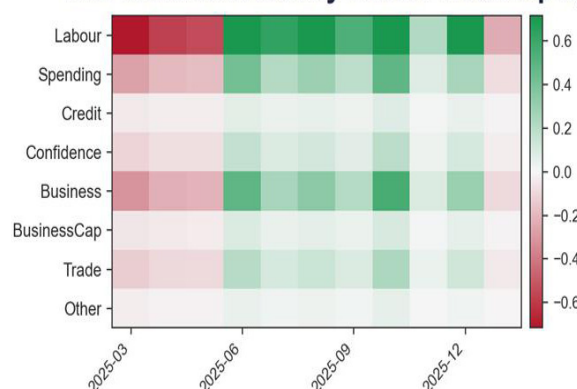
But there are risks with key indicators shifting to neutral

While growth remained resilient in Q1, the longer the Middle East conflict persists, the greater the risk that the weakness evident in confidence starts to show up in a broader set of indicators, such as investment and consumer spending.

Our indicator heatmap decomposes changes in the monthly activity index into group level contributions, allowing us to assess which components drove the recent moderation. For ease of interpretation, indicators are grouped into broad categories. For example, the labour market category includes both official ABS Labour Force Survey outcomes and more timely survey based measures of labour demand and job advertisements.

The heatmap shows that labour market conditions, consumer spending and credit growth lost momentum and shifted to neutral in March, after ending 2025 strongly.

The Common Activity Factor Heatmap by Groups



Westpac Now: Growth moderating even before the recent tightening in monetary policy take effects

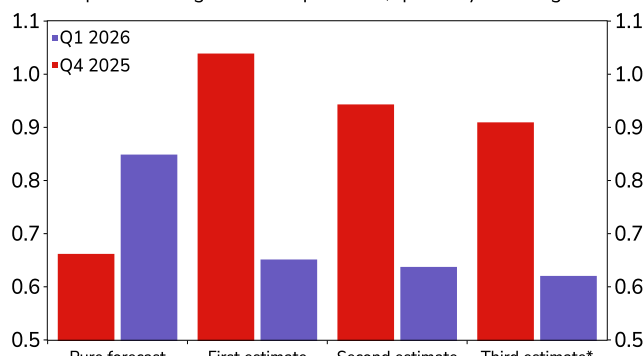
Recall that the Westpac-Now estimate is a more refined indicator that combines our monthly activity indicator using advanced econometric techniques to produce point estimates of GDP growth. As previously noted, the fit is not expected to be exact, as measured GDP includes components that are not well captured by other activity measures, such as imputed rents for owner occupiers, public and business inventories, and the depreciation of buildings and equipment. To bridge monthly and quarterly data, we employ a MIDAS framework, which allows us to combine mixed frequency data and incorporate partial information for the current quarter when producing GDP forecasts.

Based on our current forecast equations, the Westpac-Now Q1 2026 second estimate points to GDP growth of 0.6%qtr (range: 0.55–0.75% qtr), lifting year ended growth to 2.8% yr.

Projections further out, based on the indicator's internal dynamics, suggest growth will ease to 0.5%qtr in Q2, before returning to 0.6%qtr in Q3 2026. However, these projections should be treated as tentative, with heightened uncertainty given the reliance on projected inputs rather than realised data. The potential impact of the Middle East conflict implies that these forward projections are even more uncertain than usual.

Evolution of Westpac-Now

Within quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

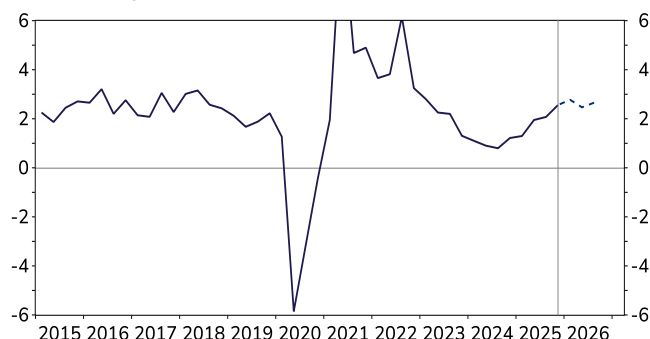
*Preliminary third estimate, to be updated when the full suite of monthly March data becomes available

Bottom line

Westpac Now points to moderating growth, with GDP tracking at around 0.6%qtr in Q1 2026. While recent sharp declines in confidence are currently being 'looked through', momentum has softened across key indicators, including labour market conditions, consumer spending and credit growth, even before the RBA's rate hikes took effect on the economy. Growth remains resilient for now, but a prolonged Middle East conflict raises the risk that weak confidence and supply chain disruptions reinforce each other, posing a more material downside risk over coming quarters.

Westpac-Now Estimates and Projections*

Year-ended % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to March 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

March quarter data signal a moderation in growth

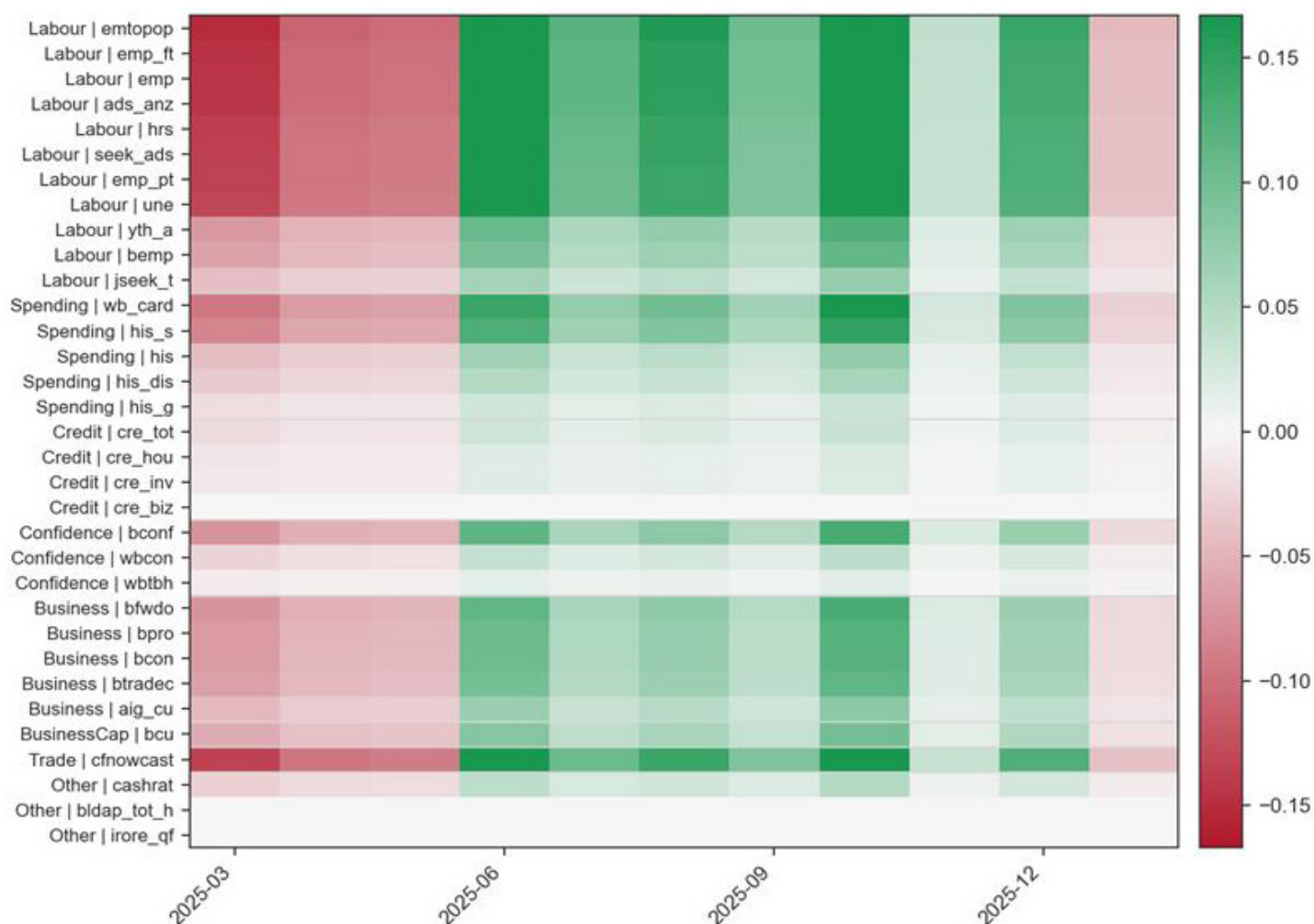
Data released over the March quarter point to growth moderating from the previous quarter. Once data released through the quarter are incorporated, our nowcast estimates Q1 growth at 0.6%qtr. This contrasts with the 0.8%qtr 'pure forecast' estimate that we obtain using only data available up to and including December. The pattern of softer estimates once actual data for the quarter begin to be included in the nowcast also contrasts with Q4 in that the nowcast for that quarter remained higher than the 'pure forecast' estimate as more data were included in successive estimates.

Appendix A: Westpac Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
22 May 2026	April 2026	Q1 2026 – final estimate	Near complete read on Q1 activity
19 June 2026	May 2026	Q2 2026 – first estimate	Initial assessment of Q2 momentum
17 July 2026	June 2026	Q2 2026 – second estimate	Refined Q2 signal as activity data accumulate
21 August 2026	July 2026	Q2 2026 – final estimate	Near complete read on Q2 activity
18 September 2026	August 2026	Q3 2026 – first estimate	Initial assessment of Q3 momentum
16 October 2026	September 2026	Q3 2026 – second estimate	Refined Q3 signal as activity data accumulate
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



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17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.5	0.6%	30 day BBSY	4.14	-0.01
AUD/USD	0.7161	-0.1%	90 day BBSY	4.37	0.00
AUD/JPY	114.01	0.0%	180 day BBSY	4.76	-0.02
AUD/GBP	0.5295	0.1%	1 year swap	4.61	0.02
AUD/NZD	1.2158	0.2%	2 year swap	4.65	0.02
AUD/EUR	0.6078	0.0%	3 year swap	4.64	0.02
AUD/CNH	4.8864	-0.1%	4 year swap	4.64	0.02
AUD/SGD	0.9117	0.0%	5 year swap	4.66	0.03
AUD/HKD	5.6041	-0.2%	6 year swap	4.71	0.03
AUD/CAD	0.9813	-0.4%	7 year swap	4.76	0.03
EUR/USD	1.1781	-0.2%	8 year swap	4.80	0.03
USD/JPY	159.16	0.1%	9 year swap	4.85	0.04
USD Index	98.20	0.1%	10 year swap	5.09	0.03

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,955	-0.3%	Australia		
S&P 500	7,041	0.3%	3 year bond	4.63	0.02
Japan Nikkei	59,518	2.4%	10 year bond	4.96	0.02
Hang Seng	26,394	1.7%	United States		
Euro Stoxx 50	5,933	-0.1%	3-month T Bill	3.61	-0.01
UK FTSE100	10,590	0.3%	2 year bond	3.77	0.01
VIX Index	17.94	-1.3%	10 year bond	4.31	0.03

Commodities	Current	Change	Other (10 year yields)		
CRB Index	374.61	0.7%	Germany	3.03	-0.01
Gold	4790.88	0.0%	Japan	2.41	-0.01
Copper	13270	0.2%	UK	4.85	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	93.50	2.4%	10 yr bond	5.04	0.05
Coal (coking)	226.00	0.0%	3 yr bond	4.68	0.04
Coal (thermal)	125.75	0.6%	3 mth bill rate	4.32	0.00
Iron Ore	105.55	2.0%	SPI 200	8,966	-0.2%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.5	0.6%	30 day BBSY	4.14	-0.01
AUD/USD	0.7161	-0.1%	90 day BBSY	4.37	0.00
AUD/JPY	114.01	0.0%	180 day BBSY	4.76	-0.02
AUD/GBP	0.5295	0.1%	1 year swap	4.61	0.02
AUD/NZD	1.2158	0.2%	2 year swap	4.65	0.02
AUD/EUR	0.6078	0.0%	3 year swap	4.64	0.02
AUD/CNH	4.8864	-0.1%	4 year swap	4.64	0.02
AUD/SGD	0.9117	0.0%	5 year swap	4.66	0.03
AUD/HKD	5.6041	-0.2%	6 year swap	4.71	0.03
AUD/CAD	0.9813	-0.4%	7 year swap	4.76	0.03
EUR/USD	1.1781	-0.2%	8 year swap	4.80	0.03
USD/JPY	159.16	0.1%	9 year swap	4.85	0.04
USD Index	98.20	0.1%	10 year swap	5.09	0.03

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,955	-0.3%	Australia		
S&P 500	7,041	0.3%	3 year bond	4.63	0.02
Japan Nikkei	59,518	2.4%	10 year bond	4.96	0.02
Hang Seng	26,394	1.7%	United States		
Euro Stoxx 50	5,933	-0.1%	3-month T Bill	3.61	-0.01
UK FTSE100	10,590	0.3%	2 year bond	3.77	0.01
VIX Index	17.94	-1.3%	10 year bond	4.31	0.03
			Other (10 year yields)		
Commodities	Current	Change	Germany	3.03	-0.01
CRB Index	374.61	0.7%	Japan	2.41	-0.01
Gold	4790.88	0.0%	UK	4.85	0.03
Copper	13270	0.2%			
Oil (WTI futures)	93.50	2.4%	Sydney Futures Exchange	Current	Change
Coal (coking)	226.00	0.0%	10 yr bond	5.04	0.05
Coal (thermal)	125.75	0.6%	3 yr bond	4.68	0.04
Iron Ore	105.55	2.0%	3 mth bill rate	4.32	0.00
ACCU	36.13	-4.3%	SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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Cliff Notes: ceasefire optimism to be tested

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By [Elliot Clarke](#), [Ryan Wells](#) & [Mantas Vanagas](#)

10:47 April 10 2026

 Share

Key insights from the week that was.



Ahead of the worst of the current conflict, the [ABS' household spending indicator](#) gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the cost shock already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, in the fulness of time, pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, the RBNZ maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the Atlanta Fed's GDPNow nowcast. This is before the sentiment and cost of living shock emanating from the Middle East is felt.

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the latest meeting minutes indicate "a vast majority of participants" see "risks to the employment side of the mandate... [as] skewed to the downside", the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

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17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
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AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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AUD/EUR	0.6078	0.0%	3 year swap	4.64	0.02
AUD/CNH	4.8864	-0.1%	4 year swap	4.64	0.02
AUD/SGD	0.9117	0.0%	5 year swap	4.66	0.03
AUD/HKD	5.6041	-0.2%	6 year swap	4.71	0.03
AUD/CAD	0.9813	-0.4%	7 year swap	4.76	0.03
EUR/USD	1.1781	-0.2%	8 year swap	4.80	0.03
USD/JPY	159.16	0.1%	9 year swap	4.85	0.04
USD Index	98.20	0.1%	10 year swap	5.09	0.03

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,955	-0.3%	Australia		
S&P 500	7,041	0.3%	3 year bond	4.63	0.02
Japan Nikkei	59,518	2.4%	10 year bond	4.96	0.02
Hang Seng	26,394	1.7%	United States		
Euro Stoxx 50	5,933	-0.1%	3-month T Bill	3.61	-0.01
UK FTSE100	10,590	0.3%	2 year bond	3.77	0.01
VIX Index	17.94	-1.3%	10 year bond	4.31	0.03

Commodities	Current	Change	Other (10 year yields)		
CRB Index	374.61	0.7%	Germany	3.03	-0.01
Gold	4790.88	0.0%	Japan	2.41	-0.01
Copper	13270	0.2%	UK	4.85	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	93.50	2.4%	10 yr bond	5.04	0.05
Coal (coking)	226.00	0.0%	3 yr bond	4.68	0.04
Coal (thermal)	125.75	0.6%	3 mth bill rate	4.32	0.00
Iron Ore	105.55	2.0%	SPI 200	8,966	-0.2%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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By Luci Ellis

Chief Economist Westpac Group, Westpac

11:05 April 17 2026

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Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph.



- You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible.

Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.

- There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.
- The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its previous full *World Economic Outlook* report in October, it did this week. Similarly, we have published several scenario iterations over the past six weeks and will provide an update later today in our *Market Outlook* report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to

misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the 'severe' scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from "this particular bad thing happened". But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our April *Market Outlook* goes to publication later today, it is helpful to recall last April's edition. The 'Liberation Day' tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of 'flood the zone' headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again surprised on the upside relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

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Cliff Notes: mixed messages

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By Elliot Clarke

Head of International Economics, Westpac

09:28 April 02 2026

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Key insights from the week that was.



At the turn of the week, Chief Economist Luci Ellis and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20%

of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the March Monetary Policy Board meeting minutes, the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, the Government's financial position is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. Cotality home values increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. Dwelling approvals remained volatile in February, a 29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%mt. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on

inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

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Still the lucky country: Conflict, Gold and Inflation to Lift the Budget

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By Pat Bustamante

Senior Economist, Westpac

10:27 March 31 2026

Share

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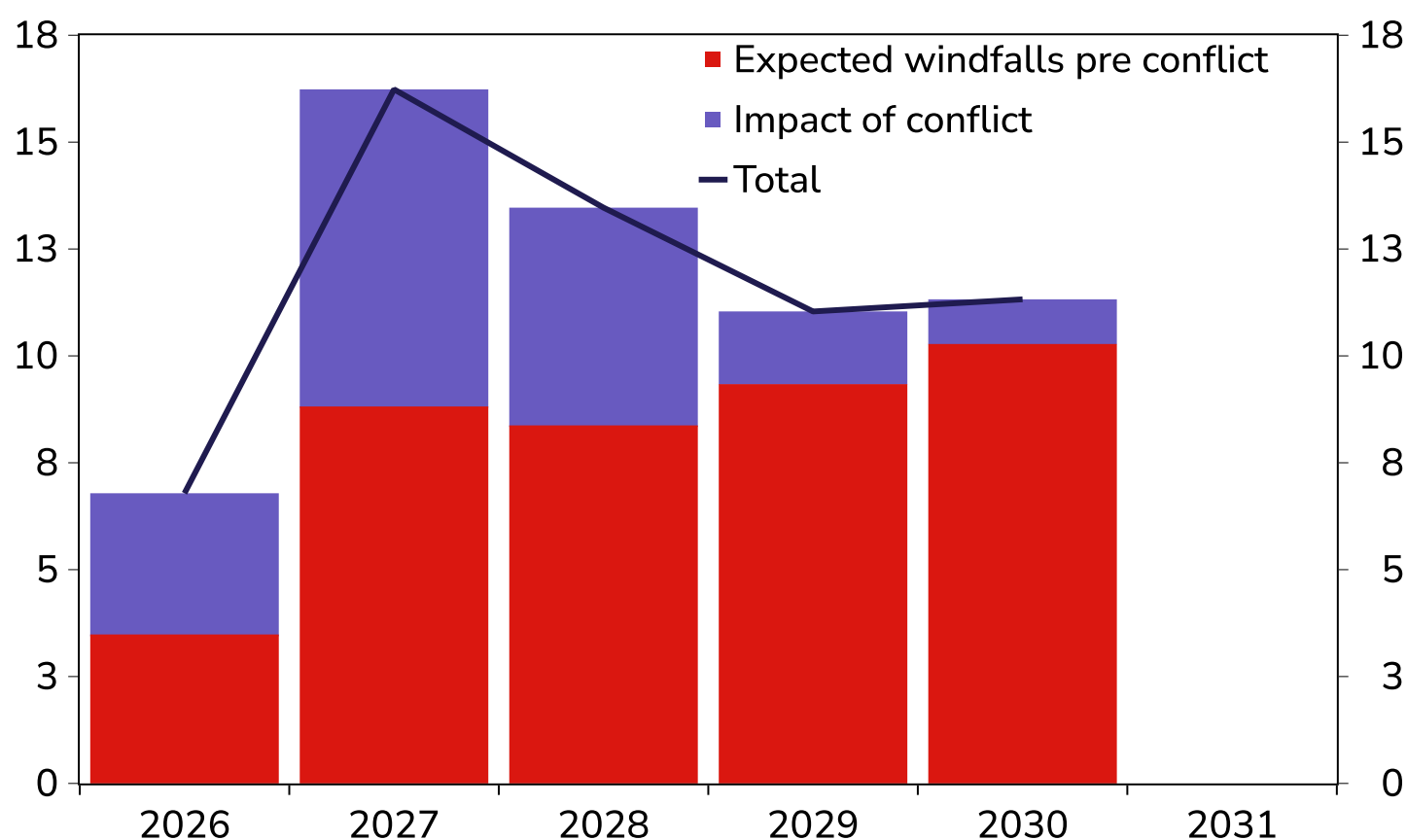


- Higher-than-assumed commodity prices are expected to deliver the Federal budget a windfall of almost \$60bn over the five years to FY30.

- Around \$20bn of this uplift reflects the impact of the Middle East conflict, particularly via higher coal and LNG export prices. This more than offsets the \$2.6bn cost of halving the fuel excise for three months.
- The run-up in gold prices since FY24 is estimated to add around \$19bn to Treasury revenues over the next five years. This broadly aligns with Department of Industry forecasts showing gold export receipts rising by around \$40bn in FY26 relative to FY24.
- Higher inflation and the cyclical upswing are boosting nominal incomes, consistent with the March monthly statements showing income and indirect tax revenue were around \$7.0bn and \$2.5bn ahead of MYEFO estimates, respectively. The inflationary impulse from the conflict is expected to provide further near-term support to revenues.
- We will provide a full update of revenue and expenses before the May Budget.

Expected company tax upgrades

Financial years, \$bn



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

The Federal Treasurer has warned that the economic fallout from the Middle East conflict could be “just as serious” as the GFC, the COVID-19 pandemic and Russia’s invasion of Ukraine. But there is a countervailing force: higher commodity prices and elevated inflation are lifting Treasury tax collections. Because the tax system operates in the nominal world, tax receipts can continue to rise even as real economic activity slows over the coming years, as we expect.

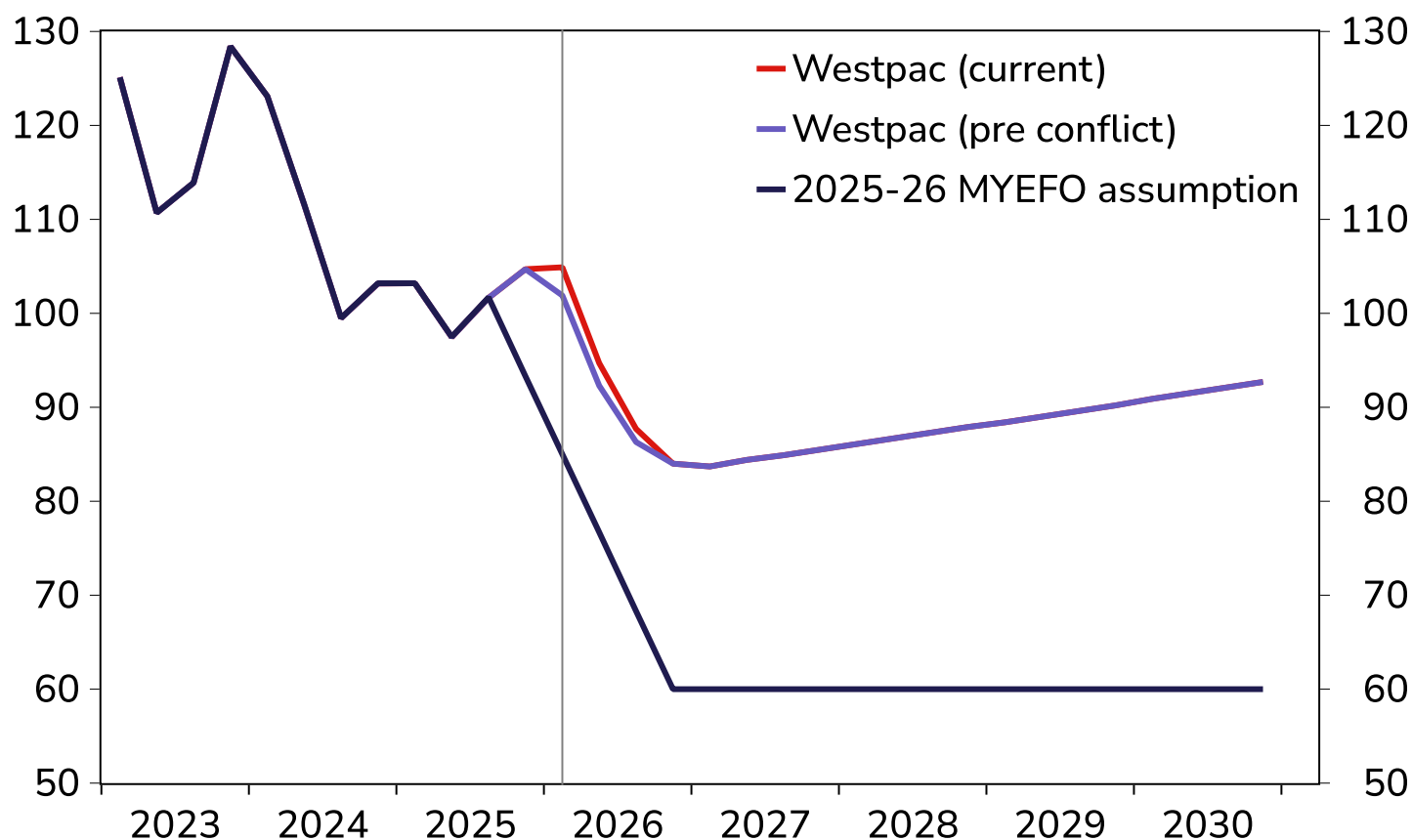
Using actual spot prices and Westpac commodity price forecasts, we estimate that **higher-than-assumed commodity prices will deliver the Federal budget a windfall of almost \$60bn over the five years to FY30.**

Relaxing some of the conservatism in budget forecasts

It is well known that Treasury's revenue forecasts remain highly conservative, anchored on commodity prices reverting to long-run assumptions. In practice, elevated prices had already proven more persistent before the conflict (see iron ore chart below), and the conflict itself has delivered a further lift.

Iron ore

\$US per tonne



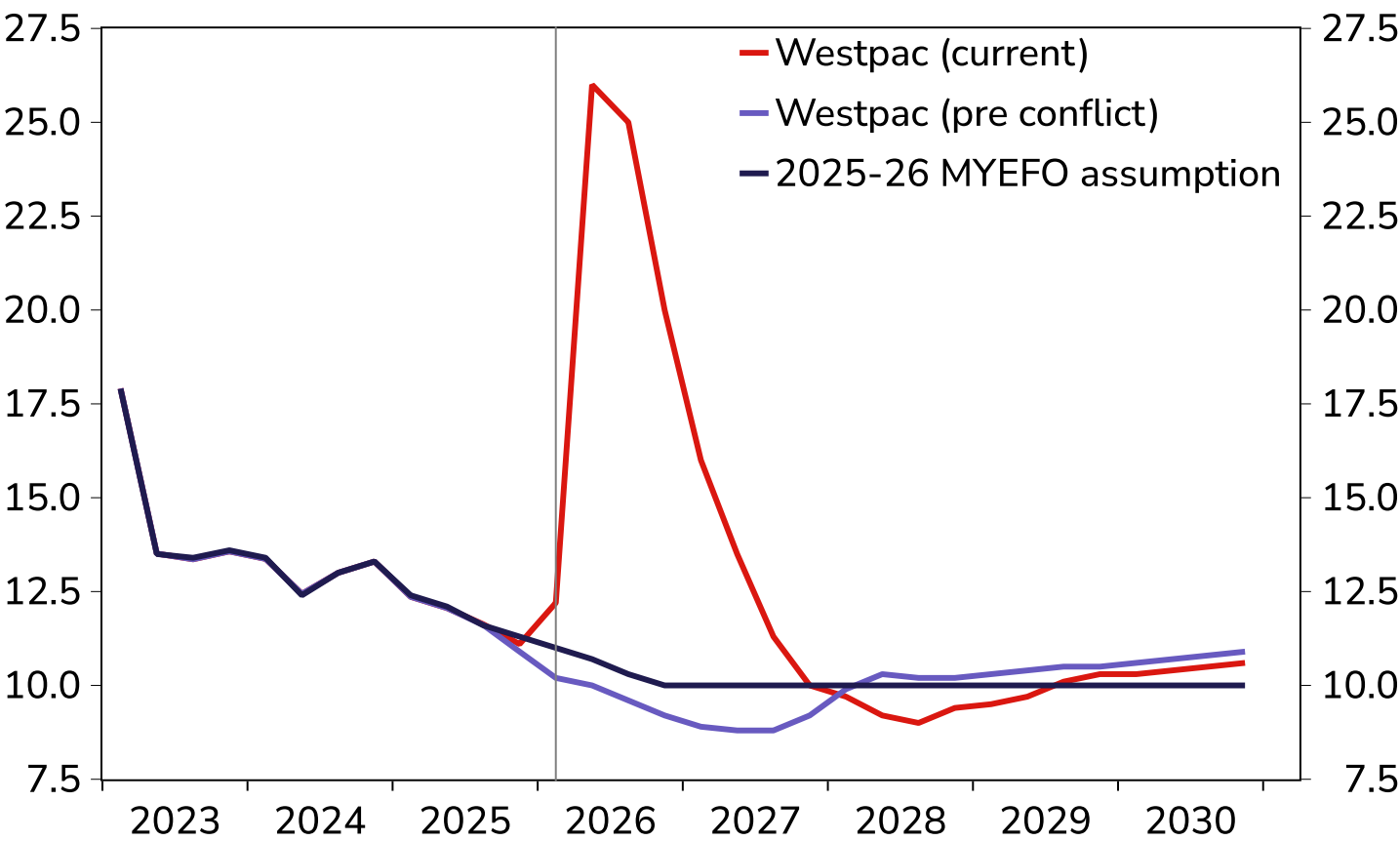
Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

The Middle East conflict also is pushing energy export prices higher, most notably for coal and LNG export prices. The longer the conflict persists, the greater the upside risk to commodity price forecasts.

At this stage, we estimate that around \$20bn of the total budget windfall can be attributed directly to the Middle East conflict, with the gains front-loaded over the next few years. This additional revenue more than offsets the estimated \$2.6bn fiscal cost of halving the fuel excise for three months, leaving a substantial net improvement in the budget position.

LNG export prices

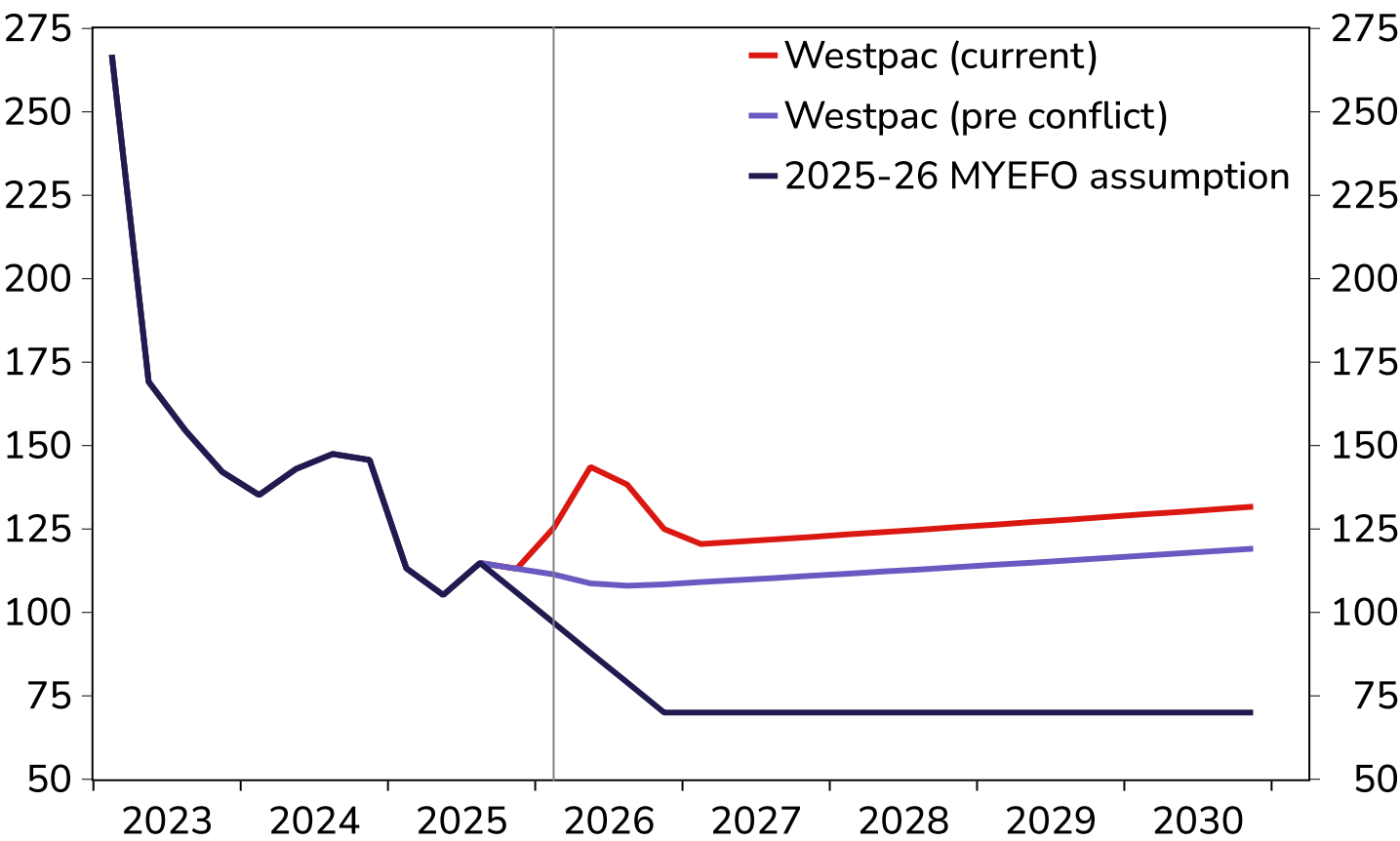
\$US per mmBtu



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Thermal coal

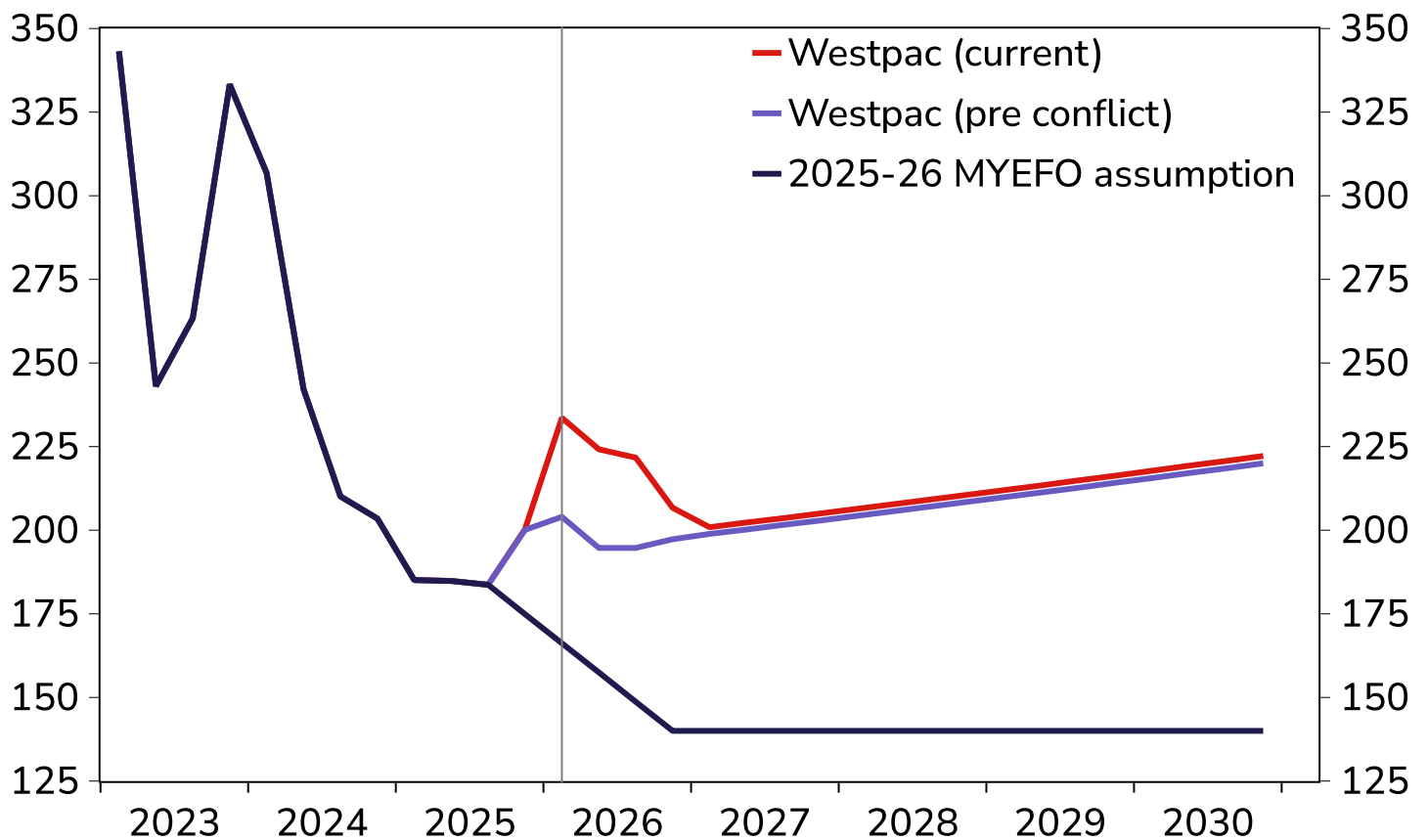
\$US per tonne



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Metallurgical coal

\$US per tonne

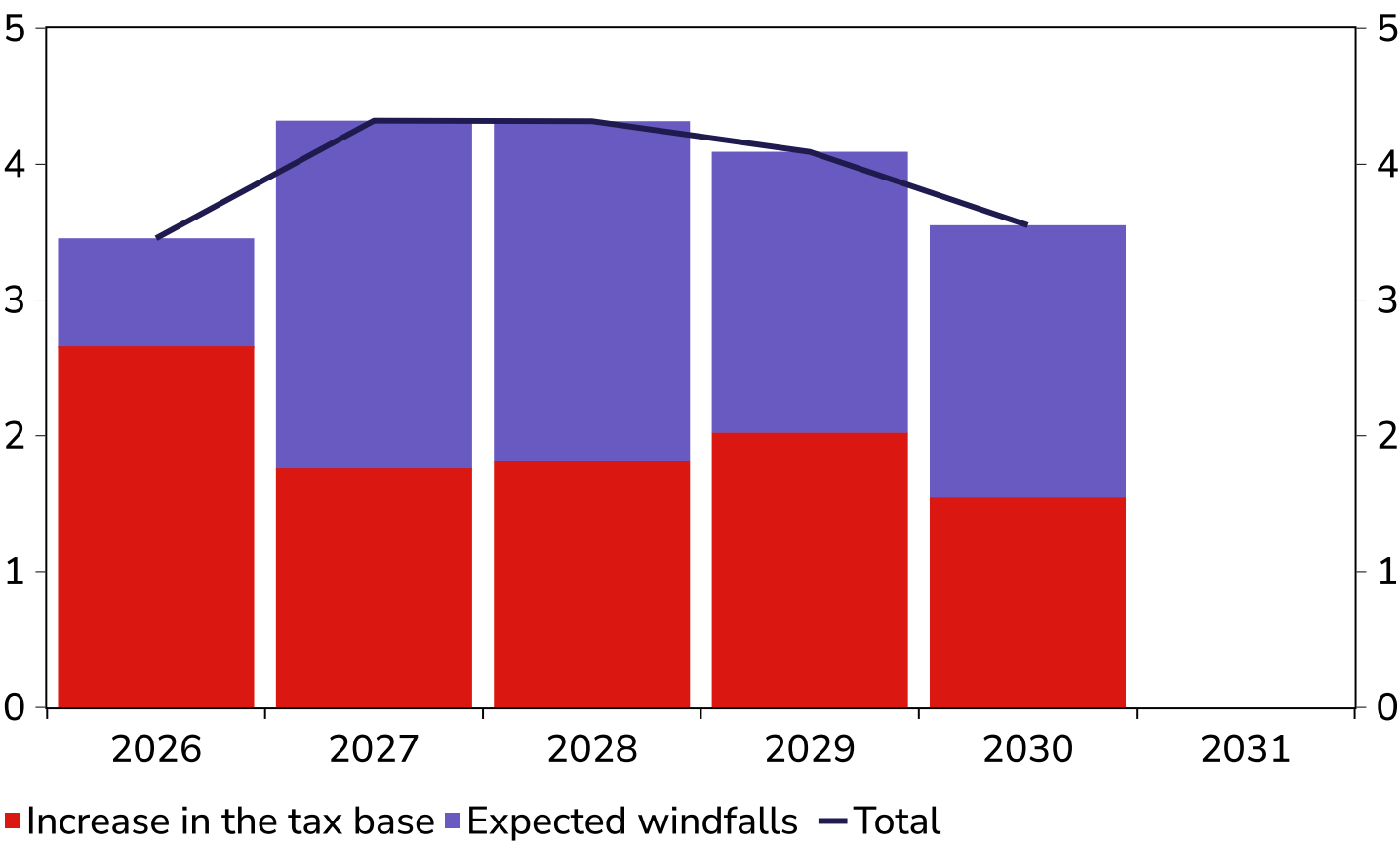


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Gold is also delivering an underappreciated windfall. Following the recent surge in prices, gold is expected to become Australia's second-largest export by value in FY26, overtaking LNG and coal. The run-up in gold prices since FY24 is estimated to add around \$19bn to Treasury revenues over the next five years. Despite recent volatility, the gold spot price is currently around US\$4,500 an ounce. That's almost double its level at the end of FY24. **We expect some of this revenue uplift to materialise as early as May 2026, when miners make large wash-up tax payments for the completed 2025 tax year.**

Expected tax upgrades due to gold prices

Financial years, \$bn

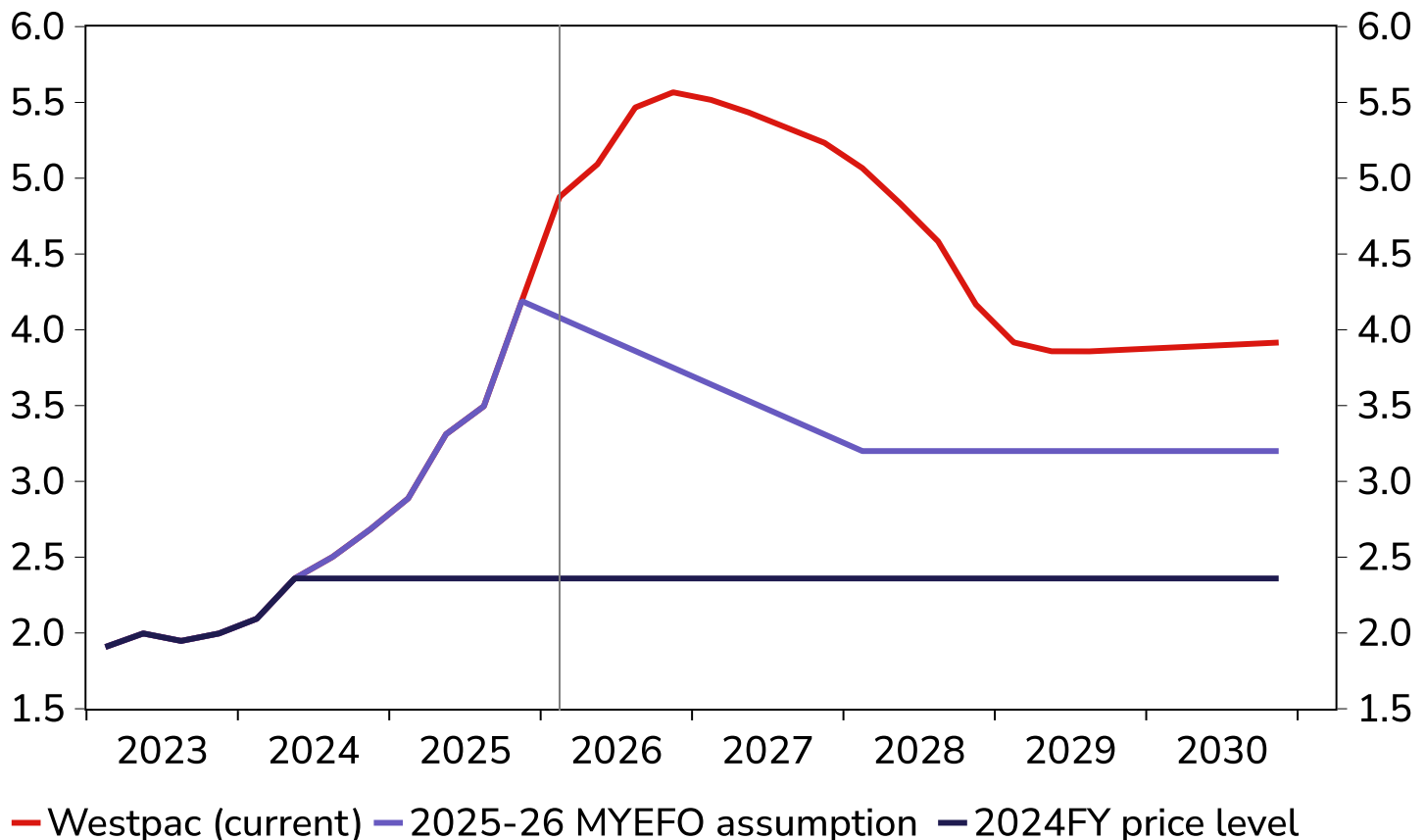


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

As Treasury marks commodity prices to market when updating its forecasts, we estimate that around half of this windfall has already been incorporated into the tax base and revenue forecasts. This is evident in the step-up from the FY2024 prices to those underpinning the 2026 MYEFO (see chart below). The remainder of the windfall is yet to be recognised and is expected to flow through in future budget updates, starting with the May 2026 Budget.

Gold price

Thousands, \$US per ounce



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

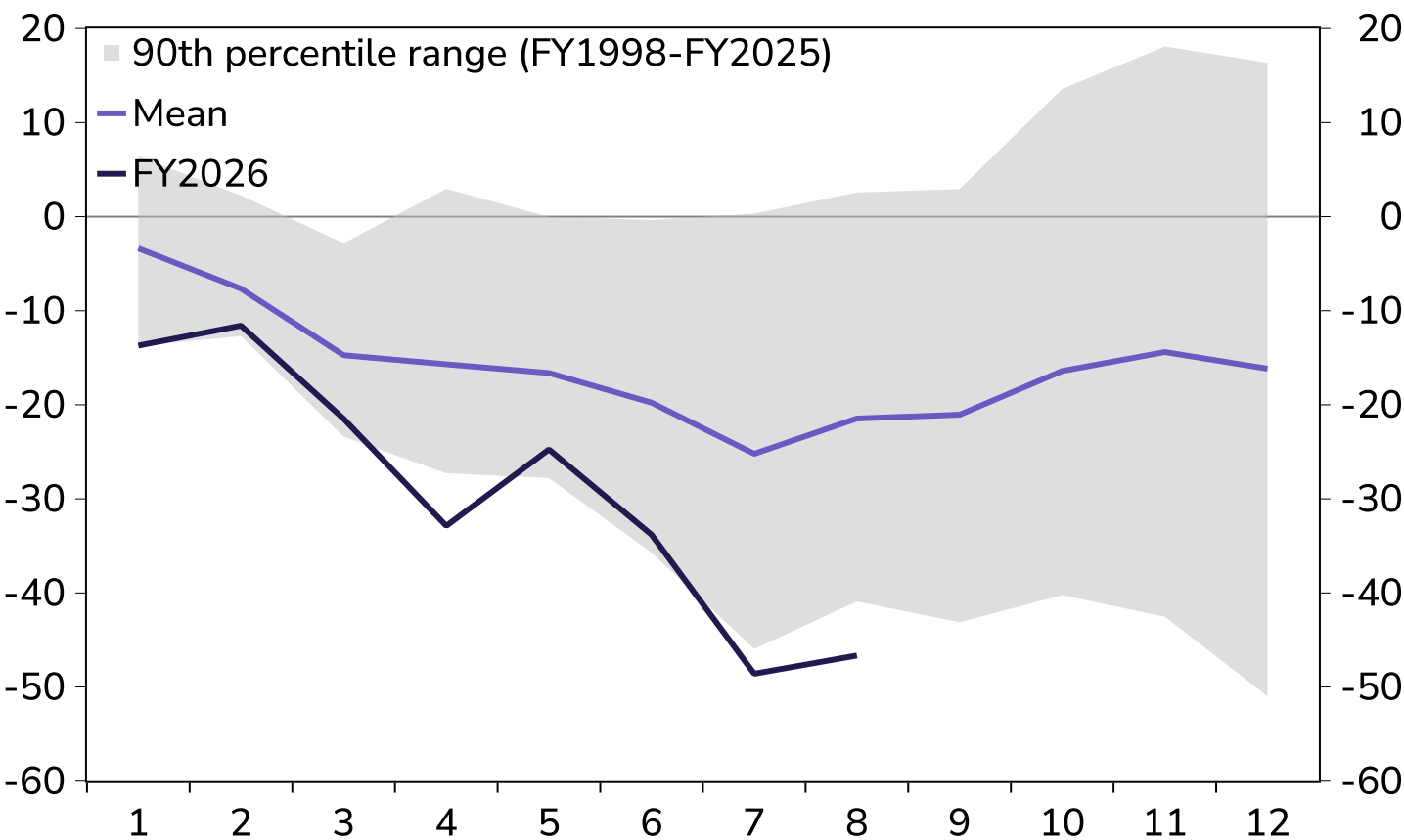
While the gold driven windfalls may seem modest in the context of the overall budget, this represents a genuinely unexpected positive surprise, one that is three times as large as the PRRT and almost as large as the fringe benefits tax base.

What about the other tax bases?

As we have previously noted, Australia's cyclical economic upswing coupled with elevated inflation are boosting nominal incomes and tax bases. This is consistent with the March monthly statements showing income and indirect tax revenue were around \$7.0bn and \$2.5bn ahead of MYEFO estimates, respectively. More broadly, the underlying balance was \$8bn ahead of MYEFO estimates, just a few months after the MYEFO document was published. Despite this, the budget remains deeply in deficit, with the FY2026 year to date position worse than the 90th-percentile outcome recorded over the FY1998–FY2025 period.

Federal government receipts & payments

UCB, Rolling YTD aggregates, \$bn



Source: Australian Department of Finance, Macrobond, Westpac Economics

Bottom line

While there will be some offsetting pressures on the payments side of the budget, we expect the revenue uplift to dominate, resulting in a net improvement in the budget position. We will provide a full set of bottom-line estimates ahead of the Budget, incorporating revenue and payments variations, as well as expected policy changes.

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31 March 2026

A materially bigger and more persistent shock

Westpac Economics

- Longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil now expected to peak at an average \$120/bbl in Q2 and Japanese LNG prices at \$26mmbtu.
- Australian CPI inflation now expected to peak at 5.4%yr in June quarter, and even higher on the monthly series, despite the announced cut to fuel excise. Trimmed mean inflation peaks around 4% in 2026 H2. Food prices a particular concern through to 2028, but broader pass-through to non-energy prices also an issue.
- RBA now expected to hike rates three times (May, June, August), revised up from one more (in May) previously. Peak cash rate now 4.85%, above previous peak.
- Supply shock and tight monetary policy drag on demand, especially consumption and other interest-sensitive sectors. GDP growth forecast to trough at 1%yr in 2027; unemployment rate peaks at 5% end-2026.

Energy situation

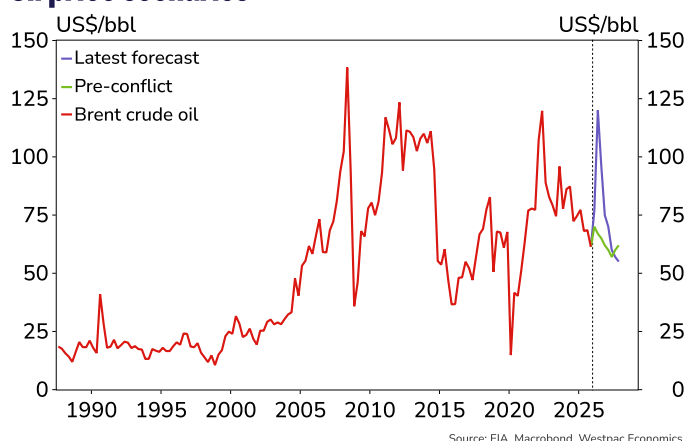
As previously highlighted, the key risk to our previous central case view (released on [March 17](#)) was that the Middle East conflict would prove to be more prolonged than assumed. With the conflict now entering its fifth week, it has become increasingly clear that the US/Israel–Iran confrontation is likely to result in a longer-lasting disruption to energy production in the Middle East and shipping through the Strait of Hormuz. We have therefore revised our baseline assumptions.

Specifically, we now assume the Strait of Hormuz remains effectively closed until the end of April, a total of eight weeks, and takes longer to reopen fully. This compares with our earlier assumption of a one-month disruption followed by a relatively rapid normalisation.

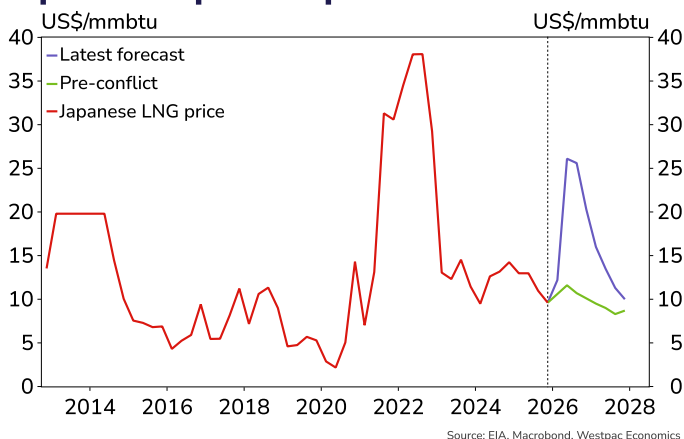
The slower recovery reflects several factors. Recent shipping traffic through the Strait has been limited to countries Iran deems friendly to it. Insurance premiums are expected to remain elevated given the risk of further attacks by regional factions. Shipping companies will also require time to re-establish vessel rotations and contractual delivery arrangements across energy and upstream industrial inputs.

As a result, we now assume traffic through the Strait reaches only around 20% of normal levels in May. Traffic is expected to continue to improve thereafter, although capacity is not expected to return to normal levels until end 2026.

Oil price scenarios



Japanese LNG price comparison



The extension of the conflict and slower normalisation will lead to more 'shut-ins' (temporary stops in production due to storage capacity limits) among smaller Gulf producers. Coupled with some oil infrastructure damage, we now project this to see a shortfall in global oil production of around 6mb/d on average in Q2. This assumes Saudi Arabia and the UAE continue to divert exports via operational pipelines to partially bypass the Strait, with an available capacity at around 1.6–5.5 mbpd, alongside the release of IEA emergency stockpiles.

Risks around this path remain clearly skewed to the downside, particularly if there is more damage to port and energy infrastructure and/or shipping via the Red Sea is also impacted now that Yemen's Houthi rebels have entered the conflict.

This would represent a sharp escalation, but it could also see a faster resolution as it would bring more Gulf state countries into the fray against Iran.

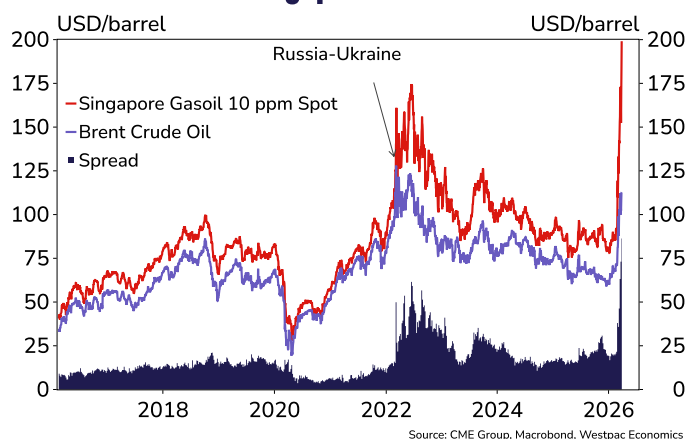
Overall, the changes to our baseline assumptions imply a materially bigger and more persistent energy price shock than previously assumed.

Consequently, we now expect Brent crude oil prices to average around US\$120/bbl in Q2, compared with US\$90 previously. Prices are expected to remain elevated for longer, reflecting both ongoing physical disruptions and a sustained risk premium linked to security and insurance costs. Under our revised base case, oil prices ease only to around US\$75/bbl in Q4, still US\$13 above our pre conflict baseline, and do not converge back to pre conflict levels of around US\$60/bbl until Q2 2027.

The impact on gas markets is even larger than for crude oil. LNG exports from the Middle East, particularly Qatar, have no viable alternative route that bypasses the Strait, leaving supply highly exposed to an extended disruption. Moreover, Qatar's Ras Laffan LNG plant has suffered extensive damage halting production, with reports that it will potentially take up to five years to fully repair. As a result, Japanese LNG prices have surged above US\$20mmbtu in recent weeks and are currently trading US\$10 above pre-conflict levels. We forecast further increases as supply tightens to a quarterly average price of around US\$26mmbtu over the next few quarters. Prices are projected to remain elevated even after oil markets begin to stabilise.

We have also made greater allowance for wider refinery margins than our previous forecasts. Disruptions to crude supply, combined with tight refined product inventories in Asia, have driven a sharp widening in the spread between Brent crude and Singapore Gas10, the key benchmark for Australian petrol and diesel prices. The spread has recently surged to around US\$70/bbl, exceeding levels seen following Russia's invasion of Ukraine. Given the importance of refined product availability and logistics, we expect margins to remain elevated even as the conflict eases, materially amplifying the pass through from higher crude prices to domestic fuel costs.

Brent Crude oil vs Singapore Gasoil 10



More acute pressures on supply chains

Given the prolonged closure, we now also assume supply chain pressures are more acute and persistent. Container freight rates have risen by 20% since the start of the conflict, reflecting longer shipping routes, higher fuel costs, insurance surcharges and booking constraints. While freight rates are still lower than the peaks in 2021–22, Iran is reportedly extracting additional charges from non-hostile vessels negotiating passage through the Strait, further increasing transit costs even where shipping through the Strait is allowed.

The Middle East is also a key upstream supplier of industrial inputs, including fertilisers, chemicals, polymers and metals. Around 33% of global fertiliser trade, particularly urea and ammonia, transits the Strait. Disruptions are already pushing up prices for these inputs, with Egyptian urea prices, a global indicator for fertiliser prices, particularly nitrogen fertilisers, reaching its highest level in more than three years. That said, at around US\$475/t, it is still significantly below its record of \$1050 following Russia's invasion of Ukraine.

Globally, manufacturing PMIs show a sharp re-acceleration in input cost growth, with energy, freight and intermediate goods cited as key drivers, alongside some lengthening in supplier delivery times. In Australia, the PMI manufacturing input price measure has risen to its highest level since August 2023.

However, while supply chain pressures are rising and are expected to remain elevated beyond the end of the conflict, they are expected to remain materially below the peak levels experienced in 2021–22. The port congestion, post-COVID reopening surge in demand and broad-based shortages that were features in this episode remain absent. The appreciation of the Australian dollar, both against the US dollar and on a trade weighted basis, will also provide a partial offset to imported cost pressures, reducing the local currency impact of higher global input prices. In contrast, the AUD/USD cross fell by 9% around during the 2022 episode, amplifying the rise in import costs.

Accordingly, while price pressures are rising, particularly for energy-intensive inputs such as fertilisers and aluminium, the impact on producer prices and the flow through to headline and core inflation is expected to be smaller than during the 2022 cost of living crisis.

Inflation impact

Both the Oxford Economics model and our bottom-up forecasts imply that higher energy, freight and upstream input costs are expected to lift headline inflation materially over 2026. The direct impact comes firstly through fuel and transport-related components before it broadens as higher distribution and input costs are passed on to a wider range of consumer prices.

Reacting to this, the Australian Government announced that from April 1, the fuel excise tax will be cut in half, reducing the pump price of petrol and diesel by 26¢/litre. We are now expecting headline CPI to peak at 5.4%yr in Q2 2026, up from 4.1% previously, with monthly inflation likely to be even higher breaking through 6%yr around April or May.

Fuel inflation is expected to contribute 1.1ppt to the headline figure by the June quarter with national weekly average petrol and diesel prices projected to peak at around \$2.65/litre and \$3.25/litre in early April – they would have both been much higher through April and into May were it not for the cut in the fuel excise. The excise only applies to fuels used on Australian roads and is not applied to fuel sold for farming, mining, other industrial purposes, including aviation and shipping.

Higher energy, freight and fertiliser costs are expected to flow through to agricultural prices and food prices with a lag. The pass-through is unlikely to be uniform across products; more energy-intensive production will see greater pass-through, along with products where production elsewhere in the world is constrained. At first glance, winter crops such as wheat would appear to come under pressures, but for now strong global supply balances will keep these prices contained and the risks of large price increases sit more in 2027. At this stage we have food price inflation of more than 4%yr by end 2026 and into the first half of 2028.

We have allowed for larger spillovers into services prices and wages than previously, based on early firm announcements as well as the higher profile for fuel prices. Higher fuel costs are feeding directly into transport prices, including airfares, with Qantas already announcing a 5% price increases in response to higher jet fuel costs. More broadly, higher transport and input costs will mechanically lift prices for items such as eating out and even new home construction, adding to core inflation pressures even as weaker real disposable income growth signals some limited scope for costs to be fully passed on.

We expect the Trimmed mean inflation to peak at around 4.0%yr by end 2026 and remain above 3%yr in 2027. That said, a key risk is that memories of the last global supply shock mean businesses react pre-emptively to increases in prices, something we are already hearing anecdotally. This time around, businesses could also be readier to pass on any actual cost increases to consumers. Indeed, there have already been calls from some Australian businesses to implement a fuel surcharge including the Australian Restaurant and Cafe Association proposing a 5% charge. Again, we see these spillovers as likely to be smaller than in 2022, when demand was recovering strongly, policy was expansionary and a wider range of supply chains were disrupted. They will, however, contribute to a slower normalisation in underlying inflation.

RBA response

We have changed our forecast for the RBA cash rate, adding in two more hikes, in June and August, on top of the increase we were already forecasting for May. The cash rate is now expected to peak at 4.85%, significantly above the previous peak of 4.35%. With trimmed mean inflation sitting around 4% in the second half of this year and only slowly declining thereafter, the Monetary Policy Board (MPB) will want policy to be clearly restrictive to keep inflation expectations anchored. It will be dismayed at the recent examples of rapid pass-through of energy costs to other prices, and

Despite the weaker economic outlook and potential undershoot of the inflation target implied by these revised forecasts, we think the RBA will be slow to reverse this policy

tightening and risks getting behind the curve in coming years. We push out the date for rate cuts and pencil in four rate cuts, one per quarter in February, May, August and November 2028. We have low conviction about the exact timing.

The main rationales for the slower reversal are that Australia already had relatively limited spare capacity at the point the conflict broke out, and that pre-emptive pass-through by firms could keep underlying inflation high into 2027. We also note that the RBA is likely to have something of a “once bitten, twice shy” approach even as inflation declines towards the 2–3% target range. Inflation kicked up shortly after it cut rates last year, and the MPB would want to avoid a repeat of the backtracking that induced.

GDP impact

The combination of a deeper energy shock globally and higher path for inflation and interest rates locally points to a more pronounced and prolonged slowdown in the Australian economy than we forecast in mid-March. The combination will place particularly intense strains on the household sector. We now expect real consumption growth to slow to just 1.2%yr in 2026, implying a renewed period of decline in per capita terms.

Higher borrowing and input costs will also weigh on other interest-sensitive parts of the economy, particularly dwelling construction and business investment in construction-related industries, including new commercial buildings.

Taken together, these forces are expected to see real GDP growth slow to just 1% in 2027 and remain subdued at 1.6% in 2027. With population growth running at 1.6%yr, activity is set to contract in per capita terms in 2026, holding flat in 2027. Beyond that, anticipated rate cuts in 2028 should mean that monetary policy no longer prevents a recovery in growth. With energy supply assumed to have recovered by then, demand growth can rebound to 2.8% over 2028, though there will still be considerable spare capacity at that point.

Australia's labour market is also expected to experience a more pronounced and extended weakening. The combination of slower employment growth and a slightly higher participation rate sees the unemployment rate rise from 4.3% currently to a peak of 5% by year end, holding near these levels through 2027. That additional slack will, in turn, accentuate the moderation in inflation expected to come through as energy price related pressures subside in 2028.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (30 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.70	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.08	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	68	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.40	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75

Exchange rate forecasts

	Latest (30 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6861	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5739	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.72	156	155	154	152	150	148	146	144	142
EUR/USD	1.1506	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3254	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9103	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.1958	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.4
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.5

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Cliff Notes: conflict in the Middle East to cast a long shadow

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By [Elliot Clarke](#) & [Ryan Wells](#)

11:38 April 17 2026

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Key insights from the week that was.



The first detailed look at the mindset of Australian consumers and businesses amidst the Middle East conflict proved sobering. Our [Westpac-MI Consumer Sentiment Index](#) posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely ‘family finances vs a year ago’ (–16.7%) and ‘time to buy a major household item’

(−15.0%). There were also significant hits to the year-ahead outlook for family finances (−13.9%) and the economy (−12.4%), suggesting households are bracing for enduring pressure.

The tone of the March NAB business survey was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7ppts to a quarterly pace of 3.0%. That final producer prices lifted +0.4ppts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. Note though, the readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating below US\$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But arguably this is also the case for the US economy, University of Michigan consumer sentiment falling to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March; but, should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, China's economy showed strength this week, annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data,

China's Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East's impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment's support for GDP masks the still-troubled state of consumer demand, however. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on [Westpac IQ](#).

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17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.5	0.6%	30 day BBSY	4.14	-0.01
AUD/USD	0.7161	-0.1%	90 day BBSY	4.37	0.00
AUD/JPY	114.01	0.0%	180 day BBSY	4.76	-0.02
AUD/GBP	0.5295	0.1%	1 year swap	4.61	0.02
AUD/NZD	1.2158	0.2%	2 year swap	4.65	0.02
AUD/EUR	0.6078	0.0%	3 year swap	4.64	0.02
AUD/CNH	4.8864	-0.1%	4 year swap	4.64	0.02
AUD/SGD	0.9117	0.0%	5 year swap	4.66	0.03
AUD/HKD	5.6041	-0.2%	6 year swap	4.71	0.03
AUD/CAD	0.9813	-0.4%	7 year swap	4.76	0.03
EUR/USD	1.1781	-0.2%	8 year swap	4.80	0.03
USD/JPY	159.16	0.1%	9 year swap	4.85	0.04
USD Index	98.20	0.1%	10 year swap	5.09	0.03

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,955	-0.3%	Australia		
S&P 500	7,041	0.3%	3 year bond	4.63	0.02
Japan Nikkei	59,518	2.4%	10 year bond	4.96	0.02
Hang Seng	26,394	1.7%	United States		
Euro Stoxx 50	5,933	-0.1%	3-month T Bill	3.61	-0.01
UK FTSE100	10,590	0.3%	2 year bond	3.77	0.01
VIX Index	17.94	-1.3%	10 year bond	4.31	0.03

Commodities	Current	Change	Other (10 year yields)		
CRB Index	374.61	0.7%	Germany	3.03	-0.01
Gold	4790.88	0.0%	Japan	2.41	-0.01
Copper	13270	0.2%	UK	4.85	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	93.50	2.4%	10 yr bond	5.04	0.05
Coal (coking)	226.00	0.0%	3 yr bond	4.68	0.04
Coal (thermal)	125.75	0.6%	3 mth bill rate	4.32	0.00
Iron Ore	105.55	2.0%	SPI 200	8,966	-0.2%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.5	0.6%	30 day BBSY	4.14	-0.01
AUD/USD	0.7161	-0.1%	90 day BBSY	4.37	0.00
AUD/JPY	114.01	0.0%	180 day BBSY	4.76	-0.02
AUD/GBP	0.5295	0.1%	1 year swap	4.61	0.02
AUD/NZD	1.2158	0.2%	2 year swap	4.65	0.02
AUD/EUR	0.6078	0.0%	3 year swap	4.64	0.02
AUD/CNH	4.8864	-0.1%	4 year swap	4.64	0.02
AUD/SGD	0.9117	0.0%	5 year swap	4.66	0.03
AUD/HKD	5.6041	-0.2%	6 year swap	4.71	0.03
AUD/CAD	0.9813	-0.4%	7 year swap	4.76	0.03
EUR/USD	1.1781	-0.2%	8 year swap	4.80	0.03
USD/JPY	159.16	0.1%	9 year swap	4.85	0.04
USD Index	98.20	0.1%	10 year swap	5.09	0.03

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,955	-0.3%	Australia		
S&P 500	7,041	0.3%	3 year bond	4.63	0.02
Japan Nikkei	59,518	2.4%	10 year bond	4.96	0.02
Hang Seng	26,394	1.7%	United States		
Euro Stoxx 50	5,933	-0.1%	3-month T Bill	3.61	-0.01
UK FTSE100	10,590	0.3%	2 year bond	3.77	0.01
VIX Index	17.94	-1.3%	10 year bond	4.31	0.03

Commodities	Current	Change	Other (10 year yields)		
CRB Index	374.61	0.7%	Germany	3.03	-0.01
Gold	4790.88	0.0%	Japan	2.41	-0.01
Copper	13270	0.2%	UK	4.85	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	93.50	2.4%	10 yr bond	5.04	0.05
Coal (coking)	226.00	0.0%	3 yr bond	4.68	0.04
Coal (thermal)	125.75	0.6%	3 mth bill rate	4.32	0.00
Iron Ore	105.55	2.0%	SPI 200	8,966	-0.2%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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On hoping you'll be wrong

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By Luci Ellis

Chief Economist Westpac Group, Westpac

08:25 April 10 2026

Share

Forecasts are an assessment of the most likely outcome, not the preferred one. The ceasefire announcement was welcome, but whether it holds is highly uncertain.



- The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient

now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.

- The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.
- The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in its oil output was estimated to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current estimates are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news reports suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the “risks on both sides” we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March Market

Outlook. A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While ‘temporary fuel levies’ are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

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17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.

- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US\$18/ bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see [here](#)).



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Australia's Trade in Goods Account, February

#trade

#australia



By Mantas Vanagas

Senior Economist, Westpac

15:15 April 02 2026

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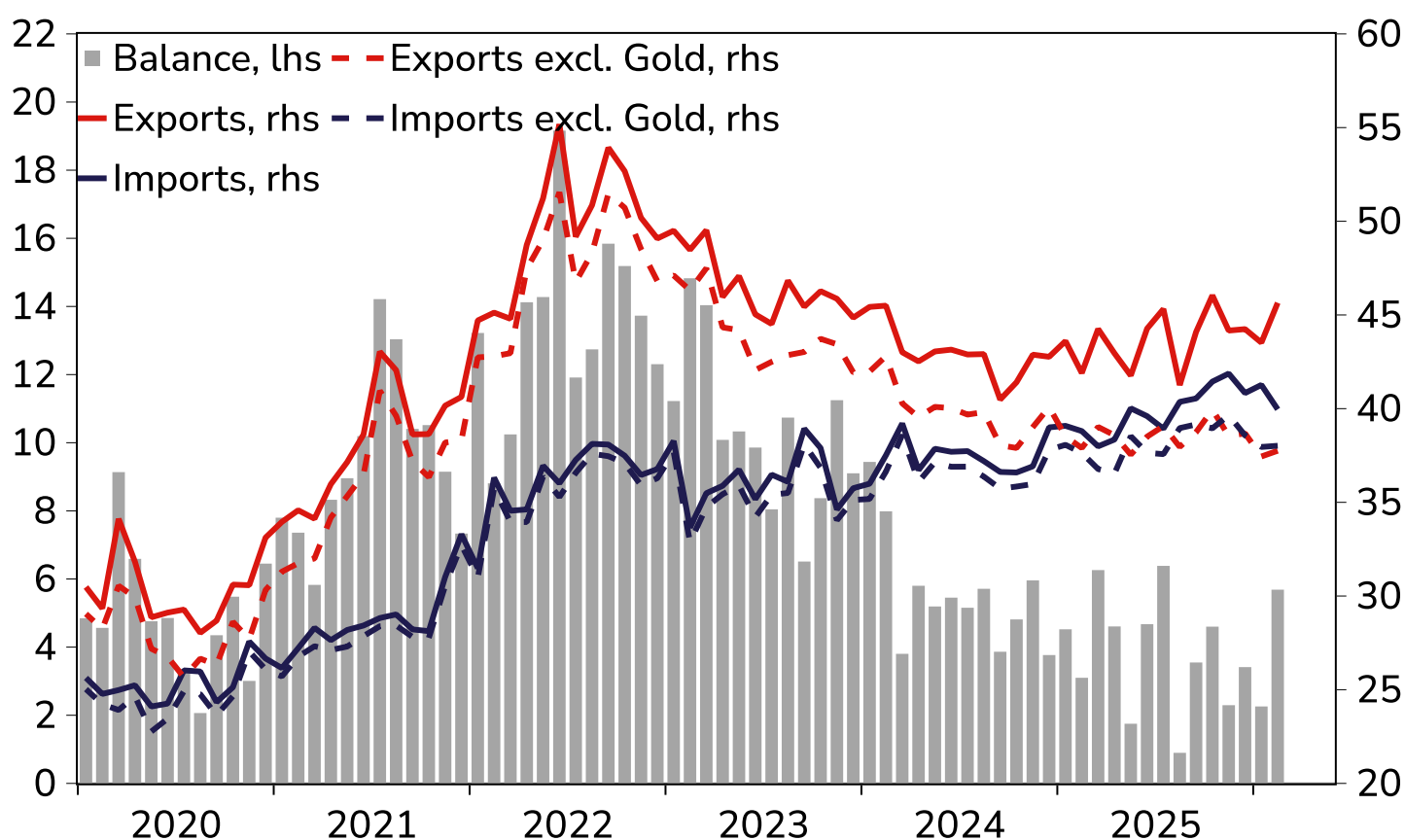
Sharp shifts in gold flows led to Australia's goods trade surplus widening in February. The impacts of the conflict in the Middle East, including on commodity prices, are likely to see volatility in monthly trade flows increase in March and beyond. Trade balance: \$5.7bn. Export values: up 4.9%_{mt}. Import values: down 3.9%_{mt}.



After a period of more stability recently, monthly trade figures saw volatility return, with the headline goods trade surplus jumping from \$2.3bn to \$5.7bn, marking the highest level in seven months. Significant fluctuations in gold inflows and outflows were the primary driver. Excluding gold, the goods trade balance remained close to zero. Importantly, this data predates the outbreak of the conflict in the Middle East, suggesting greater volatility in trade flows is likely as these impacts flow through in coming months. The sharp appreciation of the AUD – in trade-weighted terms up more than 3% in February – had minimal impact on trade flows.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

Export earnings surged nearly 5%*mt*. Gold exports reached a new record high and were almost entirely responsible for the increase. Most of this increase was likely driven by higher prices rather than volumes – this is consistent with our view that gold prices will deliver the federal budget a significant and underappreciated windfall ([see here](#)). Excluding gold, exports were up just 0.8%*mt*, remaining below last year's peak following sharp declines in January and November.

Major commodity exports fell 3.7%*mt*, led by decreases in iron ore and LNG shipments. ABS data show that exports of both iron ore and LNG fell in both volume and price terms. Production and shipment disruptions caused by Tropical Cyclone Mitchell, which impacted the Pilbara coastline, were partly responsible for the soft outcome during the month. Coal exports, by contrast, were broadly unchanged.

Rural goods exports surprised on the upside, rising almost 14%^{mt} – the steepest increase in over a year – offsetting the previous month's decline. Meat exports jumped by more than a quarter, suggesting that January's drop was likely a temporary retraction. We think that risks for meat exports remain skewed to the downside due to expected supply weakness, but such effects are likely to materialise more in the medium term.

By country, exports to major trading partners remained relatively stable. Hong Kong was an exception – exports there tripled due to a surge in gold shipments. Exports to the US showed little change, though larger shifts may occur in coming months, following the US Supreme Court's decision to rule previous tariffs under the IEEPA act illegal and subsequent adjustments to US import tariffs.

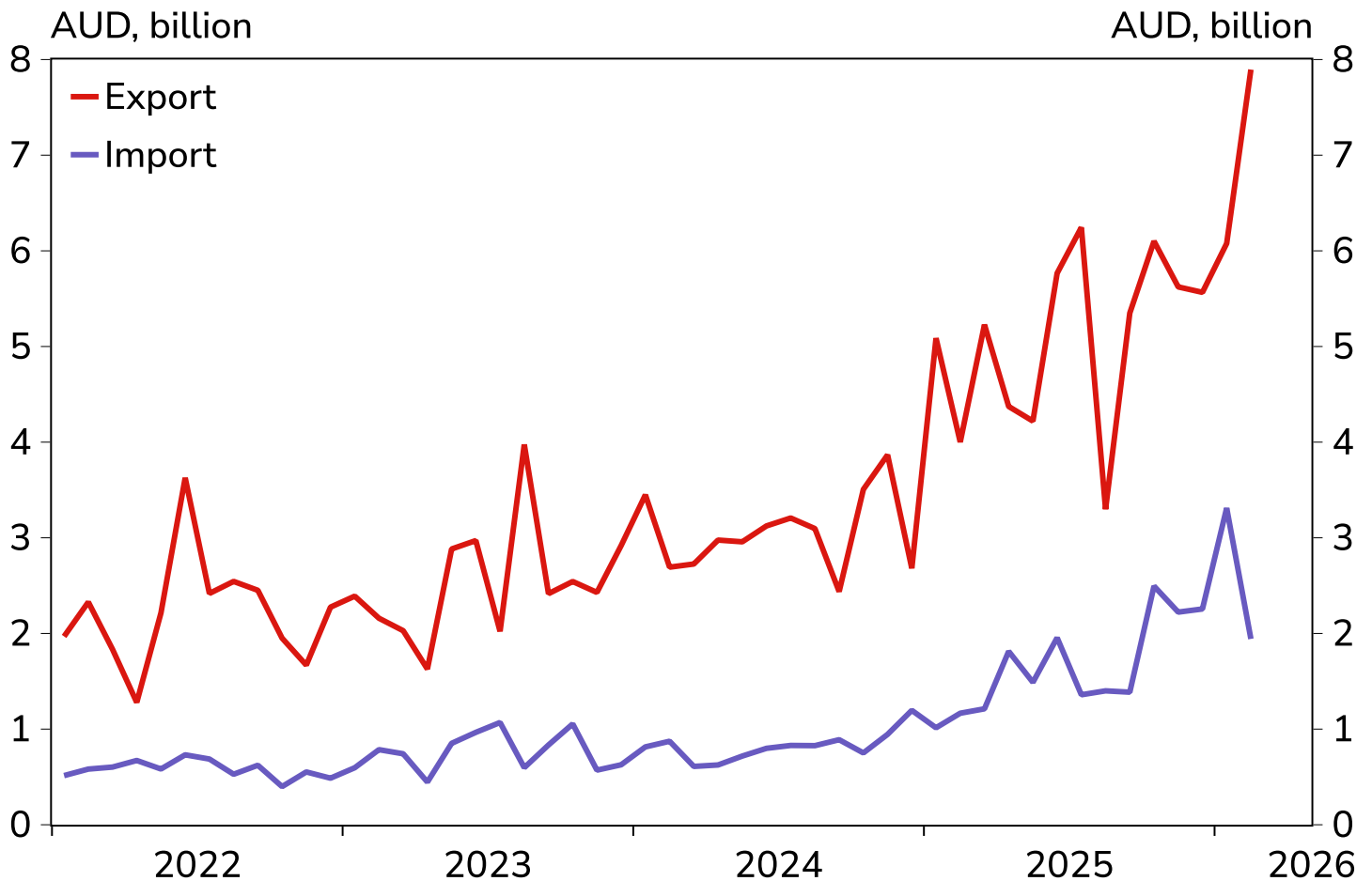
Imports

The import bill declined by 3.2%^{mt}. Similar to exports, gold – which dropped over 40% – played a significant role. Excluding gold, imports were almost unchanged. Nonetheless, major import categories experienced considerable swings.

Consumption goods imports rose 3.4%^{mt}, reversing a similar decline in January, with food and household electronics leading the way. Intermediate goods imports also strengthened notably, up 3.1%^{mt}. Capital goods imports fell 8.1%^{mt} – volatility seen in recent months for data processing equipment and aircraft imports was again the main driver.

Looking past the monthly volatility, imports for January–February were nearly 2% lower compared to Q4, with all three major components reporting declines. Price effects may have contributed, but following the significant jump in Q4, this suggests that domestic demand may have softened at the start of the year.

Gold trade flows (values)



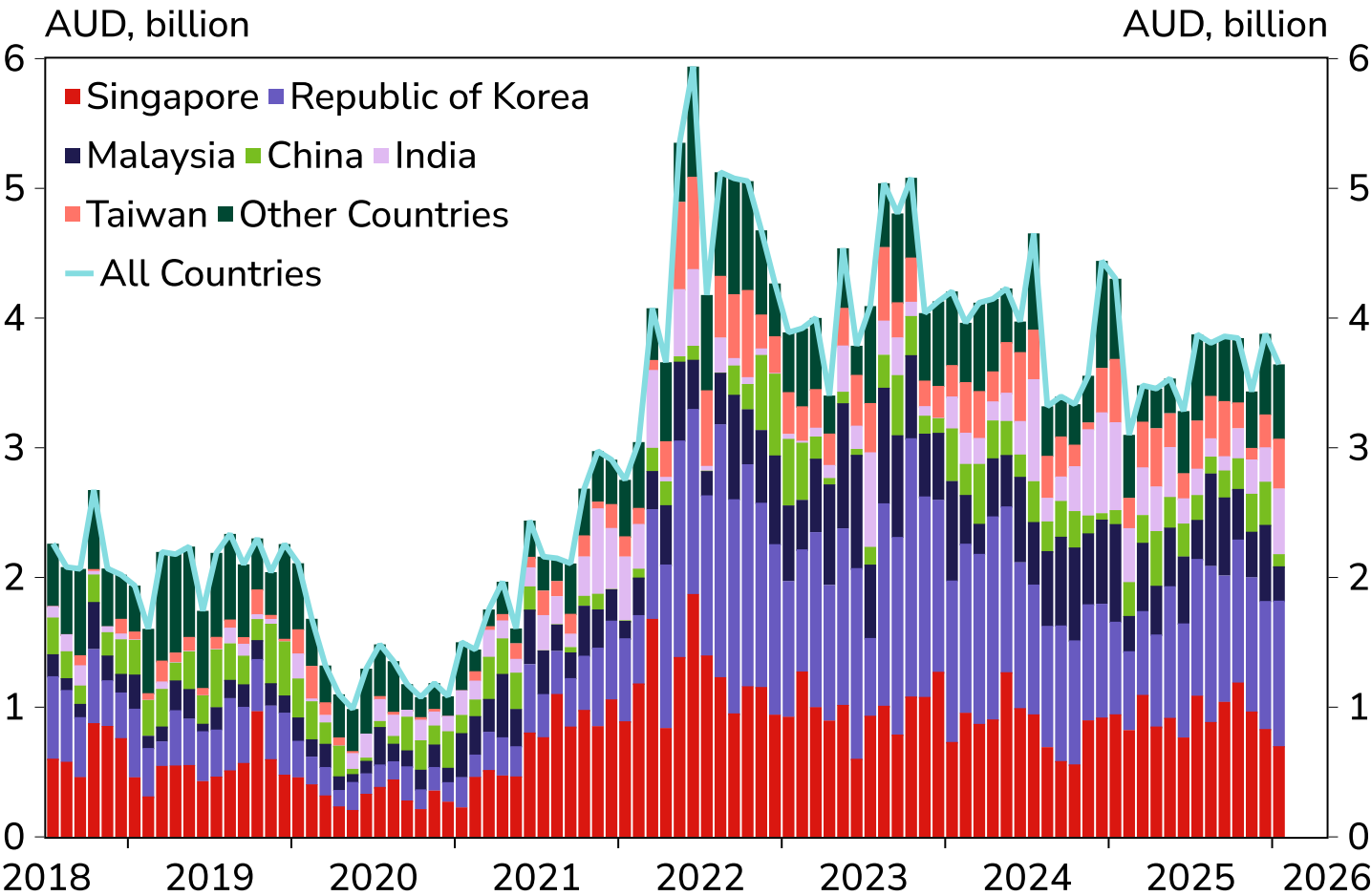
Source: ABS, Macrobond, Westpac Economics

Trade in the coming months

Over the coming months, monthly trade data will likely be shaped by the ongoing conflict in the Middle East. Price effects are expected to dominate, with the LNG (Japan/Korea benchmark) 80% higher since the end of February, and coal and iron ore prices also up significantly.

Beyond price movements, we might also see impact to trade volumes. Australia's direct trade with Middle Eastern countries is small representing around \$1bn in exports and around \$0.5bn in imports per month. However, indirect impacts via supply chain disruptions could be substantial. For instance, most refined oil products in Australia are sourced from Asian countries, which in turn import crude oil from the Middle East. Oil accounts for roughly 11% of total goods imports, and a sharp drop could significantly affect the economy, especially if certain regions begin to experience fuel shortages.

Australia imports - refined petroleum (monthly values)



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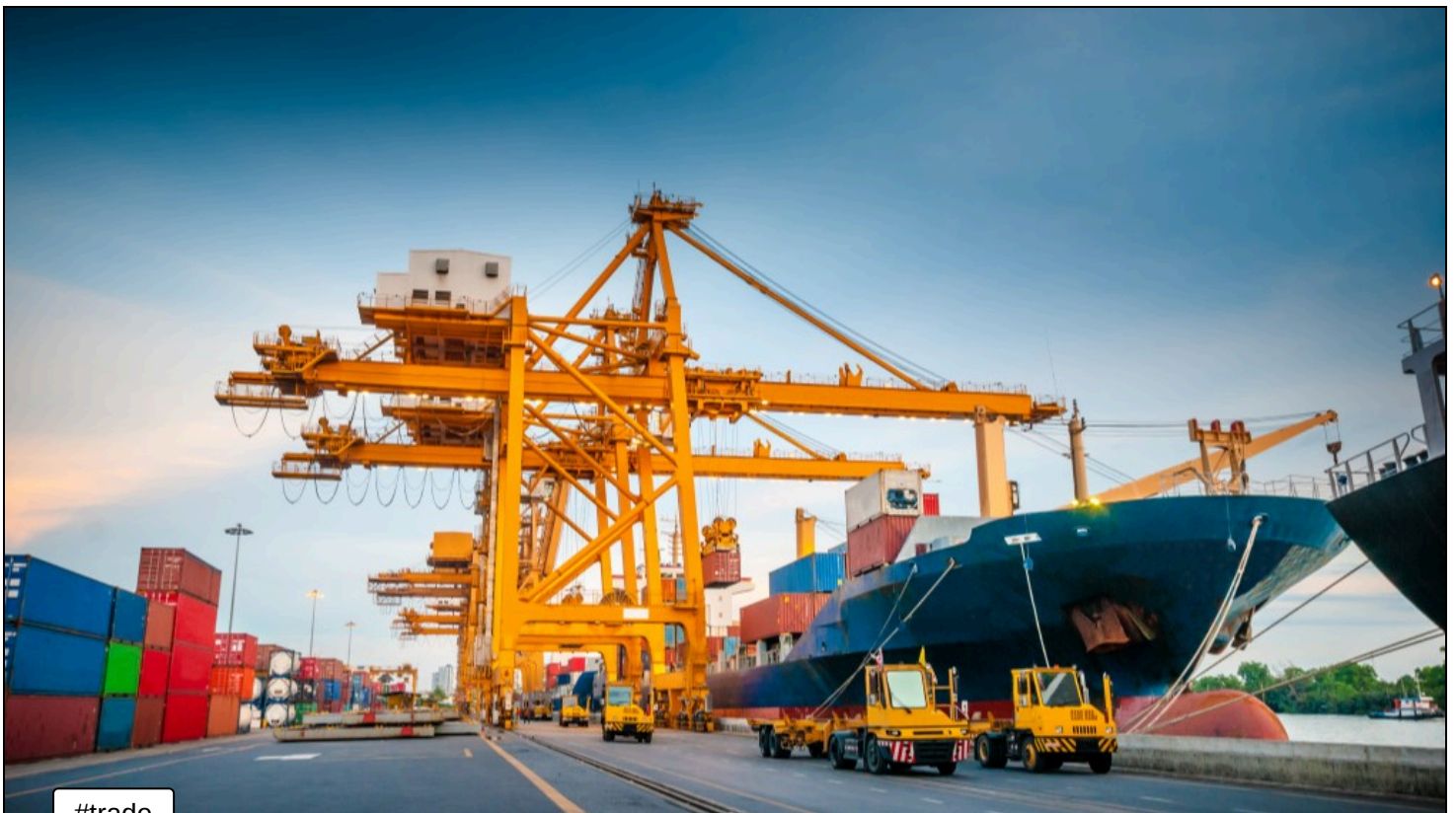


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March 05 2026 • ⌚ 5 mins

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17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.5	0.6%	30 day BBSY	4.14	-0.01
AUD/USD	0.7161	-0.1%	90 day BBSY	4.37	0.00
AUD/JPY	114.01	0.0%	180 day BBSY	4.76	-0.02
AUD/GBP	0.5295	0.1%	1 year swap	4.61	0.02
AUD/NZD	1.2158	0.2%	2 year swap	4.65	0.02
AUD/EUR	0.6078	0.0%	3 year swap	4.64	0.02
AUD/CNH	4.8864	-0.1%	4 year swap	4.64	0.02
AUD/SGD	0.9117	0.0%	5 year swap	4.66	0.03
AUD/HKD	5.6041	-0.2%	6 year swap	4.71	0.03
AUD/CAD	0.9813	-0.4%	7 year swap	4.76	0.03
EUR/USD	1.1781	-0.2%	8 year swap	4.80	0.03
USD/JPY	159.16	0.1%	9 year swap	4.85	0.04
USD Index	98.20	0.1%	10 year swap	5.09	0.03

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,955	-0.3%	Australia		
S&P 500	7,041	0.3%	3 year bond	4.63	0.02
Japan Nikkei	59,518	2.4%	10 year bond	4.96	0.02
Hang Seng	26,394	1.7%	United States		
Euro Stoxx 50	5,933	-0.1%	3-month T Bill	3.61	-0.01
UK FTSE100	10,590	0.3%	2 year bond	3.77	0.01
VIX Index	17.94	-1.3%	10 year bond	4.31	0.03

Commodities	Current	Change	Other (10 year yields)		
CRB Index	374.61	0.7%	Germany	3.03	-0.01
Gold	4790.88	0.0%	Japan	2.41	-0.01
Copper	13270	0.2%	UK	4.85	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	93.50	2.4%	10 yr bond	5.04	0.05
Coal (coking)	226.00	0.0%	3 yr bond	4.68	0.04
Coal (thermal)	125.75	0.6%	3 mth bill rate	4.32	0.00
Iron Ore	105.55	2.0%	SPI 200	8,966	-0.2%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
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17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.5	0.6%	30 day BBSY	4.14	-0.01
AUD/USD	0.7161	-0.1%	90 day BBSY	4.37	0.00
AUD/JPY	114.01	0.0%	180 day BBSY	4.76	-0.02
AUD/GBP	0.5295	0.1%	1 year swap	4.61	0.02
AUD/NZD	1.2158	0.2%	2 year swap	4.65	0.02
AUD/EUR	0.6078	0.0%	3 year swap	4.64	0.02
AUD/CNH	4.8864	-0.1%	4 year swap	4.64	0.02
AUD/SGD	0.9117	0.0%	5 year swap	4.66	0.03
AUD/HKD	5.6041	-0.2%	6 year swap	4.71	0.03
AUD/CAD	0.9813	-0.4%	7 year swap	4.76	0.03
EUR/USD	1.1781	-0.2%	8 year swap	4.80	0.03
USD/JPY	159.16	0.1%	9 year swap	4.85	0.04
USD Index	98.20	0.1%	10 year swap	5.09	0.03

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,955	-0.3%	Australia		
S&P 500	7,041	0.3%	3 year bond	4.63	0.02
Japan Nikkei	59,518	2.4%	10 year bond	4.96	0.02
Hang Seng	26,394	1.7%	United States		
Euro Stoxx 50	5,933	-0.1%	3-month T Bill	3.61	-0.01
UK FTSE100	10,590	0.3%	2 year bond	3.77	0.01
VIX Index	17.94	-1.3%	10 year bond	4.31	0.03
			Other (10 year yields)		
Commodities	Current	Change	Germany	3.03	-0.01
CRB Index	374.61	0.7%	Japan	2.41	-0.01
Gold	4790.88	0.0%	UK	4.85	0.03
Copper	13270	0.2%			
Oil (WTI futures)	93.50	2.4%	Sydney Futures Exchange	Current	Change
Coal (coking)	226.00	0.0%	10 yr bond	5.04	0.05
Coal (thermal)	125.75	0.6%	3 yr bond	4.68	0.04
Iron Ore	105.55	2.0%	3 mth bill rate	4.32	0.00
ACCU	36.13	-4.3%	SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
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17 APRIL 2026

WESTPAC-DATAX CARD TRACKER

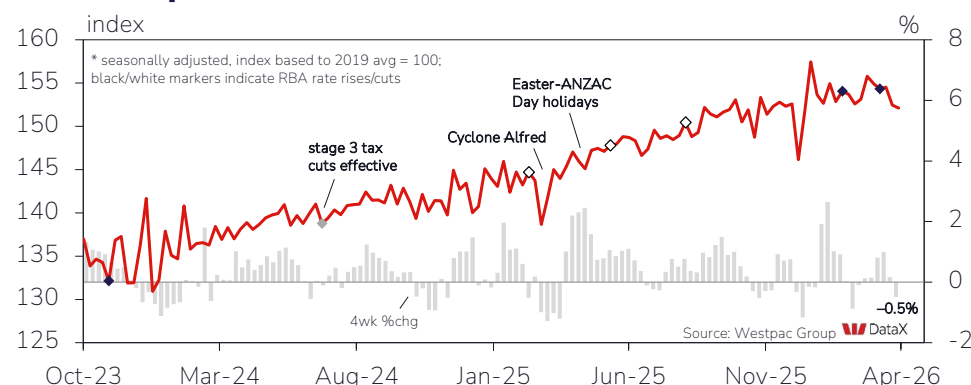
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Card activity points to continued slowing in non-fuel spend

- The **Westpac-DataX Card Tracker Index*** declined 2.2pts over the three weeks to April 11, reflecting a mix of factors including the fuel excise tax cut, some easing in the pull-forward of fuel purchases and a continued moderation in non-fuel segments.
- Quarterly momentum remains subdued, card activity up 1.2% over the March quarter, tracking at a similar 1.1% pace as at mid-April. That is a material slowing on the 2% average seen over the June, September and December quarters last year. Notably, non-fuel spend is tracking a more subdued 0.7-0.9%qtr pace.
- Monthly growth has been very choppy, the fuel price spike and lift in volumes driving a 1.9% gain in the March month but the temporary halving in fuel excise tax contributing to a pull back in the first two weeks of April, the latest week tracking a monthly decline of 0.5%. Non fuel activity rose 0.5% in the March month but is tracking a monthly contraction of 1.1% as at mid-April.
- While the card data is adjusted for regular seasonal patterns, including Easter, some of the softness in April may be a residual holiday-related drag.
- The softening in non-fuel card activity continues to mainly centre on international spend (some of which may be due to cancelled overseas travel) and discretionary services (particularly accommodation and recreational services) but is starting to become more apparent in discretionary goods as well, particularly housing-related categories.
- The slowing continues to be broad-based, reflecting the common drivers of around both fuel and non fuel spend.
- Overall, the 1.2%qtr rise in card activity in the March quarter is likely to be flat or down slightly once adjusted for price effects. The Q1 CPI, due April 29, will give a better sense of how activity has tracked in real, inflation-adjusted terms. Note that the total spending measures in the Q1 national accounts (due June 3) will be somewhat firmer due to effects from the roll-off electricity rebates.

“Non-fuel activity ... tracking a monthly contraction of 1.1% as at mid-April.”

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p10 for a detailed explanation.

This report is produced by Westpac Economics.
Matthew Hassan, Head of Australian Macro-Forecasting
 Email: economics@westpac.com.au
 This issue was finalised on 17 April 2026.

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Quarterly momentum slows amid volatile monthly swings

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has shown a clear moderation since November, coming in at 1.2% for the March quarter, the latest week tracking a slightly softer 1.1% quarterly pace. The same growth rates excluding fuel are 0.9%qtr and 0.7%qtr respectively.
- Monthly activity been very choppy through March-April reflecting both fuel price effects (an initial surge then partial retracement following the

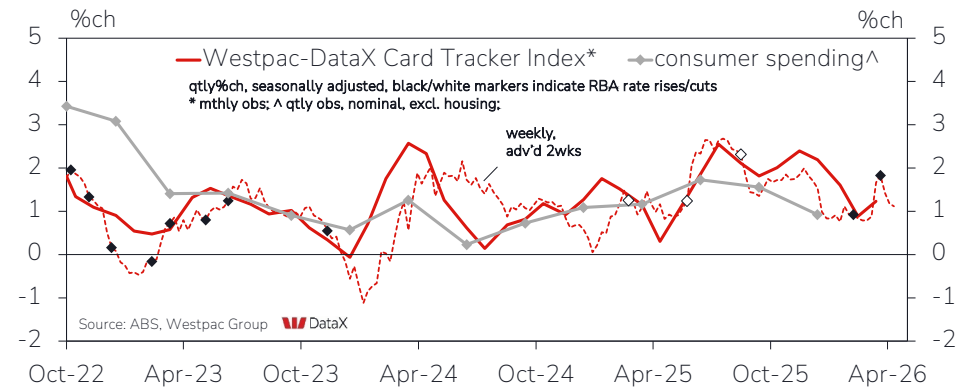
temporary halving in fuel excise tax that came into effect in April) and volume effects (a surge in demand as buyers tried to secure fuel ahead of price rises and possible shortages). Non-fuel activity posted a 0.5% rise in the March month but is tracking a 1.1% monthly contraction as at mid-April.

- Official ABS data has yet to capture these effects. The latest available monthly household spending indicator is for the month of February (see [here](#)) with the March update due to be released on May 5. This is likely to show a 2%+ rise driven by fuel. The March quarter national accounts estimates of total spending are due on June 3.

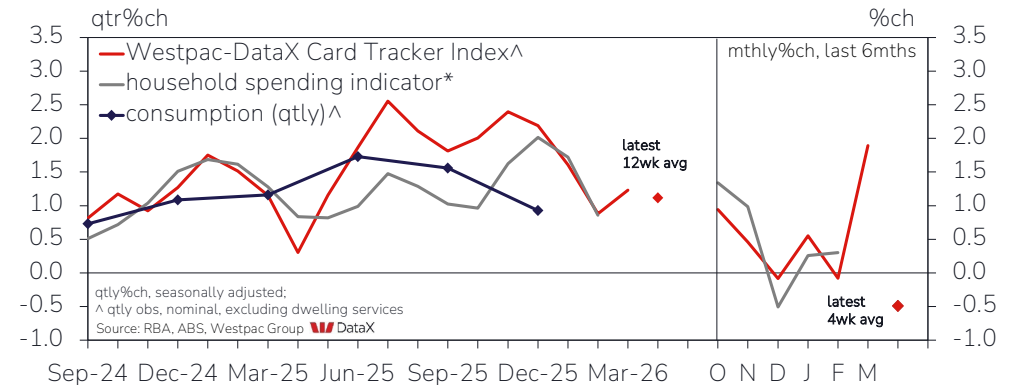
qtrly%ch	Q3	Q4	Q1	latest^
Westpac-DataX Card Tracker	1.8	2.2	1.2	1.1
ABS monthly household spending indicator*				
Nominal	1.0	2.0	n.a.	n.a.
Real*	0.1	0.9	n.a.	n.a.
ABS consumer spending (qtrly)#				
Nominal	1.6	0.9	n.a.	n.a.
Real	0.6	0.2	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p10 for more details.
 * ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
 # Consumer spending excludes housing costs.
 Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



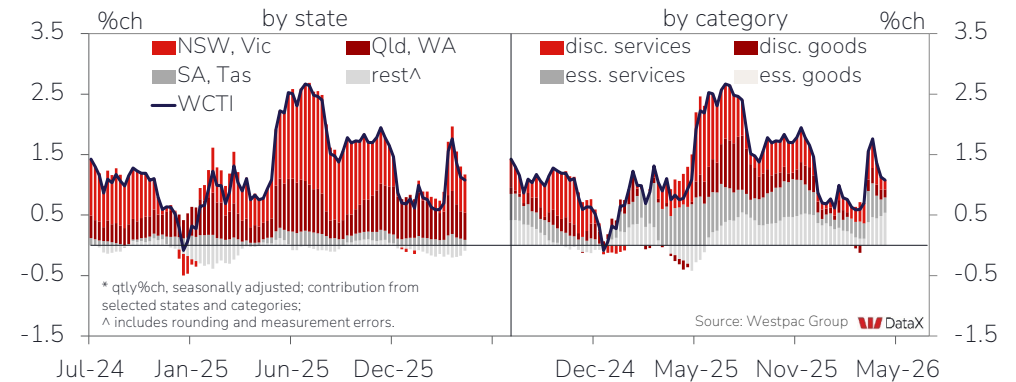
Fuel surge continues, most other segments weakening

- Chart 4 shows the category and state contributions to quarterly growth in domestic card activity week-to-week (i.e. excluding international transactions). Charts showing more detailed category breakdowns and other aspects of the card data are presented on p7-8.
- By major category, the slower quarterly growth pulse since March has centred on discretionary services with discretionary goods and essential services also moderating. Within discretionary goods the main slowdown has been in housing-related segments such as furnishings and household appliances, with recreational goods holding firmer (all figures are adjusted for regular seasonal patterns).
- By state, quarterly growth is tracking a slightly slower pace in SA (+0.8%qtr) but is firmer in Tas (+2%qtr) and WA (1.9%qtr).
- Chart 5 shows quarterly growth in card spending broken into four groups: fuel, hospitality, other domestic and international. Markers show the quarterly pace based on the last four weeks. Fuel spend continues to lift, the latest week up 4.6%qtr. Across other categories, international transactions are up 1.7%qtr, the pacing moderating sharply since early February. Hospitality and other domestic activity are tracking a more subdued 0.6-0.7%qtr pace, essentially stalling flat over the last four weeks.

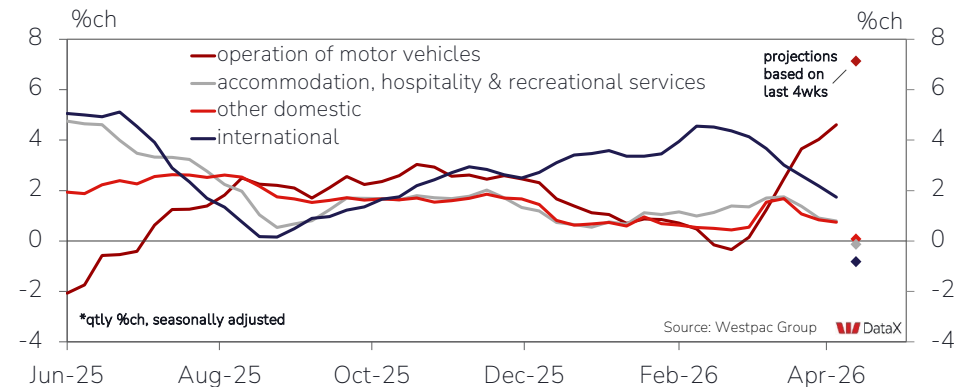
	Jan	Feb	Mar	11/4
Westpac-DataX Card Tracker	154.4	154.2	157.2	152.1
By category				
– discretionary*	156.0	155.5	156.4	152.0
– essential*	149.5	150.0	155.6	150.7
By state				
– NSW	148.7	148.2	150.9	145.5
– Vic	145.3	146.1	148.2	142.9
– Qld	169.7	165.2	172.9	166.6
– WA	169.8	171.1	173.0	172.1
– SA	161.6	159.9	164.9	157.8

All indexes based on the value of spending-related transactions, seasonally adjusted, 2019 avg=100, see p10 for more details including classifications.
 * indexes revised due to re-classification.
 Sources: ABS, Westpac Group

4. Card activity: contribution by state, broad category



5. Card activity: fuel, hospitality, international vs rest

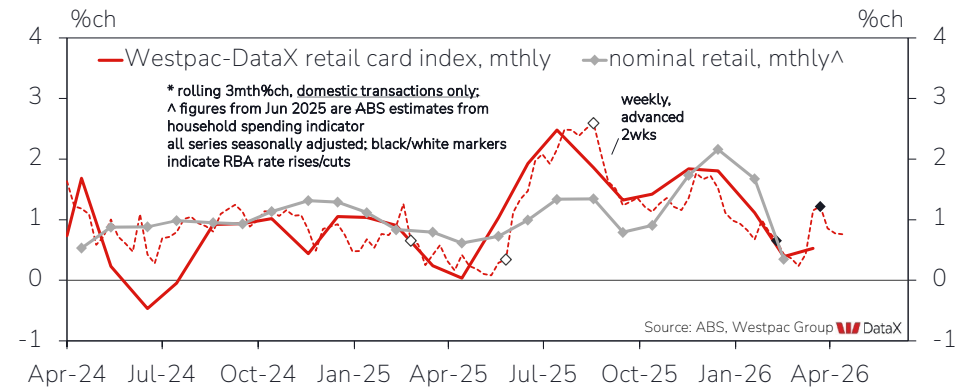


Retail a touch softer, basic food in particular

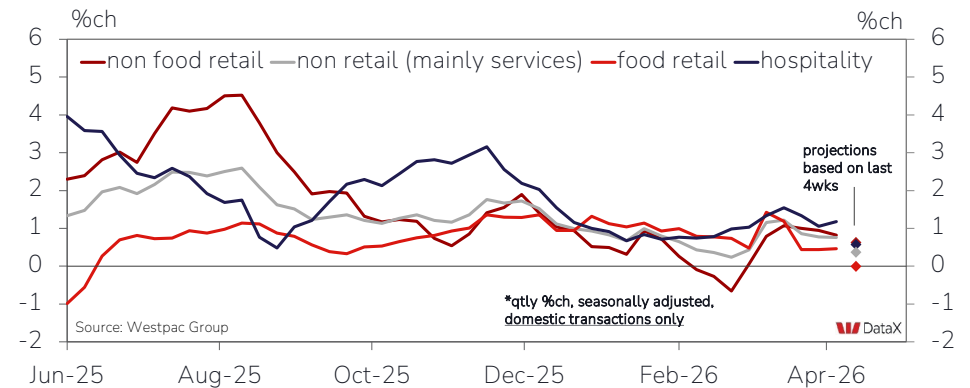
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both the MHSI and retail card indexes have seen quarterly growth momentum moderate over the last three weeks in line with the lift in total card activity. However growth in both is a touch softer, the MHSI card index running at 0.9%qtr, 5.9%yr while the retail card index is growing at 0.8%qtr, 5.5%yr. Both reflect the fact that fuel is not included.
- The sub-category split shows little change in relative performances, hospitality (+1.2%qtr) slightly outperforming non food retail (0.8%qtr) and food retail lagging (+0.5%qtr). The latest four weeks show a further drop with food stalling about flat, although, as with total activity, there may be some residual effects from the timing of Easter.
- Non-retail card activity (including fuel) is tracking at a slightly firmer 0.8%qtr although here will be a mix of strong fuel and weak services spend in this component (fuel is not in-scope for retail measures).

	Jan	Feb	Mar	11/4
MHSI card index	150.6	150.4	153.7	149.3
– qtrly%ch	1.3	0.5	1.0	0.9
– qtrly, ann%ch	5.4	5.5	6.3	5.9
ABS MHSI				
– %ch	0.3	0.3	n.a.	n.a.
– qtrly%ch	1.7	0.9	n.a.	n.a.
– qtrly ann%ch	5.0	4.8	n.a.	n.a.
Retail card index	151.0	150.5	152.1	149.8
– qtrly%ch	1.1	0.4	0.5	0.8
– qtrly, ann%ch	5.1	5.2	5.7	5.5
ABS retail sales*				
– %ch	0.5	0.4	n.a.	n.a.
– qtrly%ch	1.7	0.3	n.a.	n.a.
– qtrly ann%ch	4.6	4.2	n.a.	n.a.

6. Card activity: retail



7. Card activity: broad retail and non-retail groups



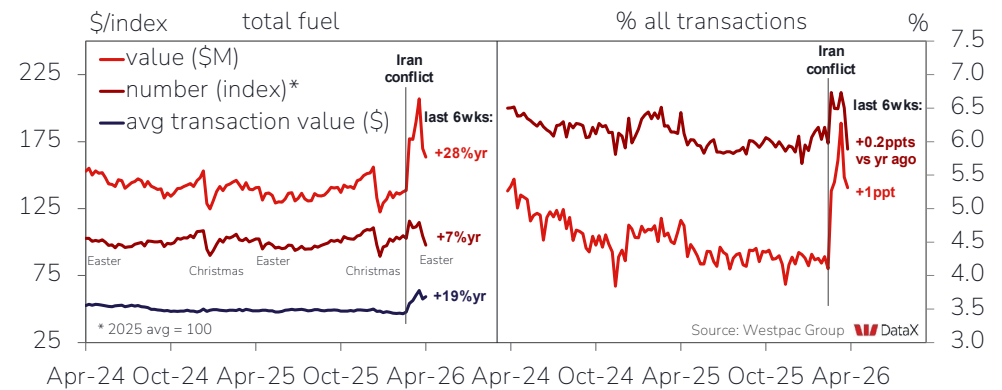
Middle East energy shock: update

- The energy shock continues to have significant impacts on card activity in fuel and related categories.
- Chart 8 shows card activity across a sub-set of the 'operation of motor vehicles' category referred to elsewhere in this report, that is more specifically capturing activity across petrol stations. The left panel tracks the total value of transactions, the number of transactions and the implied average value. Note that the average value will broadly track pump prices but is also affected by shifts in average litres purchases, the fuel mix (diesel vs petrol) and non-fuel purchases.
- Since our last update, the total value of fuel card transactions initially moved higher before falling sharply in the first two weeks of April.
- That fall reflects three factors: 1) the temporary halving of fuel excise tax from April 1 which contributed to a 9.8% drop in average transaction values; 2) some easing in the pull forward surge in fuel purchases evident through March; and 3) the impact of Easter holidays in early April (a holiday related variation in transaction numbers is clearly evident in previous years).
- Even with these variations, the average

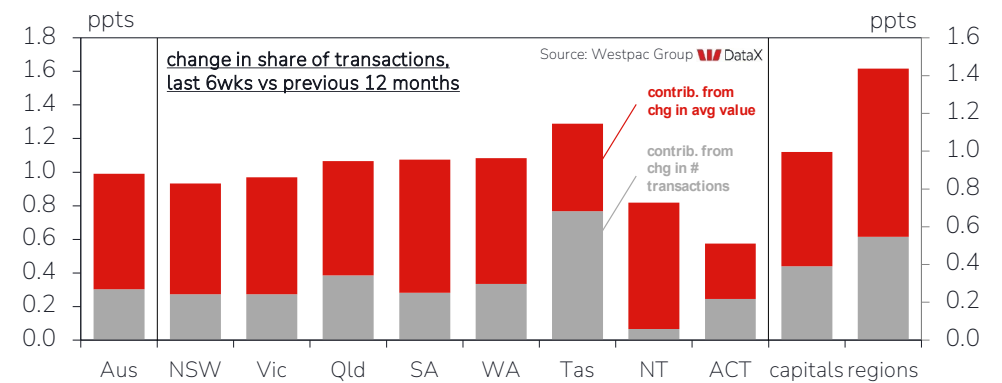
value of transactions over the last six weeks is up 28% on a year ago, with 7% of the variation due to an increase in the number of transactions and the remaining 19% due to an increase in average transaction value.

- As a share of total card activity, fuel has been 1ppt higher over the last six weeks compared to a year ago, with 0.2ppts of this due to the higher share of the total number of transactions.
- Chart 9 shows how the change in the share of all transactions compares across states and between capital cities and regional areas.
- Across the major states, the shift has been a little less pronounced in NSW and Vic, and a little more so in Qld, SA and WA. Variations have been larger across smaller states with a notably bigger increase in Tas but smaller rises in NT and ACT (lower coverage may be an issue for these jurisdictions). More strikingly, regional areas continue to see a bigger increase, in the order of 1.4ppts. This reflects a variety of factors including more material supply issues and higher fuel spend due to longer travel distances which may be requiring more cut backs on non fuel transactions.

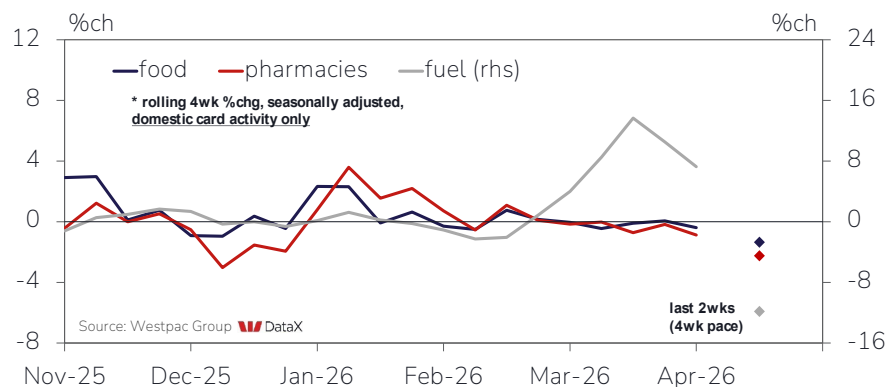
8. Card activity: fuel



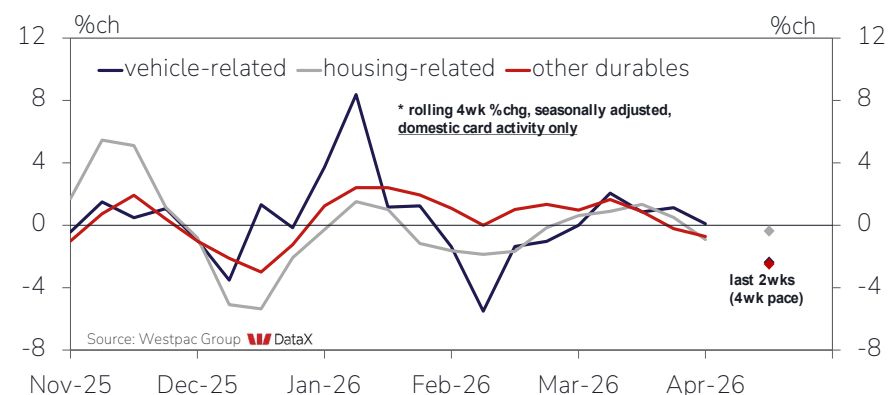
9. Card activity: fuel by state



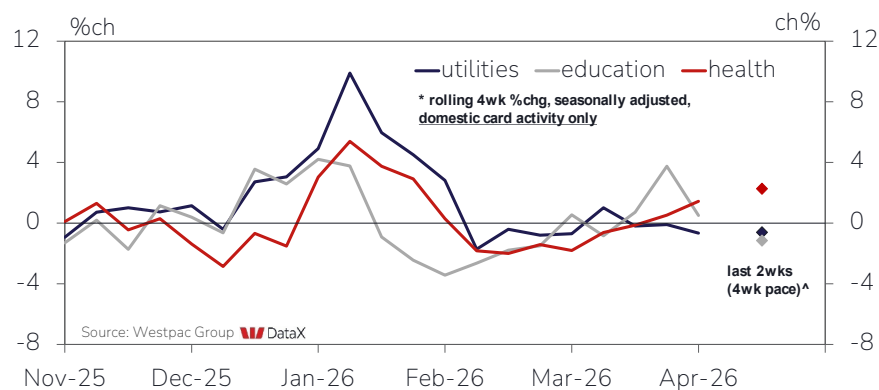
12. Card activity: essential goods



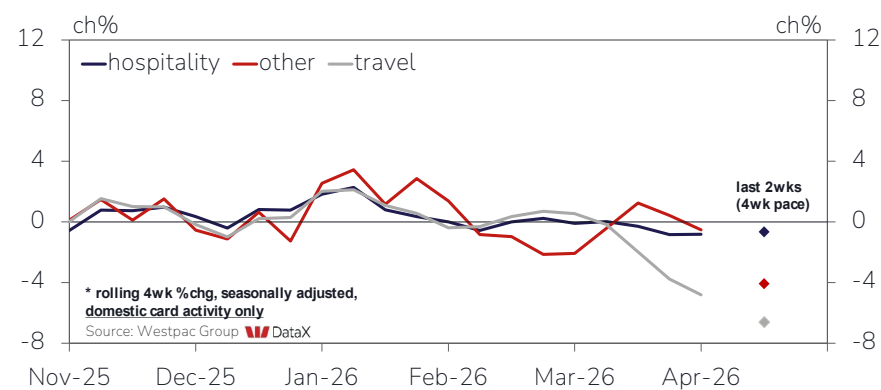
13. Card activity: discretionary goods



14. Card activity: essential services

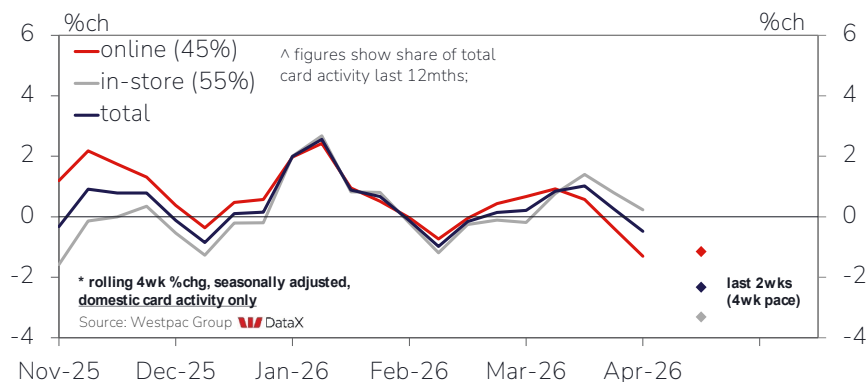


15. Card activity: discretionary services

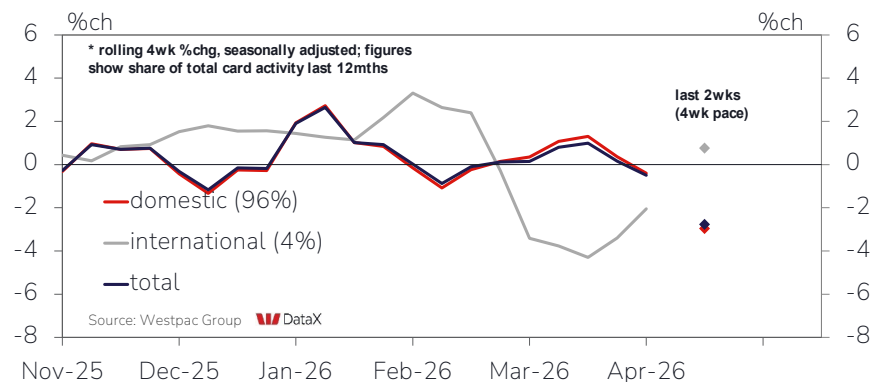


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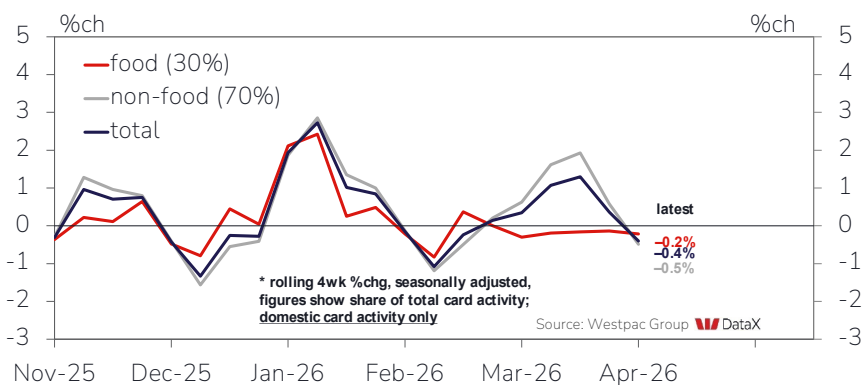
16. Card activity: online and in-store



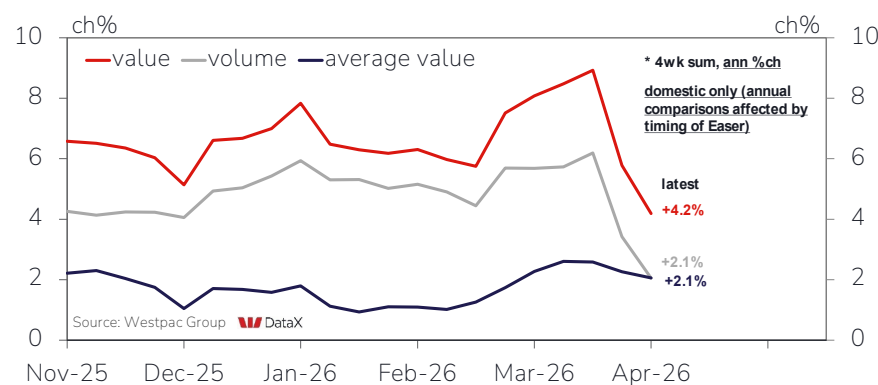
17. Card activity: domestic and international



18. Card activity: food and non-food



19. Card activity: value and volume



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	2024			2025			2026			week ending:					
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	21/3	28/3	4/4	11/4
Westpac–DataX Card Tracker Index	140.1	141.3	143.1	144.7	147.4	150.1	153.4	155.3	154.4	154.2	157.2	154.3	154.5	152.4	152.1
qtly%ch	0.6	0.8	1.3	1.1	1.9	1.8	2.2	1.2	1.6	0.9	1.2	1.8	1.4	1.2	1.1
qtly, ann%ch	4.2	4.0	5.4	3.9	5.2	6.2	7.2	7.3	6.6	6.7	7.3	7.4	7.3	7.2	6.9
By category															
– discretionary^	141.6	143.2	145.7	146.0	149.1	151.6	155.2	156.0	156.0	155.5	156.4	155.2	153.1	152.6	152.0
– essential^	137.6	138.1	138.7	141.4	143.3	146.1	148.5	151.7	149.5	150.0	155.6	152.3	154.6	150.6	150.7
services	145.6	147.8	150.4	153.1	156.5	160.0	164.1	166.3	165.9	166.5	166.4	164.6	162.4	161.4	162.2
– discretionary services^	148.2	151.1	154.3	155.0	158.9	161.3	166.1	166.9	167.1	167.1	166.5	165.9	162.7	161.9	163.0
– essential services^	141.9	143.0	144.8	150.4	153.0	158.1	161.3	165.3	164.1	165.6	166.2	162.7	161.9	160.8	161.1
goods	134.8	134.9	135.6	136.0	137.8	139.6	141.8	143.6	142.0	141.4	147.4	144.8	146.7	143.5	142.4
– discretionary goods	134.3	134.5	136.3	136.3	138.4	140.9	143.3	144.1	143.9	142.8	145.4	143.4	142.6	142.5	140.1
– essential goods	135.1	135.1	135.0	135.7	137.3	138.5	140.5	143.2	140.4	140.2	149.0	146.0	150.1	144.2	144.4
MHSI card index*	139.2	140.2	141.8	142.5	145.1	147.2	150.1	151.6	150.6	150.4	153.7	152.1	152.0	149.8	149.3
qtly%ch	0.2	0.7	1.1	0.5	1.8	1.5	1.9	1.0	1.3	0.5	1.0	1.5	1.2	1.0	0.9
qtly, ann%ch	3.6	3.4	4.7	2.6	4.2	5.0	5.8	6.3	5.4	5.5	6.3	6.2	6.2	6.1	5.9
retail card index*	139.9	141.2	142.7	143.1	145.8	147.7	150.4	151.2	151.0	150.5	152.1	150.8	151.3	150.5	149.8
qtly%ch	-0.5	0.9	1.1	0.2	1.9	1.3	1.8	0.5	1.1	0.4	0.5	1.2	0.9	0.8	0.8
qtly, ann%ch	2.6	2.9	4.1	1.8	4.2	4.6	5.4	5.7	5.1	5.2	5.7	5.8	5.8	5.7	5.5
By state															
– NSW	135.5	136.4	138.0	140.1	142.4	143.7	147.9	149.3	148.7	148.2	150.9	148.8	149.9	147.1	145.5
– Vic	134.7	135.3	136.9	138.6	140.0	142.4	144.8	146.5	145.3	146.1	148.2	146.7	145.8	144.1	142.9
– Qld	148.2	151.0	153.9	155.2	158.1	162.2	168.7	169.3	169.7	165.2	172.9	168.7	168.7	168.4	166.6
– WA	148.8	151.4	154.1	157.1	159.8	163.4	168.2	171.3	169.8	171.1	173.0	172.0	172.0	170.1	172.1
– SA	146.9	147.8	150.2	151.8	154.2	157.0	160.8	162.1	161.6	159.9	164.9	163.0	163.1	160.5	157.8

All indexes based on the value of spending-related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p10 for more details.

* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

^ indexes revised due to re-classification.

Sources: ABS, Westpac Group

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID-19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact-less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending-related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle-related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.



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1 April 2026

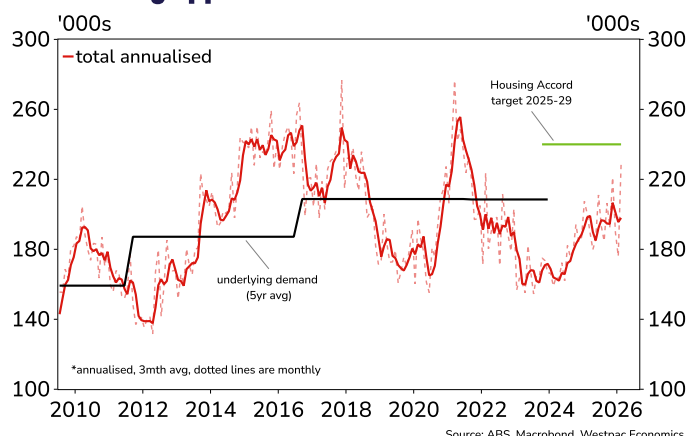
AUSTRALIAN DWELLING APPROVALS BULLETIN

Units take approvals higher

Key points

- Total dwelling approvals rebounded sharply in February, rising 29.7%*mt*. The annual pace lifted to 14.0%*yr*, marking the first positive read following the December–January low period.
- As in recent months, private unit approvals drove the headline outcome, surging 101%*mt*, with strength spanning both high-rise and low-mid-rise segments. Private detached house approvals were broadly flat, though underlying momentum remains positive on a smoothed basis.
- State-level outcomes remain uneven, with strength concentrated in Qld, NSW and WA, while Vic and SA lag.
- Looking ahead, further expected RBA cash rate rises throughout 2026, alongside likely softer dwelling price growth are likely to temper the near-term recovery.

Dwelling approvals



Source: ABS, Macrobond, Westpac Economics

**Total dwelling approvals
29.7%*mt*,
14.0%*yr***

High-rise and low-mid-rise both support



Luka Belobrajdic
Economist

Total dwelling approvals rebounded sharply in February, rising 29.7%*mt*, following two consecutive monthly declines over the December–January period. The result was well above both our and the market's expectations, lifting the annual pace to 14.0%*yr*.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private unit approvals once again drove headline volatility, doubling in February after declines of 25%*mt* in January and 30%*mt* in December. The segment accounted for just under 47% of private approvals in the month, the highest share since December 2022. Strength was evident across both 'high-rise' and 'low-mid-rise' segments. High-rise approvals were the standout, rising 198%*mt*, the strongest monthly outcome since September 2009, while low-mid-rise approvals increased 73%*mt*. On a rolling three-month basis, high-rise approvals are now up 6.2%, while earlier weakness continues to weigh on the low-mid-rise segment, which remains 1.5% lower over the same period.

Private detached house approvals were little changed in February, recording a modest 0.2%*mt* gain. January approvals were revised higher to 1.7%*mt* (+0.6ppt), reinforcing the recent improvement in underlying momentum. On a rolling three-month basis, house approvals rose 3.3%*qtr*, slightly below the revised 3.6%*qtr* pace recorded in January, but still indicative of a gradual upswing.

A clear divergence across states persisted. On a rolling three-month basis, approvals were strongest in Qld (26.3%*yr*), NSW (24.0%*yr*) and WA (20.7%*yr*). In Qld and NSW, annual growth is driven primarily by unit approvals, while in WA the bulk of the increase reflects strength in detached housing. In contrast, dwelling approvals growth remained comparatively weak in Vic (2.5%*yr*), while SA recorded a contraction (–6.0%*yr*).

In value terms, new residential approvals rose sharply on a rolling three-month basis (+35.9%), more than offsetting a modest decline in renovation activity (–1.2%). The value of non-residential approvals fell 4.4%, led by weakness in transport-related buildings. Overall, the total value of building approvals increased 14.4%*mt* in February.

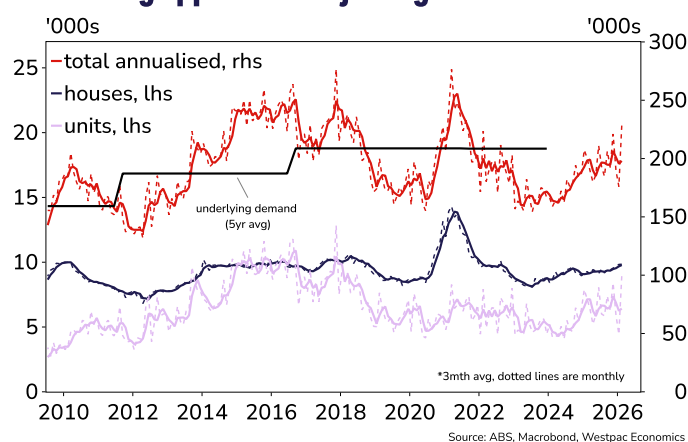
Looking ahead, further expected RBA cash rate increases across May, June and August, alongside softer dwelling price growth, are likely to temper the near-term recovery in dwelling approvals. While detached housing momentum has improved, volatility in unit approvals and broader affordability constraints suggest the recovery is likely to remain uneven.

Building approvals – February 2026

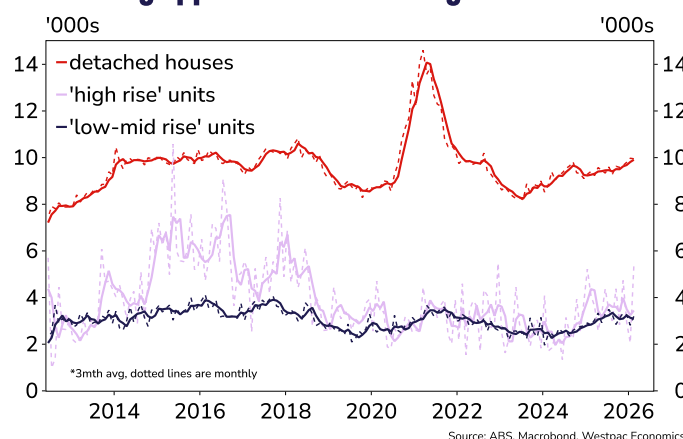
		3mth %chg*		%yr	
3mth avg	latest	Jan	Feb	Jan	Feb
Private houses	9,781	3.6	3.3	6.7	7.3
Private units	6,423	–4.0	–12.8	–4.8	–10.0
Public dwellings	293	4.6	–23.9	–16.2	7.3
Total dwellings	16,497	0.5	–4.2	1.4	–0.1
Total dwellings, mthly*	19,022	–7.2	29.7	–15.2	14.0
Renovations, \$bn	1.281	6.4	5.6	7.8	9.3
Non-res., \$bn	7.725	1.2	7.9	15.5	28.5

*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

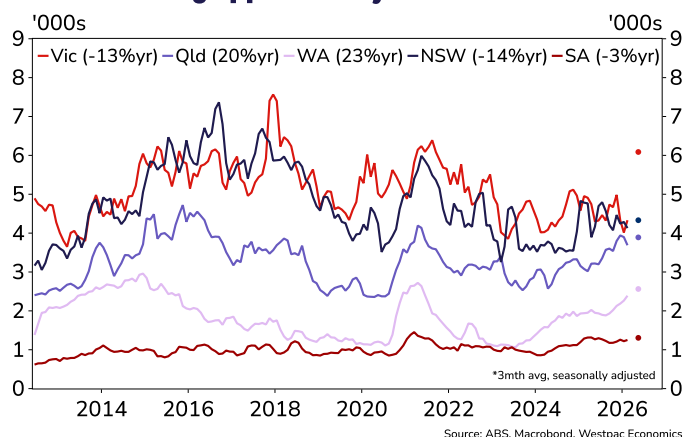
Dwelling approvals: major segment



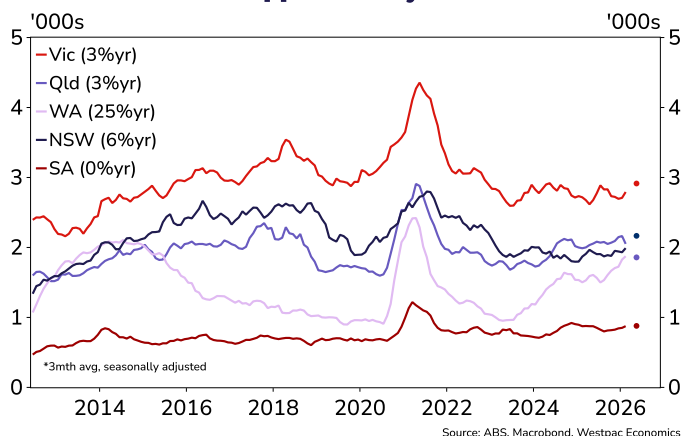
Dwelling approvals: detailed segment



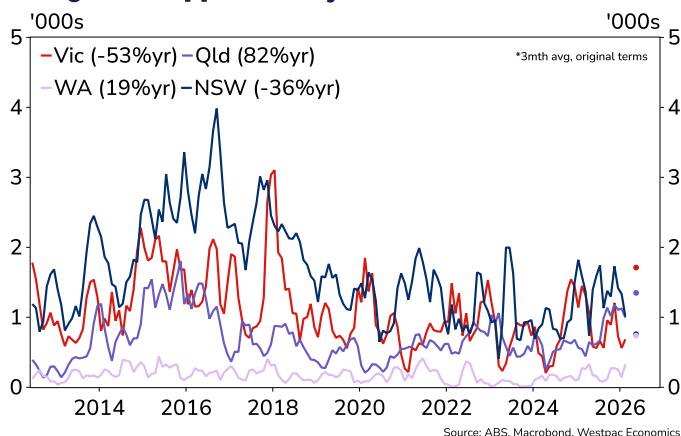
Total dwelling approvals: by state



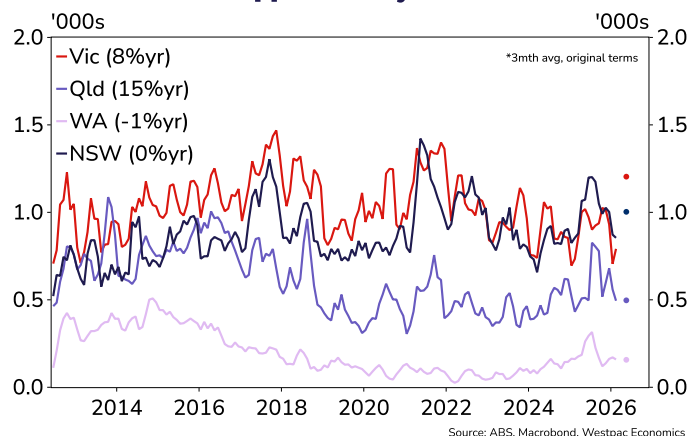
Detached house approvals: by state



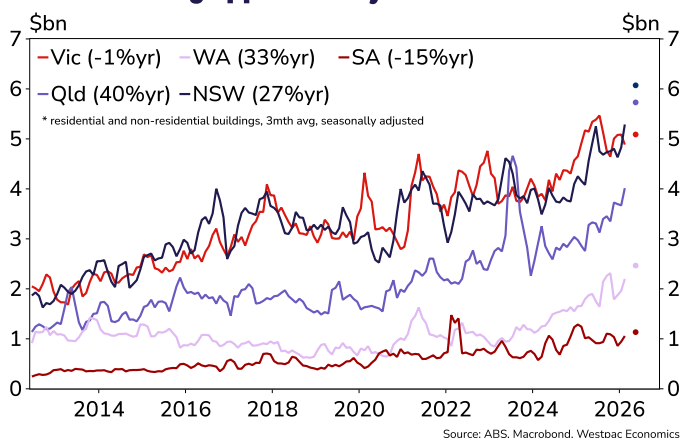
'High rise' approvals: by state



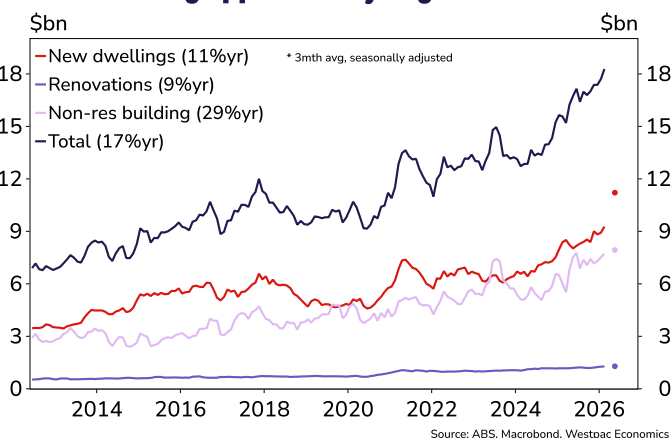
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





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Australian Business Conditions and Confidence, March

#businessconditions

#confidence



By [Luka Belobrajdic](#)
Economist, Westpac

15:05 April 14 2026

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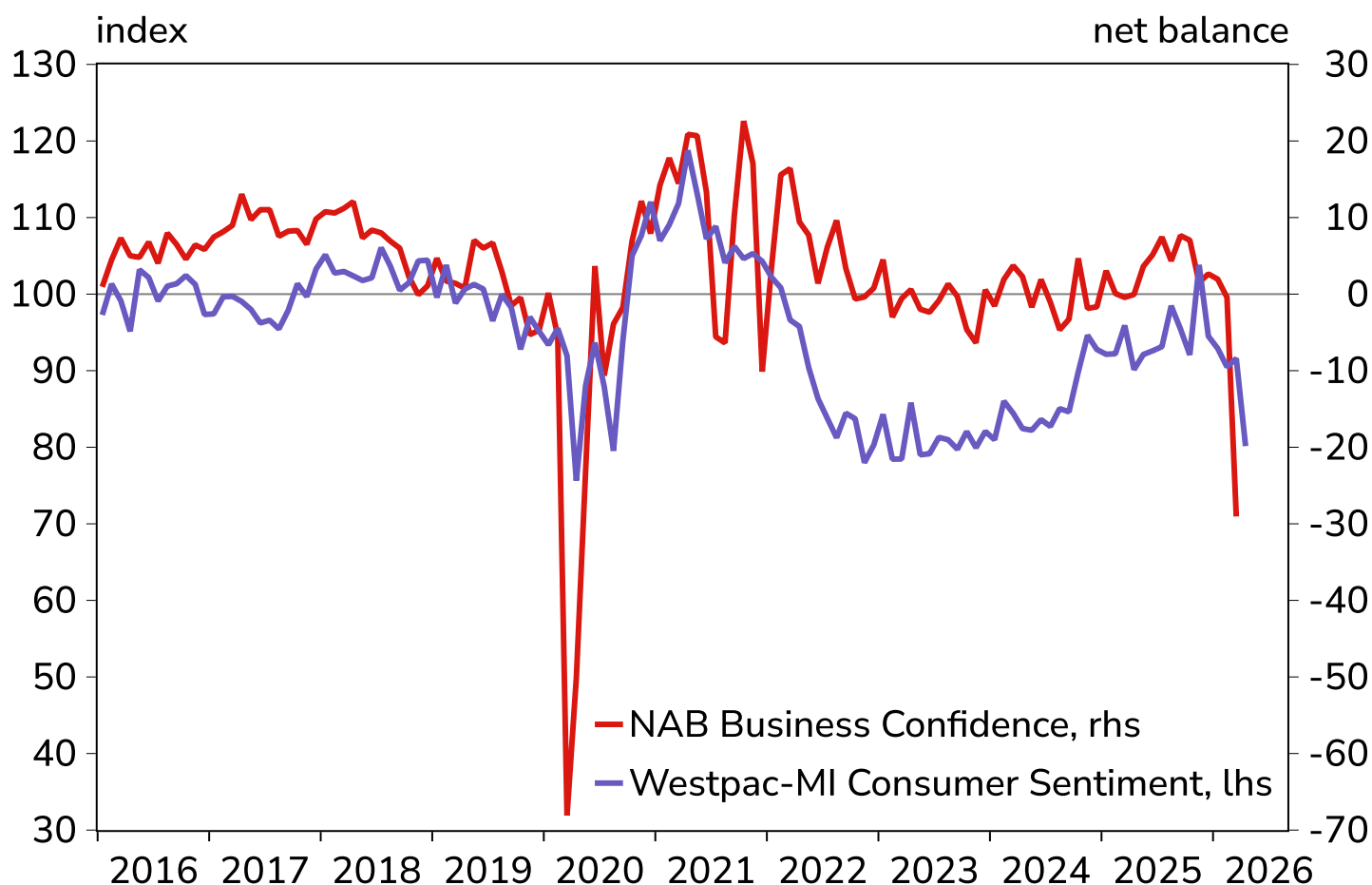
Business confidence collapsed in response to the outbreak of the Middle East conflict, while current assessments of business conditions remain stable, for now. Confidence -29pts to -29 / Conditions unchanged at 6.



The March NAB Business Survey was in the field from 24 to 31 March. It provides the first complete read on business conditions and confidence since the outbreak of the Middle East conflict, the subsequent surge in fuel prices, and dual RBA rate hikes in February and March. Against this backdrop, business confidence collapsed a staggering –29pts from a neutral reading in February, representing the largest monthly decline since the onset of the pandemic in March 2020, and exceeds the fall recorded during the global financial crisis in October 2008. Confidence now sits 34pts below its long-run average. The timing and magnitude of the decline mirrors the sharp deterioration in consumer sentiment that was already evident in later responses to last month’s survey. The –12.5% decline reported in [April’s Westpac-MI Consumer Sentiment survey](#), published earlier this morning, highlights just how sensitive sentiment is to the evolving policy and geopolitical backdrop.

Cost pressures intensified sharply in March. Purchase cost growth saw its largest monthly increase on record, with the quarterly growth pace more than doubling by 1.7ppt to 3.0%, placing it 1.9ppt above its long-run average. Final product price growth rose by a more modest, but still significant, 0.4ppt to 1.1%, suggesting firms are able to pass on some portion of the increase in fuel and oil-related input costs through prices. That said, the reported surge in costs was well in excess of prices, consistent with intensifying margin pressure and a weaker profitability reading in the month (–3pts to 1). Labour cost growth was unchanged at 1.5%.

Consumer vs Business Confidence

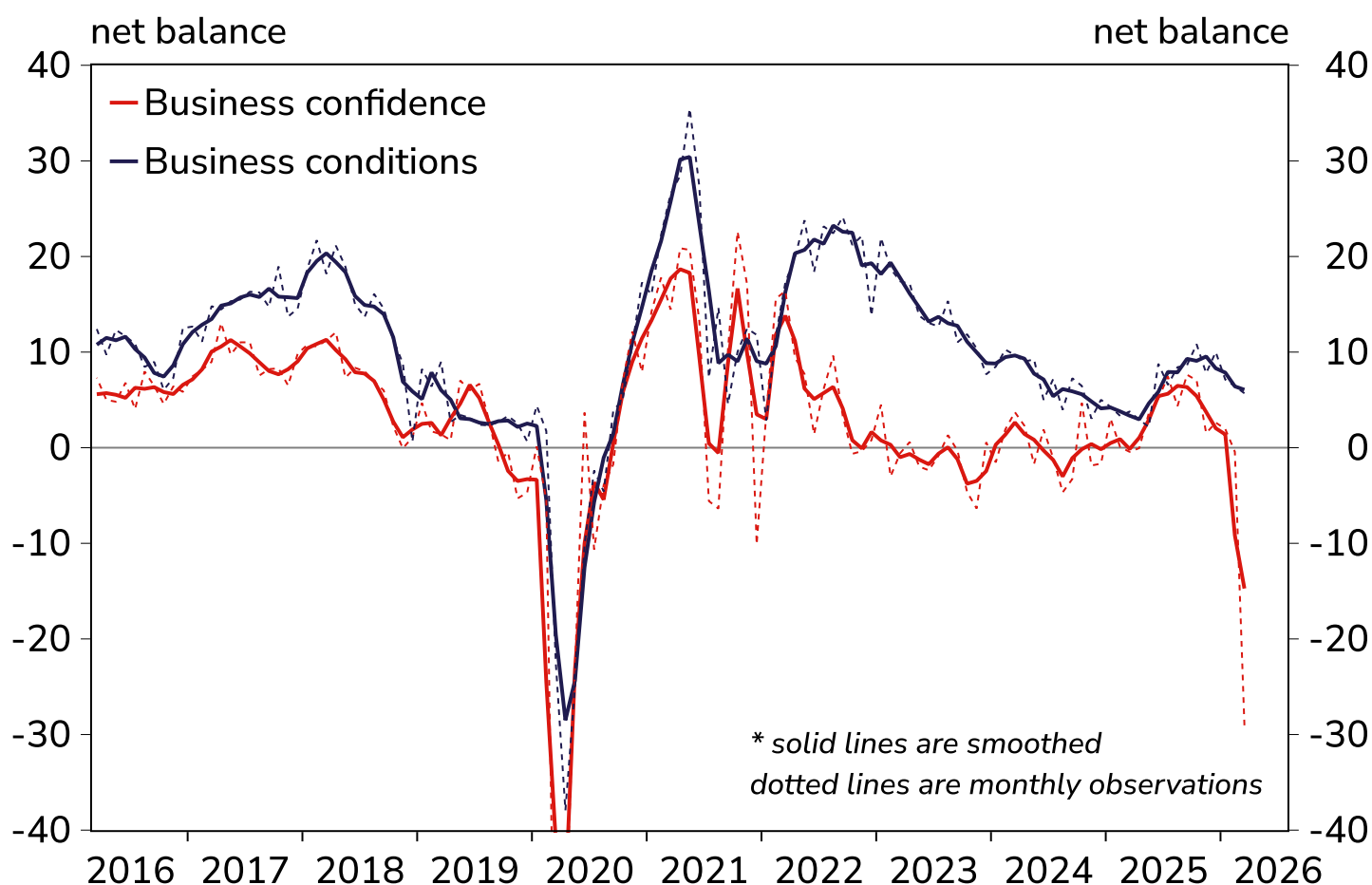


Source: NAB, Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

Despite unambiguous signs of anxiety, business conditions remained broadly steady through the first quarter of 2026. The headline business conditions index was unchanged in March at 6, 1pt below its long-run average and following an earlier reading of 7 in January. This suggests firms entered this latest period of heightened uncertainty with a degree of resilience. However, on a three-month rolling average basis, the survey continues to point to a gradual easing in momentum as the elevated readings recorded late last year roll out of the calculation. The extent to which the collapse in confidence starts to bleed into current assessments of conditions will be a key dynamic to monitor over the coming months.

Outside of the aforementioned fall in profitability, the other major sub-components were unalarming. The employment sub-index rebounded in March, rising +3pts to 6, re-establishing a foothold above its long-run average. This largely reflects the lagged response of labour demand to earlier improvements in activity. The outlook for the labour market has certainly deteriorated in light of the Middle East shock, and signs of significantly weaker labour demand are likely to emerge later this year. Trading conditions dipped modestly, down 1pt to 11, consistent with early indications of softer consumer spending from the Westpac-DataX card tracker for March.

Business conditions and confidence

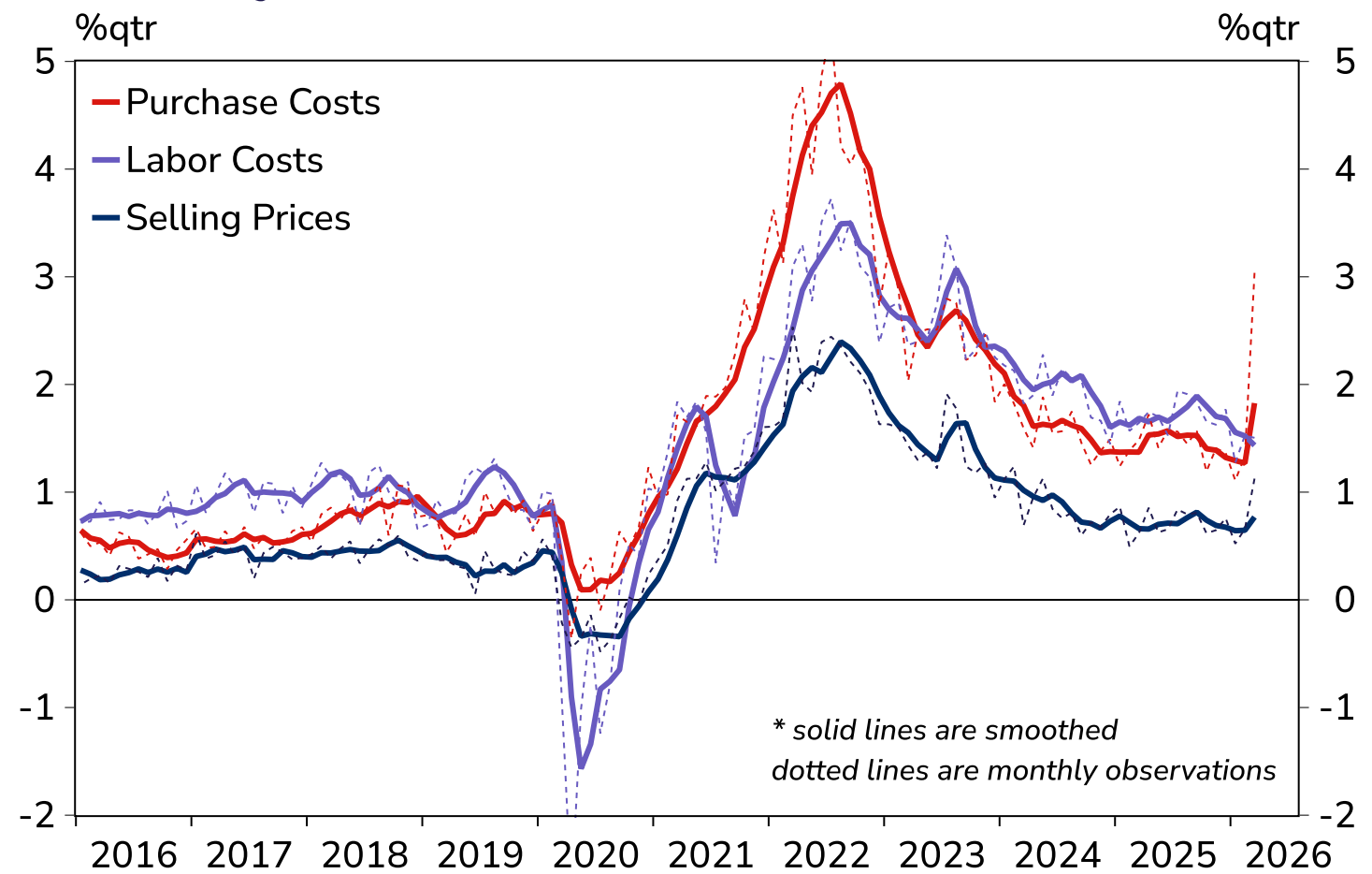


Source: NAB, Macrobond, Westpac Economics

Capacity utilisation edged higher in March to 83.1%, though this increase does little to alter the broader picture, with utilisation broadly stable on a three-month average basis. Capital expenditure eased slightly following its elevated February outcome, declining -2pts to 10, but remains 4pts above its long-run average, indicating continued if cautious investment intentions.

Among other indicators, forward orders weakened, falling -7pts to -1 and recording its first below-average reading of 2026, consistent with the collapse in confidence. Inventories rose a further 2pts to 7, though this likely reflects softer trading conditions in March following the strong build-up in forward orders reported in the previous month.

NAB Survey: Costs and Prices



Source: NAB, ABS, Macrobond, Westpac Economics

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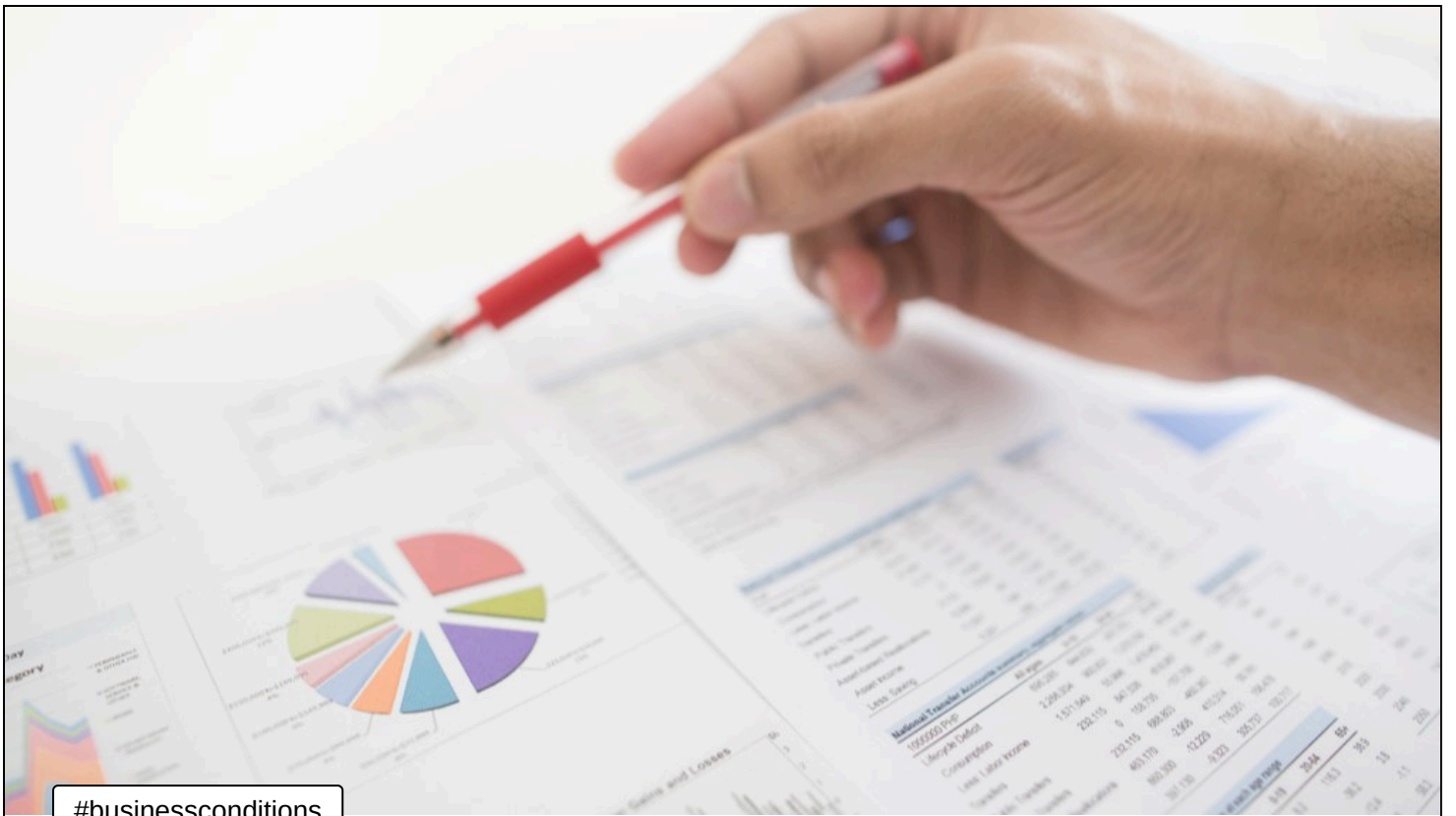


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7 April 2026

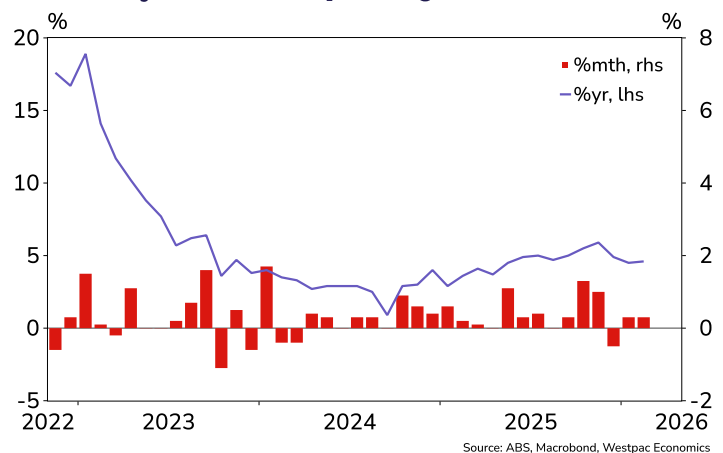
HOUSEHOLD SPENDING INDICATOR BULLETIN

Steady print amid softer signals

Key points

- Household spending rose 0.3%*mt* in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%*yr*.
- Services continued to drive overall growth, rising 0.5%*mt*, supported by holiday-related spending across recreation & culture, transport and accommodation. Goods spending reversed recent weakness to post a modest 0.1%*mt* gain.
- State outcomes were mixed. WA led the gains, with SA, Qld and Vic also recording increases. NSW was the only state to post a decline.
- Looking ahead, risks to the spending outlook remain skewed to the downside. Weaker consumer sentiment, ongoing monetary policy restraint and signals from our Westpac–DataX Card Tracker suggest spending growth is likely to moderate over coming months.

Monthly Household Spending Indicator Growth



**February
household
spending
indicator:
0.3%*mt*, 4.6%*yr***

Services spending supports in February



Luka Belobrajdic
Economist

The monthly household spending indicator rose 0.3%*mt* in February, matching January's outcome and in line with the average monthly pace recorded over the past two years. This was stronger than we had expected, with Westpac forecasting a -0.2%*mt* decline given weakness evident in our Westpac-DataX Card Tracker ([see here](#)). Annual growth edged up to 4.6%*yr*, with the January 2026 annual pace revised slightly lower to 4.5%*yr* (from 4.6%*yr*).

By broad category, services continued to drive overall spending growth in February. The segment rose by 0.5%*mt* to be 6.2%*yr* higher over the year, with the ABS attributing this strength to increased recreation and culture, travel, and accommodation spending. Goods spending reversed some of its recent weakness, posting a modest 0.1%*mt* gain (3.1%*yr*). Discretionary spending rose 0.5%*mt* after holding flat in January, while non discretionary spending was unchanged. Both categories are growing at an annual pace of 4.6%*yr*.

At the detailed level, gains were concentrated across five categories. Recreation & culture led the lift, rising 1.1%*mt*, followed by food, which increased 1.0%*mt*. Hotels, cafes & restaurants reversed some of last month's decline, up 0.4%*mt*. Health and clothing & footwear recorded smaller increases of 0.2%*mt* and 0.1%*mt* respectively.

Once again, the main drag on the month came from alcohol & tobacco, which fell -0.5%*mt*. While this category has detracted from spending in recent months, the February decline was modest relative to earlier volatility. Transport spending declined -0.4%*mt*, reflecting lower fuel prices earlier in the month, while furnishings & household equipment recorded a third consecutive fall (-0.3%*mt*), consistent with subdued housing turnover ([see here](#)).

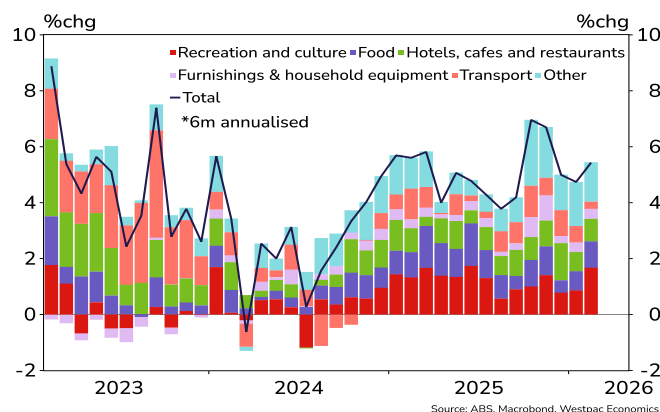
State outcomes were mixed. WA was the standout, with spending rising 0.9%*mt*. SA rebounded with a 0.6%*mt* increase following a -0.2%*mt* fall in January. Queensland and Victoria also recorded gains of 0.5%*mt* and 0.4%*mt* respectively. NSW was the only state to post a decline, with spending down -0.2%*mt* in February, leaving it with the weakest annual growth rate among the states at 3.3%*yr*.

Looking ahead, risks to the spending outlook remain skewed to the downside. Consumer sentiment has softened amid escalating conflict in the Middle East and ongoing monetary policy tightening ([see here](#)). In addition, our Westpac-DataX Card Tracker shows that monthly growth momentum has softened since February, especially in non-fuel card activity. Taken together, this points to a risk of further moderation in household spending over the coming months, despite February's firmer than expected outcome.

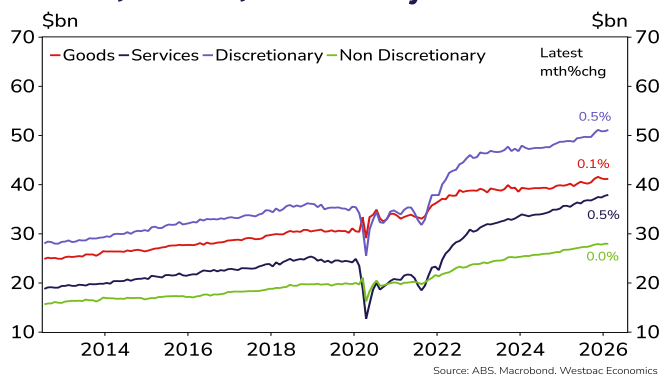
Household spending indicator – Feb 2026

	\$bn	% chg mth		% chg yr	
	Feb-26	Jan-26	Feb-26	Jan-26	Feb-26
sa	79.11	0.3	0.3	4.5	4.6
trend	79.15	0.3	0.2	4.9	4.7

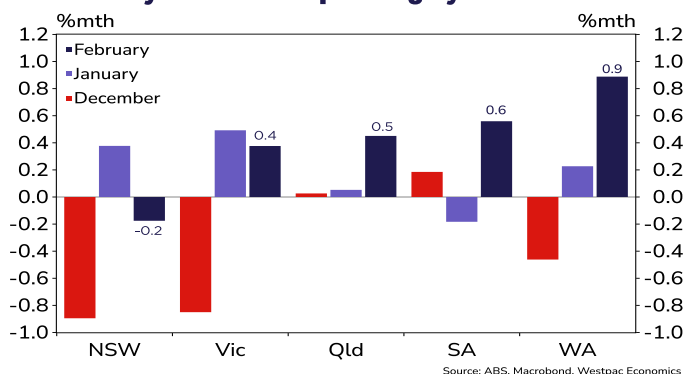
Source: ABS, Macrobond, Westpac Economics.



Goods, services, discretionary & non-discret.



Monthly household spending by state





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Australian dwelling prices: capital cities diverge further

#housing

#housing



By [Luka Belobrajdic](#)
Economist, Westpac

12:28 April 01 2026

 Share

March Cotality home value index: +0.6%*mt*h; +9.3%*yr*



Read full report  **'Australian dwelling prices March' (PDF 439KB)**

The Cotality home value index rose 0.6%*in* March, following gains of 0.5%*mt*h in February, 0.6%*mt*h in January and 0.4%*mt*h in December. Annual growth was broadly steady at 9.3%*yr*.

The March update confirms that the changed interest rate outlook has translated into moderation in price growth and a sharper pull-back in turnover.

The slowdown remains concentrated in Sydney and Melbourne, where prices declined modestly in March and turnover has softened materially. In contrast, price growth continues to track a strong pace across the mid-sized capitals of Brisbane, Adelaide and Perth.

With further interest rate increases expected over coming months, additional headwinds are likely, and the scope for renewed acceleration in price growth appears increasingly limited.

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China offers global growth a well-timed boost

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By Elliot Clarke

Head of International Economics, Westpac

14:46 April 16 2026

 Share

5.0%yr growth in Q1 2026 is a significant achievement, and the Middle East conflict is likely to accelerate demand for Chinese goods from here. Still, the growth base needs to broaden.



China's economy has offered the world a well-timed boost, annual growth accelerating from 4.5%yr in Q4 2025 to 5.0%yr in Q1 2026. Authorities noted this was despite an unfavourable base effect, annual growth having previously peaked at 5.4% in Q4 2024 and Q1 2025. Quarterly growth was also a touch stronger in Q1 2026 than Q4 2025, at 1.3% versus 1.2%.

From the monthly partial data, China's Q1 momentum was principally due to the strength of exporters and the investment being undertaken across the economy. The trade surplus averaged \$88bn through Q1, broadly in line with the average of 2024 and 2025. Moreover, the narrowing of the surplus in March came as a result of a surge in imports which is likely to, at least, partly reverse in coming months as exports continue to grow. The Middle East conflict is likely to sustainably increase demand for green technology from China, opening up an opportunity for the trade surplus to reach new historic highs.

Regarding investment, transport and storage-related infrastructure spending reportedly surged in early-2026, while manufacturing investment showed signs of entering a (modest) upswing and utilities investment continued to compound around 9%ytd. Within the manufacturing sector, stronger demand for green technology goods and refined energy products is likely to elicit an upturn in capital expenditure through 2026, with the key investment sub-categories of electrical machinery, automobiles (EVs) and chemicals all showing evidence of stabilisation in Q1. There is reason for guarded optimism over the outlook for property investment too, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years could provide a material boost to aggregate growth through 2026.

The support offered to GDP by external demand and investment masks the still-troubled state of consumer demand, however. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically-weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households, but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment.

All told, China is likely to benefit from the Middle East conflict by scaling up production and exports of green technology and refined energy products/chemicals to meet global demand. This will likely help GDP growth edge closer to 5.0% in 2026 and hold at or above 4.5% in 2027. Still, to sure up future growth prospects, authorities must action their intended support for households and incentivise additional domestically-focused investment by private and public entities. Without this broadening of the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years. Following President Trump's May visit and (hopefully) a lasting end to the Middle East conflict, we expect stimulus to be delivered.

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Week beginning 13 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: On hoping you'll be wrong.

The Week That Was: Ceasefire optimism to be tested.

Focus on New Zealand: A hawkish RBNZ is prepared to act decisively.

For the week ahead:

Australia: Unemployment rate, employment change, Westpac-MI consumer sentiment, Westpac-Now.

New Zealand: Retail card spending, selected price indices, REINZ house sales and prices, net migration.

Japan: Industrial production.

China: GDP, fixed asset investment, industrial production, retail sales.

Euro area: HICP inflation, trade balance, industrial production.

UK: Monthly GDP.

United States: PPI, Federal Reserve's Biege Book, industrial production, existing home sales.

Information contained in this report current as at 10 April 2026.

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On hoping you'll be wrong



Luci Ellis
Chief Economist, Westpac Group

- The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.
- The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.
- The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in

its oil output was [estimated](#) to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current [estimates](#) are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news [reports](#) suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

“Forecasts are an assessment of the most likely outcome, not the preferred one.”

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the “risks on both sides” we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March [Market Outlook](#). A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While 'temporary fuel levies' are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

Cliff Notes: ceasefire optimism to be tested

Elliot Clarke, Head of International Economics
 Mantas Vanagas, Senior Economist
 Ryan Wells, Economist

Ahead of the worst of the current conflict, the [ABS' household spending indicator](#) gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the [cost shock](#) already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, [in the fulness of time](#), pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, [the RBNZ](#) maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace

registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the [Atlanta Fed's GDPNow nowcast](#). This is before the sentiment and cost of living shock emanating from the Middle East is felt.

“pricing responses and time delays... could prove as, or more, significant than the energy market dynamics”

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the [latest meeting minutes](#) indicate “a vast majority of participants” see “risks to the employment side of the mandate... [as] skewed to the downside”, the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

A hawkish RBNZ is prepared to act decisively



Kelly Eckhold
Chief Economist NZ

Views on the likely duration and the severity of the war waxed and waned over the week as markets wavered between the prospect of an end to a civilization (as mooted by President Trump) and the alternative of world peace in our time. The reality remains cloudy and the prospects of a long bumpy road ahead remain the base case. This week the RBNZ channelled these themes of uncertainty and the prospect of potentially longer-lived inflationary impacts, by delivering a hawkish hold. We brought forward our view of when the OCR will begin to normalise and have further fine-tuned how the overall tightening cycle may evolve.

The Iran war and its impacts on New Zealand remained front and centre this week. It's very well understood that the impact will critically depend on the size and duration of the disruption to global energy supply. And this week we saw the full gamut of possibilities on how the war could impact on New Zealand. Businesses and consumers have taken an initial pessimistic view of how the war will impact the operating environment. The questions now are whether those views will be borne out and just how far off course will inflation be knocked and for how long.

The early part of the week was dominated by Trump's Tuesday deadline to Iran to reopen the Straits of Hormuz to traffic or suffer devastating attacks on civilian infrastructure. Fortunately (and as frankly had seemed most likely) cooler heads prevailed, with a hastily arranged cease-fire "deal" announced that at the least allows for a couple of weeks of breathing space for further negotiations towards a permanent truce to occur. That at least is an advance on where we have been in the last six weeks, which had seen little evidence that discussions were even occurring between key players in Iran, Israel and the US. Initial negotiations will take place this weekend and reports concerning these will help determine the tone when markets reopen on Monday.

News of the ceasefire has seen a marked reduction in the risk premia evident in oil and refined products markets, resulting in a fall in prices. However, we think that the reality around the opposing parties' views on the "deal" means the prospect for a quick resolution of the situation looks low. As we stand today nothing has really changed in terms of New Zealand's medium-term fuel security situation as no meaningful increase in tanker flows out the Persian Gulf is occurring. That said, news that Asian refineries are securing crude feedstock from elsewhere – notably the US – was welcome. This would appear to lower the near-term risk of interruption to fuel inflows into New Zealand. This provides breathing space for the government to work on additional storage options and to fine-tune plans for the hopefully unlikely situation where interventions to allocate scarce fuel stocks become necessary.

This week the RBNZ channelled the themes of uncertainty about the outlook, but also realism on just how long-lasting the impact of the war might have on the economy and inflation outlook. The tone of the RBNZ's commentary shifted from the relatively sanguine approach that Governor Breman had communicated a couple of weeks ago. We signalled in our [OCR preview](#) that such a shift could be in the offing as the broader MPC had a greater opportunity to weigh in. And it seems the MPC was presented some initial forecasts which showed a markedly higher inflation profile was in the offing.

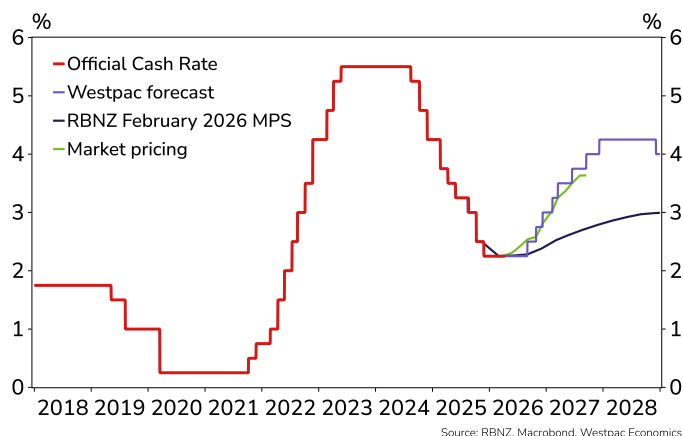
The MPC seems to have separated into a couple of camps: a more hawkish group that sees an argument for a proactive approach to lean against potentially persistent inflation pressures with a higher OCR from perhaps in May or July; and a more dovish camp that's happier to take more time to assess given the possibility that the activity implications of the oil shock could dampen inflation over the medium term. That latter group might perhaps be happier to wait until later in the year before beginning to raise rates, but even among this group there seems no appetite for OCR cuts. Hence, as it was before the Iran war, the issue for the MPC is when, not if, to tighten.

One interesting tidbit from the RBNZ's communications was the sense that coming into the war the economy was gathering momentum following a slightly disappointing December quarter. The RBNZ retains optimism that economic momentum won't be unduly undermined by the war given the assumption that it will be over relatively soon. Certainly, some of the data seemed to support that optimism given that the Business NZ PMI for March showed resilience by falling only modestly, although understandably respondents expressed more concerns in the comments submitted with their responses. The ANZ's Heavy Traffic Index – a measure of commercial traffic flows – was also resilient in March, although light traffic volumes declined, likely reflecting higher fuel prices. We also notice that weekly filled jobs trends continued to track in line with year earlier levels through March, suggesting that any job shedding due to the war has not started.

This more hawkish take from the MPC prompted us to bring forward when we expect OCR increases to begin, from December to September 2026. We expect 25bp interest rate hikes at each meeting from then until the OCR reaches 3.5% – at which point the OCR will be firmly in the neutral zone from the RBNZ's perspective. After then, the outlook is cloudier and we expect a slower approach where the OCR increases at Monetary Policy Statements only and the pace of tightening accordingly slows. We continue to believe that the same shape

of the latter part of the interest rate cycle where the OCR rises above our assessment of neutral (which remains at 3.75%), peaking at 4.25% in December 2027 and remaining at 4.25% through 2028 before returning to 3.75% in 2029. Hence, we have brought forward our OCR profile by two meetings.

RBNZ Official Cash Rate



There is a lot of uncertainty about how the economic outlook will play out for obvious reasons. Hence, we think that it's easier to break down the entire interest rate cycle into two components: the initial move of the OCR from stimulatory levels to the neutral zone; and then what happens from there. For now, we suspect it will be easier to get a handle on the first part of the cycle. And indeed, the bar to starting the lift-off of the OCR towards neutral levels is likely a lot lower than moving the OCR above neutral and beyond.

The key focus for the MPC seems to be what the high-frequency data can tell them about the peak in inflation, but especially how persistent inflation pressures are likely to be. Top of mind are indicators of inflation expectations (especially medium-term expectations), firm pricing behaviour and wage growth trends. The reality is that little will be learned about wage setting trends for some time – and indeed stronger wage growth if in the offing is more likely a 2027 than a 2026 story. So, the focus should be on what we can learn from the monthly inflation expectations surveys, the Quarterly Survey of Business Opinion and monthly Selected Price Indices to see if there are signs of broad and potentially persistent inflation pressures.

Looking to the week ahead, there are several data releases to watch. On Monday, we'll get the March Business NZ PSI which will provide a snapshot of how the service sector has been tracking coming into the current period. Later in the week, we'll get updates on migration and house sales. The latter is likely to show that house price growth has remained muted, with abundant supply and upward pressure on borrowing costs keeping a lid on prices.

On Friday we'll get updates on both selected consumer prices and retail spending for March. Those releases will warrant close attention, with the impacts of the Middle East conflict likely to be evident. On retail spending, we're expecting a fuel-related rise in spending as prices rocketed higher over the month and many people rushed to fill their tanks ahead of further price increases. However, increased spending on essentials like fuel and groceries is weighing on spending in other areas such as hospitality. As a result, core (ex-fuel) spending is likely to be down. On the price front, March's Selected Prices update will show a sharp rise in fuel costs. The big question is how those costs are rippling through the economy more broadly. The full impact of those indirect fuel price rises won't be evident until later this year. However, we will see some early impacts, with airlines announcing large increases in domestic and international airfares during the month.

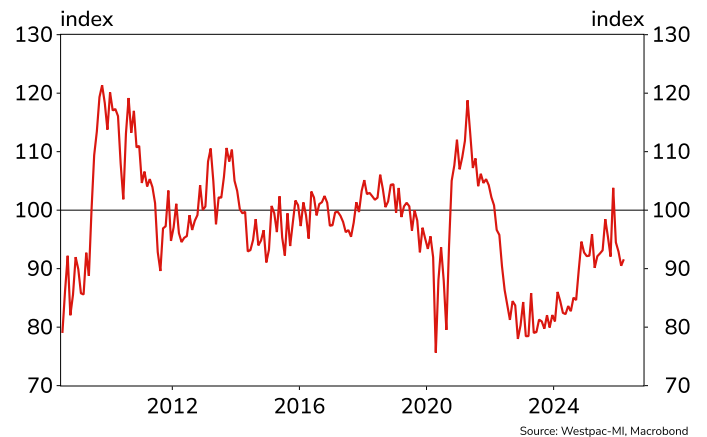
AUS: Apr Westpac-MI Consumer Sentiment (index)

Apr 14, Last: 91.6

Consumer sentiment edged 1.2% higher to 91.6 in March from 90.5 in February. The survey was conducted in the first week of the month, during the initial outbreak of conflict in the Middle East but prior to the RBA's 25bp rate hike in the third week of the month. While the survey as a whole showed a slight improvement, daily responses showed a material weakening over the course of the survey week with responses captured in the last three days of the week consistent with an index read of just 84.

The April survey is in the field over the week ending April 11. It will almost certainly show a decline with the Middle East conflict escalating (albeit with a ceasefire announced on April 8) and big spike in fuel prices (up +44c a litre vs last month). With last month's RBA rate hike and wider inflation fears also in the mix, sentiment looks primed for a sizeable fall.

Consumer Sentiment Index



AUS: Mar Labour Force – Employment Change (000s)

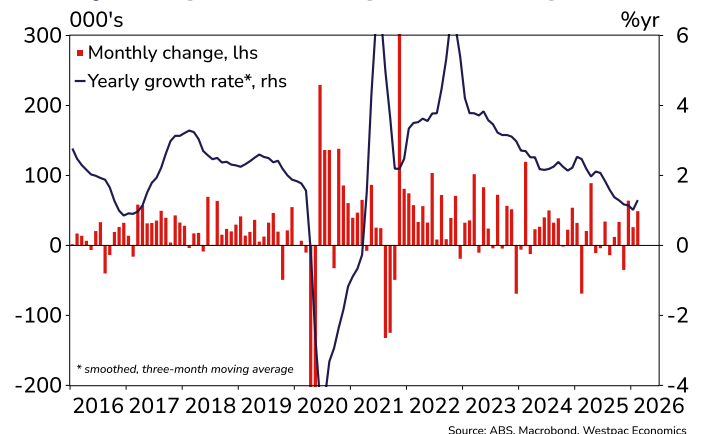
Apr 16, Last: 48.9, Westpac f/c: 25
Market f/c: 20.0, Range: 5.0 to 35.0

Feb's gain in employment was firmer than expected, but it was partly a result of a shift in seasonal patterns around marginally attached workers, resulting in softer Jan reads and stronger Feb reads for employment.

Having now moved past this seasonal dynamic, we have pencilled in a lift in employment of +25k for March – slightly firmer than the average gain over the preceding twelve months, reflecting the pre-conflict trend of firming employment growth.

The March survey was in the field from March 1 to 14. This will garner significant interest given it is the first official economic data release that overlaps the Middle East conflict. However, it is far too early to detect any meaningful shift in broad labour market conditions in response. See our preview [here](#).

Employment growth moving past its trough



AUS: Mar Labour Force – Unemployment Rate (%)

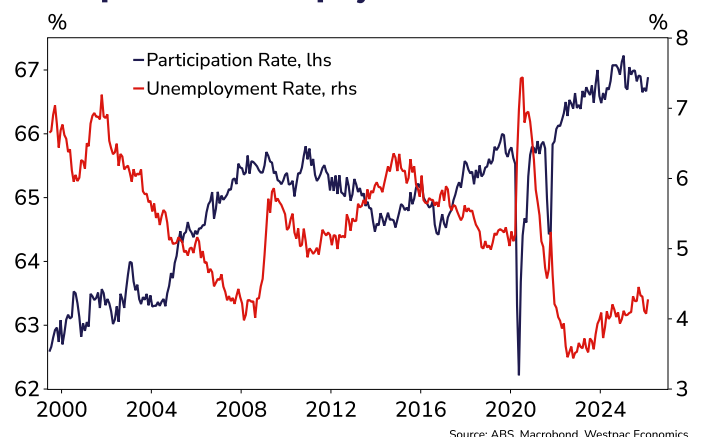
Apr 16, Last: 4.3, Westpac f/c: 4.2
Market f/c: 4.3, Range: 4.2 to 4.4

The unemployment rate lifted from 4.1% over Dec/Jan to 4.3% in Feb, taking it back to the levels seen through most of the second half of last year. The increase was mainly due to a lift in the participation rate, from 66.7% to 66.9%.

Lower prints for unemployment around in Dec/Jan came from lower labour force participation – while employment growth was weak, growth in the size of the labour force was even weaker, resulting in apparent 're-tightening'.

For March, we have pencilled in a slight dip in the participation rate to 66.8%, seeing the unemployment rate tick down to 4.2%. Looking further ahead, we think the unemployment rate will rise to 5% by year-end. See our preview [here](#).

Participation and unemployment rates lift

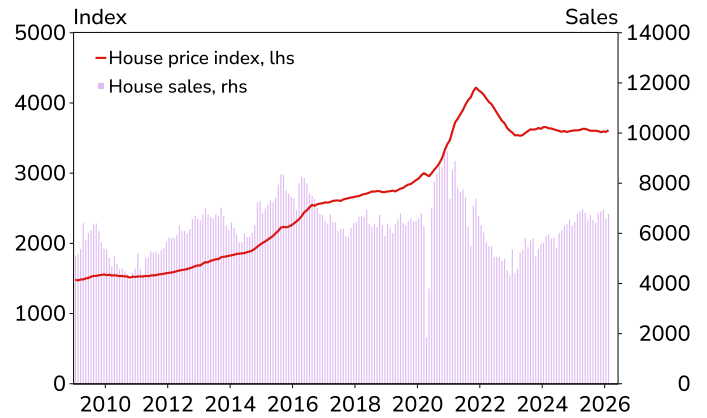


NZ: Mar REINZ House Sales and Prices (%yr)

Apr 15, Sales last: 0.3, Prices last: 0.0

February was a perkier month for the housing market, with a lift in the number of sales and a 0.6% seasonally adjusted rise in prices. However, neither measure has escaped from the generally sideways trend of the last year or so. Low mortgage rates are supporting demand, but the ample supply of homes on the market, low population growth and falling rents mean that there is a lack of pressure on house prices. The move higher in fixed-term mortgage rates in recent months has likely weighed on investor sentiment as well.

REINZ house sales and prices

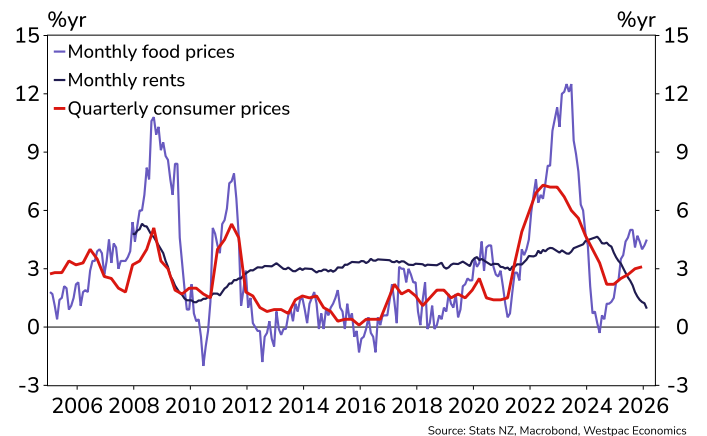


NZ: Mar Selected Prices (%mth)

Apr 17

The SPI covers around 50% of the full CPI (out 21 April) and will provide an early read on how the Middle East conflict has affected inflation pressures. Petrol prices are estimated to be up 20% over the past month with diesel prices up 50%. Importantly, those higher fuel prices have been flowing through to other prices. While the full impact of those indirect price rises won't be evident until later this year, March did see large increases in domestic and international airfares. There could be some related softness in other prices, like holiday accommodation, but that would only offset a small proportion of the other cost increases were seeing. On the housing front, we're expecting to see continued softness in rents.

NZ selected consumer prices

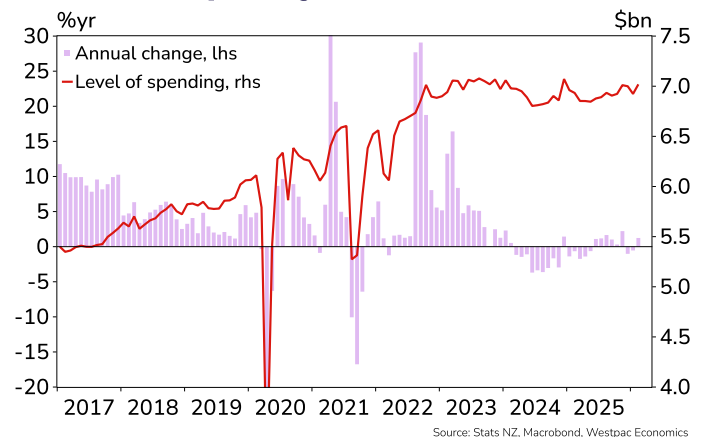


NZ: Mar Retail Card Spending (%mth)

Apr 17, Last: 1.4, Westpac: 0.5

We're expecting a 0.5% rise in retail card spending in March. But underlying that is an ugly breakdown of spending across categories. Underpinning the expected rise in spending is the large increases in petrol and diesel prices over the past month as a result of the Middle East war. We also saw households rushing to fill tanks and keep them full. We're also expecting a pick-up in grocery food spending, in part due to concerns about shortages which saw some households stocking up. However, core spending (ex fuel) is likely to be down over the month, with higher fuel prices and increased spending on essentials likely to see households reining in their spending in discretionary areas. In particular, we expect a sharp fall in hospitality spending.

NZ retail card spending



China: Q1 GDP

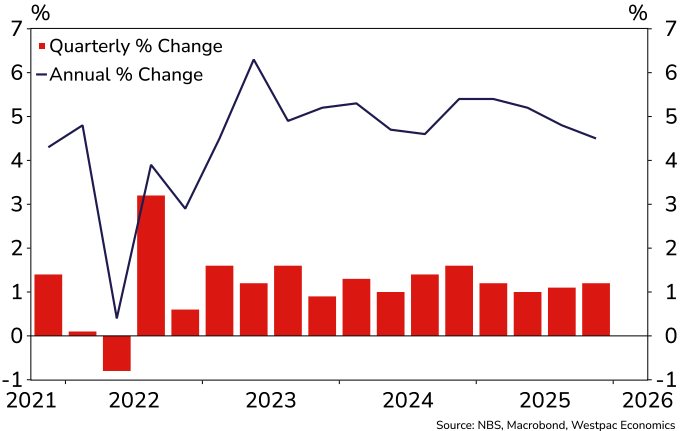
Apr 16, %y/y, Last: 4.5%, Mkt f/c: 4.8%, WBC f/c: 4.8%

China’s authorities achieved their 5.0% growth ambition in 2025, albeit with an abnormally large contribution from net exports and despite persistent weakness in household demand. Given the scale of their trade surplus and China’s dominant position in global manufacturing, such a feat will be very difficult to repeat in 2026 and beyond.

This year, growth is likely to be softer, closer to 4.5% than 5.0%, and will increasingly rely on the consumer and domestically-focused investment (housing and infrastructure) as trade provides support only at the margin.

In getting a read on growth opportunities in 2026, the monthly activity data to March will be as important as the GDP detail. This is true both for the baseline view and the risks.

2025 target achieved; 2026 at risk



What to watch

For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 13						
NZ	Mar	BusinessNZ PSI	index	48.0	–	– Began the year on a contractionary heading.
Jpn		BoJ Governor Ueda	–	–	–	– Speaking at Trust Companies Conference.
US	Mar	Existing Home Sales	%mth	1.7	0.1	– Low turnover in established market reflects rate pressures.
Tue 14						
Aus		RBA Deputy Governor Hauser	–	–	–	– Fireside chat at NYU, at 8:45am AEST.
	Apr	Westpac–MI Consumer Sentiment	index	91.6	–	– Will capture the full reaction to US-Iran oil price shock.
	Mar	NAB Business Conditions	index	7	–	– Conditions on shaky footing, confidence evaporating.
NZ	Feb	Net Migration	no.	4460	–	– Recent signs of an uptick, though data is prone to revisions.
Jpn	Feb	Industrial Production	%mth	–2.1	–	– Final estimate.
US	Mar	NFIB Small Business Optimism	index	98.8	–	– Acute risks facing small businesses amid uncertainty.
	Mar	PPI	%mth	0.7	1.2	– Wholesale inflation already lifting pre-conflict.
		Fedspeak	–	–	–	– Goolsbee.
Wed 15						
NZ	Mar	REINZ House Prices	%yr	0.0	–	– Prices remain muted despite low mortgage rates...
	Mar	REINZ House Sales	%yr	0.3	–	– ...with an ample supply of homes available for sale.
Jpn	Feb	Core Machinery Orders	%mth	–5.5	–1.1	– Exceptionally volatile, but was on a firmer footing pre-conflict.
Eur	Feb	Industrial Production	%mth	–1.5	0.4	– PMIs pointing to a slowdown in industrial activity.
US	Apr	Fed Empire State Manuf Survey	index	–0.2	–	– Blizzards impact, but high-tech skew is paying dividends.
	Mar	Import Price Index	%ann	1.3	–	– Headline vs. ex petroleum will give sense of scale.
	Apr	NAHB Housing Market	index	18.1	–	– Surge in fuel costs rubs salt in the wound for homebuilders.
		Federal Reserve's Beige Book	–	–	–	– Update on conditions across the districts.
		Fedspeak	–	–	–	– Bowman.
Thu 16						
Aus		RBA Deputy Governor Hauser	–	–	–	– Panel participation at IIF Forum, 6:00am AEST.
	Apr	MI Inflation Expectations	%ann	5.2	–	– Fuel price shock is salient to consumers.
	Mar	Employment Change	000s	48.9	20.0	25 The first 'hard' economic data since conflict begun, but it ...
	Mar	Unemployment Rate	%	4.3	4.3	4.2 ... will take longer for labour market weakening to take hold.
		RBA Assistant Governor Hunter	–	–	–	– Panel participation at IMF Spring Meetings, 4:30am AEST.
Chn	Q1	GDP	%ann	4.5	4.8	4.8 Growth expected to remain sub-5% on an annual basis.
	Mar	Retail Sales	ytd %yr	2.8	–	– Lunar New Year muddies the read on local consumption ...
	Mar	Industrial Production	ytd %yr	6.3	–	– ... but its clear that foreign demand remains a key support.
	Mar	Fixed Asset Investment	ytd %yr	1.8	2.0	– Cooling in high-tech manufacturing investment largely done.
Eur	Mar	HICP Inflation	%ann	2.5	2.5	– Final estimate.
UK	Feb	Monthly GDP	%mth	0.0	–	– Shaky start to the year, before conflict impacts.
US		Initial Jobless Claims	000s	–	–	– Still at a low level versus history.
	Apr	Phily Fed Manufacturing	index	18.1	–	– Continues to outperform all other regions.
	Mar	Industrial Production	%mth	0.2	0.1	– Set to slow near-term given fuel intensity of industry.
		Fedspeak	–	–	–	– Williams.
Fri 17						
Aus	Q1	Westpac-Now	%qtr	0.6	–	– Refined Q1 GDP growth nowcast.
NZ	Mar	Selected Price Indices - Food	%mth	–0.1	–	0.3 Grocery food price pushing higher.
	Mar	Selected Price Indices - Rents	%mth	–0.1	–	0.1 Very weak, with the demand-supply balance favouring tenants.
	Mar	Retail Card Spending	%mth	1.4	–	0.5 Core spending to fall, as higher fuel price constrain spending.
Eur	Feb	Trade Balance	€bn	12.1	–	– Maintaining a solid surplus despite trade disputes.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.66	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.97	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	67	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.30	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.49	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	39	45	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7069	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5848	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.25	156	155	154	152	150	148	146	144	142
EUR/USD	1.1690	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3418	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8320	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2089	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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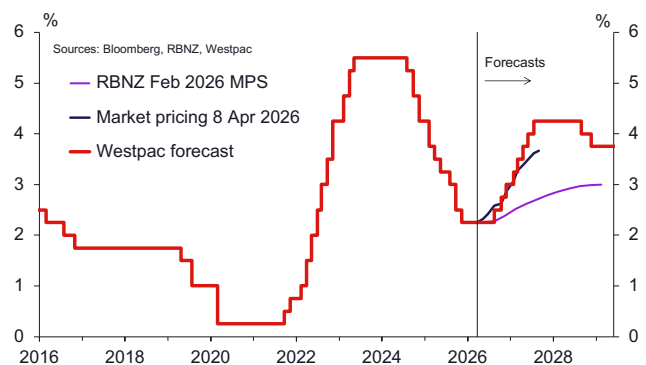
RBNZ April 2026 Monetary Policy Review and change of call.

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RBNZ to tighten in September

- As widely expected, the RBNZ retained the OCR at 2.25%. There was no vote, with the decision reached by consensus.
- The commentary was hawkish as concerns of rising second-round inflation pressures were quite prominent.
- The MPC debated the options of an earlier vs later beginning to interest rate normalisation. Interest rate cuts were not discussed.
- An earlier start was described as May or July. A hike was discussed as an option today, but the Governor said that the MPC was not close to hiking at this meeting.
- The RBNZ's short-term inflation forecast is now 4.2%/y in June 2026 – higher than before, but close to our 4.1% forecast.
- We have pulled forward our forecast for the first OCR hike from the RBNZ to September (previously December).
- The balance of risks is towards an earlier start to hikes than September, should evidence of second-round inflation impacts accumulate.

Official Cash Rate forecasts



OCR retained at 2.25% but coupled with a hawkish outlook.

The RBNZ kept the OCR unchanged at 2.25% as expected. There was no vote, with the decision reached by consensus. However, the Bank's commentary adopted a more hawkish tone than expected. There was no discussion of needing to cut the OCR despite acknowledging that, at least in the short term, there would be greater excess capacity than previously thought. Rather, the debate was between:

- a "a pre-emptive response to medium-term inflation pressures could guard against the risk of inflation expectations becoming unanchored"; or
- a gradual increase in the OCR towards "more neutral levels" to reduce the risk of "reacting to higher near-term inflation and accentuating weakness in the real economy and labour market".

In the press conference the Governor noted that the MPC discussed the possibility of raising the OCR at this meeting, but there had been "no strong advocate" for doing so.

We interpret the more gradual path as being something akin to the late 2026 lift-off date that we have been forecasting, and that the RBNZ largely had in mind at the February meeting. A pre-emptive response likely implies something faster that begins by September but could come sooner than that, should evidence of second-round inflation impacts begin to accumulate. Indeed, the Governor indicated that the pre-emptive approach could have been a tightening in May or July. More dovish members were uncomfortable with the risks of that.

Key evidence that the RBNZ seeks seems to be in the form of anecdotal evidence on pricing and wage setting behaviour combined with higher frequency evidence on price setting, costs and inflation expectations coming from monthly surveys. We think it likely that at least some evidence along these lines will accumulate given the broad-based cost shock that the economy is facing. As a result, an earlier than December beginning to the tightening cycle looks much more likely now.

Hence, we are bringing forward our existing 25bp per meeting tightening profile to begin in September. The OCR will thus end 2026 at 3% and reach the previously expected 4.25% peak earlier, in September 2027. Easing is forecast to begin a year later in September 2028 with the neutral OCR reestablished in December 2028.

An earlier start than September should not be ruled out. And given it's likely easier to explain the tightening profile in a Monetary Policy Statement meeting than the bias is likely for an earlier move to come in May versus July. The key question is: will sufficient evidence of second-round inflation impacts have accumulated by then? We think that's still an open question at this point.

Key quotes from the press release and Record of Meeting were:

"The Monetary Policy Committee is focused on ensuring that inflation returns to the 2-percent target midpoint over the medium term. This requires core inflation and wage growth to remain contained and medium- and long-term inflation expectations to remain around 2 percent. If these conditions are not met, decisive and timely increases in the OCR would be required."

"The outlook for medium-term inflation pressures depends on the size and persistence of the inflationary impulse stemming from higher oil prices and the extent to which it is offset by weaker demand in the economy."

"If the increase in near-term inflation is largely temporary, the Committee envisages gradually moving the OCR to more neutral levels as activity recovers and near-term inflationary pressures dissipate. However, any signs of significant second-round inflationary effects or increases in medium-

term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations."

"On the timing of any increase in the OCR, members discussed that a pre-emptive response to medium-term inflation pressures could guard against the risk of inflation expectations becoming unanchored and reduce the extent of second round price increases."

"Conversely, the Committee noted the risk of reacting to higher near-term inflation and accentuating weakness in the real economy and labour market. Members noted that this could cause unnecessary volatility in output and employment if the conflict was resolved in the near term or if the economic outlook weakens by more than currently expected."

The RBNZ's initial thoughts on the near-term outlook.

The RBNZ provided updated inflation forecasts for the next two quarters. This is a change from their usual practice of not releasing updates to their forecasts at interim reviews and reflects that recent geopolitical developments have in the RBNZ's words *"materially altered the outlook and the balance of risks for inflation and economic growth"*.

The RBNZ now expects inflation of 3% in the March quarter (previously 2.8%), rising to 4.2% in the June quarter (previously 2.7%). Those updated figures are close to our own forecasts. The RBNZ did not provide forecasts further ahead.

The RBNZ has noted that higher energy costs will push up other prices in the economy. However, longer term impacts on wage and price setting (aka. 'second round impacts') are expected to be constrained by weak demand at this stage. This is a key area of uncertainty and one where the RBNZ will be watching closely for signs that longer-term inflation pressures are increasing. Indeed, the RBNZ went on to note that *"any signs of significant second-round inflationary effects or increases in medium-term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations. The Committee is vigilant to these risks."*

While the RBNZ did not provide forecasts for other variables, they noted that the conflict and related increases in both operating costs and economic uncertainty will result in weaker activity in the near term. That's very much in line with our own thoughts.

Things to watch ahead of the next meeting.

The RBNZ's next policy review is on 27 May, when it will also publish a full Monetary Policy Statement (MPS) with refreshed forecasts (and probably some

alternative scenarios too considering the current level of uncertainty). How the RBNZ's stance evolves between now and then will depend on the path the Middle East conflict takes; what early indicators and anecdote suggest about the impact of the conflict on activity and inflation, both in New Zealand and abroad; and any developments in financial markets as a result of the conflict or other vulnerabilities triggered by the conflict.

As far as domestic economic indicators are concerned, we think the following are key ones to watch.

- **Q1 CPI** (21 April) and **April Selected Prices** (15 May): These pricing indicators will reveal the initial first-round direct and indirect impacts of the recent surge in fuel prices. They will provide some insight as to how high headline inflation might peak, but not about how long it will remain at elevated levels.
- **Q1 QSBO** (21 April) and **April/May ANZ Business Outlook** (30 April/27 May): Unfortunately, the data-rich QSBO survey was initially in the field very early in the conflict (it is unclear whether a breakdown of early and late responses will be released). Therefore, the ANZ surveys may provide a more up-to-date account of how businesses are responding to the conflict.
- **March/April PMI and PSI surveys** (mid-April/mid-May): These may provide some early insight regarding the likelihood of a contraction in GDP in Q2.
- **Q1 labour market surveys** (6 May): Employment and hours worked data from the HLFS and QES surveys will cast light on what momentum the economy had going into the conflict, while the LCI will cast light on underlying inflation pressures.
- **Budget 2026** (28 May): While the formal unveiling of the Budget comes the day after the release of the MPS, ahead of the Budget the RBNZ's MPC will receive a high-level briefing from the Treasury on what to expect at the macro level. Pre-Budget speeches and policy announcements may reveal more in the public sphere.

In addition to the above, we will be monitoring a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities. The RBNZ looks to also be focused on anecdotal evidence of business pricing and wage setting behaviour – although that will be harder to track.

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Week beginning 6 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Revised RBA rates view: two extra hikes, 4.85% peak, later reversal.

The Week That Was: Mixed messages.

Focus on New Zealand: Not hawkish. Not dovish. Balanced.

Forecast Update: we pencil in three more rate hikes this year and have posted our full baseline forecasts.

For the week ahead:

Australia: Household spending indicator, MI inflation gauge.

New Zealand: RBNZ Policy decision, manufacturing PMI.

Japan: Household spending.

China: CPI, PPI.

Euro area: PPI, retail sales, Sentix investor confidence.

United States: CPI, GDP, personal income, personal spending, PCE deflator, factory orders, consumer credit.

Global: Easter Monday, S&P Global Services PMIs.

Information contained in this report current as at 2 April 2026.

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Revised RBA rates view: two extra hikes, 4.85% peak, later reversal



Luci Ellis
Chief Economist, Westpac Group

We have revised our view of the outlook for RBA policy, adding two further hikes to the near-term profile and pushing out the eventual reversal. We now expect 25bp rate hikes at the 16 June and 11 August decisions, in addition to the 25bp hike we already expected at the May meeting. The peak for the cash rate is now expected to be 4.85%.

This shift reflects the longer disruption to and slower recovery in fuel supply assumed in the revised baseline forecasts we first published on [Friday afternoon](#), with the Strait of Hormuz essentially closed for eight weeks and traffic recovering only slowly after that. It also reflects the surprisingly rapid pass-through of higher fuel and other oil-derived product prices into other prices in Australia. We believe the RBA will respond to this pricing behaviour by tightening monetary policy by more than would have been needed absent that pass-through.

The halving of fuel excise, announced by national cabinet today, reduces the near-term outlook for headline CPI inflation, but a peak of 5.4%yr in June quarter remains likely. The announcement also does not affect prices of other oil-related products, including aviation fuel and various plastics, or any price increases from damage to gas and other production facilities in non-combatant Gulf states. Much of the second-round pass-through of prices is therefore likely to remain in place, and we continue to expect trimmed mean inflation to peak around 4%yr later this year.

The higher cash rate profile will weigh on Australia's economic outlook. Growth will be slower, especially consumption, and the labour market will be softer. We expect unemployment to peak around 5%, somewhat higher than the 4.7% peak we flagged last week. Headline inflation will dip below 2½% by mid 2027 and will remain in the lower half of the 2–3% target range through to 2028. Trimmed mean inflation will take a little longer to decline, but will be back in the target range in 2028.

A companion note, also to be released this afternoon, fleshes out the rest of the forecasts. The revisions incorporate the assumed longer closure of the Strait of Hormuz and other supply disruptions in the Middle East flagged last week. In addition, we have updated for the new profile for the cash rate, the changes to fuel excise and some other recent events.

Despite the weaker economic outlook and potential undershoot of the inflation target implied by these revised forecasts, we think the RBA will be slow to reverse this policy tightening and risks getting behind the curve in coming years. We push out the date for rate cuts and pencil in four rate cuts, one per quarter in February, May, August and November 2028. We have low conviction about the exact timing.

The RBA will have already been spooked by the way inflation kicked up late last year after it took back some of its earlier rate hikes (though the usual lags of policy imply that the cuts were not the cause of that increase in inflation). We therefore suspect that the unwind of the current policy tightening will involve something of a “one bitten, twice shy” mentality. Second-round pass-through to other prices and costs will only increase the RBA's reluctance to unwind the current policy tightening.

“we continue to expect trimmed mean inflation to peak around 4%yr later this year.”

We also believe the RBA's [evolving intellectual framework](#) will militate against an early reversal of these hikes. A supply shock such as the one the world is now facing should ordinarily be looked through to the extent possible, so long as longer-term inflation expectations remain anchored. Because it believes Australia is starting from a position of little spare capacity, though, the RBA sees the supply shocks as a potential reason to have both a restrictive stance of policy and to revise up its view of what constitutes restrictive policy.

The RBA has insisted that it retains its earlier strategy of holding onto as much of the post-pandemic employment gains as possible, subject to meeting the inflation target. While inflation was actually in the 2–3% target range for part of last year, underlying inflation did not get all the way back to the 2½% target midpoint before lifting again. This is clearly being interpreted in some quarters as inflation having been above target continuously. The Monetary Policy Board will therefore want to demonstrate its commitment to returning inflation back to target expeditiously and its willingness to do what it sees as necessary to achieve this.

As noted last week, there are risks on both sides of our revised baseline view. Iran is already letting some ships through the Strait, and it is possible that fuel supply recovers faster than we are currently assuming. It is also possible that a consensus forms domestically to resist second-round inflation, especially where the flow-on of higher costs to downstream prices could be construed as excessive. On the more inflationary side, it is possible that the war drags on longer, or domestic pass-through is stronger than we currently expect.

Forecast changes

- RBA now expected to hike rates three times (May, June, August), revised up from one more (in May) previously. Peak cash rate now 4.85%, above previous peak.
- Longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil now expected to peak at an average \$120/bbl in Q2 and Japanese LNG prices at \$26mmbtu.
- Australian CPI inflation now expected to peak at 5.4%yr in June quarter, and even higher on the monthly series, despite the announced cut to fuel excise. Trimmed mean inflation peaks around 4% in 2026 H2. Food prices a particular concern through to 2028, but broader pass-through to non energy prices also an issue.
- Supply shock and tight monetary policy drag on demand, especially consumption and other interest-sensitive sectors. GDP growth forecast to trough at 1%yr in 2026, and remain subdued at 1.6%yr in 2027; unemployment rate peaks at 5% end-2026.

Cliff Notes: mixed messages

Elliot Clarke, Head of International Economics

At the turn of the week, [Chief Economist Luci Ellis](#) and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20% of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the [March Monetary Policy Board meeting minutes](#), the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, [the Government's financial position](#) is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. [Cotality home values](#) increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. [Dwelling approvals](#) remained volatile in February, a

29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

“heightened inflation will remain an acute risk while transit and supply-chain disruptions persist”

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%mt. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

Not hawkish. Not dovish. Balanced.



Satish Ranchhod
Senior Economist

The RBNZ meets next week for its April Monetary Policy Review (Wednesday 8 April, NZ 2pm). As [discussed in our preview](#), in the absence of major developments in the Middle East over the coming days, the RBNZ is set to leave the Official Cash Rate (OCR) at 2.25%. However, rather than the immediate OCR decision, the key focus will be on how the RBNZ is balancing the significant challenges stemming from the conflict in the Middle East and what that implies for the longer-term policy outlook.

Since the RBNZ last met in February, the risks around the economic outlook have changed significantly. Economic growth in the final quarter of last year has already come in below the RBNZ's forecast. More significantly, disruptions stemming from the war in the Middle East mean that growth over 2026 is now also likely to fall well short of the RBNZ's previous forecast. We expect the economy to grow just 1.9% in the year to December, well below the February MPS forecast for growth of 2.8%. We also expect a higher track for the unemployment rate.

At the same time, inflation is set to run much hotter than the RBNZ had expected over 2026. [We're forecasting that inflation will peak around 4.1%](#) around the middle of this year before softening a little to 3.8% by year's end – well above the RBNZ's previous year-end forecast for 2.4%. Our stronger inflation outlook is mainly due to the direct impact of higher oil prices (i.e., higher prices for petrol and diesel). However, even if global oil prices were to drop back now, inflation is still set to linger above the RBNZ's forecast over the remainder of this year, as disruptions to supply chains and other related increases in costs of production will take time to dissipate.

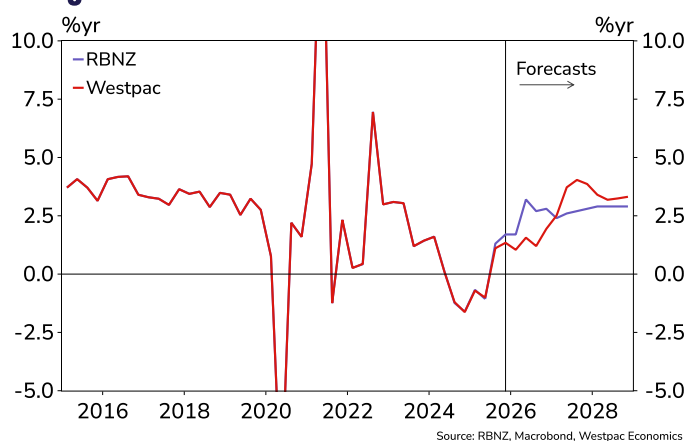
RBNZ Governor Breman has already outlined how she is thinking about those challenges in [a recent speech](#). That speech described an orthodox (and sensible) approach to monetary policy in the face of a supply shock, of which the current oil price is a typical example. The Governor noted that the RBNZ would not react to the immediate fuel-related lift in inflation. The RBNZ can't offset a rise in oil prices that has already occurred with higher interest rates now, but doing so would compound the downward pressure on growth. Furthermore, with interest rates taking around 12 to 18 months to have their maximum impact, hiking rates now would potentially result in an even deeper fall in inflation at the same time as the eventual falls in oil prices will naturally pull it lower.

Instead, the focus for the RBNZ will be the longer-term outlook for inflation. And this is where things start to get murky. The key issue for the RBNZ is whether the current

sharp rise in prices will have lingering effects, resulting in higher inflation even when oil prices eventually ease. That could occur if businesses come to expect continued large increases in operating costs and raise their prices accordingly. There's also the risk that we see demands for higher-than-normal cost-of-living increases as workers try to recoup the current loss of spending power. Both of those risks are very plausible given that we've recently been through an extended period of high inflation and related pressure on businesses' operating costs. And if those risks do materialise, the current uplift in inflation could end up being much more protracted.

It will take some time before we know whether those longer-term inflation risks (sometimes referred to as 'second round' impacts of an oil price shock) are manifesting. The starting point for the economy is important on this front and provides some cause for optimism. Soft activity in recent years has left the New Zealand economy with a high level of spare capacity, including a higher-than-average unemployment rate. That will limit the ability to push through larger increases in output prices or wages (though that does also imply related pressure on margins and households' purchasing power).

GDP growth forecasts



We are already seeing reports of businesses raising their prices due to the direct impact of increases in fuel prices on their operating costs (e.g., higher fares and fuel surcharges within the land transport industry). Perhaps of more concern for the RBNZ, the latest ANZ Business Outlook Survey (which was conducted following the outbreak of the war) showed a sharp rise in inflation expectations, along with increases in the number of businesses who said they are planning to increase their prices. That said, given the outlook for inflation, it would

be surprising if surveyed inflation expectations did not rise in the near-term. Some comfort might be taken from firms' expectations for wage growth. These remained muted in the survey, suggesting that firms are not expecting current cost increases to feed a wage-price spiral.

The RBNZ's discussion of how its balancing the impact on growth and near-term inflation will be crucial for how markets react next week. Markets have been very focused on the rise in inflation pressures and related hawkish comments from other central banks. That's seen financial markets also pulling forward expectations for rate hikes here: at the time of writing, market pricing was consistent with an 60% chance of an OCR hike in July, and just over two hikes are priced in before the end of the year.

In its communications on 8 April, the RBNZ will balance a desire to avoid a further tightening of financial conditions with the desire to not sound complacent about the medium-term inflation risks that come with an energy price shock. Reinforcement of the approach communicated in Governor Breman's speech guidance should continue to lean against the market's current pricing for earlier rate hikes, especially as liquidity issues in the domestic market continue to ease. We continue to forecast just one 25bp hike this year, but also that significant tightening will occur in 2027 once the activity implications of the energy shock begin to dissipate.

The RBNZ's guidance about what to expect at future meetings will also likely echo the Governor's speech. In crafting this guidance, the MPC will aim to reassure markets that it will not overreact to the shock, which could cause markets to further tighten financial conditions. At the same time, the RBNZ will need to ensure it sounds credible to households and businesses about its willingness to tighten policy if inflation expectations and pricing behaviour evolve in a manner inconsistent with achieving the inflation target over the medium-term. While monetary policy should look through a temporary spike in energy prices, the MPC will need to be vigilant – and be seen to be vigilant – against the risk that inflation becomes persistent.

As we discuss in our latest [Hawks, doves, and kiwis](#) note, there are clearly risks on both sides for the OCR. Governor Breman's recent speech did draw on feedback from other MPC members, but there could still be a range of views among the Committee. Furthermore, this is a fast-changing situation. And with inflation pressures continuing to build over the past few days, even more dovish or balanced members of the MPC could start to change their assessments of risks. With that in mind, the Record of Meeting accompanying next week's interest rate review will be monitored closely to see where the members of the Committee see the risk. Key areas where the views of the Committee could diverge include the likely duration of the conflict, the impact on the economy, the likelihood of second-round effects driving persistent inflation over the medium-term, and the appropriate course

for monetary policy over time. Such discussions might provide some insight into how the consensus view of the MPC might evolve as more is learnt about the evolution of the conflict and its economic impacts.

As part of her efforts to improve central bank transparency, Governor Breman has introduced a full press conference at interim reviews, and this will be the first review under that new framework. Historically, the RBNZ has not released updated forecasts at review meetings, and instead released them at the more complete quarterly updates. However, given the large changes in the economic landscape in recent weeks, the RBNZ is likely to discuss the risks around their previous forecasts. And we wouldn't rule out the chance that they could release some initial forecasts of key variables, like GDP, inflation, and the OCR.

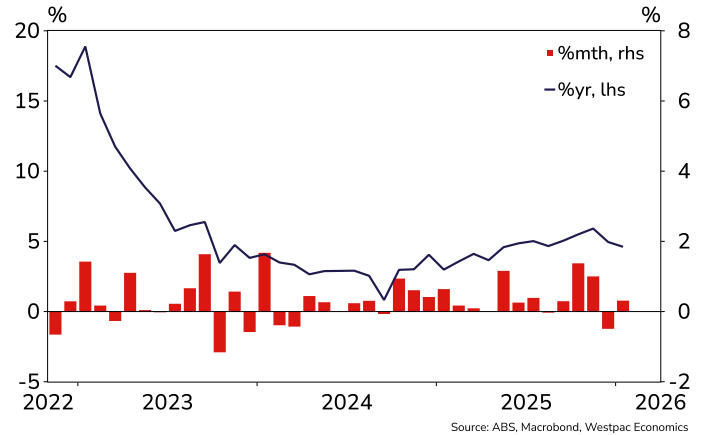
AUS: Feb Household Spending Indicator (%mth)

Apr 7, Last: 0.3, Westpac f/c: -0.2
Mkt f/c: 0.2, Range: -0.2 to 0.4

The Household Spending Indicator rose 0.3%_{mth} in January, in line with its average monthly pace over the past two years. Annual growth eased back to 4.6%_{yr}, having averaged just over 5%_{yr} through the second half of 2025.

The detail from our **Westpac-DataX Card Tracker** suggests the ABS spending indicator will show a dip for the February month. Our forecast 0.2% decline in the month would take annual growth to 4.2%_{yr}. With population growth tracking at 1.6%_{yr}, the 2.6%_{yr} pace in per capita terms this points to a slight decline in real, inflation-adjusted terms. Of course, all of this pre-dates the Middle East conflict and associated fuel price surge. Our card tracker shows this has already seen significant disruptions to activity in March (see [here](#)).

Monthly household spending indicator

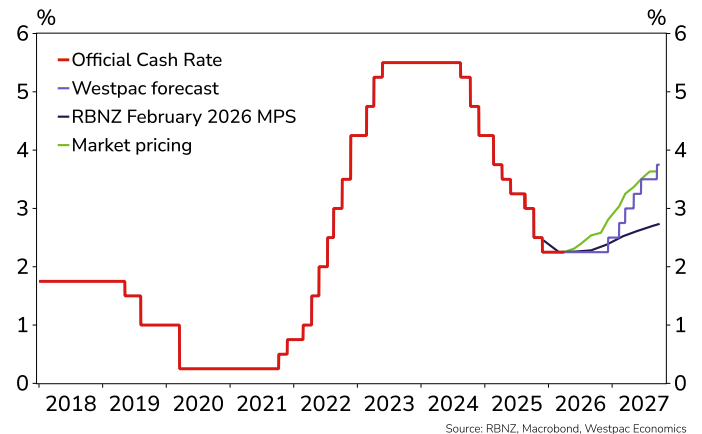


NZ: RBNZ Monetary Policy Review

Apr 8, Official Cash Rate – last: 2.25%, Westpac: 2.25%, Market: 2.25%

We expect the RBNZ to hold the OCR at 2.25% at its 8 April review. We expect the RBNZ to emphasise that it will not react to the first-round impact of higher energy prices on near-term inflation, but that it will respond should there be evidence of second round effects that might create persistent inflation. The Bank is not scheduled to present revised economic projections at this meeting. However, it is possible that the RBNZ will provide some guidance of the likely magnitude of the upward revision to near-term inflation and downward revision to GDP.

RBNZ Official Cash Rate



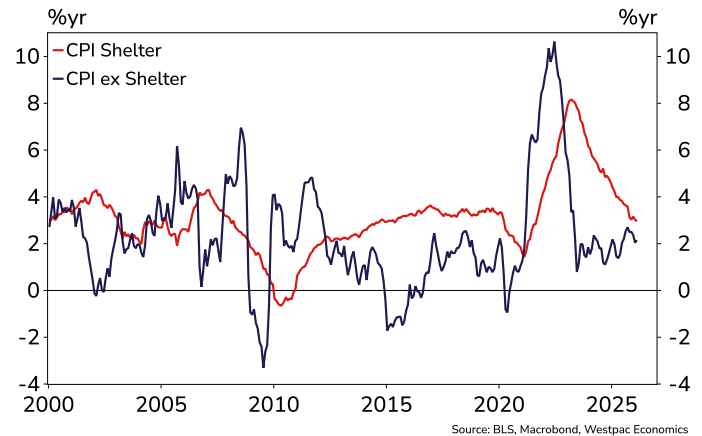
US: Mar CPI

Apr 10, %m/m, Last: 0.3%

February saw a 0.3% increase in headline consumer prices as both food and energy contributed to the aggregate impulse. The gain for core prices was measured at 0.2%, although that means underlying inflation continues to run meaningfully above the FOMC's 2.0% target on both an annual and annualised basis.

March is likely to see a material step up in headline inflation as the Middle East conflict shocks energy prices higher. Firms may also take the opportunity to push through additional increases to strengthen margins. All the while, capacity pressures continue to hold up price growth for services, and the weaker dollar and tariff costs support core goods pricing. Inflation risks will remain a lasting concern for the FOMC.

Domestic pressures persist; energy to jolt



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
US	Mar	ISM Services PMI	index	56.1	54.9	–	Confidence shock could arrest the upturn in services activity.
World		Easter Monday	–	–	–	–	Markets closed.
Tue 07							
Aus	Mar	MI Inflation Gauge	%ann	3.6	–	–	Will kick materially higher given the fuel price shock.
	Mar	ANZ–Indeed Job Ads	%mth	3.2	–	–	Labour demand is stabilising, but outlook is cloudy.
	Feb	Household Spending Indicator	%mth	0.3	0.2	–0.2	Card activity suggests momentum is pulling back in early-26.
NZ	Mar	ANZ Commodity Prices	%mth	4.2	–	–	Overall index up due to dairy prices, others mixed.
Jpn	Feb	Household Spending	%mth	–1.0	–1.3	–	Households on fragile footing, even before Middle East.
Eur	Apr	Sentix Investor Confidence	index	–3.1	–5.2	–	Global inflation and growth risks do not bode well for confidence.
US	Feb	Durable Goods Orders	%mth	0.0	–	–	Businesses may delay investment plans amid uncertainty.
	Mar	NY Fed 1-Yr Inflation Expectations	%ann	3.0	–	–	Surge in fuel prices will have a salient impact on expectations.
	Feb	Consumer Credit	\$bn	8.1	–	–	On a firmer trend compared to this time last year.
		Fedspeak	–	–	–	–	Goolsbee.
World	Mar	S&P Global Services PMI	–	–	–	–	Final estimates for Eurozone and UK.
Wed 08							
NZ		RBNZ Policy Decision	%	2.25	2.25	2.25	Key focus will be the discussion of longer term risks.
Eur	Feb	PPI	%ann	–2.2	–	–	Producer price deflation may reverse over coming months.
	Feb	Retail Sales	%mth	–0.1	0.2	–	Choppy over recent months, but annual growth is lifting.
US		FOMC Meeting Minutes	–	–	–	–	Deliberations around conflict risks will be a key focus.
Thu 09							
US	Feb	Personal Income	%mth	0.4	–	–	Income growth continues to outpace inflation, allowing ...
	Feb	Personal Spending	%mth	0.4	–	–	... real consumption to maintain stable growth, but the war ...
	Feb	PCE Deflator	%mth	0.3	–	–	... poses a material risk to both these trends near-term.
		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
	Q4	GDP	%ann'd	0.7	–	–	Final estimate closely watched given downward revisions.
Fri 10							
NZ	Mar	Manufacturing PMI	index	55	–	–	Watching for signs of easing as global pressures mount.
Chn	Mar	CPI	%ann	1.3	1.1	–	Temporary boost from Lunar New Year spend will abate ...
	Mar	PPI	%ann	–0.9	0.6	–	... overcapacity and subdued demand back in spotlight.
US	Mar	CPI	%mth	0.3	–	–	Authorities will be focused on second-round effects.
	Feb	Factory Orders	%mth	0.1	–	–	Conflict may put some investment plans on the back burner.
	Apr	Uni. Of Michigan Sentiment	index	53.3	–	–	Flailing sentiment puts consumer spending at risk.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (2 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.30	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.03	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	66	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.38	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.51	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.43	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.72	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	34	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (2 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6878	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5701	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.35	156	155	154	152	150	148	146	144	142
EUR/USD	1.1536	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3236	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9099	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2047	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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April 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

WESTPAC MARKET OUTLOOK

April 2026

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Ceasefires and blockades



It has now been 48 days since the US–Israel war on Iran began and the Strait of Hormuz has been effectively closed. On March 30 we revised our baseline assumptions for the conflict which has extended beyond our initial four-week assessment and now looks likely to run for the best part of eight weeks with a more gradual normalisation. Developments since then have been broadly in line with our refreshed baseline assumptions.

The two-week ceasefire announced on April 7 has seen markets become much more sanguine on the prospect of a negotiated resolution. This has sustained despite the wide differences on critical issues, little substantive progress on the diplomatic front, both parties blockading the strait and oil prices still 35% above pre-conflict levels. The rebound in US and some Asian sharemarkets to pre-conflict highs is particularly noteworthy. The USD DXY index has also depreciated back to February levels with ‘risk-on’ currencies like the AUD again testing multi-year highs.

This is not to say that markets are overlooking the inflationary consequences of such a massive disruption to global energy supply. Bond yields remain elevated and are still well above pre-conflict levels, reflecting a material shift in the central bank policy calculus. Markets are no longer pricing in rate cuts from the US FOMC this year either – in line with our own view – although the weaker starting point for activity and the labour market means the possibility of some easing cannot be discounted. For Europe and the UK, expectations have swung from rate cuts to hikes given the materially larger risk of higher fuel costs transmitting throughout their economies.

The RBA stands out in that it was already raising rates before the conflict began, responding to a locally-driven lift in inflation. Now, with trimmed mean inflation expected to peak at around 4%yr later this year, the RBA will feel compelled to continue tightening policy further to lean against the pass-through of higher fuel costs into other prices and prevent a sustained rise in wider inflation expectations. We expect the RBA to deliver three more 25bp rate hikes in May, June and August, taking the cash rate well into restrictive territory.

Australia: The Australian economy is heading for an abrupt slowdown in 2026 as the energy supply shock impacts and a more persistent and problematic rise in inflation draws interest rate rises from the RBA. The bottom line is a very difficult year for the economy: trimmed mean inflation lifting to 4% by year-end, GDP growth stalling to just 1%yr and the unemployment rate rising towards 5%.

Middle East: We consider a ‘ceasefire’ scenario, with a higher initial reopening of the Strait at around 30% of pre-conflict shipping capacity. In such a scenario, production still takes significant time to normalise and shipping remains constrained – supply does not return to near normal levels until mid-2027. Even with this relatively stronger recovery earlier than in our base case, the damage has been done.

Commodities: Prices had a mixed March. Crude oil was broadly unchanged over the month, while LNG rose 9%. Aluminium and metallurgical coal gained 4% and 5% respectively while gold fell 7% and iron ore was flat. We now expect Brent to average US\$105/bbl in the June quarter, before easing back to around US\$75/bbl by year end.

Global FX Markets: Last month we highlighted that US dollar gains had been capped. Since then, despite several risk-off events emanating from the Middle East, this has remained the case. And, on murmurs of a resumption of negotiations, it has edged lower against an array of currencies.

New Zealand: The New Zealand economy has shown signs of building momentum before the conflict. As the length and severity of the conflict has become clearer, storm clouds have formed over the outlook. A period of weak growth and high inflation beckons, with the Reserve Bank noting an intention to act forcefully should signs of persistent inflation accumulate.

United States: Headlines tied to the US continue to focus on President Trump’s Middle East actions. Abstracting from this news storm, data suggest the US economy slowed below trend ahead of the conflict, leaving it at risk of stalling.

China: China’s economy has begun 2026 in good health despite the conflict in the Middle East. In time, recent developments are likely to prove a net positive for China, spurring greater demand for green technology across developed and developing markets.

Asia: Asia faces outsized vulnerability to the conflict due to its heavy reliance on energy imports and large agricultural workforces. Resilient currencies and the AI/semiconductor boom, should offer meaningful growth opportunities.

Europe & UK: The region is particularly sensitive to global energy prices. Petrol prices in the euro area are substantially higher than in other major economies, including Australia. Household utilities also bias up consumer inflation.

Markets try to fade geopolitical risks ...

Luci Ellis

Chief Economist, Westpac Group

The key factor for global growth, inflation and markets remains traffic through the Strait of Hormuz. Our baseline forecasts continue to assume a more-or-less full closure of the Strait for eight weeks, followed by a slow reopening. As part of that normalisation, we would need to see a recovery in traffic back into the Persian Gulf, as well as the departure of ships already there. While actual events may differ in the details, we believe this is the appropriate baseline for now. The parties to the conflict have shown some willingness to negotiate, and Iranian attacks on its neighbours have eased considerably since about April 10.

Financial markets have tended to take a 'glass half full' view of developments in the conflict, reacting strongly to positive news such as the ceasefire announcement in early April, but fading the bad news. Equity markets are mostly back to their pre-war highs, and the ramp-up in long bond yields has partly unwound.

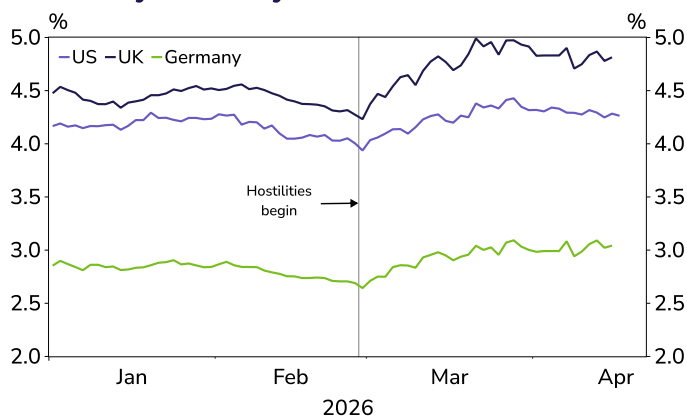
The shock to energy and other commodity prices is simultaneously inflationary and contractionary, an especially difficult combination for central banks to navigate. Markets initially focused more on the impact to inflation than growth: pricing for some major central banks' policy rates has at times implied multiple hikes, though this has been pared back since peaks in late March, partly in response to push-back from senior central bank officials. Pricing for RBA, Fed and ECB policy rates in December 2026 has pulled back roughly 25bp since their respective peaks, and roughly 50bps for the UK and Canada.

This still leaves roughly one 25bp rate hike priced in for the Bank of England and Bank of Canada, and two for the ECB and RBA. Prior to the war, markets were pricing the equivalent of roughly three 25bp cuts to the Federal funds rate, more than we thought reasonable given the underlying inflationary pressures in the US. These have now been almost fully priced out, consistent with our view that the Fed is on hold for now.

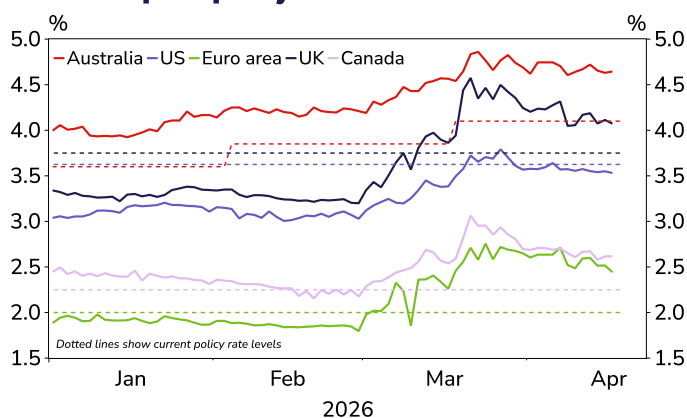
FX markets have also shown the tendency to fade geopolitical risk where possible. While the war has clearly been a 'risk-off' event, even at its trough, the AUD depreciated relatively little relative to past global risk events. At press time, it was already back around its pre-war peak levels against the USD.

Despite this, the RBA has repeatedly emphasised in its communication that it believes that the AUD's appreciation is entirely the result of the domestic rates outlook: it gives no weight to the idea that there has been a separate, secular sell-off in USD. While the latter could imply some additional disinflation risks that the RBA has not allowed for, they would likely only emerge in 2027 and would be swamped by the near-term shock to inflation coming from higher fuel prices.

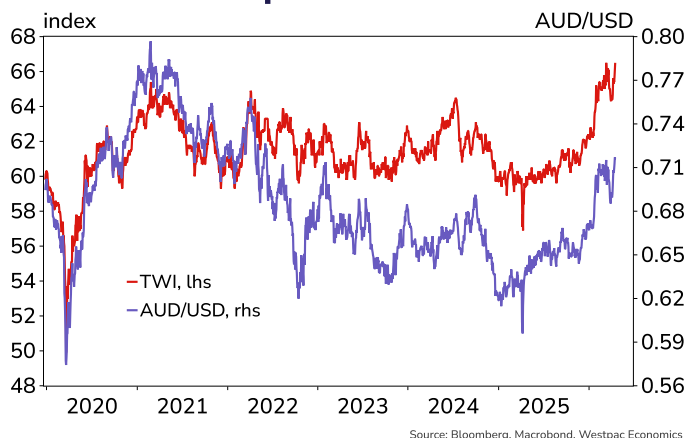
Global 10-year bond yields



Market-implied policy rates for December 2026



Australian dollar – spot USD rate and TWI



... while inflation is front of mind for RBA

In contrast to some of its peers, the RBA has done nothing to push back on hawkish market pricing for policy rates. This is partly because it was already hiking the cash rate before the war broke out. Inflation had bounced back above the RBA's 2–3% target range in the second half of last year. The inflationary pressure stemming from the energy prices and downstream costs adds to the imperative to get inflation down. A majority of the RBA's Monetary Policy Board (MPB) therefore voted to hike the cash rate in March, ahead of the trajectory that we had expected before the war broke out.

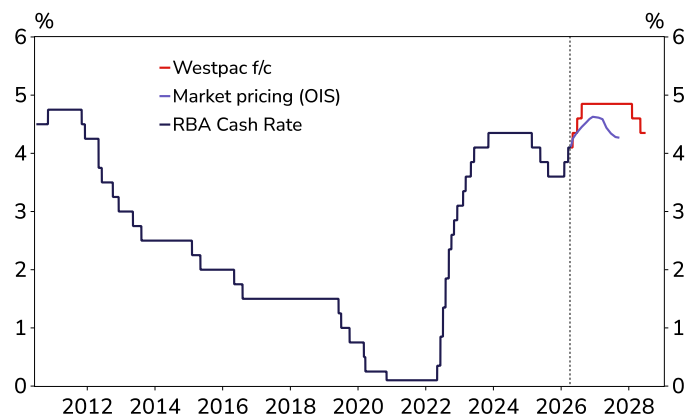
In the RBA's view, the Australian economy has little to no spare capacity. The labour market took a pause from its earlier gradual softening around the turn of the year. While the softening has resumed in the past couple of months, the unemployment rate remains at a level that the RBA believes is tighter than full employment. The RBA has also stuck to its view that productivity growth will trend at a slow 0.7% rate, taking no signal from the positive signs on this front in recent national accounts data. Consequently it believes that the economy can only grow by around 2% before sparking further inflationary pressures.

The size and pace of further RBA tightening turns on the balance between the adverse income shock from higher energy prices and their downstream effect on other prices. We have been concerned at how quickly higher fuel costs are being reflected in a broad range of other prices, and believe that the RBA is getting similar messages from its liaison program and business surveys. Unless and until it sees clear signs of a deterioration in domestic spending or the labour market, cash rate increases will be front-loaded. We continue to expect a further hike in May, with follow-ups in June and August; the risks around this view are two-sided. The timing of the eventual cuts is less certain, but we continue to expect that the RBA will be cautious about cutting rates given its recent experience.

Market participants appear to have absorbed the relatively hawkish stance of the RBA. An increase in headline inflation for the coming year is inevitable everywhere, and evident in inflation expectations as implied by both bond market breakeven rates and inflation swaps. Yet the 1yr–1yr forward rates implied by swaps have remained more anchored here than in the UK or Europe. While this might partly be a judgement about the weight of the subsequent unwind in fuel prices in headline CPI, it also suggests that market participants believe the RBA is less likely to look through the initial shock and likely to attempt to bring inflation back to target faster than its peers.

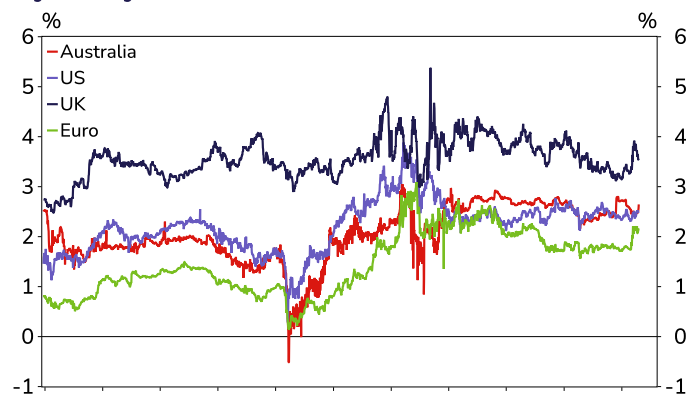
The more hawkish path implied by the RBA than major peer central banks is also reflected in the longer end of the yield curve. Real 10-year yields ratcheted up earlier in the year both in absolute terms and relative to peers, particularly the US. They also initially increased by more when war broke out, though this divergence has unwound since late March.

RBA Cash Rate



Source: RBA, Macrobond, Westpac Economics

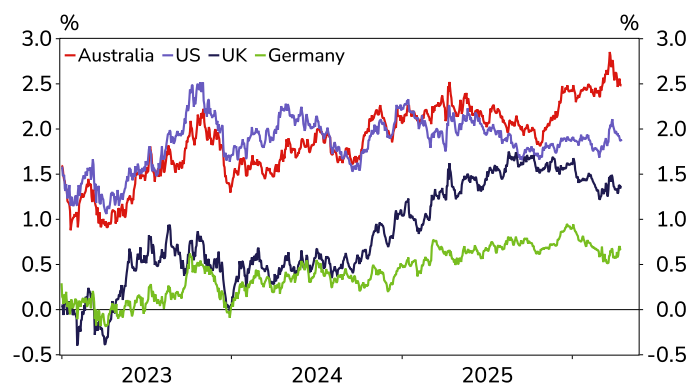
1-year-1-year forward Breakeven Inflation



Source: Bloomberg, Macrobond, Westpac Economics

Global Real Interest Rates

10-Year Inflation-Linked Bonds



Source: Bloomberg, Macrobond, Westpac Economics

All eyes on the consumer ...

Matthew Hassan

Head of Australian Macro-forecasting

After a relatively strong finish to 2025, the Australian economy is heading for an abrupt slowdown in 2026. Much of this is already in train – as set out in our last report, the re-tightening in monetary conditions in the first few months is now combining with a large global supply shock centred on energy that is set to see some combination of higher inflation and weaker growth. That shock now looks set to be bigger and more persistent. We [updated our forecasts late last month](#), moving to an assumed path that sees the Strait of Hormuz shut for eight weeks instead of four, and a more gradual six-month normalisation process for global energy supply. Notably, the revised path points to a more persistent and problematic rise in inflation locally with the RBA now expected to respond with two more 25bp rate hikes beyond the expected 25bp move in May, aimed at preventing a sustained rise in inflation expectations. The bottom line is a very difficult year for the economy: trimmed mean inflation lifting to 4% by year-end, GDP growth stalling to just 1%yr and the unemployment rate rising towards 5%.

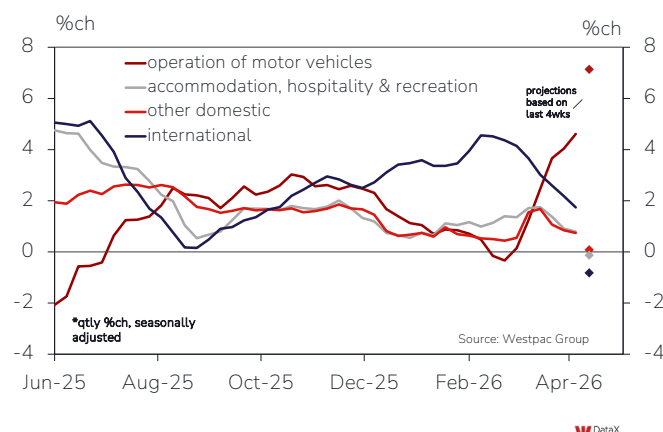
Needless to say, the situation remains highly uncertain in the Middle East. While our revised assumptions still look reasonable as we go to press, we will need to continue monitoring developments closely in coming weeks and months. To help understand the macroeconomic risks around our baseline we have set out some alternative scenarios and their consequences in more detail on px. One that we are paying particularly close attention to is the risk that global energy supply remains moderately impaired throughout 2027. Separately, a fire at a refinery in Victoria that accounts for around 5% of Australia's fuel supply will clearly exacerbate local shortages as well, although the scale of this disruption is still uncertain.

Westpac Card data shows clear weakening

Locally, households are at the forefront of the energy shock. Latest indicators show the spike in fuel prices is starting to squeeze incomes and discretionary spend, while a sharp fall in sentiment suggests there is more belt tightening to come.

Our **Westpac-DataX Card Tracker** is once again proving its worth. The measure monitors credit and debit card activity across the Westpac system with weekly reads available up to April 11. Over the six weeks since the beginning of Iran conflict, the average value of card transactions has been 0.3% higher than the six weeks prior. However, all of this has been due to a sharp 12% surge in fuel spend, 1.6ppt of which is from an initial rise in fuel transaction volumes as consumers brought forward purchases. Excluding fuel, the average value of activity has been 0.6% lower.

Westpac-DataX Card Tracker: fuel vs non fuel activity



Note that there had already been some slowing in activity through January and February, partly reflecting the shifting interest rate backdrop. For the March quarter as a whole, the value of card activity is up 1.2%qtr, a clear moderation on the average 2%qtr rise over the previous three quarters, with growth excluding fuel slower still at 0.9%qtr.

This likely represents a stalling in real, inflation-adjusted terms. That said, official ABS estimates of real consumer spending (due June 3) are likely to still show a positive result due to areas that are not well covered by the card data (changes to electricity rebates and vehicle sales in particular).

The full force of the shock will become more apparent as we roll into the June quarter. This is expected to see annual headline CPI inflation push above 5% with a 1.7% increase in the June quarter alone. With interest rate rises in the mix as well, real disposable income (after tax and interest) will contract materially. Consumers will likely reduce their savings rates as well but even allowing for this cushioning effect, real spending is expected to flat-line in the quarter, implying a 0.5% decline in per capita terms, similar but not quite as large as the string of per capita spending declines seen during the height of the 'cost of living' crisis in 2023–24.

Consumer sentiment crashes

That is broadly consistent with the picture from consumer sentiment. The **Westpac-Melbourne Institute Consumer Sentiment Index** fell heavily in April, declining 12.5% to 80.1. The move takes the Index back towards historical lows, albeit above the extremes seen at the onset of the pandemic and during the recessions of the early 1990s and 1980s.

... as energy shock impacts ...

The biggest falls were across components tracking assessments of current conditions although these remained a touch above the levels seen in 2022–24. However, consumers' near-term expectations also deteriorated sharply, suggesting they are bracing for more difficulties. Notably, most consumers – over 80% – expect mortgage interest rates to rise over the next year.

Notably, the shock is having a deeper impact on consumers' labour market expectations than the 2022–24 'cost of living' crisis. The **Westpac–Melbourne Institute Unemployment Expectations Index** jumped 9.7% to 147.8 in April (higher reads mean more consumers expect unemployment to rise). This is the worst read on job expectations since August 2020, one of the darkest moments of the COVID pandemic just before the Federal government significantly expanded its JobKeeper policy to prevent widespread job losses. While the index is still well below previous cycle peaks, which have been in the 160–180 range, the shift should be monitored closely. While the signal is not always a reliable guide to actual labour market outcomes, changes in consumers' sense of job security can still have a direct impact on their behaviour – the purchase of 'big ticket' durable items in particular but also house purchase decisions.

Business confidence also impacted

The energy shock is also reverberating through Australia's business sector. The March NAB Business Survey, which was in the field towards the end of the month, showed a steep fall in business confidence, down –29pts from a neutral reading in February (see [here](#) for more). This was the largest monthly decline since the onset of the COVID pandemic, and steeper than falls recorded at the height of the GFC.

The detail shows that while business conditions were steady, costs are starting to surge and already putting some pressure on profitability with a degree of pass-through to final prices as well. That said, labour demand looks steady for now.

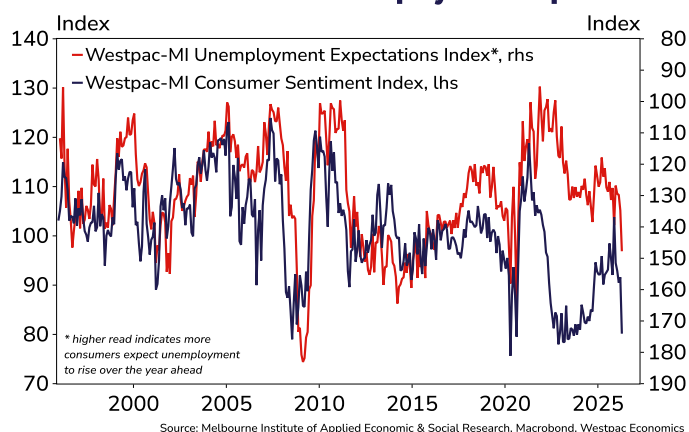
Economy-wide signal evolving slowly

Our **Westpac-Now** nowcast combines available measures into a timely gauge of economy-wide momentum. The latest reads suggest GDP growth has already moderated a touch to 0.6% in the March quarter. However the full effect of recent interest rate changes and the energy price shock have yet to really impact preliminary estimates for the June and September quarters. Within the framework of this measure, the sharp falls in sentiment need to be corroborated by other indicators to shift the wider signal (see [here](#)).

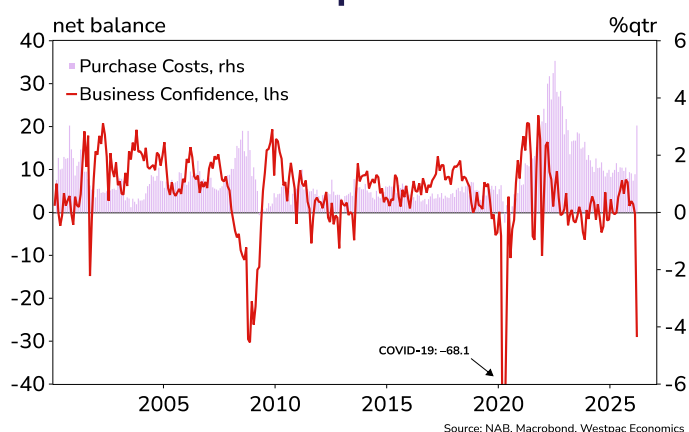
Both monetary and fiscal policy measures in play

Even timely measures of activity and sentiment are only just starting to capture the energy shock impacts. And as the card data highlights, there is likely to be significant volatility in some of these measures as the situation evolves and policy responds. A key part of this will be the response from central banks with a further interest rate tightening from the RBA

Consumer sentiment and unemployment expectations



Business confidence and purchase costs



expected to weigh again in coming months. The temporary halving in fuel excise tax (and state government decision to temporarily exempt fuel from GST), provision of concessional loans to impacted businesses and diplomatic representation by the Government to shore-up our fuel imports and supply, will also likely be followed by other fiscal measures, with the Federal budget on May 12 set to be a centrepiece.

Through all of this it should also be remembered that Australia's position as a net energy exporter means there will also be positives for our economy, flowing through our commodity export sector. The boost from this and higher inflation to tax revenues also gives governments more room to provide fiscal support measures than many countries have.

On monetary policy, the RBA's greater concern will be evidence of a more rapid pass-through of costs to prices, including in areas that are less heavily impacted by higher fuel costs. There have been numerous anecdotal reports of both temporary fuel levies and more permanent price changes being made.

... and policy and downstream prices respond

In the building space, there is firmer evidence of adjustments coming from price notification announcements. The chart below shows a simple average of these price adjustments where the size of changes (or range) has been given and the number of announcements across two major suppliers. The March and June quarters have seen over 300 products re-priced with an average increase of 12.6%. That is about double the number of notifications and well above the 5.5% average we were seeing through 2025 but less widespread than the adjustments through 2022. Of course, these very crude measures should be treated with caution – they are not nearly as systematic as the ABS price measures with no weighting being applied. Nevertheless they may be an early indicator that pricing behaviour and expectations are shifting. The RBA will no doubt be collecting more thorough and systematically measured evidence as part of its liaison round ahead of the May policy decision and Statement of Monetary Policy forecast updates.

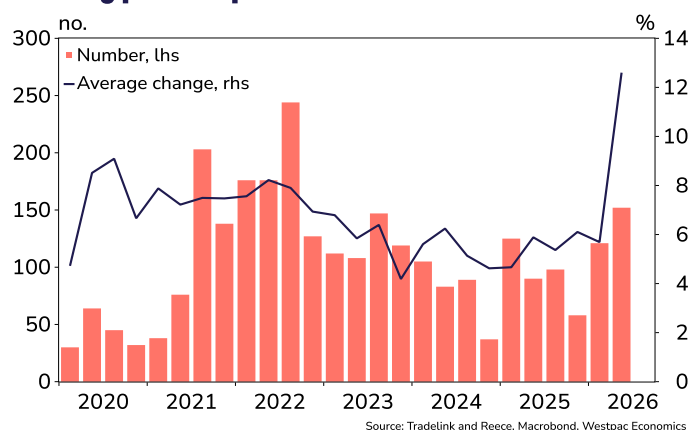
Oil price shocks in the past

While we wait for these developments to play out and the impacts to show through, what can we tell from history? There are of course precedents we can look to for energy shocks although, as always, there are limitations on the guidance these provide.

There have been six substantive energy price shocks since the early 1970s, relating to: the oil embargo in 1973; the Iranian revolution in 1979; the Iran–Iraq war in the early 1980s; Iraq's invasion of Kuwait in 1990; Hurricane Katrina in 2005; and Russia's invasion of Ukraine in 2022. All of these had different scales, profiles and contexts. Comparisons over longer time horizons also need to allow for the changing structure of our economy, including a significant reduction in energy intensity, the shrinking of fuel in total consumer spend and higher generalised inflation prior to the 1990s.

Amongst these, the 1970s shocks saw bigger fuel price rises with the 1979 shock the largest in real terms. Consumer sentiment dropped by a touch more through these periods

Building product price notifications



Source: Tradelink and Reece, Macrobond, Westpac Economics

compared to the fall recorded this month, consumption growth slowing by 2.5–3ppts with the wider economy ultimately entering recessions in the mid-1970s and early 1980s.

Energy shocks since then have been milder (particularly when viewed in real, inflation adjusted terms). There are again extenuating circumstances that limit their relevance to 2026: the invasion of Kuwait came just as the economy was moving into a deep recession for mostly unrelated reasons; the fuel price spike associated with Hurricane Katrina was very short lived; and the 2022 spike was in the context of a much larger and more pervasive shock to global supply chains coming out of COVID and an associated rapid tightening in monetary policy.

Consumption growth slowed sharply through all of these episodes but it is unclear how much of this was a direct consequence of energy price effects. Notably, the spending detail shows growth in fuel spend slowed by much more than non-fuel spend in real terms in 1990 and 2015 but by considerably less in 2022 (suggesting wider cost pressures and interest rate changes were the more substantive driver of that slowdown).

Energy price shocks: historical episodes

Peak to trough change	Oil embargo	Iran revolution	Iran–Iraq war	Iraq invasion of Kuwait	Hurricane Katrina	Russian invasion of Ukraine	Iran war
	1973	1978	1980	1990	2005	2022	2026
Automotive fuel, %chg							
– nominal	51	83	31	24	29	23	28
– real	8	55	17	21	24	14	23
Consumer sentiment, %chg	–13	–15	–4	0	–9	–19	–12
Consumption, real per capita, ppt change in annual growth							
Total	–2.9	–2.4	–0.1	–2.5	–1.2	–4.0	n.a.
– operation of vehicles	n.a.	–0.6	–6.8	–4.9	–7.5	–0.7	n.a.
– total excl. operation of vehicles	n.a.	–2.7	0.0	–2.4	–0.8	–4.3	n.a.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

An alternative path under a truce scenario ...

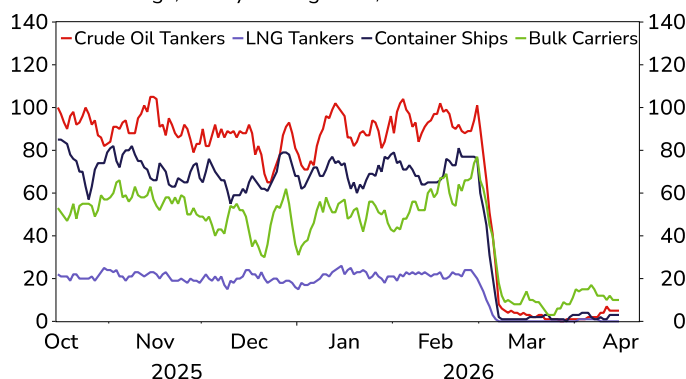
Sian Fenner

Head of Business & Industry Economics

A two-week ceasefire was agreed on 7 April, with a key stipulation being the immediate reopening of the Strait of Hormuz. This has not happened. In fact, following the failure to reach a broader agreement, the US moved to blockade vessels entering or leaving Iranian ports. This has meant that no crude or LPG carriers have transited the Strait over the past week. The loss of mostly Iranian oil, around 1.6mb/d destined to China, further exacerbates what the IEA has called the largest global oil supply disruption in history.

Strait of Hormuz, Outbound Vessels

Vessel Crossings, 7-Day Rolling Total, West to East



Encouragingly, outright hostilities have not restarted and negotiations are ongoing with talks of a further two-week extension of the ceasefire. However, as we have previously highlighted, any meaningful recovery in energy supply is dependent not only on the length of the conflict but how long it will take for production and shipping to return to normal. Shipping companies need time to re-establish vessel rotations and contractual delivery arrangements across energy and upstream industrial inputs. Oil production for several Gulf states also needs to recover given the estimated 10mb/d of shut-in production and damage to some facilities. To achieve any meaningful increase in physical oil flows will require a sustained improvement in security conditions and confidence.

We continue to monitor shipping movements and signs of any improved confidence among shipping and energy participants. However, as things currently stand the ceasefire, including any extension, does not materially change the near-term path. Our central case remains one where there is a gradual reopening of the Strait from May, with flows initially recovering to around 20% of capacity initially and only returning to near-normal levels in late 2026.

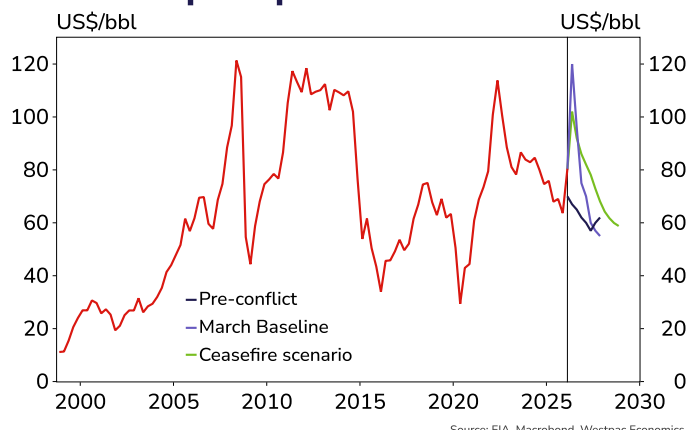
That said, the ceasefire has reduced the probability of severe escalation and given the extreme degree of uncertainty there are multiple plausible paths on both sides of our central case. We have published [several scenario iterations](#) since the conflict began that have looked at the impact of more extended disruptions. But there is also a path where meaningful progress around the ceasefire, coupled with the US continuing to clear mines, allows the system to begin preparing for reopening with shipping operators starting to reposition vessels. This could see some of the precautionary delays that have built up across the system start to unwind earlier than we currently have pencilled in.

Higher reopening but slower normalisation

In this scenario, we consider a higher initial reopening of the Strait. Supply-demand balance remains the key dynamic component, with persistent imbalances influencing realised prices. As with the base case and alternative scenarios, the physical supply path is built up from production shut-ins and flows through the Strait, with the transmission of higher oil prices to global energy demand captured via the globally integrated Oxford Economics model.

In this scenario, reopening begins at around 30% of pre-conflict shipping capacity. Brent crude spot prices shift lower, largely reflects an unwinding of the supply risk premium. Indeed, we saw this following the announcement of the ceasefire, when the June Brent contract hit a low of US\$90.40, down from the high at US\$111.80 in the lead up. This has already led us to lower our Q2 Brent crude spot price to an average US\$105/bbl versus US\$120 previously. In this scenario we would expect prices to peak slightly lower at closer to US\$100/bbl.

Brent Crude Spot Oil price scenarios



... but damage already done

However, oil prices for physical delivery, which matter for businesses and consumers, remain elevated at around US\$15 above the spot price, as it will still take time for physical supply to return to normal and reach destinations. Refined oil will also remain at a premium until flows from the Middle East reach Asian refineries and inventories begin to rebuild.

Moreover, a higher starting point to the reopening does not necessarily mean that a full restoration of flows will happen sooner. Indeed, production will take weeks and in some cases months to return to normal, shipping through the Strait remains constrained. As such, after an initial improvement, normalisation become slower and more uneven. In this scenario, supply does not return to near normal levels until mid-2027.

Meanwhile, the conflict has also highlighted the vulnerability of a number of countries, particularly across Asia which has been more exposed both due to their dependency on Middle East oil imports and more limited strategic reserves. This reinforces the case for building resilience against future oil supply shocks. While the timing of any response remains uncertain, and is unlikely to be even, we include a more decisive, policy driven push to rebuild reserves from mid 2027, lifting demand across most advanced and Asian economies by the equivalent of around 0.5%. This is materially higher than the historical average pace of reserve builds and provides some price support in the medium term.

Prices elevated for longer ...

As such while spot oil prices are lower than in our base case in the near term, they do not fall back as quickly further out as the underlying physical demand and supply shortfall is not fully resolved. Brent oil prices are on average US\$15.50/bbl higher in 2027 than in our central case, ending 2027 at US\$68/bbl. In this scenario, Australian diesel and petrol prices continue to ease over 2027 but not only remain above pre-conflict levels but also slightly higher at \$1.71/l and \$1.67 by the end of the year.

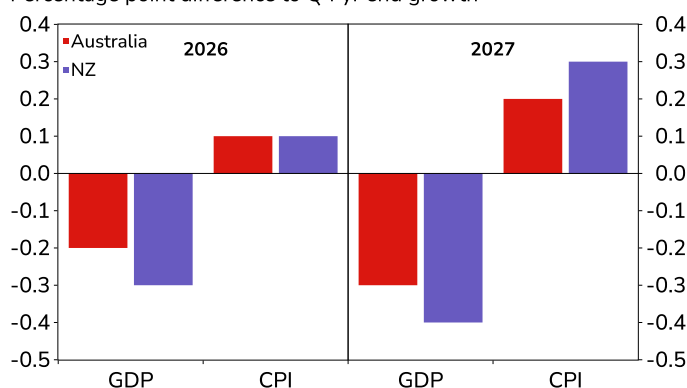
As before, the impact on gas prices remains larger. The initial improvement followed by a slower and more uneven normalisation sees Japanese LNG prices broadly unchanged in Q2 at around US\$26mmbtu. Natural gas prices do drift marginally lower by year end to under US\$20 but with the case remaining that there is no viable route that bypasses the Strait, and the damage on Qatar's Ras Laffan LNG plant potentially taking up to five years to fully repair, prices remain elevated. In Q4 2027, prices average US\$14mmbtu, nearly US\$4 higher than in our baseline.

... and more pressure on prices and growth

In this scenario, of a relatively stronger recovery early, but more persistent constraint on energy supplies, Australian and New Zealand headline inflation is a modest 0.1ppt higher at end 2026. However, higher energy prices and costs for fertilisers, plastics and chemicals sees Australian CPI lift a further 0.2ppt in Q4 2027. As discussed previously the impact of higher gas prices will be fairly muted, particularly compared to the energy shock following Russia's invasion of Ukraine given the limited transmission to electricity prices as caps on domestic gas prices are now in place. The Trimmed Mean inflation also 0.1ppt higher than in our base case, leaving it firmly above 3% with GDP 0.3ppt lower in Q4 2027 reflecting a larger and more persistent squeeze on real household incomes.

Middle East ceasefire scenario

Percentage point difference to Q4 yr end growth



Source: ABS, Macrobond, Westpac Economics

In New Zealand, the same shock transmits somewhat more forcefully as higher oil prices represent a negative terms-of-trade and income shock. Moreover, unlike in Australia electricity prices respond to higher LNG prices. Overall, headline inflation in Q4 2027 is 0.3ppt higher than in the base case with core inflation, excluding energy and food prices, up 0.2ppt higher than otherwise.

Overall, even in a scenario where there is a relatively stronger recovery earlier than in our base case, the damage has been done. We have already adjusted our outlook for the Australian economy significantly lower reflecting both higher borrowing and input costs with real GDP slowing to just 1% in 2026 and remaining subdued at 1.6% in 2027.

Note: These estimates reflect the modelled impact of higher energy and commodity prices in isolation. Final forecasts incorporate a broader set of interacting forces, which may offset or amplify these effects.

A fragile ceasefire eases the pressure on crude oil ...

Justin Smirk

Senior Economist

Luka Belobrajdic

Economist

Commodities had a mixed March as the conflict in the Gulf of Arabia unfolded. Our overall index is down 2.5% since our March report. Crude oil retraced to around US\$94/bbl, broadly unchanged over the month, while Asian LNG rose a further 9%. Aluminium and metallurgical coal gained 4% and 5%, respectively. In contrast, gold fell 7%, while iron ore was flat at US\$107/t. Since the last report, we have shifted to a more severe conflict scenario, assuming a two-month blockage of the Strait of Hormuz. Under this assumption, we now expect Brent to average US\$105/bbl in the June quarter, before easing back to around US\$75/bbl by year end.

Oil prices eases but risks skewed to upside

A fragile ceasefire in the Middle East has reduced immediate escalation risks but uncertainty remains high. While there have been steps towards a renewed US–Iran dialogue, progress has been tentative and limited to date. Intermittent vessel transits through the Strait of Hormuz fall well short of restoring the roughly 20mbpd of crude flows that existed pre-conflict.

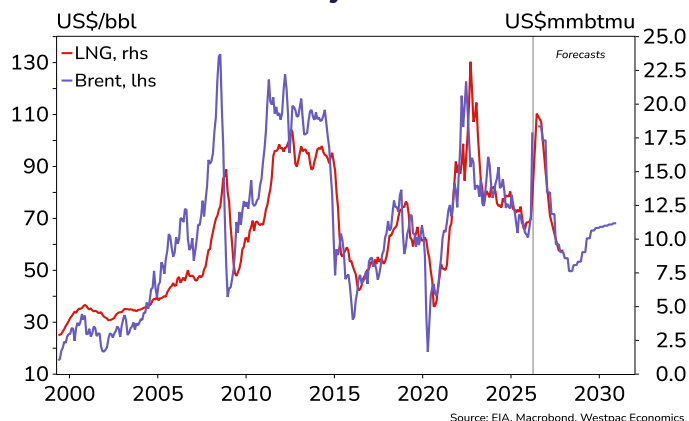
Supply conditions remain tight due to production shut-ins, infrastructure damage and ongoing shipping dislocation, with many vessels continuing to avoid the Strait, creating persistent logistical backlogs. Although global inventories (~8.4bn barrels) provide some buffer, draws outside the Gulf, around 200mb in March, highlight growing downstream stress.

Our baseline assumes the Strait remains largely closed through April, followed by only partial reopening. We expect throughput to recover to around 20% of normal capacity by May, with flows normalising towards end-2026 as security and insurance risks linger. Brent prices are now expected to average around US\$105/bbl in Q2 2026, around 33% above our March forecast, before easing as geopolitical risks unwind and high prices drive demand destruction. Dated Brent briefly reached US\$145/bbl in early April and our economic modelling places greater weight on this physical crude price rather than financial market pricing. As such, we have trimmed our Q2 estimates to be more in line with financial market pricing, and instead capture more of the economic impact of tighter conditions through wider refining margins, particularly for diesel and jet fuel. Brent is forecast to ease to US\$75/bbl by Q4 2026, with further moderation through early 2028 as supply and shipping conditions normalise.

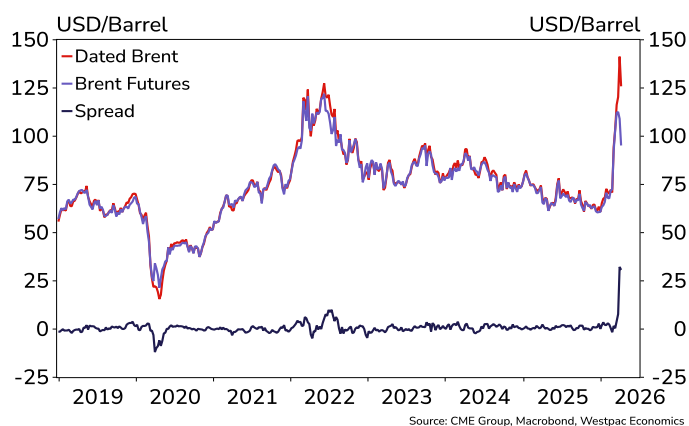
LNG supply constraints boosting Asian prices

LNG markets remain acutely exposed to the conflict, with an estimated 300mcm/day – around one-fifth of global supply – lost from Qatar and the UAE. Ras Laffan in Qatar, the world's largest LNG export complex, has been offline since early March, while global storage levels were already depleted coming out

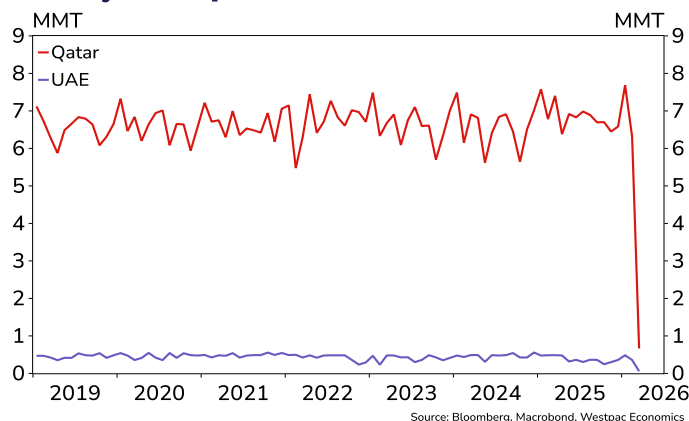
Both crude and LNG hit by Strait closure



Dated Brent and Brent futures



Monthly LNG Exports



... while gold is set to retest US\$5,000

of the Northern Hemisphere heating season. Asia is particularly vulnerable, with an estimated 80–90% of LNG volumes transiting the Strait of Hormuz destined for Asian markets, driving sharp increases in Japanese LNG prices. We continue to expect Japanese LNG prices to peak around US\$26/mmbtu in the September quarter and while prices remain elevated into the December quarter they are expected to ease back to just under US\$20/mmbtu. Given the scale of infrastructure damage and the lack of viable alternative export routes, LNG prices are not expected to return to the pre-conflict level until mid-2027.

Iron Ore

Iron ore continues to find near term support from higher freight and operating costs related to the energy shock, with freight accounting for an estimated 15–30% of delivered costs. It has also been supported by resilient steel output in China. The medium-term outlook is increasingly challenged, however, with surplus conditions expected to emerge. Supply side pressures are building, led by new low-cost supply from Simandou and historically high iron ore inventories at Chinese ports.

At the same time, global steel demand is softening as major economies face energy-related cost pressures. Increased use of steel scrap and a structural decline in Chinese steel production continue to erode underlying demand, with growth in India and South-East Asia providing only a partial offset.

Adding to the downside risk, an apparent near-term resolution of industrial tensions between China Mineral Resources Group and BHP has also removed a source of temporary support. Together, these dynamics point to rising downside risk over the medium term so we continue to expect the 62%fe index to soften, averaging around US\$92/t in the June quarter, before declining further to approximately US\$83/t by December.

Gold consolidating before a push

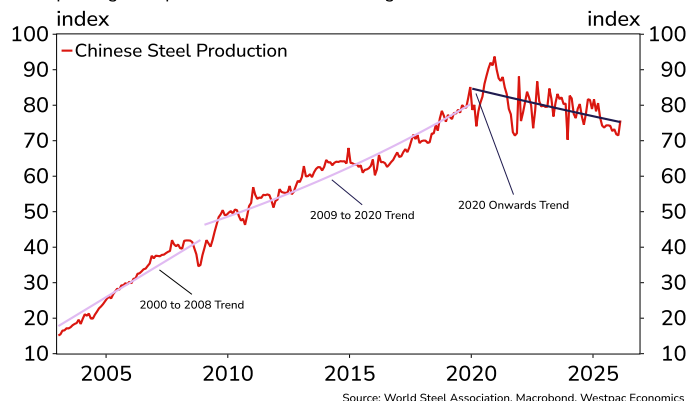
Gold has been under pressure in recent weeks as markets focused on the inflationary impact of higher oil prices and the prospect that central banks may keep policy tighter for longer. A rapid rise in US real yields alongside renewed USD strength has weighed on bullion, prompting a notable retracement from the all time high reached in late January.

We expect consolidation to persist over coming weeks. Gold has already corrected materially and speculative positioning has been flushed out. A period of range trading, with easing volatility, should allow a base to form and encourage longer-term investors to gradually rebuild positions.

Geopolitical risks tend to have an uneven and often short lived impact on gold, with near term safe haven rallies typically fading as markets adjust. More durable support usually comes through second round effects, including shifts in the growth inflation mix, policy responses and strengthening strategic demand as investors diversify. If geopolitical disruptions

Chinese steel production peaked in 2020

Since peaking steel production has been trending down

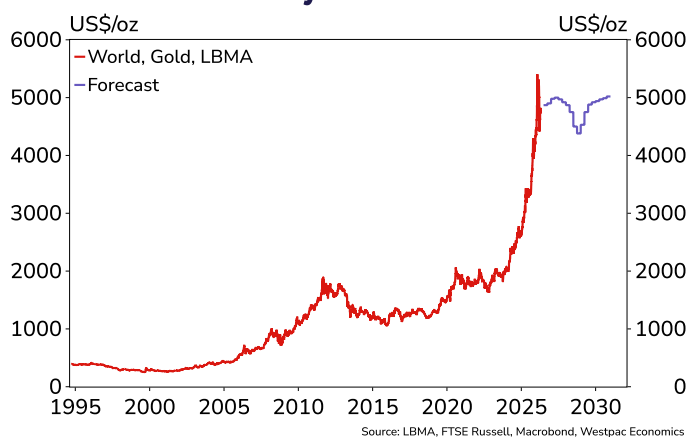


persist and energy prices remain elevated, the combination of higher inflation and weaker growth, alongside the risk of renewed fiscal and monetary stimulus, would present upside risks for gold. Persistent geopolitical uncertainty also underpins overall demand.

Concerns about central bank selling resurfaced following recent price weakness and headlines around Turkey. While some central banks may sell modest amounts at times, there is little evidence of a structural shift away from gold. We continue to expect official sector net purchases to be broadly in line with recent trends.

Headline risks remain as markets re-price geopolitical and macro developments. Nevertheless, positioning is cleaner, long term investors remain under invested, and diversification demand is rising so we expect to see a new high in gold.

Gold continues the rally from 2024



US dollar increasingly ...

Elliot Clarke

Head of International Economics

Last month we highlighted that US dollar gains in the lead-up to March Market Outlook had been narrow and capped around 100 for the DXY index. Since then, despite a material escalation in the Middle East conflict, the nascent ceasefire being threatened by a complete breakdown of negotiations between the US and Iran, and the US subsequently blockading Iranian ports, the US dollar has continued to struggle for upward momentum. Indeed, on rumours of a resumption of negotiations, the past few days have seen it edge lower against numerous currencies across developed and developing markets.

In our view, there is a degree of hope in current market pricing. That said, typically the market impact of a crisis such as this begins to unwind long before a formal peace agreement is disclosed. And, in this particular instance, the short-term workarounds for supply and the intent shown by world leaders excluding the US to restore shipping capacity are also helping alleviate anxiety over downside risks.

While certainly not a panacea for the conflict's ill effects, if we are right in expecting a slow-but-steady resumption of shipping through the Strait of Hormuz in coming weeks, which continues to year end, then the US dollar is likely to weaken further, to the benefit of currencies most affected by the crisis (Euro and Sterling being developed world examples) and of nations set to benefit from improving global growth opportunities – China being the obvious example, particularly given their market share for equipment related to renewable energy and the green transition more broadly.

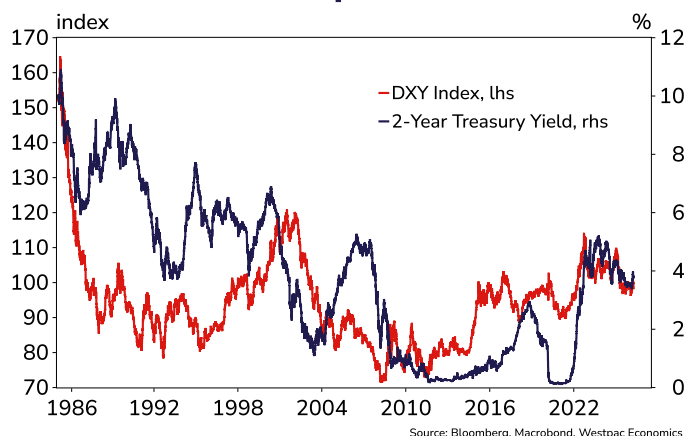
Our base case to June 2028 is largely unchanged from last month for the US dollar, the DXY index projected to fall from 98.2 today to 96.8 at end-2026, then 94.0 come end-2027, where it is forecast to settle. Gains for Euro and Sterling are key contributors, respectively rising from USD1.18 and USD1.35 at present up to USD1.22 and USD1.41 by end-2027.

Starting from such weak levels, the anticipated gains for Japan's Yen and Canada's dollar are also powerful supports for the US dollar downtrend. We expect USD/JPY to fall from JPY159 currently to JPY142 by mid-2028, as USD/CAD declines from CAD1.37 to CAD1.30.

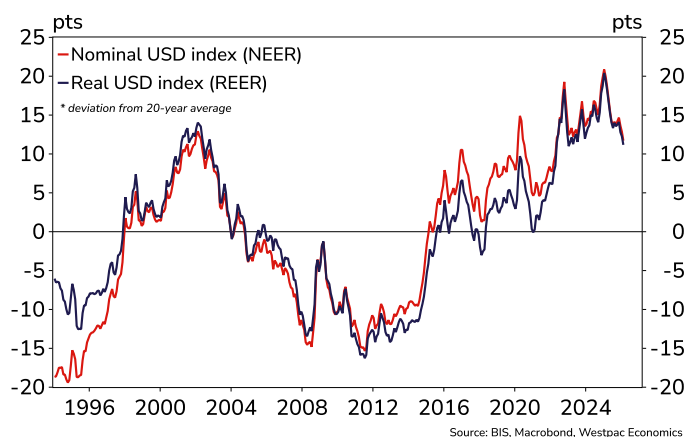
If second-round inflation risks can be managed effectively without a material hit to economic growth or the labour market, then these currencies could experience sustained opportunities to outperform our base expectation further out.

It is not just core developed world currencies that are set to benefit from this turn, however. China's Renminbi has been remarkably resilient during the crisis, only edging up from

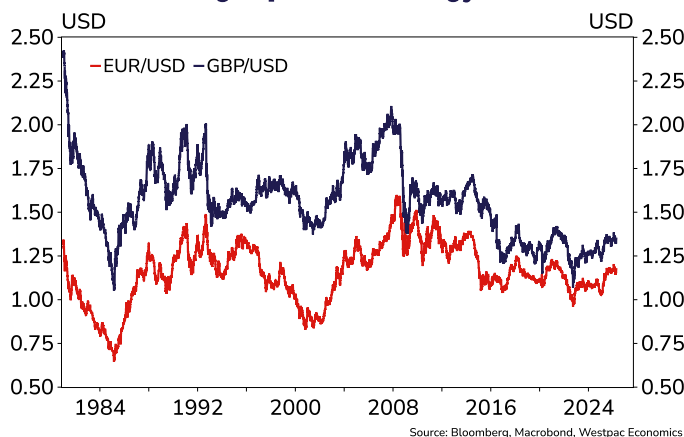
USD safehaven status in question



USD risks to downside



Euro and Sterling exposed to energy



... lacks support

around CNY6.85 at end-February to a high of CNY6.91 during March, then steadily moving lower to CNY6.82. This makes sense given China's strategic energy reserves and access to Russian and Iranian oil, among other relationships. But, once the scale and depth of China's manufacturing base across green technologies is taken into consideration, and the acute need for these goods recognised by the world ex-US, this appreciation seems likely to only be the start. To mid-2028, we therefore look for USD/CNY to fall to CNY6.35, and suspect the risks are skewed in one direction, in the Renminbi's favour.

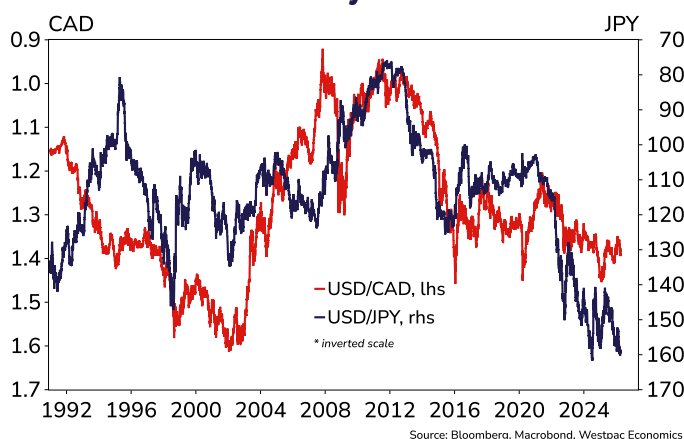
While China's Renminbi is likely to outperform many other US dollar bilaterals over the period, seeing a rise in the currency on a trade-weighted basis, this appreciation is unlikely to upset the nation's competitive advantage. The rest of Asia in particular are likely to use the technology and know-how imported from China to improve their own capacity and lower production costs, aiding their economic performance and attractiveness to foreign capital. Each of the currencies of the region have their own starting points – Singapore's dollar is strong, Indonesia's Rupiah weak as examples – and domestic narratives to play out. But, over the course of two years, all are likely to gain against the US dollar and, to a lesser extent, other cornerstone currencies of the global system, such as Euro and Sterling.

While the uncertainty created by the Middle East conflict leaves us unsure as to when, we increasingly believe that historic safe-havens could find themselves under growing pressure over the forecast period as investors and businesses recognise the scale and breadth of developing market opportunities. These are broad across both manufacturing and service industries – along with core and technological infrastructure – and have very long runways ahead.

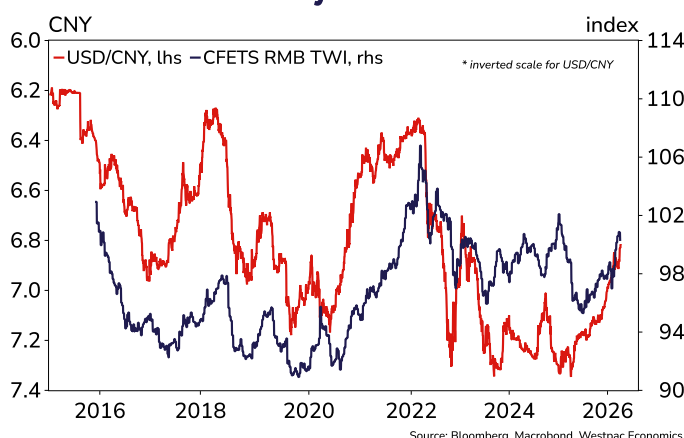
For the US dollar in particular, we see a heightened susceptibility, with this global outturn to follow an extended period of US' outperformance and as US geopolitical and fiscal decision making is debated at length across the globe.

Our current baseline forecast takes the US dollar DXY index near its 20-year average of 90.6, and so we will wait to see how developments break over coming weeks before considering the scale of further downward pressure the US dollar may face. For now we merely highlight that the average of the past 20 years muddies two eras, early-2015 to now when the DXY oscillated around today's level, and mid-2006 to mid-2014 when it instead averaged 80.2, 18% below spot. Coming years may well see a very different FX environment to that experienced post-pandemic.

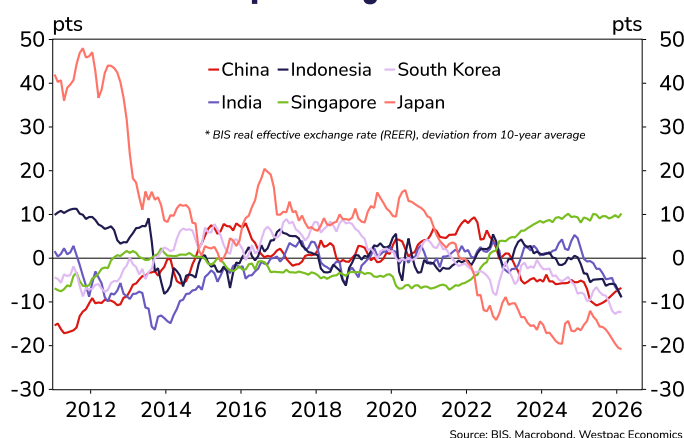
Concern over CAD to slowly abate



Renminbi to sustain rally



Asia's outlook still promising



War uncertainties are impacting the economy ...

Kelly Eckhold
Chief Economist NZ

Views on the likely duration and the severity of the war have waxed and waned over the month as markets wavered between very negative and more optimistic scenarios. The reality remains cloudy and the prospects of a long bumpy road ahead remain the base case. The RBNZ channelled themes of uncertainty and the prospect of potentially longer-lived inflationary impacts, by delivering a 'hawkish hold' in April. We brought forward our view of when the OCR will begin to normalise and have further fine-tuned how the overall tightening cycle may evolve.

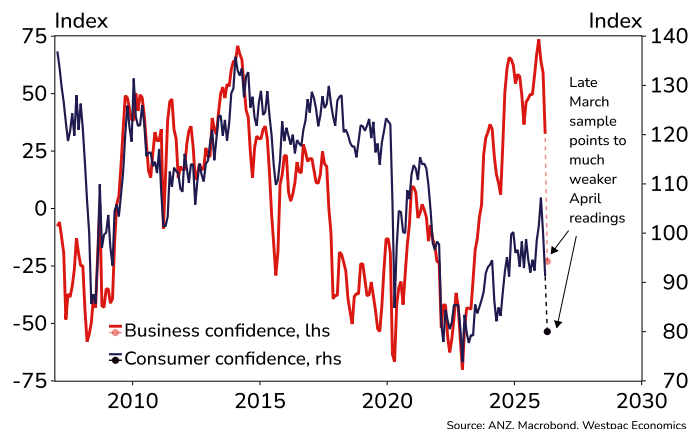
The Iran war and its impacts on New Zealand remained front and centre this month. It is very well understood that the impact will critically depend on the size and duration of the disruption to global energy supply. And we have seen the full gamut of possibilities on how the war could impact on New Zealand. Businesses and consumers have taken an initial pessimistic view of how the war will impact the operating environment. The questions now are whether those views will be borne out and just how far off course will inflation be knocked and for how long.

Fortunately, a hastily arranged cease-fire "deal" has allowed breathing space for further negotiations towards a permanent truce to occur. Unfortunately, initial negotiations failed, leading to the US countering the Iranian plan to restrict maritime traffic with their own blockade of Iranian traffic. This is especially unfortunate since it seems the bulk of tanker traffic exiting the Gulf since hostilities commenced has been Iranian sourced oil. The reality of the situation and the wide disparity between opposing parties' views on the 'deal' does not bode well for a quick resolution. Hence, as we stand today, nothing has really changed in terms of New Zealand's medium-term fuel security situation as no meaningful increase in tanker flows out the Persian Gulf is occurring.

The upshot is that New Zealand's fuel security position remains adequate for now but uncertain looking beyond the next month or so. The Government is working on additional storage options and is fine-tuning plans for the hopefully unlikely situation where interventions to allocate scarce fuel stocks become necessary. But businesses and consumers remain on edge, which will likely hamper economic activity for at least the next few months.

Against this backdrop of uncertainty, the RBNZ has adopted a more hawkish tone in recent weeks as the prospect of inflation peaking over 4% becomes more tangible. The RBNZ MPC seems to have separated into a couple of camps: a more hawkish group that sees an argument for a proactive approach to lean against potentially persistent inflation pressures with a higher OCR from perhaps May or July; and a more dovish camp

Business and Consumer confidence



that is happier to take more time to assess given the possibility that the activity implications of the oil shock could dampen inflation over the medium term. That latter group might perhaps be happier to wait until later in the year before beginning to raise rates, but even among this group there seems no appetite for OCR cuts. Hence, the issue now for the MPC is when, not if, to tighten. And that tightening might come as soon as May, although we are opting for September right now.

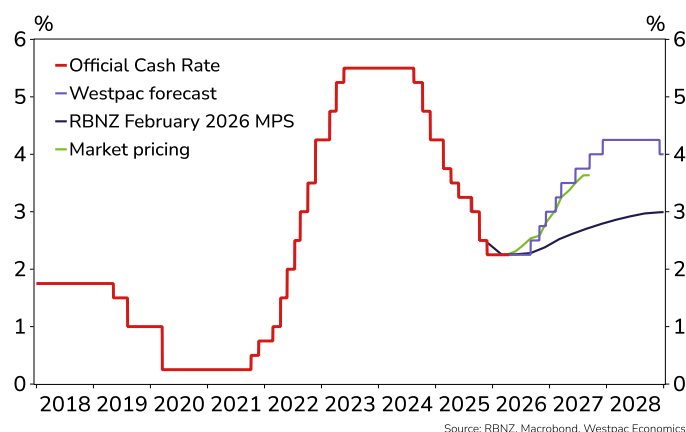
One interesting message from the RBNZ's communications is that they see the economy as having gathered momentum following a slightly disappointing December quarter. Hence, the RBNZ retains optimism that economic momentum will not be unduly undermined by the war given the assumption that it will be over relatively soon. Certainly, some of the data recently seemed to support that optimism given that the Business NZ PMI for March showed resilience by falling only modestly, the ANZ's Heavy Traffic Index – a measure of commercial traffic flows – was resilient in March and migration and tourism data showed strong momentum. We also notice that weekly filled jobs trends continued to track in line with year earlier levels through March, suggesting that any job shedding due to the war has not started. Our card spending data shows that total spending stalled in March, but there has been a decided swing from spending on discretionary items to petrol.

This more hawkish take from the MPC [prompted us to bring forward when we expect OCR increases](#) to begin, from December to September 2026. We expect 25bp interest rate hikes at each meeting from then until the OCR reaches 3.5% – at which point the OCR will be firmly in the neutral zone from the RBNZ's perspective. After that, the outlook is cloudier and we expect a more gradual pace of tightening, with OCR increases only at Monetary Policy Statements. We

... and the RBNZ seems set to act decisively

continue to expect that the OCR will peak at 4.25% (above our assessment of neutral, which remains at 3.75%). However, that peak is now expected to be reached in December 2027 – two meetings earlier than we previously assumed. The OCR is expected to remain at that level through 2028 before returning to 3.75% in 2029.

RBNZ Official Cash Rate



There is a lot of uncertainty about how the economic outlook will play out for obvious reasons. Hence, we think that it is easier to break down the entire interest rate cycle into two components: the initial move of the OCR from stimulatory levels to the neutral zone; and then what happens from there. For now, we suspect it will be easier to get a handle on the first part of the cycle. And indeed, the bar to start lifting the OCR towards neutral levels is likely a lot lower than moving the OCR above neutral and beyond.

The key focus for the MPC seems to be what the high-frequency data can tell them about the peak in inflation, but especially how persistent inflation pressures are likely to be. Top of mind are indicators of inflation expectations (especially medium-term expectations), firm pricing behaviour and wage growth trends. The reality is that little will be learned about wage setting trends for some time – and indeed stronger wage growth if in the offing is more likely a 2027 than a 2026 story. So, the focus should be on what we can learn from the monthly inflation expectations surveys, the Quarterly Survey of Business Opinion and monthly Selected Price Indices to see if there are signs of broad and potentially persistent inflation pressures.

Looking ahead, Governor Breman has noted that further MPC reforms are forthcoming soon. This could at least include more details on individual members' views. Named votes might also be possible – although the time taken perhaps indicates some push-back against transparency somewhere in the system. We hope not and [continue to advocate](#) for named votes and a discussion from each MPC member about the rationale for their advice. These reforms will nicely complement the steps forward already taken.

	2025							2026				
Monthly data	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar
REINZ house sales %mth	1.3	-2.1	-4.0	2.5	-2.8	-1.7	6.3	0.6	1.1	-5.1	2.8	-
Residential building consents %mth	-16.1	10.9	-5.2	5.5	6.1	7.4	-0.7	2.7	-4.5	2.0	2.7	-
Electronic card transactions %mth	0.0	-0.1	0.5	0.2	0.6	-0.4	0.3	1.3	-0.2	-1.1	1.4	-
Private sector credit %yr	3.0	3.0	3.2	3.5	3.8	4.2	4.6	4.4	4.6	4.6	4.7	-
Commodity prices %mth	0.0	1.9	-2.4	-1.8	0.7	-1.1	-0.3	-1.6	-2.1	2.0	4.2	4.1
Trade balance \$mn	19	-250	-521	-360	-98	278	-225	-362	-206	-336	-851	-
Quarterly data	Q4:23	Q1:24	Q2:24	Q3:24	Q4:24	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26		
Westpac McDermott Miller Consumer Confidence	88.9	93.2	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7		
Quarterly Survey of Business Opinion	9	-27	-25	-29	-27	-22	-21	-15	-3	-		
Unemployment rate %	4.0	4.4	4.7	4.9	5.1	5.1	5.2	5.3	5.4	-		
CPI %yr	4.7	4.0	3.3	2.2	2.2	2.5	2.7	3.0	3.1	-		
Real GDP %yr	2.2	1.8	1.1	0.5	-0.3	-0.9	-1.1	-0.6	0.2	-		
Current account balance % of GDP	-6.3	-5.7	-5.5	-5.2	-4.7	-4.2	-3.7	-3.5	-3.7	-		

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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China set to benefit ...

Elliot Clarke

Head of International Economics

China's economy has begun 2026 in good health despite the conflict in the Middle East, registering annual GDP growth of 5.0% in Q1. In time, recent developments are likely to prove a net positive for China, spurring greater demand for green technology across developed and developing markets.

Not only were the March readings for the official NBS manufacturing and services PMI's favourable, registering increases to 50.4 and 50.1, but the partial data through February and March showed the beginning of a long-awaited stabilisation in consumer demand and turn for housing investment, retail sales growth beating estimates in February at 2.8%ytd (although growth slowed again in March to 2.4%ytd) and the decline in property investment almost halving from -17.2%ytd in December to -11.2%ytd in March. The latter result is particularly welcome given construction activity has declined almost 40% since end-2021.

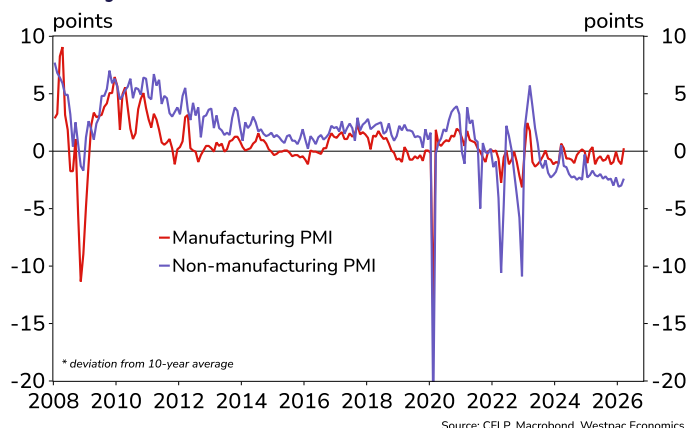
In the short term, an end to the sharp decline in property investment will add meaningfully to economic growth given the sector still makes up circa 15% of the aggregate economy. In the medium to long-term though, not only will investment activity need to expand sustainably, but wealth have to follow. As yet, there is no evidence of price growth, with new and existing home prices falling a further 0.2% in March.

We remain circumspect on the rate at which retail sales growth will accelerate from here near term, anticipating it is unlikely to return to trend, let alone outperform, until pro-active fiscal policy comes into effect. Authorities signalled an intention to act at the March NPC, but detail has been scarce since.

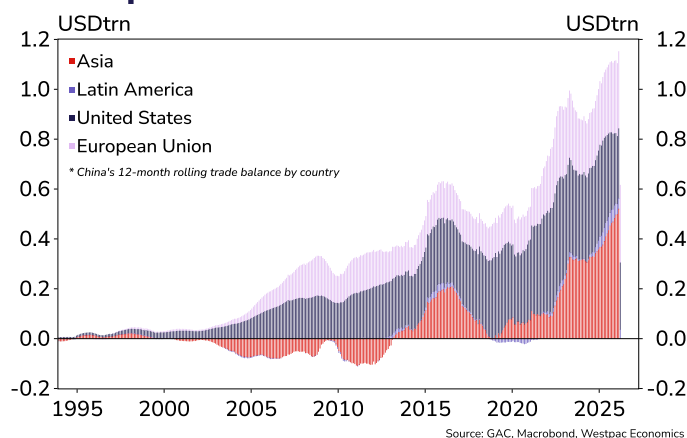
It is potentially the case that the Government wants clean air for reforms, which the Middle East conflict and the upcoming May meeting between President Xi and President Trump precludes for now. Though authorities may also feel the domestic economy has been given additional time to find its own path without intervention. The response of consumers and businesses across developed and developing markets to the current surge in energy prices will almost surely be an acceleration in demand for renewable energy products and electric vehicles, which China is globally dominant in and has ample spare capacity to produce and ship.

Even without a further material improvement in domestic demand, the short-term downside risks for Chinese GDP growth are receding thanks to this catalyst. Note too, the positive impulse is likely to prove lasting as geopolitical uncertainty over energy supply produces a national imperative to reduce reliance on the Middle East, particularly amongst south-east Asia, Latin America and Africa, where Chinese firms are experiencing particularly rapid demand growth.

Industry resilient to oil shock

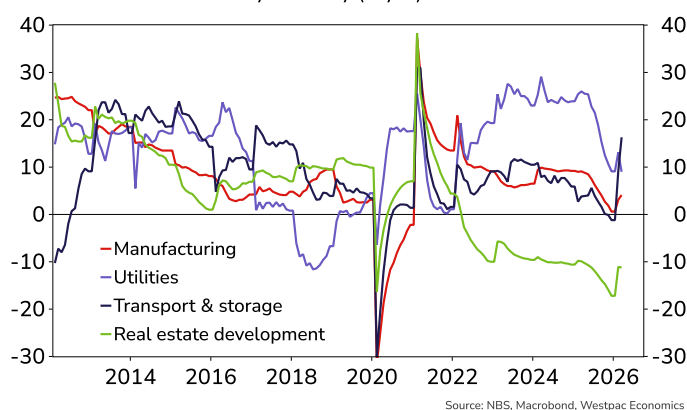


Trade surplus to widen



Property contraction coming to end?

Fixed Asset Investment by Industry (%ytd)



... from global unrest

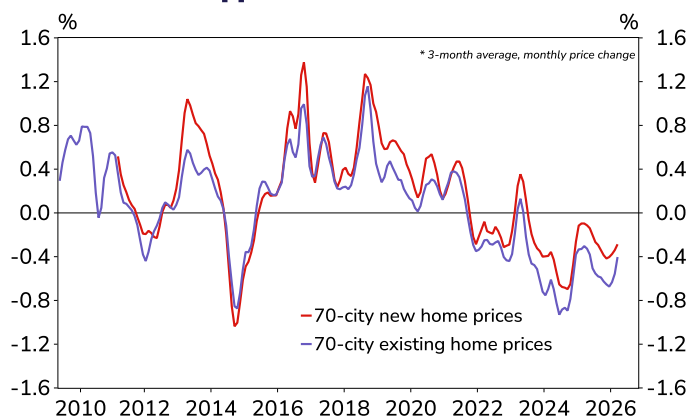
Indeed, the learnings from this crisis, and what is expected to be a favourable result from the May meeting between President Xi and President Trump, could also skew long-term risks for Chinese growth and sentiment to the upside. This is not to say that 5.0% growth is probable for 2026–2028, but rather that growth is increasingly likely to stabilise around 4.5% instead of 4.0%.

Attaining annual growth of 5.0% over successive years would require material gains for trade, industrial investment and property construction and household consumption. The latter would necessitate a dramatic turn in actual and expected wealth and sentiment, however. While not impossible, given the poor starting point on both fronts, this is best considered a low probability and long-coming upside risk.

Sooner than later though, the favourable shift in global opportunities and risks for China is likely to support stronger demand in Chinese financial instruments. Yields and credit spreads will remain compressed, enticing additional real economy investment, and equities should see sustained inflows of new capital.

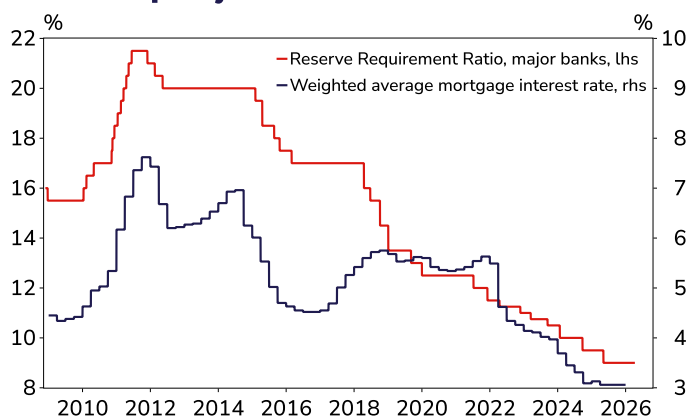
Paired with continued strength in the trade balance and the returns from offshore investments currently being made by Chinese firms, demand for the renminbi will grow in depth and breadth. Given the diversity of Chinese interests across the globe, currency gains are expected on a trade-weighted basis, but will be most acute bilaterally versus the US dollar – the only currency Chinese entities look to be reducing their exposure to. Importantly, trade-weighted currency gains are likely to be proportional to China's competitiveness opportunities, and so should not materially narrow the current account.

Wealth needs support



Source: Bloomberg, Macrobond, Westpac Economics

Pro-active policy crucial



Source: Bloomberg, Macrobond, Westpac Economics

	2025								2026			
Monthly data %yr	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar
Headline CPI %yr	-0.1	-0.1	0.1	0	-0.4	-0.3	0.2	0.7	0.8	0.2	1.3	1.0
M2 money supply %yr	8.0	7.9	8.3	8.8	8.8	8.4	8.2	8.0	8.5	9.0	9.0	8.5
Manufacturing PMI (official)	49.0	49.5	49.7	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4
Fixed asset investment ytd %yr	4.0	3.7	2.8	1.6	0.5	-0.5	-1.7	-2.6	-3.8	-3.8	1.8	1.7
Industrial production %yr	6.1	5.8	6.8	5.7	5.2	6.5	4.9	4.8	5.2	5.2	6.3	5.7
Exports %yr	8.0	4.6	5.7	7.0	4.2	8.2	-1.3	5.8	6.5	10.0	39.6	2.5
Imports %yr	-0.3	-3.3	1.3	4.2	1.5	7.6	1.1	1.8	5.6	25.6	13.8	27.8
Trade balance USDbn	95.8	102.7	113.9	97.5	101.3	89.7	89.4	111.6	114.1	122.6	91.0	51.1

Quarterly data	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
Real GDP %yr	5.4	5.4	5.2	4.8	4.5	5.0
Nominal GDP %yr	4.6	4.6	3.9	3.7	3.9	4.9

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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An adverse turn ...

Elliot Clarke

Head of International Economics

Headlines tied to the US economy continue to focus on President Trump's Middle East actions and the consequences for global energy prices. Abstracting from this news storm, however, the message from available economic data is the US economy slowed below trend ahead of the conflict, leaving the economy at risk of stalling, at least briefly.

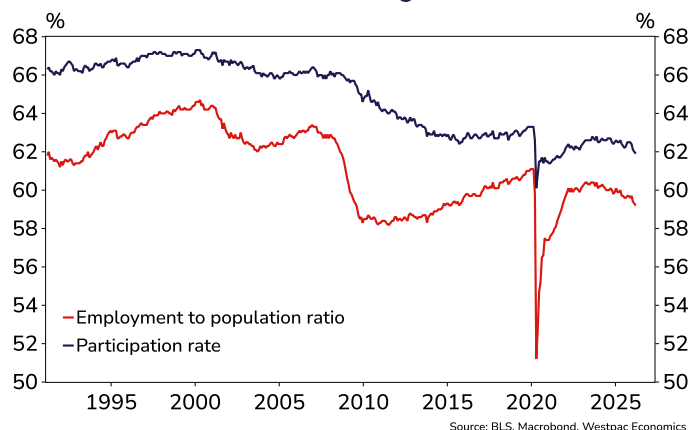
In understanding the US' current state and outlook, it is best to assess recent data chronologically. First estimated at 1.4% annualised, Q4 GDP growth has since been revised to just 0.5%. Underlying the headline revisions, personal consumption growth throttled back from a near-trend 2.4% to a sub-par 1.9%, and business investment from an already-weak 3.7% annualised to 2.4%, as residential investment contracted 1.7% annualised.

Come January and February 2026, personal consumption expenditure was essentially flat and core goods order growth slowed to less than a third of Q4's pace. We do not have reliable data to back the assertion, but it is hard to believe the recent rise in the US 10-year yield and pass-through to the 30-year mortgage rate won't put additional pressure on residential construction. The current Atlanta Fed GDPNow estimate of 1.3% annualised therefore seems likely to slip through April before the formal Q1 GDP result is released by the BEA.

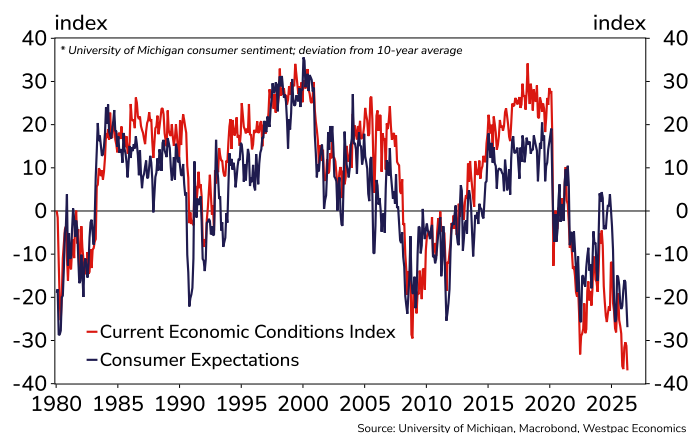
Another step down in momentum, perhaps outright contraction, come Q2 is clearly a risk. The only data to hand for April is the University of Michigan's consumer sentiment survey. Worryingly, the headline index fell to its weakest read on record at 47.6 – an impressive feat considering the survey dates back to 1978 and has averaged 83.8 since, 43% above April's read. Notably, both current conditions and expectations are at all-time lows, and this is despite nonfarm payrolls having bounced back in March and equity markets, in aggregate, showing resilience.

While nonfarm payrolls have averaged a gain of 68k the past three months, this follows the average loss of 8k jobs per month through the second half of 2025 and material downward revisions to historical estimates prior to that. Household employment outcomes have also been materially weaker over the period. The unemployment rate is essentially unchanged since Q2 2025, but the participation rate has fallen almost 0.7ppts over the period, implying an unemployment rate of 5.0% on a constant participation basis. While not an alarming level historically, relative to the average of the past five years, it implies a marked turn in job creation and building downside risks for activity. This is corroborated by the 1.5ppt decline in the household savings rate since April 2025.

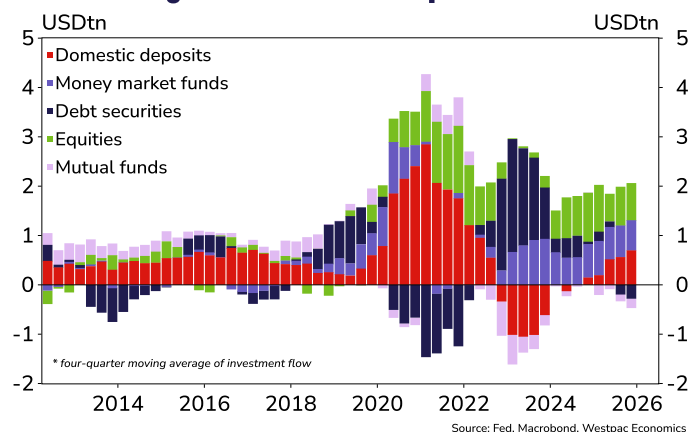
Labour market slack is building



Confidence is at its lows



Wealth being accumulated not spent



... in the making

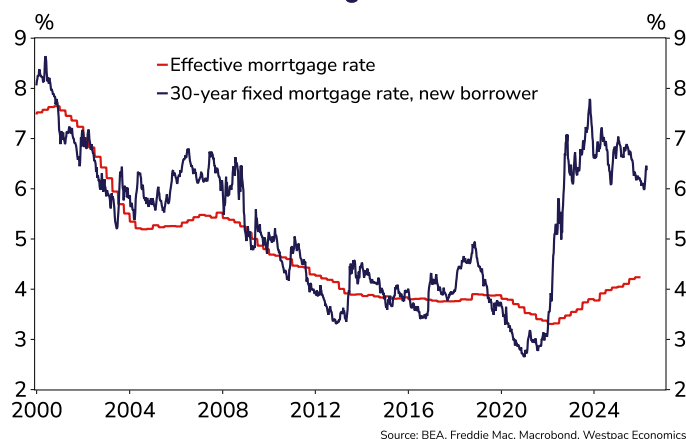
Providing a potential offset is record household wealth. Still, with sentiment as it is, and wealth needing to be liquidated or leveraged to be spent, any wealth effect for consumption is likely to take considerable time to materialise. Furthermore, whereas in the past, the use of wealth by higher-income households could have been complemented by tax breaks and/or cash support for those on lower-incomes, US fiscal authorities no longer have capacity outside of recession.

Taken together, current income and wealth dynamics in the US not only suggest growth is at risk of stalling out mid-year, but also that it could remain weak for an extended period. Thankfully, the FOMC remains equipped with the capacity to support the economy should risks to activity become dominant.

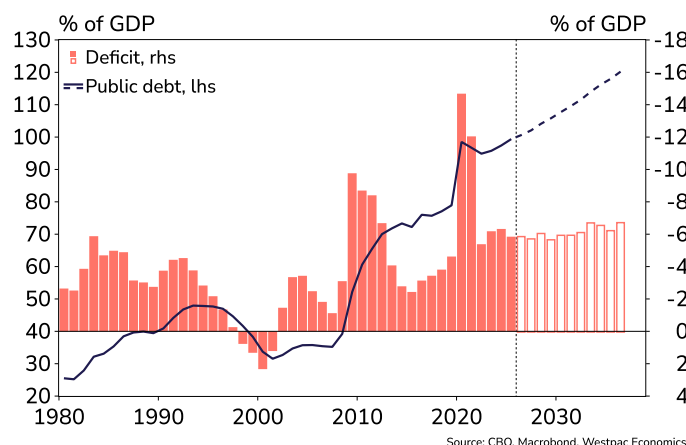
As such, it will be important to assess how the FOMC incorporates upcoming inflation detail into their risk calculations. We expect they will be heartened that the Middle East conflict only impacted headline inflation in March, a 10.9% increase in energy prices tripling the total monthly CPI gain to 0.9%, while core inflation printed a benign 0.2% (core goods prices up 0.1%, and services 0.2%). Although we still believe capacity constraints across the US economy are likely to hold annual core inflation around the 2.6%/yr registered in March throughout 2026, this deviation from target is not material enough to preclude further easing if downside risks for the labour market crystallise come Q2 or Q3.

In contrast to the UK and Europe (and Australia and New Zealand), the chance of a policy rate increase is also slim to non-existent in the US. The outlook for short-end rates should therefore limit gains in term yields to a modest upward drift, a function of gradual portfolio reallocation away from US dollar assets and the edging higher of the US fiscal deficit and government debt.

Rates to hold back housing



Debt and deficit a constraint



	2025						2026					
Monthly data	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr
PCE deflator %yr	2.5	2.6	2.6	2.7	2.8	2.7	2.8	2.9	2.8	2.8	-	-
Unemployment rate %	4.3	4.1	4.3	4.3	4.4	4.4	4.5	4.4	4.3	4.4	4.3	-
Nonfarm payrolls chg '000	13	-20	64	-70	76	-140	41	-17	160	-133	178	-
House prices* %yr	2.8	2.1	1.8	1.6	1.4	1.3	1.5	1.4	1.2	-	-	-
Durables orders core 3mth %saar	2.6	-0.9	8.4	4.0	10.9	9.8	9.8	8.9	5.5	4.7	-	-
ISM manufacturing composite	48.6	49.0	48.4	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	-
ISM non-manufacturing composite	50.2	50.8	50.5	51.9	50.4	52.0	52.4	53.8	53.8	56.1	54.0	-
Personal spending 3mth %saar	4.7	3.6	5.1	7.3	6.6	5.5	4.5	4.7	4.3	4.9	-	-
UoM Consumer Sentiment	52.2	60.7	61.7	58.2	55.1	53.6	51.0	52.9	56.4	56.6	53.3	47.6
Trade balance USDbn	-70.6	-57.6	-74.2	-56.0	-49.2	-31.1	-56.0	-72.9	-54.7	-57.3	-	-
Quarterly data	Dec-24		Mar-25		Jun-25		Sep-25		Dec-25		Mar-25(f)	
Real GDP % saar	1.9		-0.6		3.8		4.4		0.5		0.8	
Current account USDbn	-312.0		-438.3		-247.8		-239.1		-190.7		-	

Sources: Government agencies, Bloomberg, *S&P Case-Shiller 20-city measure.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Energy, food and a ...

Illiana Jain
Economist

Asia is disproportionately impacted by the Middle East conflict because it imports most of its energy from the region and is also more reliant on agriculture. Though agriculture accounts for a small share of GDP, it employs a large share of Asia's labour force, 20-40% in India and parts of ASEAN. Agricultural labour is not easily redeployed given geographic and education constraints. As a result, adverse shocks to agriculture translate quickly into household income losses and weaker domestic demand.

The timing of this energy shock further compounds its impact. Asia is entering this episode with monetary policy having only just normalised after 2022-23's inflation cycle. Further, household balance sheets, particularly in rural areas, are also yet to fully recover from pandemic-era income losses. This may see a rapid pass-through from higher input costs to activity.

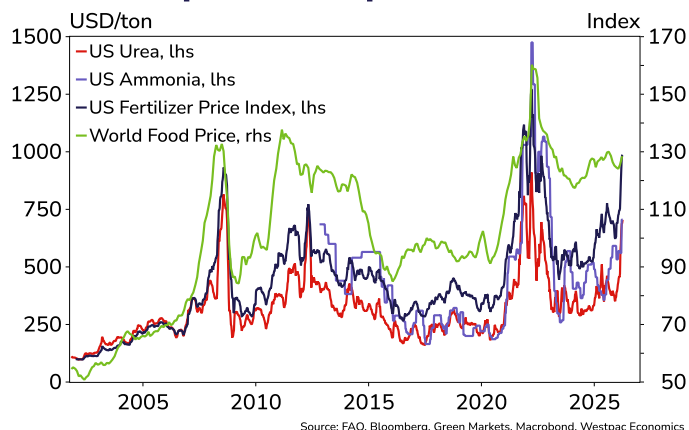
The conflict has also seen the price of fertilizer precursors surge and supply questioned, causing distress among farmers. Given the large agricultural employment share, higher input costs and potential supply shortages threaten incomes for a substantial portion of the population, particularly across India, Thailand, the Philippines, and Indonesia. At the same time, food accounts for a disproportionately large share of household spending in Asia, impacting discretionary spending capacity more than in developed economies.

Even if energy price growth does subside quickly, anecdotal evidence suggests farmers are considering decreasing harvest sizes to reduce their fertiliser usage. This in turn could see food shortages over a number of seasons, turning a transitory shock into an enduring one. In economies where rural credit is used in scale, sustained income pressure also raises the risk of rising delinquencies and a change in lending conditions amplifying the initial shock.

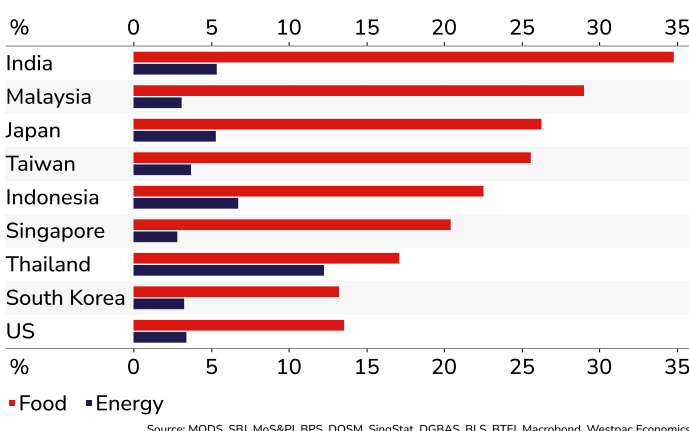
Food and energy accounts for an outsized share of CPI baskets across Asia. India is the most impacted with food and energy encompassing 40% of the CPI basket compared to the US' 17%. The share is even higher for the rural inflation measure. This composition leaves central banks facing a difficult trade-off between supporting growth and anchoring inflation expectations.

We anticipate they will likely prioritise managing inflation expectations and pause the normalisation of policy. Early evidence of this bias can be seen in Singapore, where the Monetary Authority of Singapore has steepened the appreciation path of the SGD — a pre-emptive tightening, despite slowing growth. The longer the effects of the conflict are felt, the greater the risk of outright contractionary policy.

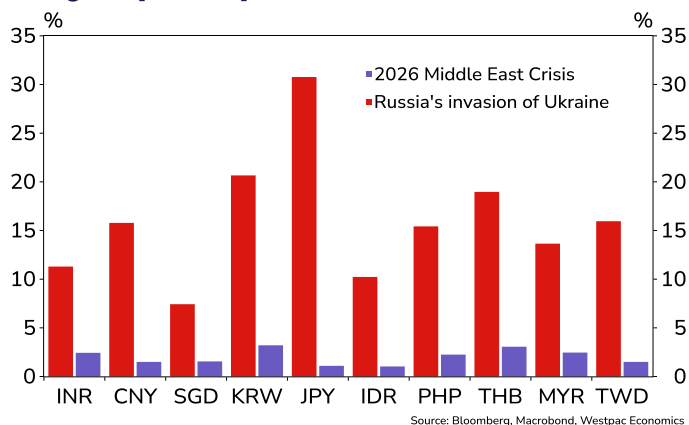
Risks to food prices tilted up



Asia's CPI basket carries a high share of food



Trough to peak depreciation of Asian currencies



... fragmenting Asia

That said, there is plenty of opportunity ahead for Asia.

Asian currencies have held up better than expected in the current risk-off environment. This partly reflects a moderation in broad USD strength, alongside the structural strength in CNY stemming from demand for green investment supporting the trade surplus. This in turn has prompted to Chinese authorities' to cap USD/CNY fixing. By stabilising the renminbi, China has helped bolster confidence in the region overall. During Russia's invasion of Ukraine, major Asian currencies experienced average peak-to-trough depreciations of around 15%; in the current episode, the average move has been closer to 3%. Though there has been considerable variation, with the Korean won and Thai baht among the weakest performers, reflecting their relatively high exposure to energy and food imports and, in South Korea's case, a high degree of equity market volatility.

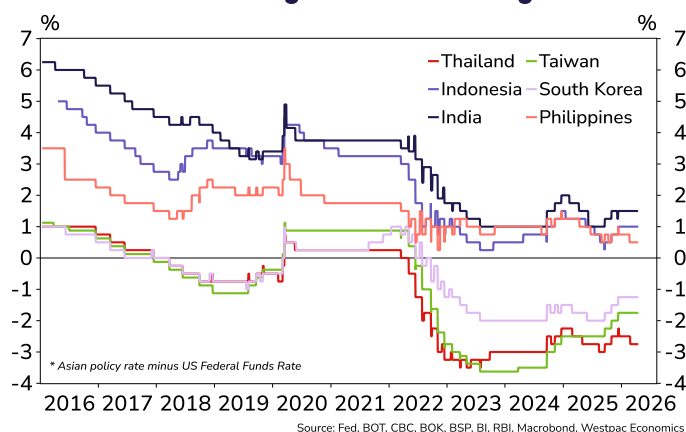
Also supporting growth in the region is the global AI boom and a shot in the arm for green technology demand. Semiconductors demand and investment related to these factors has not slowed, and is continuing to drive growth across northeast Asia.

However, these growth drivers are unevenly distributed. The resilience provided by the AI, green technology and semiconductor cycle is concentrated in Northeast Asia, where export-oriented manufacturing and technology supply chains dominate. In contrast, much of South and Southeast Asia remains more exposed to domestic demand. This divergence suggests that regional growth outcomes are likely to widen further, with technology-intensive economies outperforming as agriculture-dependent economies face continued pressure from higher prices and constrained policy options.

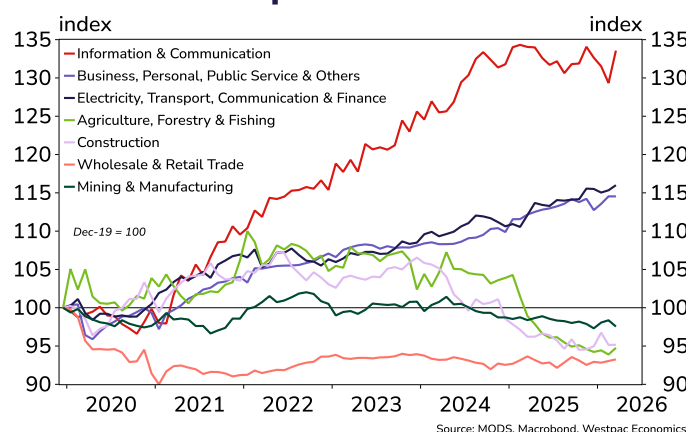
Asia's growth opportunity is therefore strong overall, but fragmented, and there remains multiple sources of vulnerability. Our base case for the Middle East conflict and global economy lays out a constructive period of supply normalisation to year end. As long as this transpires, then the downside risks apparent for the region will fade, and the growth drivers concentrated currently in the northeast should broaden through tertiary and primary industry.

Still, at least for the next few months, it will be important to closely assess the impact of price and supply shocks on those most susceptible to them, and whether policymakers across the region see a need to react forcefully. A shock on either front could destabilise confidence in the real economy and financial markets, precluding benefit from apparent growth opportunities bearing fruit.

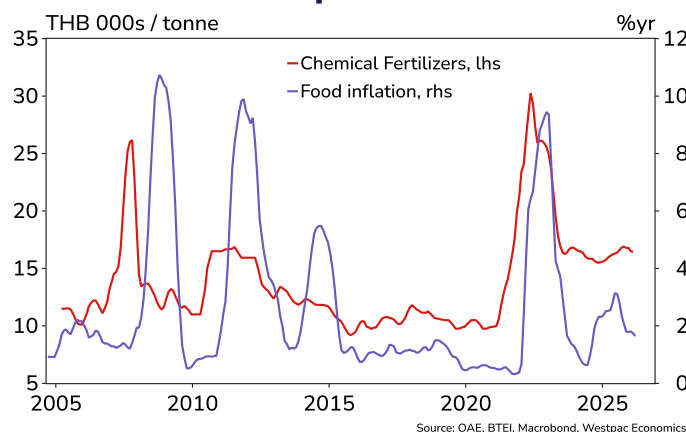
Asia at neutral settings but for how long



South Korea's two-speed labour market



Thai fertiliser and food prices



To hike or not to hike ...

Mantas Vanagas
Senior Economist

The major economies of Europe are particularly sensitive to global energy prices. Petrol prices in the euro area are substantially higher than in other major economies, including Australia. And, once household utilities are taken into account, energy represents a larger share of household budgets, and thus a higher weight for consumer inflation.

Over the past week, a ceasefire has held between US/Israel and Iran alongside a modest pick up in shipping through the Strait of Hormuz, despite the US' blockade of Iranian ports. If further negotiations lead to a formal peace agreement, the resumption of energy trade could progress more quickly than our broadly unchanged baseline assumes. Yet, with the full scale of damage still to be assessed and considerable disruption evident across global supply chains, there remains considerable 'known unknowns' for Europe's short-term inflation pulse and medium-term expectations.

Following its March policy meeting, the ECB updated its baseline economic projections and also published a set of stress scenarios to provide colour on the Governing Council's initial thoughts on the impact of the Middle East conflict on the Euro Area's economy and policy outlook.

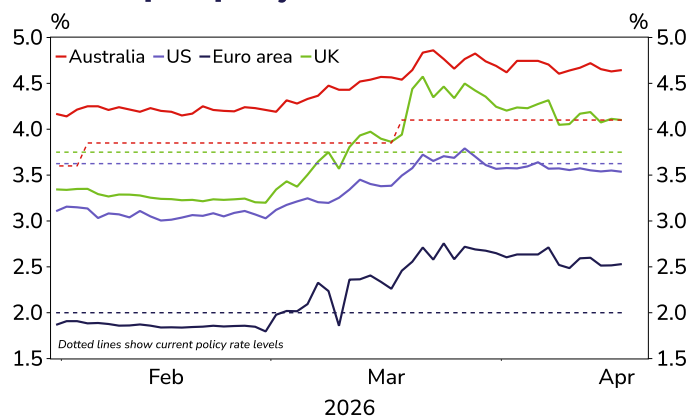
Under the 'adverse' scenario, the ECB assumed a blockade of the Strait of Hormuz in Q2 2026, disrupting 40% of oil and LNG flows. Commodity prices surge and financial market uncertainty rises temporarily. But with the region's energy infrastructure assumed to remain largely intact, supply recovers quickly once restrictions are lifted in Q3 2026.

The 'severe' scenario assumed a more prolonged and intense disruption, however, with 60% of flows affected and military action damaging energy infrastructure. Supply restoration is delayed, beginning only in Q1 2027 and proceeding gradually thereafter. Under such conditions, financial market uncertainty is also more pronounced and persistent.

Oil and European gas prices are currently only moderately above the ECB's baseline assumptions – a Brent oil price of almost US\$90/bbl and gas price of €50/MWh.

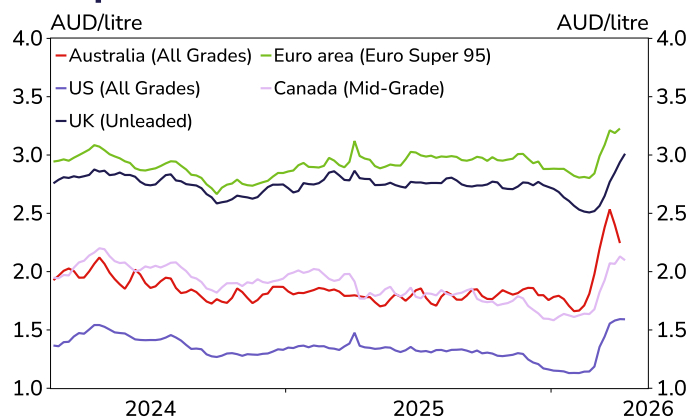
However, elements of both stress scenarios are apparent in present circumstances in the Middle East. With shipping flows through the Strait of Hormuz still negligible, the Q2 assumption of 60% of traffic under the adverse scenario – equivalent to a 40% disruption – is beginning to look like a stretch target. If little progress is made in coming weeks, traffic will have to surge back to pre-war levels in June for the quarter average to be close to 60%.

Market-implied policy rates for December 2026



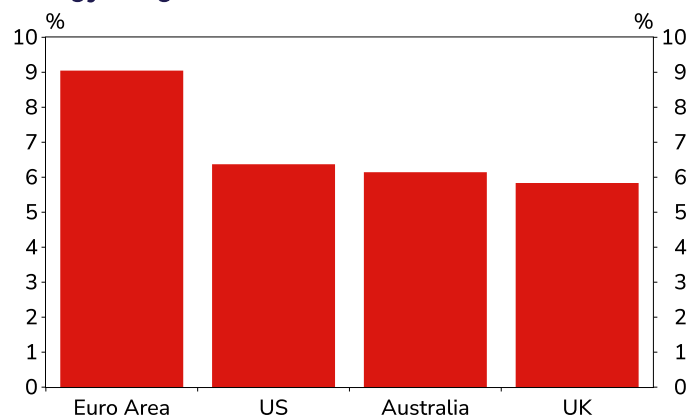
Source: Bloomberg, Macrobond, Westpac Economics

Petrol prices



Source: EIA, BEIS, DG ENERGY, NRCAN, Macrobond, Westpac Economics

Energy weight in CPI basket



Source: ABS, Eurostat, ONS, BLS, Macrobond, Westpac Economics

... to remain an open question

The degree of infrastructure damage could also be closer to the severe scenario's assumptions. Indeed, ECB President Lagarde highlighted concern on this front, warning that "too much has already been damaged, and there is no way it can be restored in the matter of months".

Hence, euro area inflationary pressures may exceed the ECB's baseline inflation projections in coming months and the recovery could still prove materially slower than this scenario assume, raising the risk of second-round price effects and unsettled expectations.

In her speech at the ECB Watchers Conference on 25 March, President Lagarde outlined how the central bank would navigate such shocks. She noted that policy should look through a supply shock that is limited in size and short lived. By contrast, the response should be "appropriately forceful" if inflation is expected to deviate significantly or persistently from target. Between these extremes, "some measured adjustment of policy could be warranted".

While circumstances are fluid, we think the current situation is likely to fall into this intermediate category warranting a 25bp hike at the June meeting when the staff's forecasts are next updated. We anticipate another hike in Q3 provided some degree of supply restrictions persists beyond June, as per our current baseline.

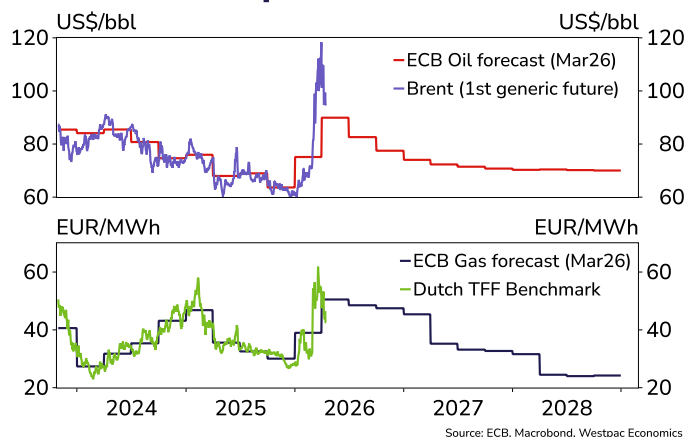
Meanwhile in the UK, an abrupt shift in the policy outlook has occurred, from a rate cutting cycle before the war to an expectation of successive hikes over the coming months, fuelled by even the most (previously) dovish MPC members voting to keep policy rates unchanged in March.

Year-ended inflation will probably continue falling in the near-term thanks to base effects and regulated household energy prices smoothing the price shock. However, the inflation pulse will then turn, peaking near 4.0%yr, twice the policy target.

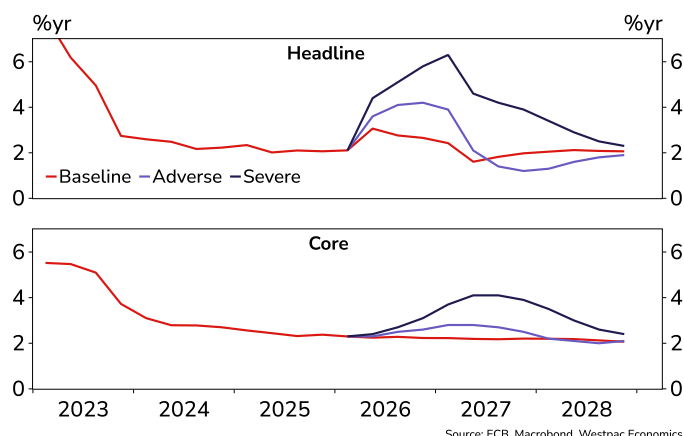
The smoothing influence of regulated prices also buys the BoE time to assess underlying price dynamics and second-round price risks. An update of forecasts at the next meeting, scheduled for 30 April, and guidance provided by the MPC will set expectations for subsequent policy deliberations.

Some MPC members may conclude that a shift from an easing cycle to a prolonged pause is sufficient to restrain momentum and ward off update inflation risks. Though, in our view, the more probable path is at least one hike in Q2 and a clear message that the policy stance will shift as current momentum and risks dictate. A second hike in Q3 is, at this stage, best considered a 50/50 proposition.

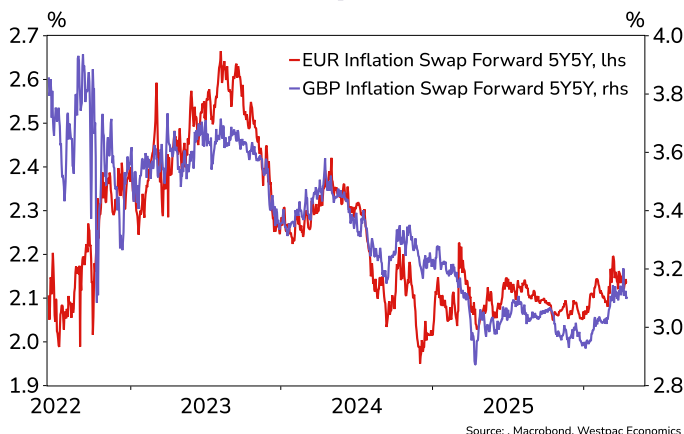
ECB forecast assumptions



ECB HICP inflation scenarios



Medium-term inflation expectations



Australia

Interest rate forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.63	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	69	65	65	60	55	50	40	30	20	15

Currency forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD vs										
USD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
JPY	114.00	114	112	112	111	111	110	108	105	104
EUR	0.6079	0.61	0.61	0.61	0.61	0.61	0.61	0.61	0.60	0.60
NZD	1.2159	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10
CAD	0.9814	0.99	0.98	0.98	0.98	0.99	0.98	0.98	0.96	0.95
GBP	0.5295	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52
CHF	0.5611	0.55	0.55	0.55	0.55	0.55	0.55	0.55	0.55	0.55
DKK	4.5427	4.56	4.56	4.58	4.55	4.57	4.53	4.53	4.49	4.49
SEK	6.5834	6.61	6.61	6.64	6.59	6.62	6.57	6.57	6.51	6.51
NOK	6.7044	6.73	6.73	6.76	6.71	6.74	6.69	6.69	6.62	6.62
ZAR	11.75	11.8	11.8	11.9	11.9	11.9	11.9	11.9	12.0	12.0
SGD	0.9118	0.91	0.91	0.92	0.92	0.93	0.93	0.93	0.92	0.92
HKD	5.6067	5.62	5.61	5.68	5.66	5.74	5.74	5.74	5.66	5.66
PHP	43.09	42.5	42.1	42.3	42.0	42.2	41.4	40.7	39.4	39.4
THB	22.94	22.8	22.6	22.8	22.6	22.8	22.6	22.3	22.0	22.0
MYR	2.8349	2.84	2.84	2.85	2.85	2.85	2.85	2.85	2.77	2.77
CNY	4.8833	4.90	4.86	4.89	4.82	4.81	4.77	4.74	4.64	4.64
IDR	12278	12240	12096	12118	12045	12136	12062	11988	11680	11680
TWD	22.61	22.5	22.1	22.0	21.7	21.6	21.2	21.0	20.6	20.6
KRW	1060	1058	1051	1051	1037	1036	1021	1006	978	978
INR	66.81	66.2	65.5	65.7	65.0	65.9	65.1	65.1	63.5	63.5

Australia

Activity forecasts

	2025		2026		2027				Calendar years			
%qtr / %yr end	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Household consumption	0.5	0.3	0.6	0.0	0.2	0.4	0.5	0.5	2.4	1.2	2.1	3.3
Dwelling investment	2.0	0.6	1.4	1.3	1.0	0.9	0.8	0.8	5.5	4.7	3.2	5.5
Business investment *	3.8	0.5	0.9	0.3	0.4	0.3	0.3	0.4	4.4	1.8	2.0	3.5
Private demand *	1.3	0.4	0.7	0.2	0.3	0.4	0.5	0.5	3.2	1.7	2.2	3.5
Public demand *	1.3	0.8	0.8	0.7	0.5	0.5	0.6	0.6	2.1	2.5	2.4	2.6
Domestic demand	1.3	0.5	0.8	0.3	0.4	0.4	0.5	0.5	2.9	1.9	2.3	3.3
Stock contribution	-0.5	0.4	-0.2	0.0	0.0	0.0	0.0	-0.1	0.1	-0.2	-0.1	0.1
GNE	0.8	0.9	0.6	0.4	0.3	0.4	0.5	0.5	3.0	1.8	2.2	3.3
Exports	1.4	1.4	0.4	0.4	0.4	0.4	0.6	0.7	5.2	1.6	2.5	2.4
Imports	2.0	1.8	1.0	1.2	1.3	1.4	1.2	1.2	6.7	4.9	5.1	4.5
Net exports contribution	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	-0.1	-0.1	-0.3	-0.8	-0.6	-0.5
Real GDP %qtr / %yr avg	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	2.0	1.8	1.2	2.4
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Nominal GDP %qtr / %yr avg	1.9	1.8	3.0	1.5	1.6	0.5	0.6	0.7	4.7	7.8	3.4	0.0
%yr end	5.4	6.0	7.7	8.5	8.2	6.8	4.3	3.5	6.0	6.8	3.1	0.0
Real household disp. income	0.8	1.0	-0.6	-0.8	0.0	0.2	0.4	1.0	3.7	-1.2	2.3	3.4

Other macroeconomic variables

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Employment %qtr **	0.2	0.2	0.7	0.3	0.2	0.1	0.4	0.5	-	-	-	-
%yr end **	1.4	1.1	1.5	1.4	1.4	1.3	1.1	1.3	1.1	1.3	1.7	2.3
Unemployment rate % **	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	-	-	-	-
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	-	-	-	-
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	-	-	-	-
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4
Current account \$bn, qtr	-18.3	-21.1	-18.9	-20.5	-23.3	-27.1	-29.7	-31.1	-	-	-	-
% of GDP	-2.6	-2.9	-2.5	-2.7	-3.0	-3.5	-3.9	-4.0	-2.6	-3.5	-4.2	-4.0
Terms of trade %yr avg	-3.3	-2.3	0.0	2.0	3.1	4.0	1.8	-0.4	-2.3	4.0	-4.0	-2.5
Population %yr end	1.6	1.6	1.5	1.5	1.5	1.5	1.4	1.4	1.6	1.5	1.4	1.4

Calendar year changes are annual through-the-year percentage changes unless otherwise specified.

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter-averages.

Macroeconomic variables – recent history

	2025								2026			
Monthly data	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr
CPI %yr	2.1	1.9	3.0	3.2	3.6	3.8	3.4	3.8	3.8	3.7	-	-
Employment '000 chg	-5.9	-5.0	35.2	-13.7	11.2	34.2	-34.6	64.3	25.6	49.7	17.9	-
Unemployment rate %	4.1	4.3	4.3	4.3	4.5	4.3	4.3	4.1	4.1	4.3	4.3	-
Westpac-MI Consumer Sentiment	92.1	92.6	93.1	98.5	95.4	92.1	103.8	94.5	92.9	90.5	91.6	80.2
Household spending %mth	1.1	0.3	0.4	0.0	0.3	1.3	1.0	-0.5	0.3	0.3	-	-
Dwelling approvals %mth	3.3	13.6	-8.5	-4.3	11.7	-6.8	14.9	-14.2	-7.2	29.7	-	-
Private sector credit %mth	0.6	0.6	0.7	0.6	0.6	0.7	0.6	0.8	0.5	0.6	-	-
Trade in goods balance AUDbn	1.8	4.7	6.4	0.9	3.5	4.6	2.3	3.4	2.3	5.7	-	-

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

New Zealand

Interest rate forecasts

	Latest	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.44	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US	36	50	55	55	55	55	50	45	40	35
10 Year Spread to Aust	-33	-15	-10	-5	0	5	10	15	20	20

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
NZD vs										
USD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
JPY	93.76	93	95	95	97	99	99	98	96	95
EUR	0.5000	0.50	0.52	0.52	0.53	0.55	0.55	0.55	0.55	0.55
AUD	0.8225	0.82	0.84	0.85	0.87	0.89	0.90	0.91	0.91	0.91
CAD	0.8072	0.81	0.83	0.83	0.85	0.88	0.89	0.88	0.87	0.87
GBP	0.4355	0.44	0.45	0.45	0.46	0.47	0.48	0.48	0.47	0.47
CNY	4.0195	4.01	4.10	4.15	4.21	4.29	4.31	4.29	4.23	4.23

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Private consumption	0.1	-0.1	0.5	-0.6	0.3	1.5	1.4	1.4	1.4	0.6	4.7	4.3
Government consumption	1.4	2.2	-1.1	0.2	0.3	0.3	0.3	0.3	2.4	1.7	1.4	2.2
Residential investment	1.1	-0.1	1.5	1.0	1.0	1.0	2.0	3.0	-6.0	2.7	8.3	10.5
Business investment	2.9	-3.1	3.7	-0.3	1.6	2.2	2.5	2.0	0.4	3.6	7.3	4.0
Stocks (ppt contribution)	-0.5	0.8	0.3	-0.3	0.0	-0.1	0.2	0.0	-0.1	0.6	0.0	-0.1
GNE	0.6	0.5	1.1	-0.6	0.6	1.2	1.6	1.3	0.8	2.1	4.7	4.0
Exports	3.0	0.1	0.5	-0.3	-0.4	0.2	1.0	1.1	2.7	2.4	2.1	2.7
Imports	2.3	1.0	2.1	-1.1	0.1	1.2	1.8	2.7	3.4	2.8	6.3	5.2
GDP (production)	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	0.2	1.5	3.5	3.3
Employment annual %	-0.7	0.2	0.5	0.6	1.0	1.2	1.9	2.8	0.2	1.2	3.1	2.0
Unemployment rate % s.a.	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.4	5.4	4.6	4.2
LCI, all sect incl o/t, ann %	2.1	2.0	2.0	1.9	2.2	2.3	2.3	2.2	2.0	2.3	2.2	2.3
CPI annual %	3.0	3.1	2.8	4.3	4.2	3.9	3.5	1.6	3.1	3.9	1.7	2.6
Current account % of GDP	-3.5	-3.7	-3.9	-4.1	-4.3	-4.3	-4.1	-4.0	-3.7	-4.3	-4.0	-4.2
Terms of trade annual %	5.2	3.5	0.8	-3.3	0.0	1.2	5.3	6.3	3.5	1.2	5.0	0.4

Sources: Statistics NZ, Westpac Economics.

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Commodity prices

End of period	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Australian commodities index#	402	421	425	405	389	380	370	362	353	347
Bulk commodities index#	387	400	360	340	340	340	340	340	350	350
iron ore fines TSI @ 62% US\$/t	108	92	86	83	84	85	85	86	86	87
Premium low vol met coal (US\$/t)	232	230	220	200	201	203	204	205	207	208
Newcastle spot thermal coal (US\$/t)	141	150	135	120	121	121	122	123	124	124
crude oil (US\$/bbl) Brent	96	105	90	75	70	55	58	53	48	54
LNG in Japan US\$mmbtu	17.45	26.0	25.3	18.9	15.0	13.7	10.6	9.9	9.7	9.0
gold (US\$/oz)	4,815	4,850	4,930	5,000	5,000	4,950	4,900	4,850	4,700	4,400
Base metals index#	265	265	269	273	273	269	263	248	233	249
copper (US\$/t)	13,210	13,150	13,250	13,350	13,350	13,250	13,150	12,360	11,540	13,030
aluminium (US\$/t)	3,637	3,650	3,800	4,000	4,000	3,850	3,650	3,500	3,350	3,300
nickel (US\$/t)	18,024	17,800	17,900	17,950	17,950	17,850	17,550	17,000	16,000	15,750
zinc (US\$/t)	3,388	3,370	3,380	3,390	3,390	3,380	3,360	3,080	2,800	3,030
lead (US\$/t)	1,932	1,930	1,940	1,940	1,940	1,900	1,800	1,610	1,430	1,560
Rural commodities index#	141	139	142	143	142	137	133	128	117	129
NZ commodities index ##	410	407	413	412	410	410	412	414	415	416
dairy price index ##	352	342	342	342	345	349	353	357	359	361
whole milk powder USD/t	3,687	3,450	3,420	3,400	3,500	3,600	3,670	3,750	3,790	3,830
skim milk powder USD/t	3,381	3,000	2,970	2,950	3,000	3,050	3,100	3,150	3,180	3,210
lamb price index ##	631	656	679	651	633	622	621	620	617	612
beef price index ##	391	407	427	413	404	398	398	397	396	395
forestry price index ##	153	153	153	153	154	154	154	154	155	156

	levels				%change			
Annual averages	2025	2026f	2027f	2028f	2025	2026f	2027f	2028f
Australian commodities index#	324	412	375	350	4.1	27.3	-8.9	-6.7
Bulk commodities index#	378	378	345	354	-12.7	0.1	-8.8	2.5
iron ore fines @ 62% USD/t	102	93	85	87	-6.9	-8.8	-8.8	2.8
LNG in Japan \$mmbtu	11.8	20.5	13.0	9	-9.6	74.3	-36.5	-28.2
ave coking coal price (US\$/t)	166	181	174	179	-19.6	9.6	-4.3	2.9
ave thermal price (US\$/t)	119	130	119	121	-12.1	9.2	-9.1	2.4
iron ore fines contracts (US¢ dltu)	143	137	120	123	-12.2	-4.1	-12.0	1.8
Premium low vol met coal (US\$/t)	188	223	203	184	-21.7	18.4	-9.1	-9.5
crude oil (US\$/bbl) Brent ICE	67	92	61	53	-13.2	36.6	-33.7	-12.9
gold (US\$/oz)	3,470	4,910	4,940	4,541	44.0	41.5	0.6	-8.1
Base metals index#	208	262	264	245	3.1	25.7	0.8	-7.4
copper (US\$/t)	10,000	13,100	13,100	12,800	8.7	31.0	0.0	-2.3
aluminium (US\$/t)	2,600	3,600	3,800	3,300	8.3	38.5	5.6	-13.2
nickel (US\$/t)	15,300	17,700	17,700	16,100	-9.5	15.7	0.0	-9.0
zinc (US\$/t)	2,900	3,300	3,300	3,000	3.6	13.8	0.0	-9.1
lead (US\$/t)	2,000	1,900	1,800	1,500	-4.8	-5.0	-5.3	-16.7
Rural commodities index#	120	139	135	125	-5.0	16.0	-2.7	-7.4
NZ commodities index ##	390	407	411	416	9.2	4.2	1.2	1.2
dairy price index ##	348	339	351	361	9.7	-2.7	3.6	2.9
whole milk powder USD/t	3,902	3,509	3,594	3,829	13.5	-10.1	2.4	6.5
skim milk powder USD/t	2,702	3,020	3,054	3,216	0.6	11.7	1.1	5.3
lamb price index ##	587	657	626	609	27.0	11.8	-4.6	-2.7
beef price index ##	337	408	400	394	19.1	20.9	-1.9	-1.4
forestry price index ##	152	152	154	156	-4.9	0.5	1.1	1.1

Chain weighted index: weights are Australian export shares. * Australian export prices fob - ABS 5432.0 Merchandise Trade Exports. ** WCFI - Westpac commodities futures index. *** Weekly averages except for the Bunks Index. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

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United States

Interest rate forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Fed Funds*	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
USD vs										
DXI index	98.22	98.0	97.7	96.8	95.9	95.1	94.3	94.0	94.1	93.9
JPY	159.11	158	156	154	152	150	148	146	144	142
EUR	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
AUD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
CAD	1.3699	1.37	1.36	1.35	1.34	1.34	1.33	1.32	1.31	1.30
GBP	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
CHF	0.7831	0.77	0.76	0.75	0.75	0.74	0.74	0.74	0.75	0.75
ZAR	16.40	16.4	16.4	16.2	16.2	16.1	16.1	16.1	16.5	16.5
SGD	1.2726	1.27	1.26	1.26	1.26	1.26	1.26	1.25	1.25	1.25
HKD	7.8253	7.80	7.79	7.78	7.76	7.75	7.75	7.75	7.75	7.75
PHP	60.00	59.0	58.5	58.0	57.5	57.0	56.0	55.0	54.0	54.0
THB	32.02	31.6	31.4	31.2	31.0	30.8	30.6	30.2	30.1	30.1
MYR	3.9541	3.95	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80
CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
IDR	17139	17000	16800	16600	16500	16400	16300	16200	16000	16000
TWD	31.55	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2
KRW	1480	1470	1460	1440	1420	1400	1380	1360	1340	1340
INR	93.20	92.0	91.0	90.0	89.0	89.0	88.0	88.0	87.0	87.0

Activity forecasts

	2025				2026				Calendar years			
% annualised, s/adj	Q1	Q2	Q3	Q4	Q1f	Q2f	Q3f	Q4f	2025	2026f	2027f	2028f
Private consumption	0.6	2.5	3.5	1.9	1.1	1.3	1.7	1.7	2.6	1.8	1.9	2.1
Dwelling investment	-1.0	-5.1	-7.1	-1.7	0.8	0.0	0.0	0.8	-2.2	-1.3	0.9	2.0
Business investment	9.5	7.3	3.2	2.4	2.0	1.7	2.4	3.1	4.1	2.6	3.0	3.4
Public demand	-1.0	-0.1	2.2	-5.6	0.0	0.4	0.4	0.4	1.1	-0.7	0.4	0.4
Domestic final demand	1.5	2.5	2.9	0.6	1.1	1.2	1.5	1.7	2.4	1.4	1.8	2.0
Inventories contribution ppt	0.7	-0.4	-0.4	-0.1	-0.8	0.1	0.1	0.1	-0.1	0.1	0.0	0.0
Net exports contribution ppt	-1.8	-0.1	0.5	0.4	1.6	0.2	-0.3	-0.4	-0.3	0.3	-0.3	-0.3
GDP	-0.6	3.8	4.4	0.5	0.8	1.0	1.3	1.5	2.1	1.5	1.6	1.8
%yr annual chg	2.0	2.1	2.3	2.0	2.4	1.6	0.9	1.1	-	-	-	-

Other macroeconomic variables

Non-farm payrolls mth avg	68	56	11	-30	44	60	60	70	26	59	90	120
Unemployment rate %	4.1	4.2	4.3	4.4	4.3	4.5	4.6	4.7	4.4	4.7	4.8	4.7
CPI headline %yr	2.7	2.4	2.9	2.7	2.7	3.2	3.1	2.9	2.7	2.9	2.4	2.3
PCE deflator, core %yr	2.8	2.7	2.9	2.9	2.9	2.9	2.7	2.5	2.8	2.5	2.3	2.2

Sources: Official agencies, Factset, Westpac Economics.

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Europe & the United Kingdom

Interest rate forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Euro Area										
ECB Deposit Rate	2.00	2.25	2.50	2.50	2.50	2.50	2.25	2.00	2.00	2.00
10 Year Bund	3.03	3.10	3.10	3.10	3.05	3.00	2.95	2.90	2.90	2.90
10 Year Spread to US	-128	-125	-130	-135	-145	-155	-165	-175	-180	-185
United Kingdom										
BoE Bank Rate	3.75	4.00	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
10 Year Gilt	4.85	4.90	4.95	4.95	4.95	4.90	4.85	4.80	4.75	4.75
10 Year Spread to US	54	55	55	50	45	35	25	15	5	0

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
euro vs										
USD	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
JPY	187.53	186	184	183	182	182	181	178	175	173
GBP	0.8710	0.87	0.87	0.87	0.87	0.87	0.87	0.87	0.86	0.86
CHF	0.9230	0.91	0.90	0.90	0.90	0.90	0.91	0.91	0.91	0.91
DKK	7.4730	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47
SEK	10.83	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8
NOK	11.03	11.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0
sterling vs										
USD	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
JPY	215.31	214	212	211	210	209	207	206	202	200
CHF	1.0597	1.04	1.03	1.03	1.03	1.03	1.04	1.05	1.05	1.06
AUD	0.5295	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026f	2027f	2028f
Euro area GDP	3.7	0.5	0.9	1.5	0.8	1.3	1.6
<i>private consumption</i>	5.3	0.6	1.3	1.5	1.1	1.2	1.4
<i>fixed investment</i>	2.2	2.7	-2.6	3.1	1.5	2.2	2.5
<i>government consumption</i>	1.3	1.5	2.3	1.6	2.2	2.1	1.9
<i>net exports contribution ppt</i>	-0.1	0.3	0.3	-0.6	-0.4	-0.1	-0.2
Germany GDP	1.9	-0.7	-0.5	0.4	0.6	1.4	1.7
France GDP	2.8	1.6	1.1	0.9	0.9	1.0	1.3
Italy GDP	5.0	1.0	0.6	0.7	0.6	0.8	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.1	2.0	2.1
Netherlands GDP	5.0	-0.6	1.1	1.9	1.3	1.3	1.6
United Kingdom GDP	5.1	0.3	1.1	1.4	0.7	1.2	1.5

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Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026f	2027f	2028f
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	-0.3	0.1	0.1	0.9	1.3	1.7
Producer prices %yr	10.3	-0.7	-2.7	-2.3	-2.6	0.3	0.8	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.0	4.8	4.6
Retail sales	12.5	-0.2	7.2	3.5	4.1	4.4	4.6	4.8
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.5
Fixed asset investment	4.9	5.1	3.0	3.2	-1.0	3.6	4.0	4.5
Exports %yr	20.9	-9.9	-2.3	10.7	5.1	3.0	2.8	2.5
Imports %yr	19.5	-7.5	0.2	0.9	0.0	1.5	1.5	1.2

Source: Macrobond, Bloomberg. Year-to-date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1-year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Policy Rate	0.75	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
10 Year Bond Yield	2.41	2.20	2.15	2.10	2.05	2.00	1.95	1.90	1.85	1.80

Currency forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
JPY	159.11	158	156	154	152	150	148	146	144	142
SGD	1.2726	1.27	1.26	1.26	1.26	1.26	1.26	1.25	1.25	1.25
HKD	7.8253	7.80	7.79	7.78	7.76	7.75	7.75	7.75	7.75	7.75
PHP	60.00	59.0	58.5	58.0	57.5	57.0	56.0	55.0	54.00	54.00
THB	32.02	31.6	31.4	31.2	31.0	30.8	30.6	30.2	30.1	30.1
MYR	3.9541	3.95	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80
CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
IDR	17139	17000	16800	16600	16500	16400	16300	16200	16000	16000
TWD	31.55	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2
KRW	1480	1470	1460	1440	1420	1400	1380	1360	1340	1340
INR	93.20	92.0	91.0	90.0	89.0	89.0	88.0	88.0	87.0	87.0

Source: Bloomberg, Westpac Economics.

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Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025f	2026f	2027f	2028f
World	6.7	3.8	3.3	3.4	3.4	3.1	3.2	3.3
United States	6.2	2.5	2.9	2.8	2.1	1.5	1.6	1.8
Japan	3.6	1.3	0.7	-0.2	1.2	0.6	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.5	0.8	1.3	1.6
Group of 3	5.9	2.8	1.8	1.7	1.8	1.1	1.4	1.6
United Kingdom	8.5	5.1	0.3	1.1	1.4	0.7	1.2	1.5
Canada	6.0	4.7	2.0	2.0	1.7	1.2	1.8	2.0
Australia	5.4	4.2	2.1	1.0	2.0	1.8	1.2	2.4
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.5	3.5	3.3
OECD total	6.2	3.2	1.9	1.8	1.7	1.3	1.5	1.7
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	2.0	2.0	1.9
Taiwan	6.7	2.7	1.1	5.3	8.7	5.5	4.0	3.0
Hong Kong	6.5	-3.7	3.2	2.6	3.5	2.9	2.5	2.3
Singapore	10.1	4.0	1.5	5.3	5.0	3.3	2.6	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.0	5.2	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	1.6	2.4	2.5
Malaysia	3.3	9.0	3.5	5.1	5.2	4.4	4.4	4.3
Philippines	5.7	7.6	5.5	5.7	4.4	4.5	5.5	5.9
Vietnam	2.6	8.5	5.1	7.0	8.0	6.9	7.0	7.2
East Asia	7.1	3.6	4.7	4.8	4.9	4.5	4.5	4.3
East Asia ex China	4.4	4.6	3.4	4.5	4.7	4.2	4.2	4.1
NIEs*	6.1	2.3	1.6	3.4	4.0	3.3	2.7	2.3
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Russia	5.9	-1.4	4.1	4.9	1.0	1.1	1.1	1.4
Brazil	4.8	3.0	3.2	3.4	2.3	1.6	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	-1.9	-1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex-East Asia	6.8	3.7	3.7	4.7	4.4	4.0	4.3	4.3
Other countries	6.7	5.2	4.9	2.0	2.3	2.8	3.0	3.1
World	6.7	3.8	3.3	3.4	3.4	3.1	3.2	3.3

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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ECONOMIC BULLETIN

Hawks, doves, and kiwis.



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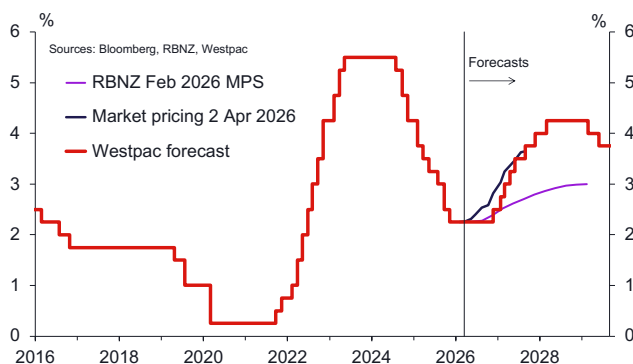
Overview.

As discussed **in our preview this week**, the outcome of the upcoming Monetary Policy Review seems certain – an OCR maintained at 2.25%. However, looking further ahead, we think there is likely to be a diversity of views across the Monetary Policy Committee (MPC) about how the Middle East conflict is likely to play out; the likely impact on the economy and inflation; and the appropriate monetary policy response.

In this edition of our regular “Hawks, Doves and Kiwis” note, we survey some of the arguments that might be advanced by MPC members as they seek to tease out the implications of this shock. Some of those arguments would push the RBNZ in a more “hawkish” direction, while others would counsel a “dovish” response.

We expect to see at least some of these perspectives raised in the Record of Meeting that will be published after next week’s meeting. However, it will likely take some time before it becomes clear which path the economy and monetary policy will take.

Official Cash Rate forecasts

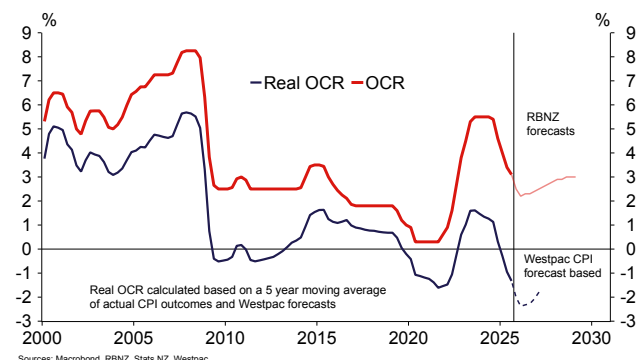


The Hawk’s Eye View.

The Middle East conflict is both large and possibly long lasting. The current 2.25% nominal OCR was set with a view to a very different outlook. More neutral settings will soon be appropriate while we assess the size and duration of the inflation shock.

- Inflation is likely to rise to the 4-5% range at the very least. And the shock could be long lasting, reflecting the significant supply chain disruptions at play.
- The OCR was set based on a forecast of a high level of excess capacity which still seems relevant. But it also envisaged an inflation rate that would soon move back inside the inflation target range. This is unlikely now.
- Hence the real OCR is now much lower than was anticipated would be the case in late 2025/early 2026. Indeed, the real OCR is now likely in deeply negative territory and will fall a lot further as inflation rises.
- We would need to make heroic assumptions to think inflation expectations will remain low enough to think that real interest rates are not now low and falling.
- This inflation shock comes after a long period of above target inflation. This further challenges the idea that inflation expectations will remain unimpacted.

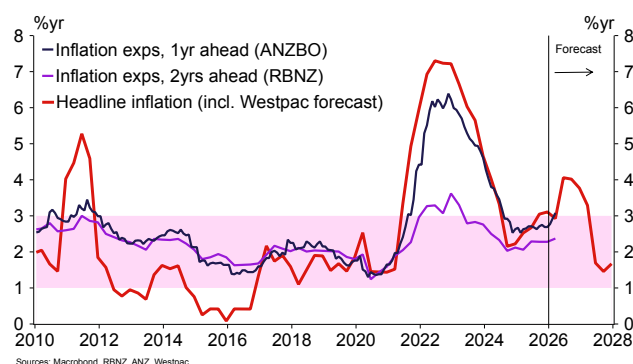
RBNZ forecasts of the nominal OCR and estimated real OCR



Significant risks to inflation expectations and wage setting behaviour could result from the inflation shock. This requires a proactive response to avoid a later OCR overshoot.

- The shock to the inflation rate is extreme and the duration of the shock unknown.
- Price setting behaviour could quickly adjust to reflect the shock. Pricing intentions were already high, and costs are increasing in a visible way. Customers are likely to accept a price rise given the Iran war.
- Labour market conditions are not uniformly loose. Skilled labour remains hard to get and there are considerable costs for firms to replace lost skilled workers. These firms may opt to compensate those workers given the broad-based nature of the inflation shock.
- Given the risk of a lift in inflation expectations, it's no longer appropriate to retain stimulatory conditions. Policy should be at least neutral in the current circumstances. A quick adjustment of the OCR above 3% is appropriate.

Inflation and inflation expectations



Many central banks will likely be forced to tighten monetary policy in response to the inflation shock. The RBNZ will need to follow suit or exchange rate depreciation will be a significant risk.

- Most of the move up in market interest rates has reflected global dynamics.
- Global rates are rising reflecting the inflation shock and an expectation that central banks won't accommodate the shock.
- If the RBNZ retains relatively low short-term rates then downward pressure on the exchange rate will occur. This will add to inflation pressures.
- Some rise in the OCR to compensate for rising foreign rates is thus appropriate – likely towards the 3.5-4.5% range now likely for the US and Australia.

Even if the Iran war is quickly resolved, a legacy of high inflation will remain. It would be better for the OCR to

be positioned much closer to neutral levels to bring that inflation down to 2%.

- Even if the war ended tomorrow, inflation would be much higher than thought when the 2.25% OCR was last considered by the MPC.
- While doves can argue that accumulating excess capacity means an accommodative stance is appropriate, growth could quickly be restored if the war ended.
- The uncertain situation argues for a more neutral policy stance. Certainly, the odds of an undershoot of core inflation in the next 2 years looks remote.

The Dove's Tale.

Good central bank practice is to look through the direct impact of supply shocks.

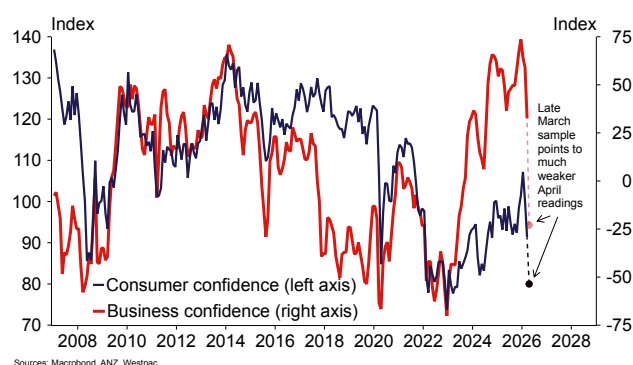
- The RBNZ cannot offset with higher interest rates the impact on near-term inflation of an increase in oil prices that's already occurred.
- As interest rates usually take around 12 to 18 months to have their full effects, interest rate hikes now could compound the downwards pressures on activity just as inflation will naturally be falling back, thus amplifying rather than dampening the cycle in inflation.
- Monetary policy tightening would only be appropriate if there were clear evidence of second-round inflation pressures that would not be addressed by the additional surplus productive capacity created by the shock.

The impacts on activity from the Middle East conflict are likely to be large, especially considering the fragility of New Zealand's recovery.

- GDP growth disappointed last year, with the recovery seemingly interrupted by uncertainty associated with US tariff policy. Many smaller firms will be poorly positioned to cope with a further year of disappointing growth.
- Consumer and business confidence has already taken a significant hit, and next month's surveys seem likely to be weaker again. Firms already report the curtailing of some activity.
- Uncertainty will lead to delays in making major decisions (such as hiring and investment proposals); a reduction in discretionary purchases due to a squeeze on household disposable incomes; and downward pressure on asset prices (including housing).
- In this environment, even a 2.25% OCR is unlikely to stimulate activity. While the real OCR this year will be lower than forecast previously, it is absurd to suggest that financial conditions have been eased by this shock.

- Long haul travel to New Zealand is likely to be lower than forecast previously due both increased costs associated with travel, physical disruptions through major hubs and perhaps travellers' reluctance to travel long distances.
- There is a risk that the conflict is protracted, and that the related disruptions cause a larger and more enduring lift in inflation than expected. However, in such circumstances, there is likely to be an even sharper downturn in economic activity. Tightening policy in such circumstances would be unnecessary.

ANZ consumer and business confidence



The output gap is already sufficiently negative to place the required downward pressure on inflation over the medium term.

- Some countries will likely need to tighten monetary policy. This is because they will need to generate the excess capacity required to ensure that a near-term spike in inflation does not lead to persistent inflation over the medium-term.
- By contrast, New Zealand's economy already has significant spare capacity and that capacity is now unlikely to be absorbed this year given the weaker outlook for growth.
- The current level of spare capacity proved sufficient to normalise pricing setting behaviour – including wage growth – in the wake of the huge Covid inflation shock.
- It is unclear why even greater spare capacity would be required to dampen inflation this time, especially with fiscal policy providing a more supportive role than during the Covid shock.
- Tightening now will needlessly generate even greater spare capacity – probably including an unemployment rate over 6% – adding to the real cost of this shock to the New Zealand economy.

Unemployment rate and wage growth



The oil price shock could expose other much-discussed weaknesses in the global economy, leading to a generalised tightening of financial conditions. The RBNZ needs to be wary of tightening into what could be a sharper global slowdown than currently assumed.

- Stresses caused by the oil shock could expose other vulnerabilities in the global economy, such as concerns about equity market valuations, private credit and structural weaknesses in China's economy.
- Some central banks will have little choice but to tighten policy (e.g., the RBA). This will weigh on trading partner growth and feed back into the outlook for both the demand for and prices of New Zealand's exports.
- The RBNZ needs to consider these risks especially given the weak starting point for the recovery.

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April

PNG ECONOMIC UPDATE

Monthly update on the PNG economy



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Non-resources keeps the economy running

A resilient outlook amid global uncertainty

Papua New Guinea entered 2026 with a comparatively resilient macro position despite heightened global volatility driven by Middle East conflict, energy market disruption and rising geopolitical fragmentation. Real GDP growth in 2025 was estimated at 5.3% by the Bank of Papua New Guinea (Westpac estimate 5.5%) and is expected to moderate in 2026 as activity normalises, with official and institutional forecasts clustering around 3–4%. Inflation remained contained at around 4%yr in the December quarter, supported by GST exemptions and easing non-fuel price pressures, although rising global fuel prices increased upside risks into mid-2026 and through the second half of the year.

Underlying economic momentum improved through February and March, supported by firm commodity prices, easing foreign exchange constraints and improving business sentiment, despite delays in major resource project decisions.

Resource Projects

Papua LNG, valued at around US\$14 billion, remains in the Final Investment Decision window, although the time line has slipped beyond earlier expectations for early 2026. Developers are reported to be seeking an additional US\$3 billion in concessions amid cost escalation, while the Government has maintained a target of 55% total state benefit under existing fiscal laws. A more optimistic outlook around the P'nyang gas project provides some confidence in the resources sector.

Macroeconomic tone strengthens

The World Bank, ADB and IMF alongside Westpac Pacific all upgraded PNG's outlook relative to earlier expectations, citing stronger mineral output, supportive gold and copper prices and improving macro-financial stability.

The World Bank's Public Finance Review noted that resource revenues averaged only 1.9% of GDP between 2013 and 2024, despite a doubling in production, while estimating that PNG requires additional public investment of around 4.5% of GDP annually in health,

education and social protection to meet development goals.

Business confidence lifts

Business sentiment improved sharply. Results from the 2026 PNG CEO100 Survey showed:

- 72% of CEOs expect higher profits in 2026,
- Over 50% plan substantial increases in capital investment, and
- Foreign exchange availability fell from the top business constraint to 12th place.

Utilities reliability and infrastructure quality were among the few impediments reported to have worsened, underscoring capacity stress despite improving demand conditions.

Foreign exchange liquidity normalising

Foreign exchange conditions improved significantly. The Bank of PNG reported a reduction in the backlog of FX orders from around K1.8 billion to roughly K200 million, with outstanding orders now met on a daily or weekly basis, compared with a multi-month delay previously. Weekly FX auctions averaged around US\$30 million, with oversubscription

signalling still-strong demand but improved allocation efficiency.

The Kina depreciation continues. BPNG reaffirmed its crawling-peg approach, with further gradual depreciation expected through 2026 in the absence of major project inflows. Westpac projects a trough of USD 0.2150 by end-2026, before stabilisation as LNG-related capital inflows begin in 2027.

FATF grey listing

Papua New Guinea was formally placed on the FATF grey list in February 2026 following assessments identifying effectiveness gaps in AML/CTF supervision. The Government has committed to an 18-point action plan, including six legislative amendments, with a National Risk Assessment due by September 2026.

Authorities allocated K10 million to strengthen AML/CTF systems, while the US Treasury and other partners confirmed technical cooperation to accelerate removal. Commercial banks reported increased compliance costs and scrutiny but no systemic disruption to trade finance or domestic liquidity.

Key themes

Cyclone and humanitarian crisis

Severe Tropical Cyclone Maila dominated April, causing widespread destruction across Bougainville and parts of the New Guinea Islands. Fatalities were confirmed, over 100,000 people were affected, and major damage occurred to housing, roads, power and coastal communities. Emergency responses were mobilised, with Australia providing humanitarian assistance.

Fuel price shock

Fuel prices surged due to Middle East conflict-driven global oil disruptions. The government introduced a K1 billion stabilisation package, directed the ICCG to freeze prices at March levels, and warned suppliers against increases. Despite this, transport operators and businesses reported rising operating costs and ongoing logistics strain. Authorities highlighted exposure through transport, electricity generation and household living costs, reinforcing macro downside risks for the second half of 2026.

Law and order, elections and government reset

Law and order dominated the policy agenda. Parliament passed the

Vagrancy Act 2025/26 with an 80–1 vote, granting courts powers to issue exclusion orders and reinforcing urban security ahead of major events including NRL matches from 2028 and APEC 2033. The Government allocated early funding for 2027 election preparations, with election costs projected to exceed K1 billion. Firearms amnesty and forced recovery operations are scheduled to run until August 2026.

Public-sector reform and delivery

Under the Reset@50 agenda, all departments were directed to submit Delivery & Outcomes Reports by 31 March 2026, tied to the MTDP IV. The Prime Minister ordered reviews of underperforming SOEs following repeated blackouts, water failures and infrastructure delays. A public-service census was initiated to address payroll integrity ahead of a 3% public-sector base salary increase implemented under the 2026 Budget. Prime Ministers (Amendment) Bill 2026 looking into improving Government efficiency was tabled in the Parliament recently.

Energy security and domestic fuel vulnerability

Treasury warned PNG would feel the full effect of Middle East energy disruptions by early April, with domestic fuel prices already rising in March. The Government invoked emergency powers under the Essential Services Act and signalled willingness to intervene via subsidies or structural market changes if global prices spike further. Five new energy regulations were launched in March to modernise electricity licensing, off-grid systems and appliance standards.

Infrastructure stress

Severe weather events caused repeated transport disruption. Floods destroyed the Aumea Bridge, landslides cut the Madang–Lae–Highlands Highway, and wet-season damage isolated multiple districts. While Connect PNG allocations exceed K1.7 billion for works in 2026, parliamentary inquiries revealed deficiencies in trust-fund compliance and project governance, amplifying execution risk.

Digitalisation prospects

PNG accelerated digital infrastructure reforms. LEO satellite permits, including Starlink testing, expanded broadband access. Digital national ID (SevisPass) progressed as a mandatory

KYC tool, while financial sector innovation continued through digital superannuation platforms, green finance pilots and capital-market reforms aimed at reducing PNGX concentration risk.

Rising strategic relevance

PNG's geopolitical profile strengthened through deeper engagement with the US, Australia, Japan and the EU, spanning security cooperation, critical minerals, digital infrastructure and governance reform. PNG's selection as APEC 2033 host reinforced its long-term strategic positioning, raising both opportunity and accountability expectations.

Labour markets, migration and human capital constraints

Skills mismatches are becoming more binding as non-resource growth of about 4% lifts labour demand, while public-sector capacity came under scrutiny through a national workforce census targeting payroll integrity and performance ahead of July 2026 pay adjustments. Migration frictions increased after PNG was added to the US visa bond list, requiring a US\$15,000 bond from April.

Interest Rates

- The Bank of Papua New Guinea maintained a neutral monetary policy stance at its March 2026 meeting, keeping the Kina Facility Rate at 5.0% and the Cash Reserve Requirement at 9.0%. Headline inflation remained contained at around 4%, with core inflation trending lower, supported by GST exemptions and easing non-fuel price pressures.
- The MPC reaffirmed the exchange rate as the key nominal anchor, continuing the crawl-like adjustment of the kina to address remaining foreign-exchange imbalances. FX backlog has reduced sharply, from around K1.8 billion at its peak to roughly K200 million, according to the Bank of Papua New Guinea. Outstanding import and dividend orders are now being met daily or weekly, rather than over several months previously.
- The Bank flagged upside inflation risks from global fuel prices and ongoing Middle Eastern crisis, while judging current policy settings as appropriate to balance price stability and growth amid heightened global uncertainty.
- Fixed Rate Full Allotment 7-day C-Bill remains pegged to the KFR at 5.00%
- March 2026 saw a rebound in the 365-day Treasury bill yield, 5.56% in 20th February 2026 to 5.63% by 20th March 2026.
- March 2026 saw yield increases as market participants had bid the rates higher.
- The last Government Bond Auction was held on the 17th March 2026. Auctions were undertaken in the 3–15 year buckets - were comfortably oversubscribed.
- Total bids reached K280.5 million, exceeding the offer by K80.5 million (40%), with successful allotments totaling K200.45 million across five maturities.
- Demand was strongest in the 5-year, 7-year and 10-year tenors, reflecting investor preference for medium- to long-dated paper.
- Weighted average yields rose steadily along the curve:
 - 3-year: 6.48%
 - 5-year: 6.80%
 - 7-year: 6.95%
 - 10-year: 7.14%
 - 15-year: 7.48%

Foreign Exchange

- The gradual, crawling peg depreciation of the PGK continues, with February and March 2026 seeing PGKUSD fall from 0.2337 to 0.2317 on the 26th March 2026.
- Total FX Market turnover increased by PGK474.7m to PGK 6.1bn in February 2026, from PGK 5.625bn in January 2026 reflecting more FX liquidity in the PNG Market.
- There is still no guidance on the target rate of the depreciation or on where BPNG views the rate aligned to fundamentals.
- PGK/AUD remained rangebound throughout February to March 15th 2026. Breaking previous highs, AUD/USD peaked at 0.7151 during the month of February to March 15th 2026.
- The PGK/AUD dropped significantly, reflecting a high of 0.3249 and a low of 0.3127.
- PGK/AUD had a range of 122 basis points reflecting a volatile AUD/USD exchange rate. This reflects a weakening US Dollar amid global tension and market uncertainty.
- Weekly FX auctions continue, typically around US\$30 million per auction, with consistent oversubscription. This indicates strong demand, but improved allocation efficiency compared with 2023–24.

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Government Bond Auction

Series	Amount on offer	Bid recieved	Successful bids	Successful yields	Weighted average rate	Coupon Rate	Overall Auction
	K'million	K'million	K'million				
Issue ID 2026/5256 (3 Years)	30.00	33.35	23.45	5.75% - 6.57%	6.48%	5.75%	3.45
Issue ID 2026/5257 (5 Years)	40.00	65.00	55.00	6.58% – 6.89%	6.80%	6.00%	25.00
Issue ID 2026/5258 (7 Years)	50.00	68.00	68.00	6.25% - 7.11%	6.95%	6.25%	18.00
Issue ID 2026/5259 (10 Years)	50.00	72.00	42.00	7.05% - 7.23%	7.14%	6.50%	22.00
Issue ID 2026/5260 (15 Years)	30.00	42.00	12.00	7.46% - 7.55%	7.48%	6.75%	12.00
TOTAL	200.000	280.450	200.450				80.450

Auction Number:17-MAR-26 /GOB/ Government Bond; Settlement Date: 20-MAR-26; Amount on Offer: K200.000 million

Government Treasury Auctions

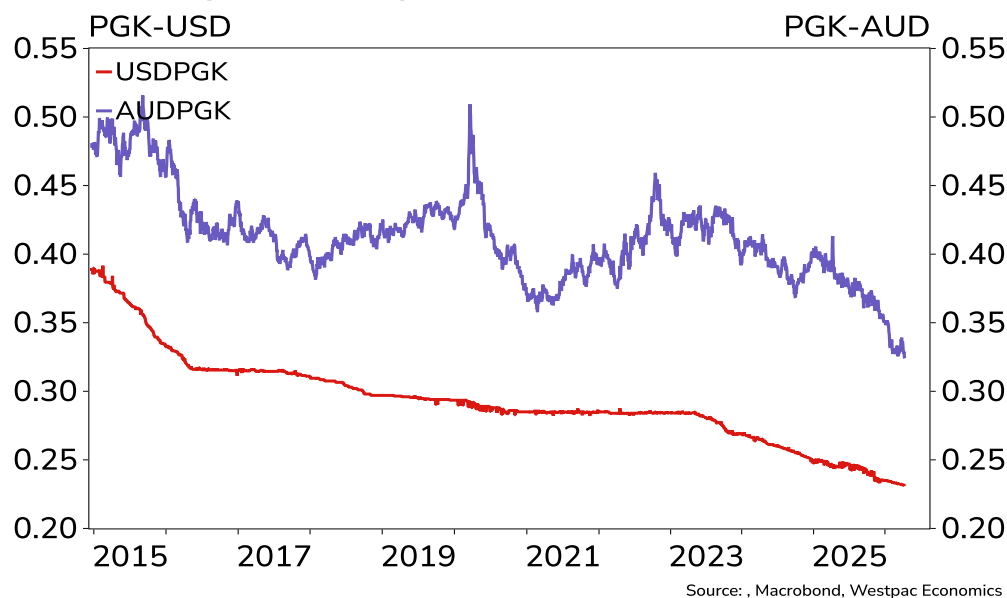
Terms	Issue ID 2025	Issue ID 2025	Issue ID 2025/4516	Issue ID 2025/4517	Issue ID 2025/4518	Total
	63	91	182	273	364	
Weighted Average Yield	0.000	0.00%	5.41%	5.58%	5.59%	
Amount on offer Kina Million	0.000	0.000	10.000	60.000	217.000	K287.000
Bids Received Kina Million	0.00	0.000	37.530	177.100	493.780	K708.410
Successful Bids Kina Million	0.00	0.000	20.530	50.000	312.780	K383.310
Overall Auction OVER- SUBSCRIBED	0.00	0.000	27.530	117.100	276.780	K421.410

Auction Number: 08-APR-26 / GOI/ Government Treasury Bill; Settlement Date: 10-APR-26; Amount on Offer: K287 million

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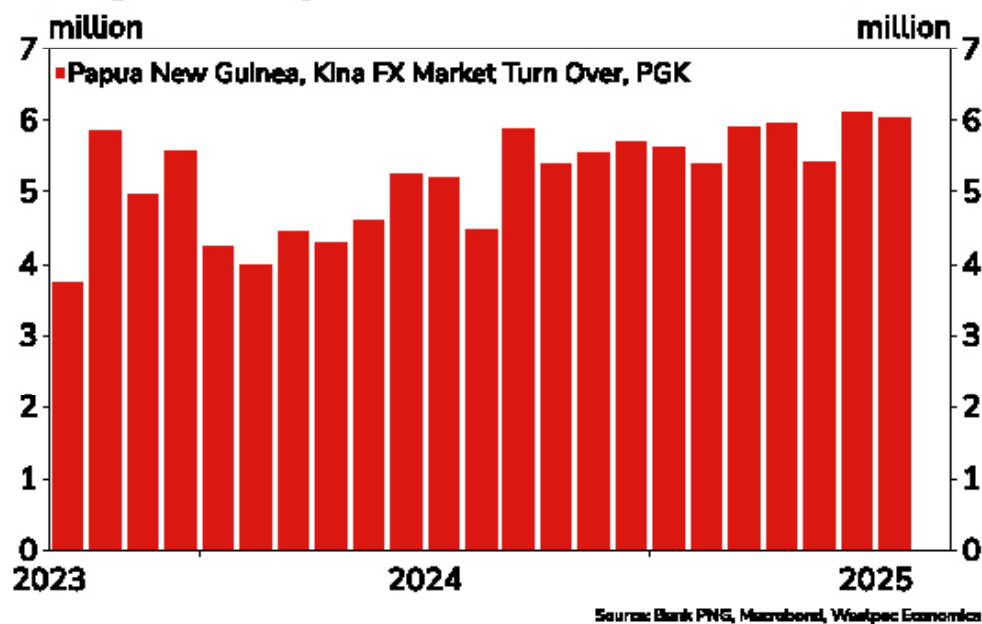
Gradual kina depreciation continues

Kina Foreign Exchange Rate



“PNG/AUD weakened through December to find some stability through March as AUD softened.”

Foreign Exchange Market Turnover



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PNG and Middle Eastern Conflict

The escalation of the Middle Eastern conflict since late February 2026 triggered a severe global energy shock. While PNG is a major LNG exporter, the domestic economy remains highly exposed to global fuel price volatility due to its continued reliance on imported refined petroleum products, limited domestic fuel storage capacity and weak, short term shock absorption buffers.

Westpac assumes that the Strait of Hormuz remains closed until the end of April, a total of eight weeks, and takes longer to reopen fully. This compares with our earlier assumption of a one-month disruption followed by a relatively rapid normalisation.

The slower recovery reflects limited shipping traffic through the Strait, insurance premiums remain elevated given the risk of further attacks by regional factions while shipping companies require time to re-establish vessel rotations and contractual arrangements.

We now assume traffic through the Strait reaches only 20% of normal levels in May. Traffic is expected to continue to improve thereafter,

although capacity is not expected to return to normal until end 2026.

A longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil is expected to peak at an average of US\$120/bbl in Q2 and Japanese LNG prices at US\$26mmbtu.

A prolonged three month disruption would see oil average closer to US\$130/bbl, LNG remain above US\$20/mmbtu, and global growth reduced by about 0.5 percentage points.

Despite being a net exporter of energy, PNG imports most of its refined fuels, mainly from Singapore, which relies heavily on Middle Eastern crude. Refined petroleum imports totalled about US\$886 million in 2024, equivalent to roughly 16% of total merchandise imports.

Westpac's baseline implies significant spillovers. A 10% increase in fuel prices would add roughly US\$90 million to annual import costs, widening the trade deficit and intensifying foreign exchange pressures.

PNG's fuel insecurity magnifies these risks. The Napa Napa refinery, with a capacity of around 32,000bbl/day, has been largely non operational due to cost, margin and operational constraints, leaving PNG reliant on imported fuels. Inventories are thin, covering around just 2–3 weeks of demand. In early March, some regions reported 2–5 days of cover forcing emergency imports and state of emergency style measures prioritising fuel for essential services. PNG is among the most fuel vulnerable economies in the Pacific.

Headline inflation was 4.1% in Q4 but under the baseline scenario, higher fuel, freight and electricity costs will push inflation higher from April 2026, even if global prices ease later in the year. Transport intensive sectors such as food distribution, construction, manufacturing and mining will bear the brunt.

For mining, particularly open pit gold and copper mines, rising diesel costs are partially offset by gains in robust commodity prices. While gold may have surged through US\$5,00/oz, it has since eased with operators flagging margin pressure from fuel driven cost inflation.

In 2025 PNG growth was a robust 5.5% supported by LNG, mining and agriculture. For 2026, growth is set to moderate to 4.6% as higher energy costs, global uncertainty and delayed investment decisions weigh on activity. Large projects remain sensitive to elevated construction costs and tighter global financial conditions. Further delays weaken medium term growth prospects and foreign exchange inflows.

The K30.9 billion 2026 Budget targets a near balance but is exposed to downside risks. Resource revenues averaged only about 1.9% of GDP between 2013 and 2024, limiting their value as shock absorbers. The World Bank's estimate that PNG requires an additional 4.5% of GDP annually in social and human capital spending underscores the limited scope to absorb external shocks.

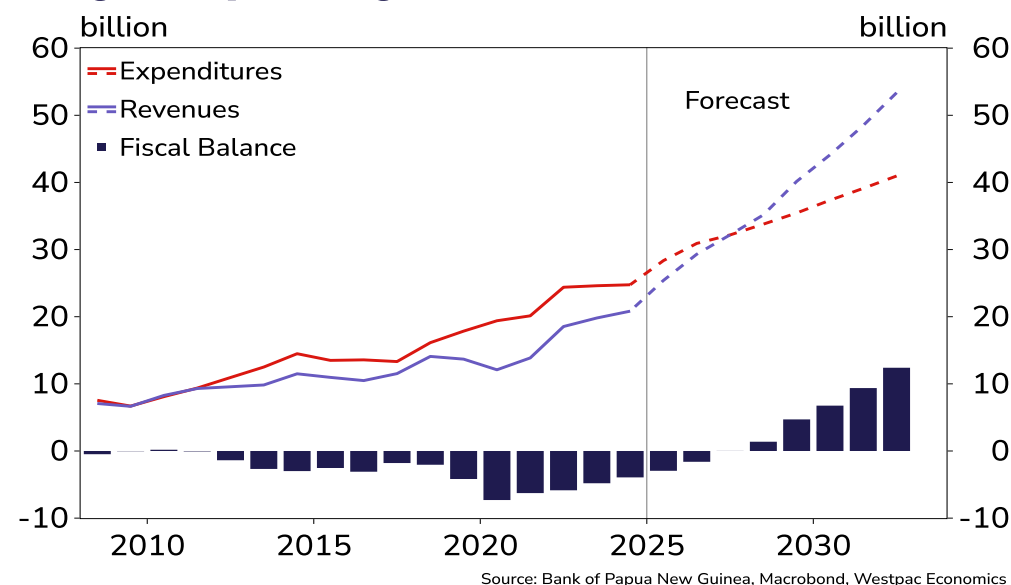
While three new fuel storage projects are planned, including a US funded 264ml facility near Port Moresby, they are unlikely to be operational until around 2030. PNG remains reliant on emergency shipments and ad-hoc policy responses, leaving the economy highly exposed even under our current scenario.

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Fiscal Consolidation Path Intact

- The 2026 Papua New Guinea National Budget, themed “Security with Growth”, puts forward a record expenditure number and aims to further consolidate fiscal repair plan while heavily directing funding towards key economic and social sectors. The total expenditure for fiscal year 2026 is projected at K30.9 billion with the estimated revenues at K29.3 billion.
- The central focus of the budget remains the continuation of the 13-Year Budget Repair Plan, with the government aiming to achieve a small budget surplus by 2027. PNG Government claims it is 88% of the way down the path toward achieving the surplus.
- The budget deficit is projected to fall substantially to just 1.1% of GDP in 2026, down sharply from 8.9% in 2020, demonstrating significant progress toward fiscal recovery. Revenues are projected to increase by 15.3%, outstripping the estimated 9.0% growth in expenditure, aligning with responsible budget repair efforts. Total domestic revenues are expected to reach 18.8% of GDP.
- Due to strong fiscal discipline, debt growth is slower than economic growth, leading the debt to GDP ratio to fall from estimated 48.4% in 2025 to the projected 45.5% in 2026 fiscal year.
- To mitigate temporary fiscal imbalances and reinforce the consolidation drive, PNG Government is also amending the Papua New Guinea Fiscal Responsibility Act 2006 to reduce the interim debt ceiling from 55% down to 52.5% of GDP for a period of five years.
- The National Budget also introduces Bill that details mechanisms allowing the Minister for Treasury to direct the reallocation of unspent funds or funds from the “Contingency Fund” to cover shortfalls in other activities.
- In order improve cash flow management, the budget proposed amendments to the Central Banking Act which details mechanism for the Bank of PNG to provide Treasury and Finance with weekly data on the closing balances of all Government accounts.
- The Budget further tries to strengthen tax administration by establishing at the Internal Revenue Commission the formal IRC Board that will be responsible to oversee revenue performance, strategic directions and budget approvals.

Budget Surplus target from 2027



“...PNG Government targets budget surplus from 2027...debt ceiling lowered to 52.5% from 55%...”

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Key sectoral allocation

The 2026 National Budget, themed “Security with Growth”, allocates K30.3 billion in total expenditure, with K19.4 billion (64.1%) for operational costs and K10.9 billion (35.9%) for capital investment. The budget prioritizes education, health, law and justice, infrastructure, and provincial development.

Education Sector – K4,935.2 million (16.3%)

Education receives the largest share, reflecting the Government’s commitment to universal access and quality learning. Operational spending of K4,325.7m includes K2,532.1m for teacher salaries, K904.5m for Tuition Fee Subsidy, and K103.9m for TESAS scholarships. Capital investment of K609.5m supports higher education programs, TVET, and infrastructure upgrades.

Provinces – K4,720.9 million (15.6%)

Funding for subnational service delivery through District Support Improvement Program (DSIP) and Provincial Support Improvement Program (PSIP). Includes K1,854m for GoPNG capital projects.

Administration – K4,609.5 million (15.2%)

Covers revenue collection agencies (IRC, Customs), governance reforms, and flagship programs like District Infrastructure Program (K480m) and Kina-for-Kina Project (K400m). Capital allocation of K3,011.1m supports

digital governance and infrastructure.

Health Sector – K3,204.9 million (10.6%)

Operational allocation of K2,346.8m funds medical supplies (K264.6m), public health commodities (K84.9m), and Provincial Health Authorities. Capital allocation of K858.1m supports hospital development, cancer treatment facilities, and the new Medical University.

Law & Justice – K2,498.6 million (8.3%)

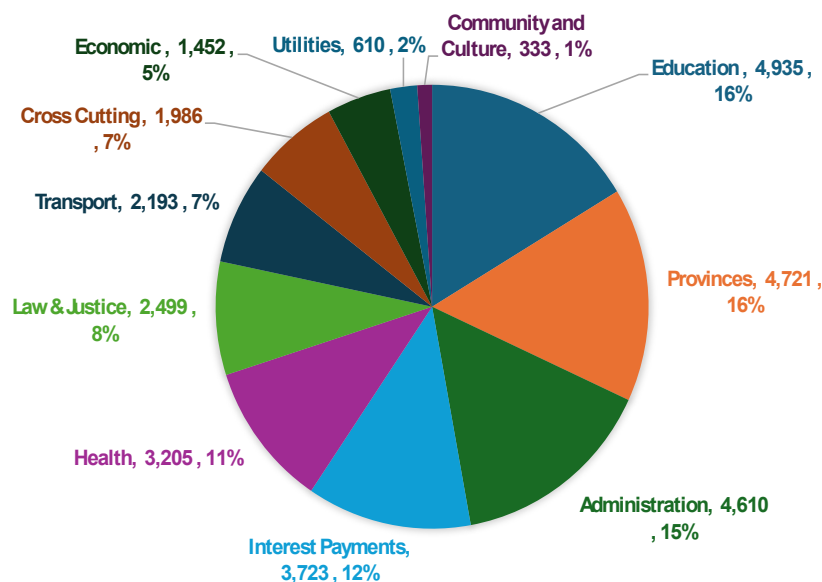
Increased funding for police recruitment, judicial reforms, and correctional services. Capital allocation of K468m targets infrastructure upgrades for courts, prisons, and security facilities.

Transport – K2,193.1 million (7.2%)

Focused on Connect PNG infrastructure projects, including roads, bridges, and aviation facilities. Includes K1,191m GoPNG funding and K842m from grants and loans.

Other sectors include Economic (K1,452.1m), Utilities (K609.5m), Community & Culture (K332.9m), and Cross-Cutting programs (K1,985.5m) for rentals, utilities, and arrears clearance.

2026 EXPENDITURE ALLOCATION (KINA MILLION)

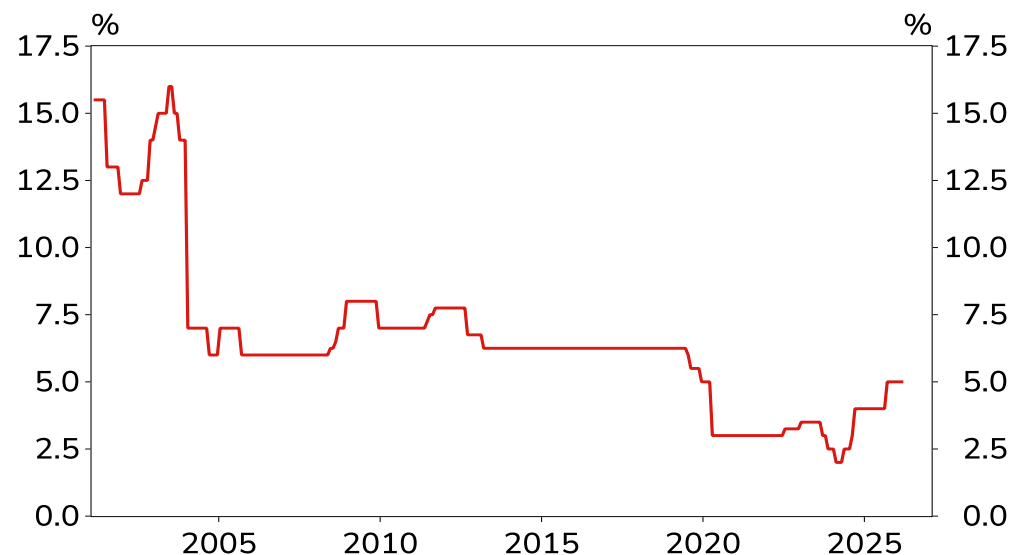


“...education receives the highest budget allocation at K5 billion”

March BPNG rate unchanged

- The Bank of Papua New Guinea's Monetary Policy Committee at its March 2026 meeting decided to maintain a broadly neutral policy stance, keeping the Kina Facility Rate at 5.0% and the Cash Reserve Requirement at 9.0%. The Committee judged current settings as appropriate to support non-mineral sector activity while preserving macroeconomic stability amid ongoing foreign exchange constraints and global uncertainty.
- Global growth remains resilient and inflation pressures have eased, but escalation of the Middle East conflict has heightened risks through higher energy prices, shipping costs and imported inflation. Domestically, growth remains moderate, supported by mineral output with the Porgera mine operating close to full capacity, while non-mineral sector growth remains subdued. GDP growth is expected to moderate to around 3.0% in 2026.
- The Committee noted that GST relief is temporary and cautioned that further Kina depreciation could lift inflation pressures through 2026.
- The exchange rate remains the primary nominal anchor for monetary policy given weak interest rate transmission and high import dependence. The MPC reaffirmed continuation of the crawl-like exchange rate arrangement, noting that despite recent adjustments, the Kina remains overvalued relative to its estimated equilibrium, with a continued backlog of foreign exchange orders. Further gradual adjustment is considered necessary to restore market clearing, reduce intervention reliance and progress toward full convertibility, while safeguarding reserves.
- All members supported maintaining central bank liquidity operations, including continued issuance of 7-day and 28-day central bank bills, FX auctions, and repo and reverse repo margins at 2.0 percentage points around the policy rate.
- Voting decisions showed one dissent. Four members voted to maintain the KFR at 5.0% and CRR at 9.0%. Professor David Kavanamur dissented, voting for a rate cut to 3.0%, a reduction in the CRR to 8.0% and a slower pace of exchange rate depreciation, citing low core inflation, fiscal consolidation's deflationary impact and delayed supply-side responses. Mr Daii Vele supported holding rates but argued that further Kina depreciation should be paused, emphasising improved balance of payments prospects and increased FX interventions.

Kina Facility Rate



Source: Bank of Papua New Guinea, Macrobond, Westpac Economics

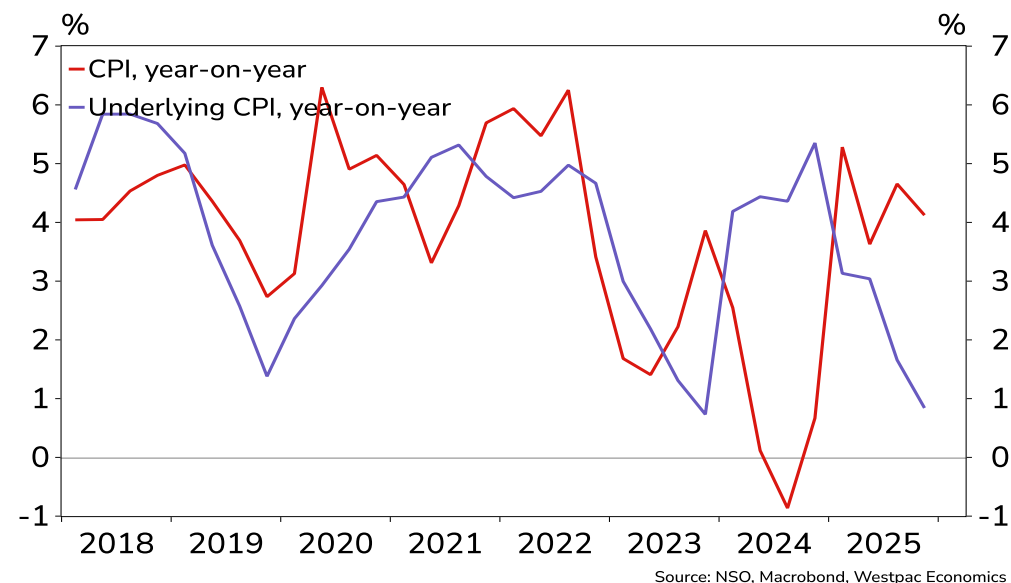
“...The Committee also discussed medium-term reforms, including a potential shift to a trade-weighted currency basket”

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2025 inflation update

- PNG's headline CPI rose 4.1%yr in the December 2025 quarter, easing from 4.7%yr in the September quarter, driven by a 0.7%yr increase in Food & Non-Alcoholic Beverages, a still elevated 21.8%yr rise in Alcoholic Beverages, Tobacco & Betel Nut, and a 2.2%yr increase in Transport.
- Apart from these main drivers, consumer prices rose across all other broad items in the December quarter.
 - Clothing & Footwear +1.6%yr
 - Health +3.3%yr
 - Restaurant & Hotels +2.6%yr
 - Education +1.7%yr
 - Communication +0.7%yr
 - Housing +2.3%yr
- Underlying inflation eased sharply to 0.8%yr in December 2025, down from 1.7%yr in September. Underlying inflation is now noticeably below.
- Headline inflation excluding seasonal items rose 0.8%yr in December 2025, while excluding seasonal items and customs excise rose 1.0%yr, and excluding seasonal, customs excise and price controlled items rose 0.7%yr.
- Betel nut prices remain the largest single source of volatility. Although moderating from their September spike, betel nut prices still rose 29.0%yr and 21.9%qrt in Q4 and continue to heavily influence headline inflation.
- Food & Non-Alcoholic Beverages increased 0.7%yr, though the category fell modestly -0.27% in the quarter, helping moderate the broader inflation impulse. As in Q3, food sub-components remained mixed with several staples continued to ease while some dairy and fresh produce lines recorded small increases.
- Transport rose 0.6%qrt in Q4. Fuel items remained higher (diesel, petrol and lubricants all modestly up), and motor vehicle increased slightly. Airfares also edged higher, consistent with ongoing domestic aviation disruptions. With aircraft grounding and capacity constraints persisting at Jacksons Airport and other key routes, pressure on airfares and freight costs remains a near-term inflation risk for transport and perishable food supply chains.

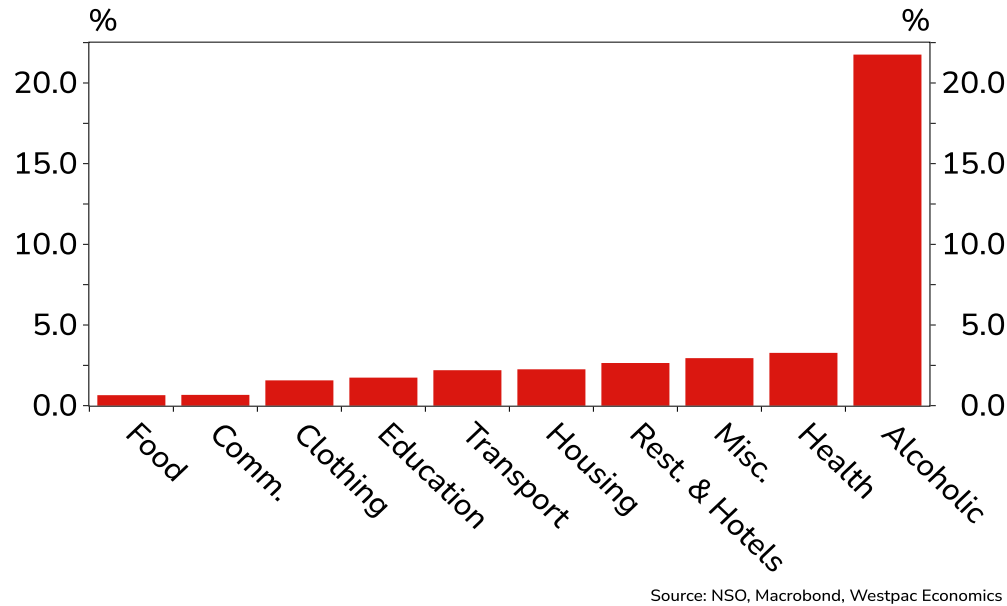
Core inflation falls to 2-year low at 2025-end



“...Betel Nut a key driver for surge in headline inflation as underlying inflation register lower”

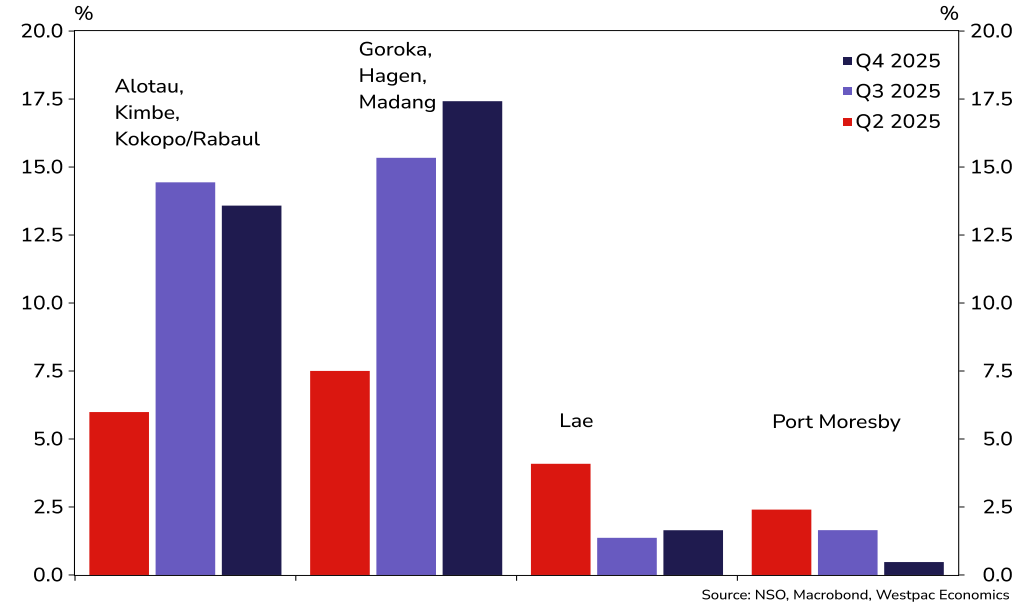
Highlands and Islands inflation up

PNG's inflation categories in Q4 2025



“... Betel nut prices remain the largest single source of volatility, pushing up the Alcoholic, Beverages and Narcotics component”

Headline inflation in respective regions

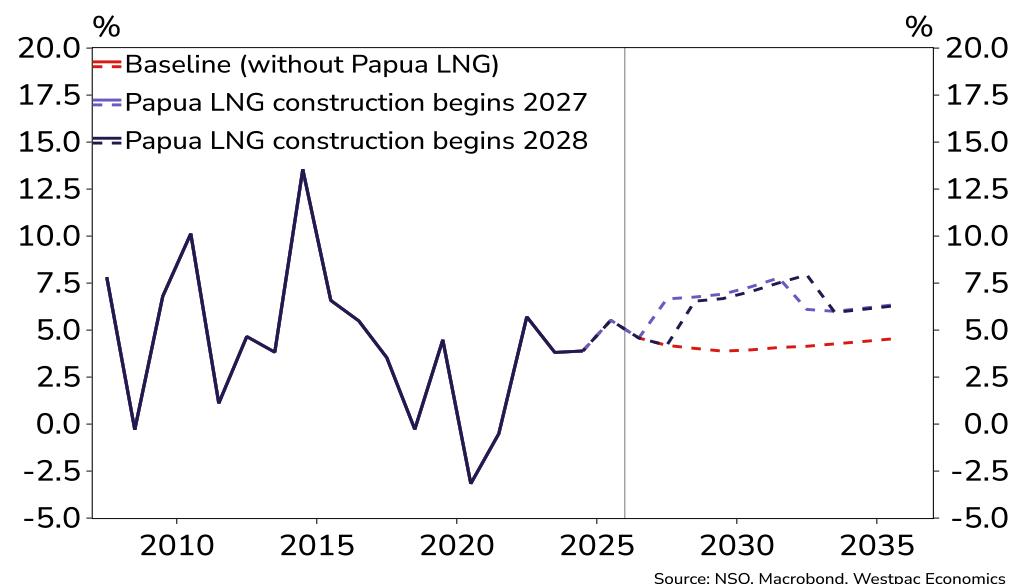


“...double digit inflation in Alotau, Kimbe, Kikipo/Rabaul, Goroka, Hagen and Madang”

PNG's growth holds despite project delays

- Papua New Guinea's moved through last year with a sense of cautious steadiness rather than any dramatic turning point. As such, we upgraded our 2025 growth estimate to 5.5% from our earlier 4.7%, with strong performance in mining, industries and services sectors.
- PNG's medium-term outlook is characterised by a stable baseline growth profile, with the prospect of a significant uplift once the Papua LNG project enters construction and production. However, repeated delays to the Final Investment Decision, initially expected in 2018 and now anticipated in the second half of 2026, continue to complicate near-term forecasts.
- Under our baseline scenario, assuming no Papua LNG FID within the forecast horizon, real GDP growth remains solid but moderates gradually. We forecast growth of 4.6% in 2026, easing to 4.2% in 2027 and 4.0% in 2028, before stabilising around 3.9–4.1% in the longer term. Sectoral dynamics are steady: primary sector growth slows as agriculture plateaus and mining stabilises near 1.4–1.6%, industry expands by 4.2–4.6%, with services the strongest driver, lifting from 5.6% in 2026 to around 6.5% by 2035. This trajectory assumes continued normalisation following earlier shocks and no major new projects altering aggregate growth.
- Papua LNG is modelled as a two-phase overlay on this baseline. The construction phase assumes US\$14 billion in capital expenditure spread evenly over five years, equivalent to an effective ~10% demand uplift relative to PNG's 2024 nominal GDP. Construction generates a substantial growth surge, lifting real GDP growth by +2.5 to +3.4 percentage points, with growth peaking at around 7.3% during peak construction years.
- The production phase, assumed to commence around 2032, delivers a smaller but persistent uplift. With output of 5.6 Mtpa and estimated revenues of US\$2.7 billion per year, mining growth lifts by around +6–7 percentage points, raising economy-wide growth by +1.6 to +2.0 percentage points on a sustained basis.

PNG Growth Outlook

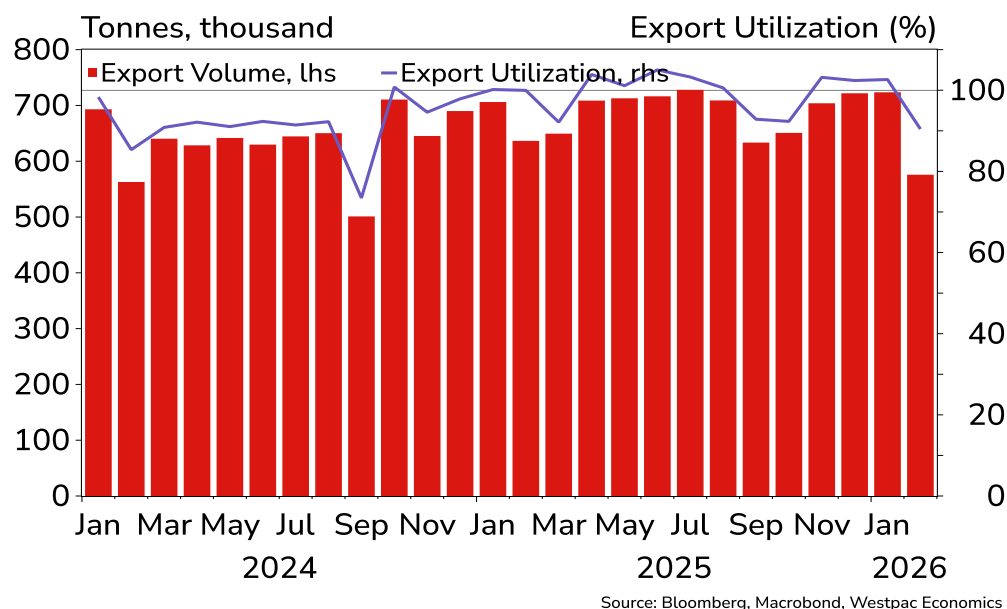


“Even allowing for further delays, Papua LNG remains the single most consequential driver of PNG’s growth outlook over the coming decade.”

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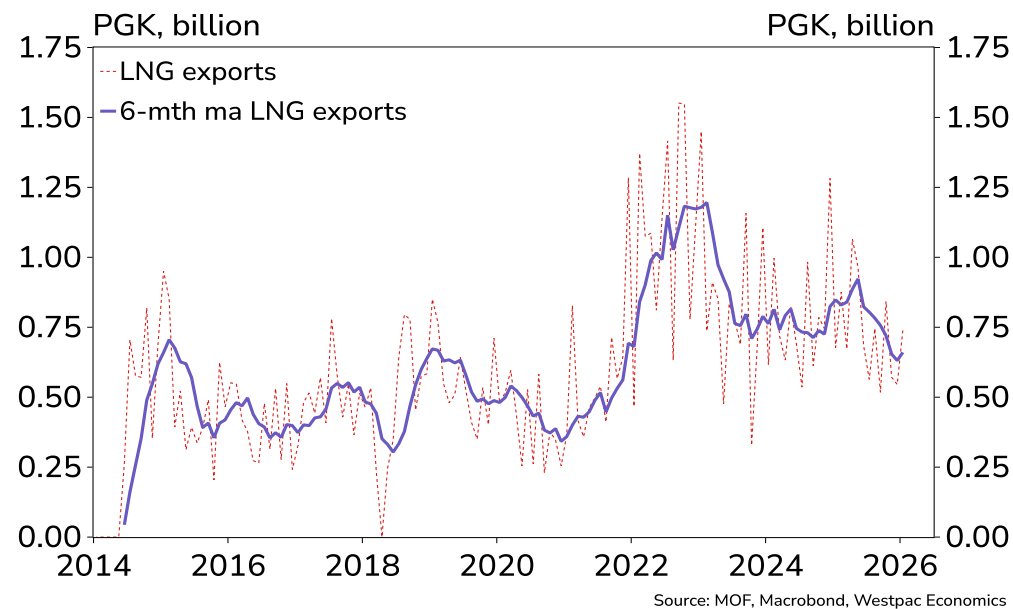
PNG LNG export to rise

PNG LNG Export



“...PNG LNG export utilization at 114% in March 2026, as output ramps up amidst Middle Eastern Crisis”

PNG's LNG export to Japan



“...LNG exports to Japan rose 9% in January 2026 with more uplift in revenue expected”

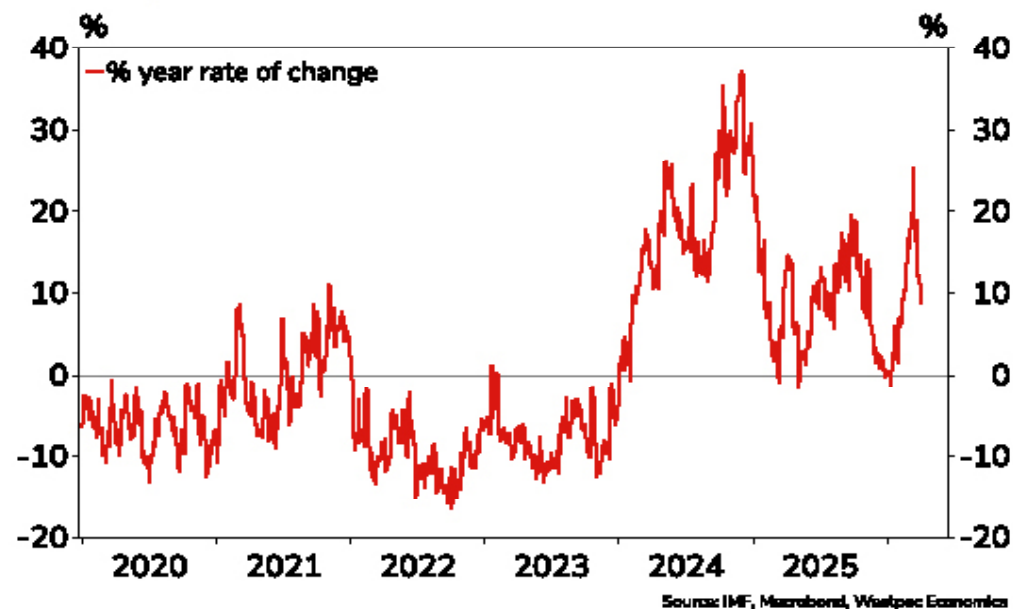
Signs of strength in import activity

- Westpac has developed a proprietary index tracking import activity at PNG ports, known as the PNG Ports Imports Indicator.
- While the data can be volatile and subject to revision as updates are received, when used judiciously, it provides a timely signal of import momentum and, by extension, domestic economic activity.
- The latest update from the Indicator suggests the strength in import activity has strengthened through early 2026 up to mid March since when we have seen a moderation which could be related to shipping disruptions associated with the conflict in the Middle East.
- Annual growth in the Port Imports Indicator peaked at 2% around mid July before easing back to just under 10% in September. As we moved through 2026 the annual pace pick up again peaking at around 25%yr in mid March before easing back to just under 10%yr in early April.
- We are always cautious about drawing firm conclusions from a single indicator such as this. Nevertheless, the consistent gains throughout 2025 and into 2026 until the recent Middle East crisis pointed to a positive underlying momentum in the

PNG economy.

- **Why do we track imports?** The PNG domestic economy continues to grow at just under 5%, a sound pace but less than what is needed to lift more out of poverty.
- The anticipated Final Investment Decisions (FID) for several large resource projects will provide a significant boost. While these projects can deliver multi-decade benefits, they do not drive permanent positive change on their own. Additional measures are required to ensure inclusive and sustained growth. These include:
 - Improving domestic physical infrastructure.
 - Building human capital through better health, education, and training.
 - Reforming State Owned Enterprises to enhance service delivery.
 - Strengthening government services.

PNG Imports Indicator



“...strength in imports continued as 2026 started...”

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Cocoa at its lowest since early 2023

Cocoa

Cocoa prices have been under pressure as markets focus on improving supply conditions and frequent rain in West Africa supporting pod development and rising stockpiles, with ICE-monitored certified stocks lifting to around a 7.5-month high (2.34m bags) by late March.

Demand has also softened with Barry Callebaut, a Swiss-based global cocoa and chocolate company reported a 22% decline in cocoa division sales volumes (quarter to Nov 30), while grindings fell 8.3% y/y in Europe in Q4, with weaker outcomes also reported in Asia. This indicates that consumers have become quite resist to high chocolate prices.

Cocoa remains economically important, particularly in Bougainville, which reported K750m in cocoa revenue and assumed full control over its cocoa export system. Supply resilience efforts are also emerging, including the launch of a cocoa seed bank in Madang.

Softer cocoa prices are a downside risk for rural incomes and export receipts.

Coffee

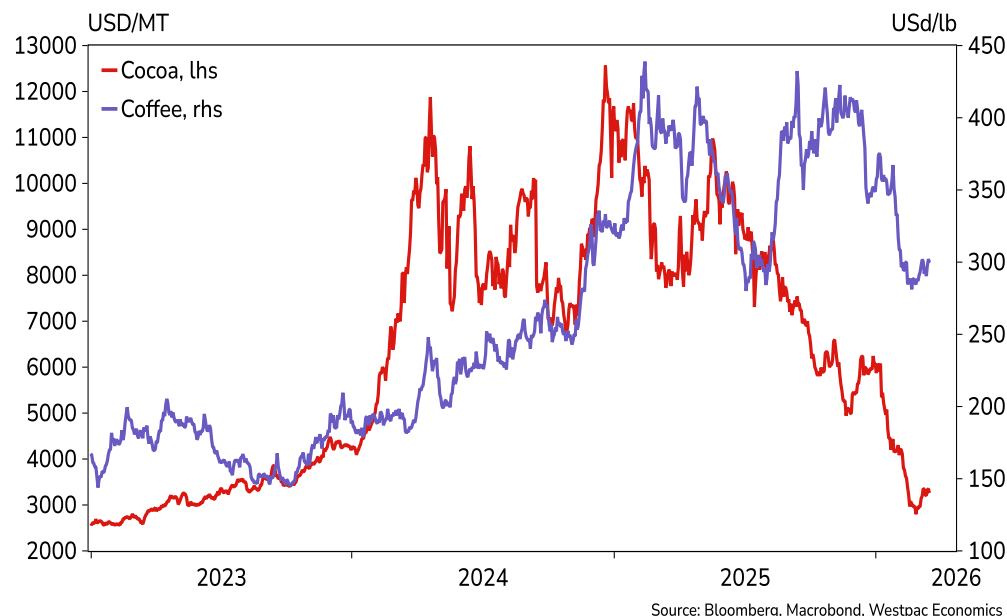
Global coffee prices have been choppy but recently firmer due to near-term supply tightness in Brazil and logistics risk, even as the medium-term supply outlook looks more comfortable.

Brazil's Cooxupé expects exports to fall 10% in 2026 to around 4.4m bags (from 4.9m in 2025) because the smaller 2025 harvest is constraining export availability early in 2026, while some growers are holding back sales.

Offsetting this, expectations of a large Brazil crop and rising inventories have been a recurring bearish force, and Vietnam's export performance is also adding to supply availability. Demand risks remain tied to higher delivered costs from shipping, fuel and insurance when global logistics are disrupted.

PNG recorded a record 1.5 million coffee bags exported in 2025 (highest since the 1980s), improving rural cashflow and FX inflows

Cocoa and Coffee

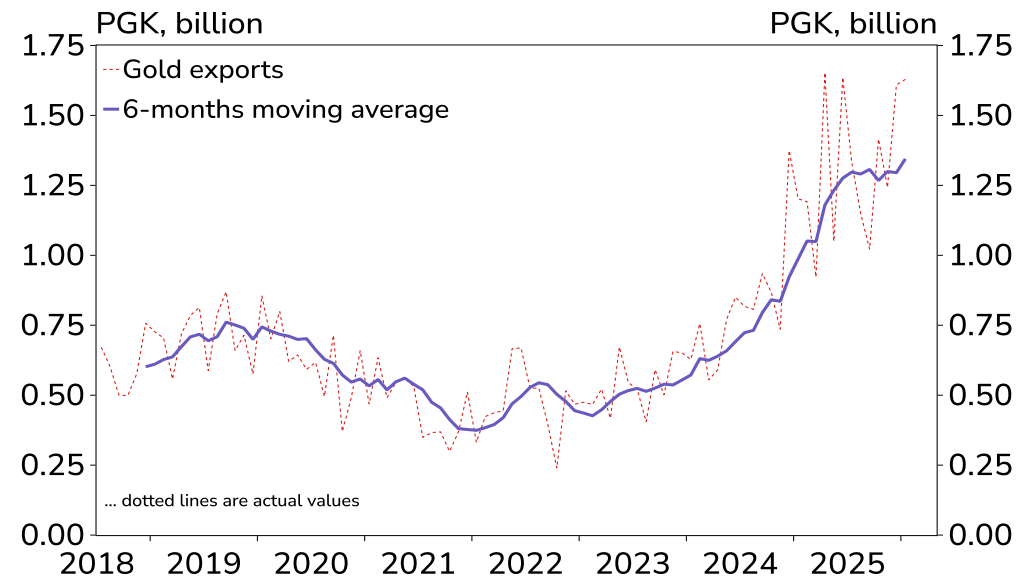


“...subdued global prices threatens PNG’s cocoa sector which thrived in 2024-25 period...”

Gold export rally supports PNG economy

- Gold production momentum strengthened across several key operations. K92 Mining's Kainantu mine continues to stand out as a top-tier performer. The company reported 174,134 ounces of gold-equivalent production in 2025, exceeding guidance, and issued 2026 guidance of up to 225,000 ounces as the Stage 3 expansion ramps up. Over calendar 2025, K92 contributed approximately K423 million in corporate taxes, alongside significant royalties, levies and local procurement, cementing its importance to both fiscal and FX inflows.
- At Porgera, New Porgera Limited exceeded expectations in 2025, producing 376,057 ounces of gold and paying K985.8 million in taxes, while declaring around US\$400 million (≈K1.7 billion) in dividends, with 51% accruing to PNG interests. Porgera is on track to move back toward Tier-1 status, with production capacity expected to rise further by 2027.
- Elsewhere, Simberi (St Barbara) reported a return to profitability, supported by expanded resources of nearly 7.9 million ounces, while Adyton Resources and Great Pacific Gold reported encouraging exploration outcomes, pointing to a strengthening pipeline of future output.
- Gold export values to Australia surged into early 2026. In January 2026, PNG's gold exports to Australia totaled approximately PGK 1.63 billion, up from PGK 1.61 billion in December 2025 and significantly higher than the PGK 0.63–0.94 billion range seen through much of early 2024.
- Over 2025, monthly gold exports to Australia were consistently above PGK 1.0 billion, peaking near PGK 1.65 billion, reflecting higher prices rather than large volume swings.
- This export strength has materially supported foreign exchange liquidity, helping reduce the FX backlog from around K1.8 billion to near K200 million, according to Bank of PNG assessments. Gold receipts have also cushioned the kina under the crawling-peg regime and partially offset higher fuel import costs.

Gold exports to Australia K1.6bn in January



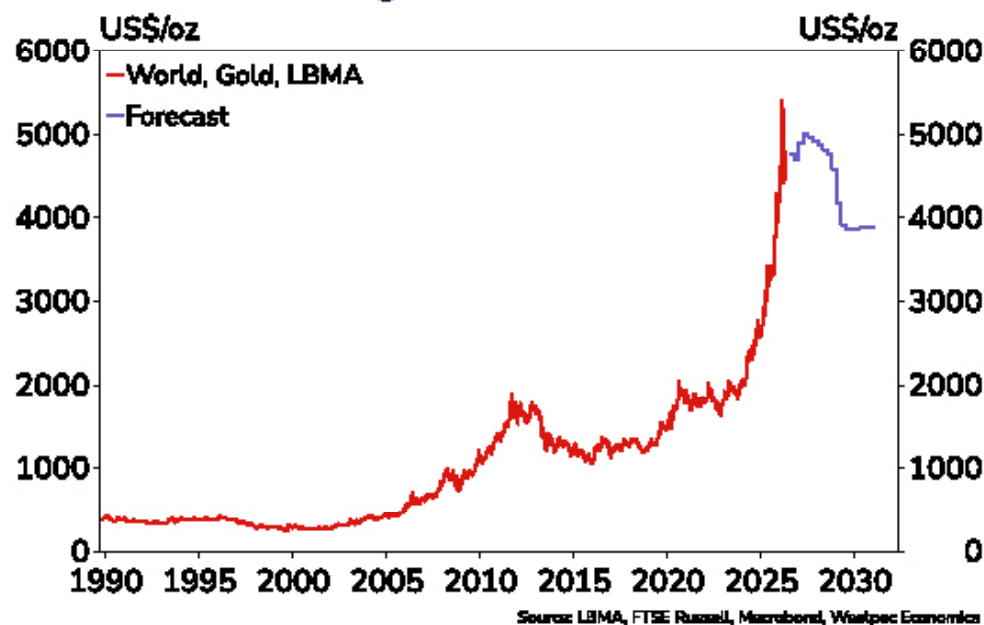
Source: DFAT, Macrobond, Westpac Economics

“...the rally in 2025 is largely attributed to elevated global gold prices driven by economic uncertainty and inflationary pressures ...”

Gold consolidation before retesting \$5,000

- Gold has been under pressure over recent weeks as markets focused on the inflationary implications of higher oil prices and the prospect that central banks may need to keep policy tighter for longer. A rapid rise in US real yields alongside renewed USD strength weighed on bullion, prompting a notable retracement from the all-time high reached in late January.
- Consolidation to persist over coming weeks, but recent pullbacks may be seen as opportunities to re-engage. Gold has already corrected and speculative positioning has been flushed out. We are looking for a period of range-trading in which volatility subsiding should allow a base to form. This environment is likely to encourage longer-term investors to rebuild positions.
- Geopolitical risks tend to have an uneven and often short-lived impact on gold with near-term safe-haven rallies typically fading as markets adjust. More durable support for gold usually comes via second-round effects: shifts in the growth-inflation mix, policy responses and a strengthening of strategic demand as investors look to diversify. If geopolitical disruptions persist and energy prices remain elevated, the combination of higher inflation and weaker growth, with the associated risk of renewed fiscal and monetary stimulus, would present upside risks for gold. Persistent geopolitical uncertainty also continues to underpin strategic demand from institutional, official-sector and retail investors.
- Concerns about central-bank gold selling have resurfaced, particularly following recent price weakness and headlines around Turkey. While some central banks may sell modest amounts of gold at times, we see little evidence of a structural shift away from gold accumulation. We continue to expect official-sector net purchases to slow only gradually, broadly in line with recent trends. Temporary monthly selling episodes are not uncommon and often reflect idiosyncratic factors rather than a change in strategic intent.
- Headline risks remain as markets continuously re-price geopolitical and macro developments. Nevertheless, speculative positioning is cleaner, long-term investors remain under-invested, and diversification demand is rising. We continue to expect new highs in gold over time.

Gold is consolidating



“Geopolitical and market risks remain elevated.... against this backdrop, we expect gold to retest US\$5,000/oz in early 2027...”

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Financial forecasts

Interest rate forecasts

	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
Australia											
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.35
10 Year Bond	4.97	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90	4.90
US											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.30	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75	4.75
New Zealand											
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25	3.75
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10	4.95

Exchange rate forecasts

	Latest (14 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28
PGK/USD	0.2311	0.2250	0.2200	0.2150	0.2150	0.2170	0.2220	0.2270	0.2320
PGK/AUD	0.3262	0.3125	0.3056	0.2945	0.2945	0.2932	0.3000	0.3068	0.3178
PGK/NZD	0.3934	0.3814	0.3618	0.3468	0.3370	0.3288	0.3323	0.3388	0.3483
PGK/EUR	0.1964	0.1907	0.1864	0.1807	0.1792	0.1793	0.1820	0.1861	0.1909
PGK/GBP	0.1709	0.1661	0.1618	0.1569	0.1558	0.1561	0.1586	0.1610	0.1651
PGK/JPY	36.78	35.55	34.32	33.11	32.68	32.55	32.86	33.14	33.41
PGK/SGD	0.2943	0.2846	0.2772	0.2709	0.2709	0.2723	0.2786	0.2847	0.2909

Sources: Bloomberg, Westpac Economics.

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Economic and financial forecasts

Major trading partner growth forecasts (year average)

Real GDP %ann	2020	2021	2022	2023	2024f	2025f	2026f	2027f
World Economy	-2.7	6.6	3.6	3.5	3.3	3.2	3.1	3.2
US	-2.2	6.1	2.5	2.9	2.8	1.9	1.3	1.6
Eurozone	-6.0	6.3	3.5	0.4	0.9	1.4	1.1	1.4
Australia	-2.0	5.4	4.1	2.1	1.0	1.8	2.4	2.5
New Zealand	-1.3	5.7	2.9	1.8	-0.6	0.3	2.1	3.4
Japan	-4.2	2.7	0.9	1.5	0.1	1.1	0.8	0.8
China	2.3	8.4	3.1	5.4	5.0	4.8	4.6	4.5
India	-5.8	9.7	7.6	9.2	6.5	6.6	6.4	6.3

Sources Macrobond, Westpac Economics

Economic indicators		2023	2024 (est)	2025 (est)
Inflation	ADB	2.3%	0.7%	3.8%
	BPNG	3.9%	0.7%	3.0%
	IMF	2.3%	0.6%	5.5%
GDP growth	Westpac	3.9%	0.7%	4.7%
	ADB	3.8%	4.3%	4.2%
	BPNG	3.0%	3.0%	4.0%
	IMF	3.8%	3.7%	4.6%
	Westpac	3.8%	4.3%	4.7%

Sources Macrobond, Westpac Economics

PNG Economic Statistics

	2019	2020	2021	2022	2023	2024	2025
Money supply (% year)	4.4	7.0	13.4	14.8	11.5	-6.4	6.9
Private Sector Credit (% year)	4.0	4.2	2.5	6.9	19.0	3.0	4.0
Current Account (K millions)	18,522	17,281	12,222	11,543	9,220	13,201	13,649
Total Imports Cover (months)	5.0	7.4	5.4	7.4	6.3	5.7	4.3
Non-mineral imports cover (mth)	8.2	11.8	8.4	15.1	11.6	12.2	9.3
Headline inflation (% year)	2.7	5.1	5.7	3.4	3.9	0.4	3.0
Fiscal Surplus/Deficit (K millions)	-4,172	-6,501	-6,270	-5,852	-4,935	-4,935	-3,984
Defecit as % of GDP	-5.0	-8.0	-6.7	-5.4	-4.4	-4.4	-3.3

Sources Macrobond, Westpac Economics

Financial Markets

Indicators	2022	2023	2024	2025f	2026f
Broad money supply	14.8	11.5	9.9	7.3	7.5
Monetary base	29.5	-8.7	-2.3	7.8	7.0
Claims on private sector	6.9	19.0	11.5	12.3	13.6
Net claims on government	-5.4	33.1	19.9	0.9	4.4
Net foreign assets	52.4	3.99	-6.0	-4.3	4.2
Fiscal Surplus/Deficit (K millions)	-5,852	-4,935	-3,984	-2,654	-1,314
Defecit as % of GDP	-5.4	-4.4	-3.3	-2.0	-0.9

Source: BPNG forecasts

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Commodity Forecasts April 2026

End of period	Latest (14 April)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
LNG in Japan US\$mmbtu	19.09	25.6	25.3	20.3	16.0	13.5	11.3	10.0	9.7	9.2
gold (US\$/oz)	4,819	4,770	4,700	4,900	5,000	4,970	4,920	4,870	4,820	4,770
copper (US\$/t)	13,013	12,460	12,470	12,670	12,920	13,100	13,050	12,480	11,680	12,390
aluminium (US\$/t)	3,560	3,490	3,500	3,460	3,460	3,440	3,410	3,380	3,160	3,260
nickel (US\$/t)	17,586	17,100	17,200	17,400	17,500	17,300	16,800	15,400	13,700	13,900
zinc (US\$/t)	3,333	3,200	3,300	3,330	3,280	3,180	3,050	2,840	2,590	2,640
lead (US\$/t)	1,907	1,900	1,910	1,930	1,930	1,840	1,770	1,630	1,450	1,470

Source: Bloomberg, Westpac Economics

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Week beginning 30 March 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: The epic blunder of fighting the last war.

The Week That Was: A fork in the road.

Focus on New Zealand: Inflation up, growth down, OCR on hold?

Forecast Update: our new baseline incorporates a 2-month closure of the Strait of Hormuz.

For the week ahead:

Australia: RBA Minutes, private credit, dwelling approvals, goods trade balance, job vacancies.

New Zealand: employment indicator, business confidence, building permits.

Japan: CPI, jobless rate, industrial production, manufacturers index.

China: NBS PMIs.

Euro area: HICP inflation, unemployment rate.

United States: non-farm payrolls, unemployment rate, ISMs, retail sales, Conf. Board consumer confidence.

Global: Good Friday.

Information contained in this report current as at 27 March 2026.

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The epic blunder of fighting the last war



Luci Ellis
Chief Economist, Westpac Group

- **The Middle East conflict and the resulting fuel crisis are not the same as previous crises and should not require COVID-style policy responses such as work-from-home mandates. Governments and other decision-makers need to avoid the temptation to “fight the last war”. Nor should they fall into the trap of “we must do something, and this is something”, when that something is ill-suited to the current problem.**
- **The focus should instead be on the key issue for the world economy: how the conflict maps into energy-supply disruption via the closure of the Strait of Hormuz and/or damage to oil and gas infrastructure in other Gulf states. Time is almost up on our initial assumption that the Strait would be closed for about a month, so we have updated our baseline forecast to reflect this. But the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already some tankers are being allowed through.**
- **This is a significant shock to the economy and a challenging situation for public policy. For the next few weeks, though, the appropriate monetary policy response is “wait and see”. The current crisis is not (yet) a financial crisis or a pandemic requiring immediate, potentially out-of-cycle, action. And conditions could be quite different in a month’s time. Domestic conditions will continue to shape the RBA’s decisions at its regular meetings.**

“Fighting the last war” is a common cognitive trap: trying to make a current crisis fit a past one. We saw attempts to make COVID fit the GFC template by expecting borrower distress despite massive fiscal support and, in [some quarters](#), to make the AI boom fit the COVID template of sudden mass job losses, at least in the US.

The current conflict in the Middle East is producing plenty of examples of this behaviour, again misguided. The US/Israel attack has not gone the same way as the US intervention in Venezuela, nor are the implications like those of Russia’s invasion of Ukraine. The geographic pinch-point of the Strait of Hormuz shapes both the energy-price implications and the military ones. The context also differs significantly: the world is not emerging from a pandemic, with macroeconomic policy highly expansionary and other supply chains already disrupted.

The domestic context in Australia also differs in important ways, particularly the ceiling on east coast wholesale gas prices introduced after the 2022 episode. We are also four years further along with [solar and battery installation](#). These changes mean that, for Australia, this is mostly an issue of fuel prices and availability, rather than electricity (as in 2022–23).

In addition, the current conflict bears little resemblance to the COVID pandemic, so policy responses should differ. We were surprised that work-from-home mandates have been seriously proposed. A fuel shortage is not a respiratory virus, and there is no reason to prevent or discourage workers from attending their workplace if they commute by foot, bicycle or public transport. Better responses would be to expand public transport coverage and frequency, encourage carpooling (including more extensive transit lanes), and cancel non-essential government travel. Only if those policies fail, or fuel shortages become so extreme that critical workers need to be prioritised, would WFH become an appropriate response.

Likewise, businesses are not facing a sudden loss of income as the community goes into lockdown. Income support measures should therefore be much more targeted, if they are needed at all.

The main similarity to the pandemic is stockpiling, as people fear downstream supply disruptions. Policy responses to address this make more sense than mandating work-from-home. Options include publicising the restocking of petrol stations that had run out of some fuels, as well as measures already taken such as temporary changes to fuel standards and the oil-for-gas supply [deal with Singapore](#).

A kinetic war between US/Israel and Iran could drag on without necessarily having its current dramatic impact on global energy markets. For the rest of the world, the key issues are closure of the Strait of Hormuz and actual or threatened damage to gas and other civilian infrastructure in non-combatant Gulf states. But closure of the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already [some tankers](#) are being allowed through.

The immediate issue for the global and Australian economies is fuel availability. Higher prices will curb demand, but periods of localised unavailability will be especially disruptive.

The implications for macroeconomic policy depend on the broader effects on inflation and growth. The RBA was already hiking rates ahead of the outbreak of the conflict. Demand growth had picked up a little more sharply than they, or we, had expected. And with the economy no longer running with significant spare capacity as in the 2010s, even small upside demand or downside supply shocks show up in prices rather than being absorbed. More frequent policy adjustments should therefore be expected.

As [highlighted](#) by the RBA’s counterparts at the RBNZ, policymakers should ordinarily try to look through the first-round, fuel-specific impacts on inflation from a shock like

this. Second-round effects such as higher transport and materials costs flowing through to other prices may, however, require a response. A lift in inflation expectations is also a watch point. But if the supply-disruption element of the conflict fades over the next month or so, these effects will also be short-lived. While the update to our baseline forecast is more severe than this, the risks around it are two-sided. It will therefore pay to wait to see which scenario plays out ahead of the May meeting. A May rate hike is still on the cards for pre-existing domestic reasons, but pre-judging the second-round effects on inflation, and the need for any hikes beyond the next one, is a much less secure strategy.

In particular, we do not expect an out-of-cycle RBA decision. These are rare: the last one was in March 2020, just ahead of lockdown, and the one before that was in [1997](#), both to cut rates. Even during the GFC, there were no out-of-cycle policy decisions. The decision tree facing the RBA also does not require one. May seems a long way away, but by then either things will have de-escalated, or the war will have escalated, drawn in Gulf states and worsened energy supply. De-escalation would see some of the inflationary shock soon moderate, weakening the case for further policy tightening. Escalation would be an even larger negative shock to global growth than we are already facing, but also inflationary. With the Board already split on the need to hike expeditiously, we see neither the need, nor the appetite, to bring forward that decision in either scenario. This is not COVID, and we do not expect policymakers to act like it is.

Forecast changes

- The US/Israel–Iran conflict is likely to result in a more prolonged disruption to energy production in the Middle East and shipping through the Strait of Hormuz than we previously assumed.
- We have therefore revised our baseline forecast to assume an eight-week closure of the Strait of Hormuz and a slower recovery, compared with the previous assumption of a one-month closure and one month of recovery. Shipping traffic through the Strait is assumed to be closer to 20% of normal in May, with a gradual return to normal by year end.
- Oil is now expected to average US\$120/bbl (Brent) in Q2, from \$90/bbl previously. It is expected to remain \$13 higher even by the end of the year. Japanese LNG prices are expected to peak at a quarterly average of US\$26mmbtu over the next few quarters.
- We have also made more allowance for wider refinery margins and downstream flow-on from transport and fertiliser costs into prices, especially food prices, as well as some moderate second-round effects including wages. We continue to assess that there will be minimal impact on Australia's domestic electricity prices.
- For Australia, headline inflation peaks at 5.5% in 2026 Q2. Trimmed mean inflation is less affected but still peaks at 4% by end 2026.
- At 1.4%, GDP growth over 2026 is more than 1ppt weaker relative to pre-war forecast and 0.6ppts weaker than our March Market Outlook base case. The unemployment rate is also higher in the second half of 2026, reaching 4.7% in Q4.
- There have been no changes to our forecasts for interest rates and exchange rates.
- There are risks on both sides of this base case, depending on the progress of negotiations between US/Israel and Iran, the status of the Strait of Hormuz and whether there is further damage to energy infrastructure.
- Additional detail on our revised base case forecasts will be released on Monday.

Cliff Notes: a fork in the road

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

In Australia, [February's CPI](#) came in slightly below expectations, headline inflation ticking down to 3.7%yr from 3.8%yr, while trimmed mean inflation held steady at 3.3%yr. Constructive elements of the detail included: dwelling purchases posting its smallest increase in ten months; a below-expectations annual increase in education prices; and lower childcare costs, the result of increased take-up of the Childcare Subsidy following the introduction of the three-day guarantee. There were also a couple of upside surprises, however, most notable were clothing and some food-related categories. The impact from electricity rebates has also now abated, bringing reported electricity prices back into line with actual prices.

The net result is that the inflationary pulse Australia was experiencing prior to the current surge in fuel prices was marginally softer than expected. While fuel will undoubtedly boost headline inflation from March, the trimmed mean pulse is likely to hold above but near the top of the target range through 2026. For a detailed view of how each state's economy is positioned to weather coming headwinds, see our latest [Coast-to-Coast](#) report.

The Q1 [Westpac-ACCI Survey of Industrial Trends](#) meanwhile showed that the long-awaited improvement in manufacturing conditions is finally materialising, the Actual Composite rising to 59.3 – a strong expansionary read. Underpinning the move was a surge in output growth, another solid lift in new orders and, encouragingly, a rise in employment and overtime. Note though, this survey was largely completed before the onset of the Middle East conflict. Australian manufacturing's acute exposure to fuel and energy costs is likely to see a partial reversal in Q2 and a degree of apprehension over the outlook.

“the trimmed mean pulse is likely to hold above but near the top of the target range through 2026”

Offshore, data released was inconsequential. The preliminary March S&P Global PMIs for the major advanced economies unsurprisingly pointed to softer momentum and heightened inflationary pressures in the initial weeks of the Middle East conflict. FOMC members Bowman and Waller meanwhile were focused more on labour market weakness than inflation, though they felt it prudent to wait-a-while to assess the implications of the current conflict for price risks.

Regarding the state of the Middle East conflict, equity markets took solace in news the White House had been involved in initial intermediated discussions over the path to a ceasefire, although uncertainty over who in Iran's leadership will take the lead in any formal negotiations has kept participants guessing on both the timing and potential success of these initiatives. The overnight extension of the 5-day reprieve for Iranian energy infrastructure by President Trump to 10 days is a positive step towards fruitful negotiations, however.

Iran's military actions have also been relatively contained this week, and safe passage through the Strait of Hormuz has been provided to several ships, consistent with prior communications from Iranian officials that ships operated by countries not involved in the conflict are free to transit if Iran's conditions are met. It is not clear if this includes a payment of up to US\$2 million per shipment as previously telegraphed. If Iranian authorities hold to this guidance, China's fleet and vessels from other non-aligned countries such as Malaysia (a key supplier to Australia who reportedly reached an agreement with Iran overnight) could slowly reduce the current global deficiency in crude and LNG supply, even if the US/Israel and Iran continue military actions against one another. The key risk remains the intentional, or unintentional, destruction of production and/or logistics facilities, turning a temporary loss of supply into an enduring one. The duration of this conflict and lost supply matters a great deal to both the persistence of global consumer inflation and the policy outlook.

Inflation up, growth down, OCR on hold?



Kelly Eckhold
Chief Economist NZ

As the war has drawn on and evidence of disruption to the NZ economy has accumulated, we have had another cut at estimating the impact on the economic outlook. The hit to growth and employment looks significant and inflation is set to move well above the top of the RBNZ's target range. The RBNZ noted an intention to try and look through the direct impacts of the shock. But there is significant uncertainty around the outlook so we should be humble around what we know now about how things will develop over the year ahead.

The Iran war is expected to significantly crimp the previously expected recovery.

The Iran war has not moderated in the last couple of weeks and in some sense the pressure on the New Zealand economy has intensified as early hopes of a fast resolution and quick return to global economic normality have waned. We can't say with any certainty when the conflict will end. But we now think it will be at least another month until we see tangible signs of an end to the war with the possibility of more normal service to the global oil markets returning.

Crude oil prices have remained volatile but refined fuels markets have continued to tighten as the flow of crude oil around the world has now been constrained for more than three weeks. Damage to infrastructure in the Persian Gulf has accumulated which means that even if the war ended tomorrow, the path to normality will take some time. As refined fuels spreads are wider and capacity at the Asian refineries where we and our trading partners access fuel has declined, pressure has built on the economic outlook.

We continue to assume that the Iran war eases in around a month and that crude oil and refined fuels prices will gradually ease over the rest of 2026. Crude oil prices are expected to drop back to around pre-war levels by the start of 2027. However, refined fuels prices remain elevated compared to levels seen a few months ago as we expect some element of a war risk premium to remain, and damage to infrastructure may take time to repair. That means inflation in New Zealand will likely linger at elevated levels for much of this year.

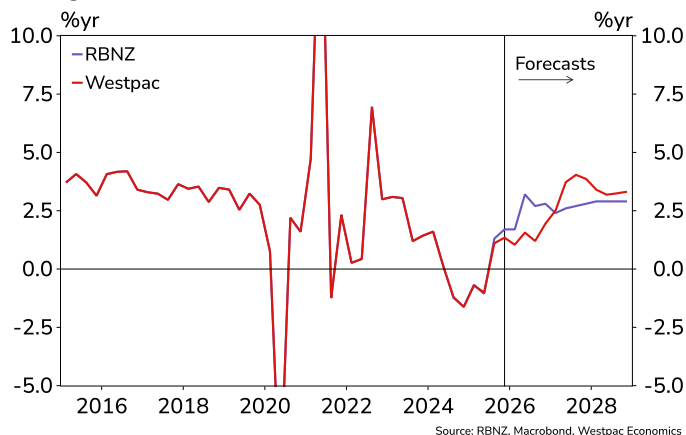
We think that the Iran War will have damaged confidence in the household and business sectors and will be prompting changes in spending and investment plans given people have no real idea on when conditions will improve. We saw an early read on this with the monthly consumer confidence survey for March released today. This showed that consumer confidence

dropped sharply over the month and currently likely sits some distance below the average level of confidence reported for the month overall.

We've pulled down our forecast for GDP growth over 2026 to 1.9% (from 2.8% previously). In the very near term, we've pencilled in a fall in quarterly GDP of 0.4% in the June quarter. That's mainly due to an expected drop in household spending in response to increases in living costs and related falls in consumer confidence. Those headwinds will not be significantly offset by the Government's support package targeting lower income households.

We also expect weakness in investment spending over the coming year, with some businesses likely to delay major capital spending in response to the increased uncertainty about the outlook for economic growth and the near-term downturn in demand that may be experienced in some industries. We will learn more about this when the NZIER QSBO is available on 21 April.

GDP growth forecasts



The most direct impact of the shock on exports will be felt in the tourism sector, with the recent strong growth in international arrivals likely to be reversed for a period due to a combination of flight disruptions, much higher airfares and perhaps consumer reluctance to travel long distances. The economic impact will be partly mitigated by fewer New Zealanders choosing to holiday abroad. At this stage we have made no major changes to our forecasts for the volume of merchandise trade. As is usually the case in New Zealand, weaker global growth is likely to manifest mostly through lower prices, rather than lower volumes.

Growth is expected to pick up again next year as the eventual fall in oil prices boosts households' disposable incomes. However, the recovery in investment spending is expected to be more gradual, with businesses likely to remain cautious about major capital expenditure until they are confident that the recovery is entrenched.

We anticipate that the shock will put paid to the recovery in the labour market we had expected over 2026. We now expect unemployment will rise from 5.4% currently to 5.6% in the middle of this year, before easing back gradually. With a softer outlook for economic growth, businesses are likely to remain cautious about taking on new staff, and some firms may shed workers.

With weakness in activity and the jobs market, the overall level of wage inflation is expected to remain moderate in the near term (though some workers with specialised skills may be able to negotiate larger pay increases in response to the rise in living costs). Longer term, as the economy recovers, we are likely to see demands for larger cost-of-living adjustments to wages as workers try to claw back the loss in their purchasing power.

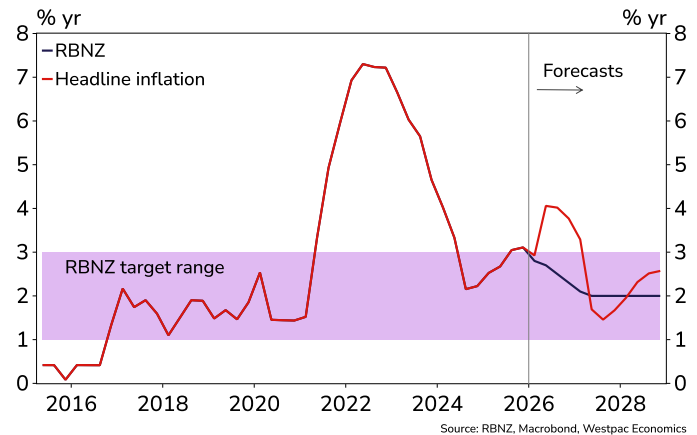
Another sector that won't likely see an improvement over 2026 now is the housing market. The hit to the household sector coming from the increase in fuel costs combined with the weaker labour market is likely to be a kick in the guts of a housing market that was already just treading water. We now expect house prices to fall around 1% over 2026 as buyers step back from the market. Further ahead, we expect a return to more moderate rates of house price growth.

Our revised economic outlook also has implications for the Government's fiscal position. As growth is expected to be weaker then so also will be government revenue. Spending is also likely to be higher than expected as unemployment rises. The Government's fuel package announced this week will have just a modest impact given the Government indicates that the roughly \$370 m cost implied will fit within current operating allowances. The bottom line is that the OBEGALx deficit in 2026/27 is now likely to be around \$4bn larger than we had forecast previously. A surplus might still be achievable in 2029/30, but the cumulative deficit over the forecast period would be around \$7-8bn higher than forecast previously, with net core Crown debt peaking at around 46% of GDP. Treasury's forecasts are likely to be more pessimistic than our own with implications for the forecast bond programme.

There are consequential implications for the inflation outlook. We now expect that inflation will peak at 4.1% in mid-2026, and that it will remain above 3% through the first quarter of 2027. That is up sharply from our previous forecasts, which assumed a peak in inflation of around 3.2%. And importantly, inflation is set to remain well above the levels the RBNZ had previously assumed for all of 2026. Higher refined fuels costs are the key driver here. There are direct impacts on petrol and diesel costs, but also indirect impacts through a broad range of goods and services.

When oil prices do eventually drop back, inflation is expected to fall to levels that are lower than we previously assumed (a pattern that is often seen in the wake of oil price spikes). In our updated projections, inflation is expected to briefly dip below 2% in late-2027, before rising back up to around 2.3% further ahead.

CPI inflation forecasts



The extent of the current uplift in inflation signals upside risk for inflation expectations and business price setting behaviour. In the near term, any uplift in output prices will be moderated by the softness in activity. However, when activity recovers, we expect some firms will attempt to rebuild margins, while workers are likely to ask for larger wage increases to offset the erosion of their purchasing power.

This leaves the question on how the RBNZ will respond to the significant change in circumstances. The RBNZ is "exquisitely skewed" between a much higher inflation outlook and the likelihood and increasing excess capacity amid weak growth.

Governor Breman released a speech this week discussing the framework the RBNZ expects to follow. Breman's emphasis was that policy would be focused on medium term inflation pressures, and that for now there's little evidence these have lifted by enough to justify near-term OCR hikes. Breman indicated that rate hikes will only be brought forward should there be an accumulation of evidence suggesting that the oil shock is generating second-round pressures on wages and prices, leading to higher inflation over the medium term. Those second-round effects – which are more likely to occur if the conflict is prolonged – are unlikely to be evident for some time.

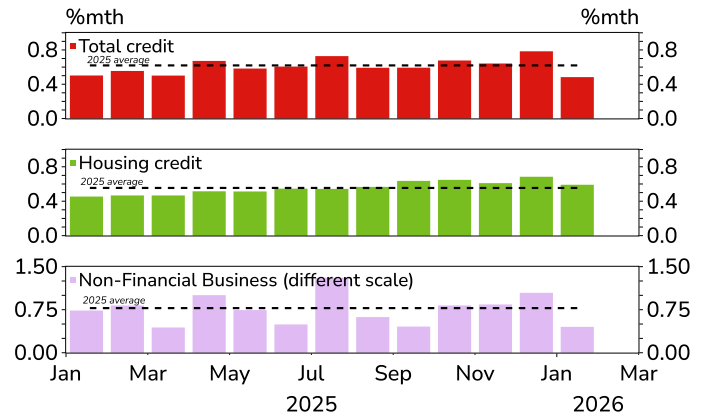
AUS: Feb Private Sector Credit (%mth)

Mar 31, Last: 0.5 Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.2 to 0.7

Private sector credit growth reached 0.8%_{mth} in December but eased to 0.5%_{mth} in January, surprising to the downside as all major credit components reported weaker growth.

We expect growth to rebound to 0.6%_{mth} in February – slightly below the average pace of 0.7%_{mth} recorded in the second half of last year. The RBA cash rate increase in early February and weaker consumer sentiment at the start of the year are likely to affect credit flows with a lag. With house prices remaining firm, though somewhat lower than last year, credit growth should be supported for now. However, inflationary pressures and rising interest rate expectations from higher energy prices represent a downside risk for Q2 and beyond.

Private sector credit growth



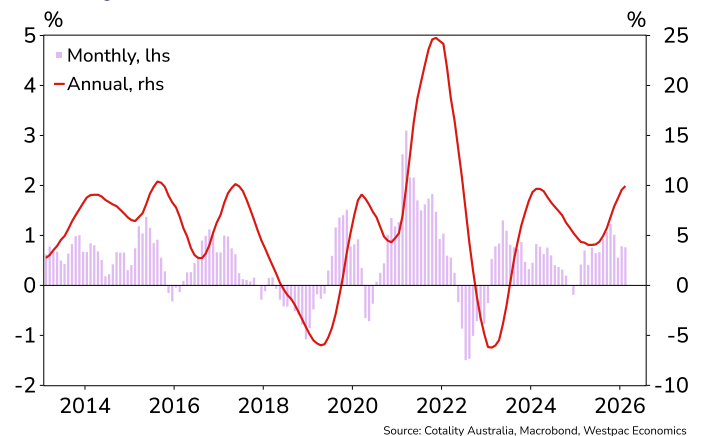
AUS: Mar Cotality Home Value Index (%mth)

Apr 1, Last: 0.6, Westpac f/c: 0.7

The Cotality home value index rose 0.6% in Feb following a 0.7%_{mth} in Jan, a 0.4% rise in Dec and 0.9-1.2%_{mth} gains through Aug-Nov. Despite the softer tone in recent months, annual growth still lifted, rising to 9.6%_{yr}. The detail shows a significant slowing in price growth and a pull-back in turnover in the Sydney and Melbourne markets but a much more muted slowing effect in other markets.

The daily measure points to a similar 0.7% rise for the March month, the detail again showing softness in Sydney and Melbourne but robust gains in Brisbane, Adelaide and Perth. Weekly auction activity – which is only a meaningful guide to conditions in Sydney and Melbourne – suggests there has been a further weakening in these markets into month-end.

Cotality home value index



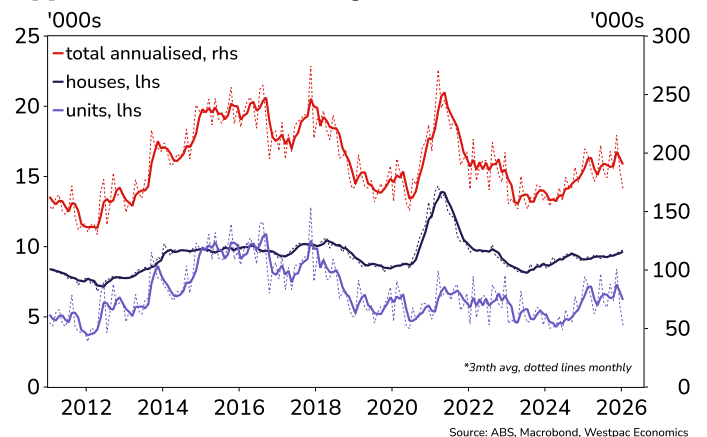
AUS: Feb Dwelling Approvals (%mth)

Apr 1, Last: -7.2, Westpac f/c: 5.0
Market f/c: 6.0, Range: -1.0 to 14.0

Dwelling approvals have been very choppy over the last six months, most recently falling 7.2% in Jan after a 14.9% drop in Dec unwind 15.9% jump in Nov, the swings driven by high rise. On a rolling 3mth avg basis, growth has slowed back to 0.9%_{qtr}. As always, housing data needs to be treated with more caution over the December-January low period.

Feb is likely to see some 'pop' higher for headline approvals, with high rise approvals coming off an 18mth low. The segment can be very hard to predict but is generally slower to respond to cyclical shifts, suggesting what we have seen recently is more likely to be lumpiness-related noise than a response to the changed interest rate environment. On balance we expect a 5% rise in total approvals with upside risks if high rise returns to average level of the last two years.

Approvals ascent re-emerges



AUS: Q1 Job Vacancies (%qtr)

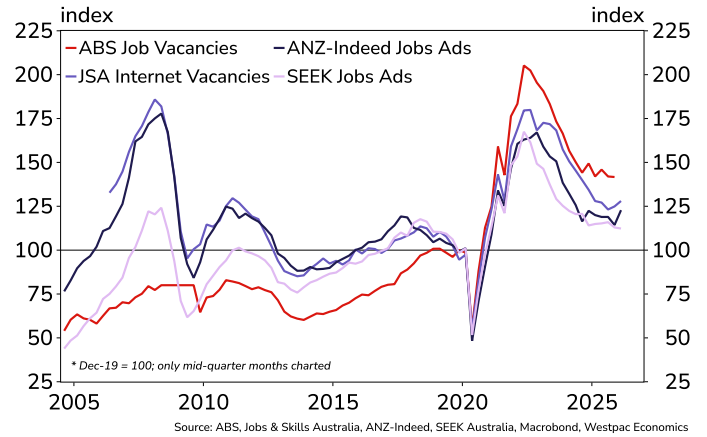
Apr 2, Last: -0.2, Westpac f/c: 3.0

Job vacancies fell by just -0.7k (-0.2%) between Aug and Nov, a smaller decline than expected. Over 2025, job vacancies have been broadly steady around 40% higher than pre-COVID levels.

While vacancies have been stable, the size of the labour force has continued to grow, seeing the vacancy rate nudge lower. The unemployment rate also gradually rose over last year. Overall, the labour market is operating around the Beveridge curve, suggesting the relationship between vacancies and unemployment is behaving broadly as expected.

Monthly partial indicators were on the stronger side in recent months, suggesting the official ABS stock measure of vacancies will likely bounce higher in Q1. We have pencilled in a lift of 3.0% for the quarter.

Partial indicators point to a lift in Q1



AUS: Feb Goods Trade Balance (\$bn)

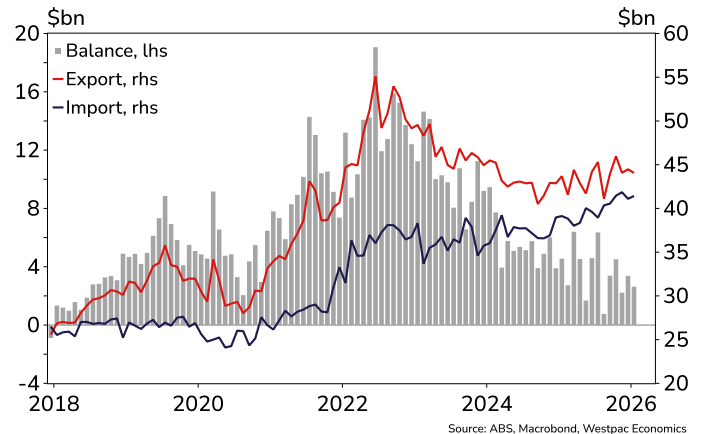
Apr 2, Last: 2.6, Westpac f/c: 1.5

Mkt f/c: 2.9 Range: 1.5 to 3.5

Lower exports and higher imports saw the monthly goods trade surplus narrow to \$2.6bn in January. We expect this trend to continue in February – we forecast a further narrowing to \$1.5bn.

Major commodities are likely to report lower exports, as adverse weather has disrupted production and shipments. Coal production in Queensland appears to have been particularly affected. Iron ore shipments are also likely to decline. Significant AUD appreciation is set to weigh on exports of other goods. On the imports side, January saw large monthly changes across major categories, but overall imports increased by a relatively modest 0.8%mt. We may see notable compositional shifts again, although total imports are expected to be only slightly lower.

Goods trade balance

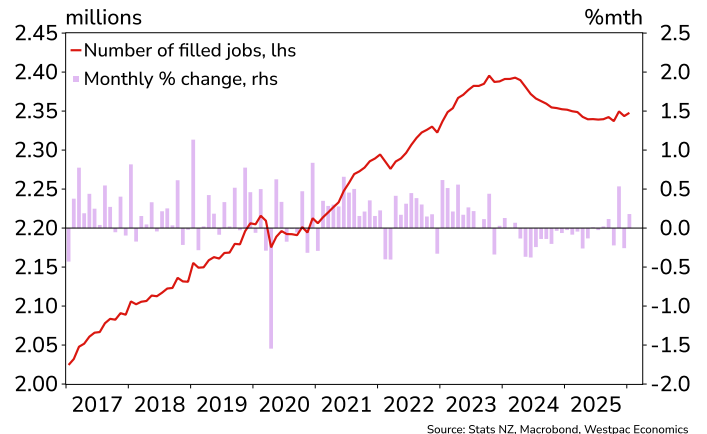


NZ: Feb Monthly Employment Indicator (%mth)

Mar 30, Last: 0.2, Westpac f/c: 0.6

The MEI is likely to add to the evidence that the New Zealand economy was regaining momentum prior to the Iran conflict. The weekly snapshots provided by Stats NZ are now running slightly higher than a year earlier, having been down year-on-year since mid-2024. For the February month, we expect an initial print of around +0.6%, although both that and the 0.2% rise in January are likely to be revised down a little in subsequent releases.

Monthly Employment Indicator

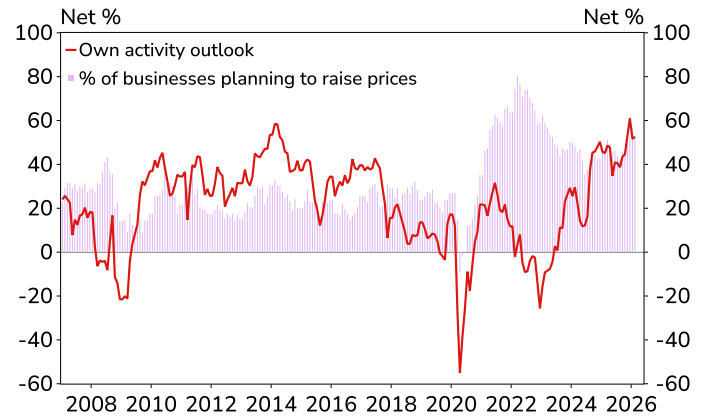


NZ: Mar ANZ Business Confidence (index)

Mar 31, Last: 59.2

ANZ's monthly survey is likely to show a sharp deterioration in business sentiment since the start of the Iran conflict – and as with their consumer confidence survey, it will have worsened over the course of the month, with the headline result only capturing the average. The surge in fuel prices will no doubt send inflation expectations and pricing intentions higher as well; the big question for the RBNZ will be around the potential for ongoing rounds of price increases, given that businesses' own customers are also facing a significant hit to their purchasing power.

Business confidence high prior to Iran conflict

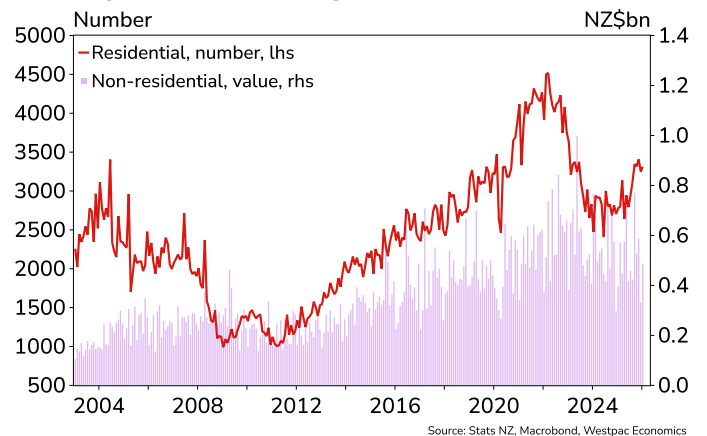


NZ: Feb Building Consents (%mth)

Apr 1, Last: 1.9, Westpac f/c: 5.0

Following a modest 2% rise in January, we're forecasting a 5% rise in dwelling consent numbers in February. That's in part due to an expected bounce in multi-unit consents after softness in January. More notably, if we smooth through the monthly swings, the total number of homes consented over the past 12 months has been trending higher and looks set to reach its highest level since 2023. But while this is encouraging, the lift in consents does pre-date the Middle East conflict and related increases in uncertainty around the economic outlook. We expect those factors will weigh on new construction over the year ahead.

Building consents picking up

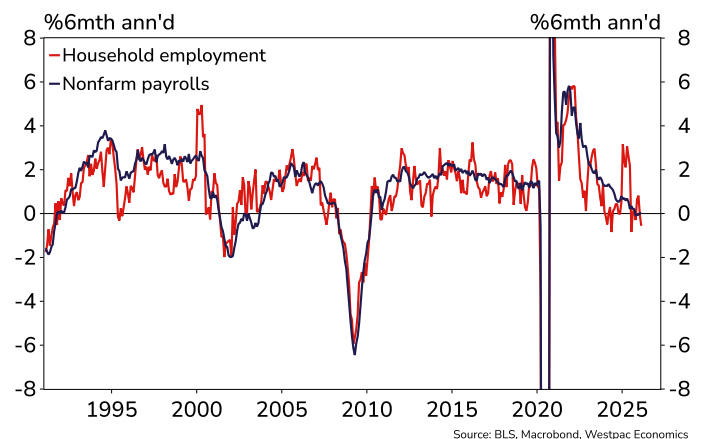


US: Mar employment report

Apr 3, payrolls, Last: -92k, WBC f/c: 70k, Mkt f/c: 51k
Apr 3, U/E rate, Last: 4.4%, WBC f/c: 4.4%, Mkt f/c: 4.4%

The US labour market surprised to the downside in February, with 92k jobs lost in the month and a 69k cumulative downward revision to December and January. Nonfarm payrolls employment rose by just 13k per month over the year to February, a marked step down from 89k the year prior. If this trend rate of growth continues for employment, the unemployment rate will edge up towards 5.0% through the remainder of the year. Given the comparatively low level of participation, there is also a risk of a step change in the unemployment rate any given month. For the FOMC, downside risks will have to be balanced against inflation pressures.

Labour demand has stalled



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 30							
NZ	Feb	Monthly Employment Indicator	%mth	0.2	–	0.6	Signs of picking up prior to the Iran conflict.
Eur	Mar	Economic Confidence Indicator	index	98.3	–	–	Economic sentiment set to drop on weak consumer confidence.
US	Mar	Dallas Fed Manufacturing survey	index	0.2	–	–	Volatile, but pointing to a tentative improvement in 2026.
		Fedspeak	–	–	–	–	Williams.
Tue 31							
Aus	Mar	RBA Minutes	–	–	–	–	Will provide more colour around the 5–4 split vote to hike.
	Feb	Private Sector Credit	%mth	0.5	0.6	0.6	With house prices firm credit growth should see support.
NZ	Mar	ANZ Business Confidence	index	59.2	–	–	An immediate response to the Iran conflict and fuel prices.
Jpn	Mar	Tokyo CPI	%ann	1.6	1.6	–	Core inflation decelerating but still sustainable.
	Feb	Jobless Rate	%	2.7	2.7	–	Labour market is softening marginally.
	Feb	Industrial Production	%mth	4.3	–2.0	–	Very strong start to the year for factory output.
Chn	Mar	NBS Manufacturing PMI	index	49.0	50.2	–	Factory activity softened as expected ...
	Mar	NBS Non-Manufacturing PMI	index	49.5	50.0	–	... post-LNY data will provide a clearer read.
Eur	Mar	HICP Inflation	%ann	1.9	2.7	–	ECB now forecasting inflation above target in 2026.
UK	Q4	GDP	%qtr	0.1	–	–	Final estimate.
US	Jan	S&P/CS Home Price Index	%mth	0.5	–	–	Stabilising but on fragile footing as confidence falters.
	Mar	Chicago PMI	index	57.7	–	–	Middle East conflict brings apparent exuberance into question.
	Mar	Conf. Board Consumer Confidence	index	91.2	88.0	–	Confidence revisiting pandemic- and tariff-era lows.
	Feb	JOLTS Job Openings	000s	6946	–	–	Labour market is not a source of inflationary pressure.
		Fedspeak	–	–	–	–	Goolsbee.
Wed 01							
Aus	Feb	Dwelling Approvals	%mth	–7.2	6.0	5.0	Volatile high-rise approvals to come off an 18-month low.
NZ	Feb	Building Permits	%mth	1.9	–	5.0	Consent issuance to continue trending higher.
Jpn	Q1	Tankan Large Manufacturers	index	15	16	–	How will manufacturers react to offshore risks?
Chn	Mar	RatingDog Manufacturing PMI	index	52.1	52.5	–	Suggests export-facing businesses are faring better.
Eur	Feb	Unemployment Rate	%	6.1	6.1	–	Continues to surprise and hit new record lows.
US	Mar	ADP Employment Change	000s	63	40	–	Been on the firmer side of official payrolls figures of late.
	Feb	Retail Sales	%mth	–0.2	0.4	–	Momentum decelerating but consistent with growth at trend.
	Mar	ISM Manufacturing	index	52.4	52.3	–	Echoing the positive signals from regional surveys recently.
		Fedspeak	–	–	–	–	Musalem.
World	Mar	S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, Europe, UK and US.
Thu 02							
Aus	Feb	Goods Trade Balance	\$bn	2.6	2.9	1.5	Adverse weather disruptions to major commodity exports.
	Q2	Job Vacancies	%qtr	–0.2	–	3.0	Monthly indicators point to a bounce in Q1.
US	Feb	Trade Balance	US\$bn	–54.5	–66.0	–	Volatile as companies adapt to tariffs.
		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
Fri 03							
Chn	Mar	RatingDog Services PMI	index	56.7	53.7	–	Suggests Lunar New Year holiday spend was firm.
US	Mar	Nonfarm Payrolls	000s	–92	51	70	Jobs growth revised lower, strikes also temporarily weighing.
	Mar	Unemployment Rate	%	4.4	4.4	4.4	Constrained labour supply keeps unemployment low ...
	Mar	Average Hourly Earnings	%mth	0.4	0.3	–	... and wages growth fairly robust.
	Mar	ISM Services	index	56.1	–	–	Shaky confidence puts services activity boom at risk.
World	Mar	S&P Global Services PMI	index	–	–	–	Final estimate for Japan, US.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (27 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.35	4.35	4.35	4.35	4.35	4.35	3.85	3.60	3.60
90 Day BBSW	4.30	4.40	4.40	4.40	4.45	4.45	4.30	3.80	3.70	3.70
3 Year Swap	4.80	4.60	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
3 Year Bond	4.82	4.62	4.47	4.42	4.37	4.27	4.12	3.97	3.82	3.62
10 Year Bond	5.11	4.95	4.90	4.85	4.80	4.75	4.75	4.70	4.70	4.70
10 Year Spread to US (bps)	70	65	55	45	35	25	20	10	5	0
United States										
Fed Funds	3.625	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375
US 10 Year Bond	4.42	4.30	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70
New Zealand										
Cash	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.54	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.52	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.76	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	34	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (27 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6909	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5761	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.64	156	155	154	152	150	148	146	144	142
EUR/USD	1.1542	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3343	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9128	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.1963	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.1	0.3	0.4	0.5	0.5	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.7	1.4	1.4	1.8	2.6	1.4	2.0	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.5	4.7	4.7	4.6	4.3	4.7	4.5	4.4
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.4	2.1	0.7	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.1	5.5	4.8	4.5	3.6	2.1	3.6	4.5	2.4	2.7
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.7

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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